

www.drvijaymalik.com

PEACEFUL INVESTING

A Simple Guide to Hassle-free Stock Investing

Dr Vijay Malik
vijay.malik@drvijaymalik.com

Peaceful Investing – A Simple Guide to Hassle-free Stock Investing

By

Dr Vijay Malik

Copyright © Dr Vijay Malik.

All rights reserved.

This e-book is a part of premium/paid services of www.drvijaymalik.com

No part of this e-book may be reproduced, distributed, or transmitted in any form or by any means, including photocopying, recording, or other electronic or mechanical methods, without the prior written permission of the Dr Vijay Malik

Printed in the Republic of India

www.drvijaymalik.com

Disclaimer

This e-book is meant purely for educational and informational purposes to help readers understand equity investing concepts, business analysis, investor behaviour, and long-term investing approaches.

The discussions, case studies, company examples, financial data, and observations shared in this e-book should not be construed as investment advice, stock recommendations, or solicitation to buy, sell, or hold any securities.

The author, Dr Vijay Malik, is currently registered with Securities and Exchange Board of India as a Research Analyst. At the time of originally writing certain parts of this e-book, the author was registered as an Investment Adviser.

Wherever the author has ownership or personal investment interest in any company discussed in this e-book, the same has been specifically disclosed within the relevant content itself. Absence of such disclosure for a company example indicates that the author did not hold that company at the time of writing that section.

Readers should do their own independent research and assessment before making any investment decisions. Equity investing involves market risks, including possible loss of capital. Past performance of companies or investment approaches discussed in this e-book does not guarantee future results.

The views expressed are personal educational opinions intended to enhance investor awareness and should not be treated as personalised financial advice.

Copyright © Dr Vijay Malik. All Rights Reserved.

Table of Contents

1) Getting the Right Perspective towards Investing 3
2) Choosing the Stock Picking Approach suitable to you 6
3) Why I Left Technical Analysis And Never Returned To It! 12
4) Shortlisting Companies for Detailed Analysis 17
5) How to conduct Detailed Analysis of a Company 24
6) Understanding the Annual Report of a Company 30
7) How to do Financial Analysis of a Company 42
8) 7 Signs to tell whether a Company is cooking its Books: “Financial Shenanigans” 51
9) Self-Sustainable Growth Rate: a measure of Inherent Growth Potential of a Company 59
10) How to do Valuation Analysis of a Company 67
11) Hidden Risk of Investing in High P/E Stocks 72
12) How to earn High Returns at Low Risk - Invest in Low P/E Stocks 80
13) 4 Principles to Decide the Investable P/E Ratio of a Stock for Value Investors 87
14) How to do Business & Industry Analysis of a Company 103
15) Is Industry P/E Ratio Relevant to Investors? 112
16) Why Management Assessment is the Most Critical Factor in Stock Investing? 121
17) Steps to Assess Management Quality before Buying Stocks (Part 1) 132
18) Steps to Assess Management Quality before Buying Stocks (Part 2) 143
19) Steps to Assess Management Quality before Buying Stocks (Part 3) 155
20) 3 Simple Ways to Assess "Margin of Safety": The Cornerstone of Stock Investing 160
21) 7 Important Reasons Why Every Stock Investor should read Credit Rating Reports 170
22) Final Checklist for Buying Stocks 180
23) 5 Simple Steps to Analyse Operating Performance of Companies 185
24) How to Monitor Stocks in Your Portfolio 192
25) Understanding & Interpreting Quarterly Results Filings of Companies 196
26) How Many Stocks Should You Own In Your Portfolio? 209
27) Trading Diary of a Value Investor 214
28) When to Sell a Stock? 220
29) 3 Guidelines for Selecting Stocks Ideal for Retail Equity Investors 225
30) How to Use Screener.in "Export to Excel" Tool 232
31) Premium Services 253

Copyright © Dr Vijay Malik. All Rights Reserved.

1) Getting the Right Perspective towards Investing

Every investor has a dream that she should create a portfolio of stocks, which should generate wealth for her. The portfolio should become an alternative source of income for her. The portfolio should support her in the hard work to sustain and improve the financial position of her family, her lifestyle and if possible give her an opportunity to retire early and fulfil all her dreams: travel, adventure and doing things she is passionate about. I have the same dreams and desire that my stock portfolio should generate sufficient income; so that I might not need to work at a job as a necessary means to earn my livelihood. Monitoring my portfolio would be the only thing needed and I do not think of portfolio management as a job. It is my passion, which makes me feel lively and rejuvenated.

Many acclaimed people have already achieved that dream through stock investments, both in India and abroad. The accomplishments of Warren Buffett and Rakesh Jhunjhunwala can be cited as good examples. Warren Buffett buys the stakes and stocks in the companies, in which he would like to, invests through his parent holding company Berkshire Hathaway. Those companies, in which he has invested earn profits and send the majority of the cash back to the parent company (Berkshire), which Warren further invests. Warren, currently 84 years of age, enjoys his job so much that he often says that if loving one's job ensured long life, then he would never die. His personal wealth is about $ 67 billion. I do not know whether my portfolio would ever be able to reach those levels. It is in the time to come when we will see how far I will be able to go. I believe that anyone who is able to put in the required hard work can do the same.

What is needed to be a Good Stock Picker?

Reading:

It is the single most important quality required in a person who wants to be a successful stock market investor. Many successful investors like Benjamin Graham, Peter Lynch etc. have written books sharing their knowledge about stock investments. They have explained the stock picking process in a very simplified manner. Reading these books is the first step in this journey of stock investments.

Patience & Emotional Control:

This is another very important quality needed for a good stock market investor. The role of emotions in investments has assumed such significance that a separate field called "Behavioral Finance" has been created for it. Stock market investing requires a long-term approach and you have to stay invested in the market for a long time to reap the benefits. Investors face many emotions during their stay in the stock market. Emotions like fear, greed and frustration make investors take impulsive decisions of entry and exits during short phases of market ups & downs. When stock prices go up, the investors try to make short-term profits and thus sell their investments early. Many times, after investors sell, stock markets keep on rising further and investors are not able to reinvest their money and the market runs away from them. Market movements are highly unpredictable. Investors need to stay invested in stocks of good companies for long periods to make significant wealth. Jeanne Sahadi, a CNNMoney.com senior columnist writes:

Copyright © Dr Vijay Malik. All Rights Reserved.

> "Missing out on those high-return months (the timing of which you can't predict) can cost you a lot. A hundred dollars invested from 1926 to 2006 in the S&P 500 would have yielded $307,700, according to Ibbotson. But if you missed the 40 months with the highest returns you would have ended up with - no kidding - $1,823 only."

When stock prices go down, many investors fail to analyze the reasons of fall in the stock prices. Some investors are gripped with fear. They sell a good company whose stock price had fallen due to general market sentiment and not due to poor performance of the company. They should actually be buying more stocks of that company at cheaper valuations. Other investors show opposite behavior and do not sell a poor performing company despite the huge decline in its stock price because they hate to book losses. It is said that one should buy stocks; the way they buy their vegetables & groceries; one should buy more when prices are down.

Therefore, one needs to be in control of one's emotions and should develop the patience to delay the short-term gratifications. One should be able to visualize the wealth, which markets are able to create over very long periods. Reading about the behavior of successful investors and observing their actions during different phases of stock markets, will help in developing the emotional control required to be a successful investor.

What is not mandatory to be a Good Stock Picker?

A Degree in Finance:

Finance & investing are not rocket science. Business families have been able to teach fundamentals of finance to their children within confines of their homes. The same phenomenon of simple conceptual understanding always stands true in finance & investing. You need to get clarity on some basic concepts of finance and you would have gained the foundation to start investing. Good reading habit will help you to build on that foundation.

Advanced Mathematics:

You do not need to be a mathematician to succeed in stock market investing. The math you will need for investing is taught during school education. You do not require more than the ability to carry out the basic calculations. If someone says that, you need advanced mathematics for investing, she is confusing you and you should ignore such advice.

Investing requires a lot of common sense and control of emotions. If you are able to learn basic concepts, are able to read further to build upon the existing knowledge and keep patience & self-control during stock market highs & lows, then you have what it needs to become a successful investor.

How to Start Investing:

Once one has read the required books of successful authors, the person will be able to understand the basic framework about stock market functioning. She will also get to know about various characteristics and parameters of stocks to be looked into while doing stock investment. She should note down and keep a list of these parameters with her when analyzing stocks to see how these parameters apply when doing the actual stock analysis.

Copyright © Dr Vijay Malik. All Rights Reserved.

Then she should start exploring stock markets to identify the best stocks for her. Financial newspapers (e.g. Business Standard, Economic Times etc.), business magazines (e.g. Business Today), stocks magazines (e.g. Dalal Street, Capital Markets etc.) and websites (e.g. Moneycontrol etc.) are good sources to start looking for potential stocks for detailed analysis.

Copyright © Dr Vijay Malik. All Rights Reserved.

2) Choosing the Stock Picking Approach suitable to you

If we read about the experiences of successful investors, we will find that each one of them had their own specific methodology of picking stocks. They, in turn, might have been inspired by other successful investors. However, there is not any one specific approach of stock picking, which has made them successful.

Benjamin Graham focused on investing in stocks that were selling at a discount to their fair value. This is an example of Value Investing approach. Philip Arthur Fisher (Phil Fisher) focused on investing in stocks that were capable of growing at a faster pace as compared to their peers. He justified paying a premium for such high growth stocks and did not stress too much on finding stocks selling at a discount to their fair value. This is an example of Growth Investing approach.

Warren Buffett studied under Benjamin Graham during college and therefore focused more on value investing in the initial stages of his career. However, later on, he incorporated guidelines of Phil Fisher in his investment philosophy. Now, as per Buffett, his investment methodology is a mix of about 85% Graham and 15% Fisher.

So we can see that there is not only one single defined approach to achieve success in stock picking. In fact, it is rightly said that 'All roads lead to Rome'. However, each one of these approaches has their own pros and cons. These stock-picking approaches might differ in terms of the types of the stocks they focus on. These approaches might also differ in terms of the amount of time & effort required from investors and in many more ways. A stock-picking approach, which is suitable for one investor may not be suitable for another. However, it is easy to find the stock-picking approach or a mix of the approaches, which will be suitable for an investor. This chapter would help the readers in find such a suitable stock-picking approach.

I have discussed various approaches to stock picking below. We, as investors, should learn a bit about these different stock-picking approaches and then select the approach or the mixture of approaches, which appeals to us.

Fundamental Analysis vs. Technical Analysis:

Fundamental Analysis:

Fundamental analysis of a stock involves understanding the underlying business of a company. While doing fundamental analysis, the investor tries to find out a company, which has a very good product, well-known customers, stable suppliers, honest & capable management etc. Once the investor finds such a company, she can invest in its stock and expect to benefit from the future growth of the business of the company. Fundamental analysis is very similar to the in-depth analysis, which an entrepreneur will do before starting a new business. I believe that the fundamental analysis approach to stock picking is, in fact, a form of entrepreneurship.

Technical Analysis:

Technical analysis involves analyzing charts of the past movements of a stock's price and its trading volume over the different time periods. It involves understanding the patterns in the charts containing data of a

Copyright © Dr Vijay Malik. All Rights Reserved.

stock's price movement in the past. The investor then tries to predict future price movement of the stock based on these past patterns. Once the investor finds a stock whose price is expected to move higher, she buys it and holds it until the chart patterns indicate that the price is expected to fall or become stable. The investor following technical analysis is concerned only with the past prices and trading volume data of the stock. The investor is indifferent to whether the stock is a manufacturing, an agricultural or a financial services company.

Comparison between Fundamental Analysis and Technical Analysis:

Most of the successful stock market investors have followed the fundamental analysis. Fundamental analysis treats stock investment as a way of having ownership in a company's business. This approach allows an investor to benefit from the enormous wealth, which is generated by owning a successful business over a long period of time. On the other hand, Technical analysis tries to predict the next 'up move' in a stock's price and is indifferent to the company's business.

In fundamental analysis, once an investor has found a good company, she stays invested in its stock for decades. Hence, if the investor was able to make at least a few good stock investing decisions in her life, she will be able to earn a great amount of wealth. In technical analysis, the investor buys a stock just before the next 'up move' in its price. She sells the stock after the up move has happened or if the up move does not occur and the buying decision has been proved wrong. In technical analysis, the investor keeps the stock with herself only for a few days or weeks. Many a time, investors try to buy and sell stocks with a few minutes during a day. Such kind of investment behavior requires the investor to keep finding right stocks every few minutes/days/weeks.

Almost all the successful investors say that finding good stocks for investment is difficult. Therefore, if an investor has found such a stock, then she should stay invested in it for long periods. Selling a good stock only after one 'up move' in its price is not a winning decision in long term. Stock markets are very volatile and the periods of up & down moves in a stock's price are going to be very frequent. Therefore, an investor should not fall prey to greed and she should not sell her stock when the prices move up immediately after she buys it. Moreover, the investor should stay invested in the stock until the company keeps on growing its business consistently.

I started stock market investing in 2006 by learning technical analysis. However, with the continued reading and personal experiences in stock picking, I realized that fundamental analysis is a better approach to stock picking. Therefore, I have been selecting stocks by using fundamental analysis since 2008.

Different sub-approaches under Fundamental Analysis:

Fundamental analysis has different sub-approaches to stock picking. All these sub-approaches focus on the underlying business of the companies. However, they differ in the methods of selecting stocks for detailed analysis and the features of stocks, which are focused on future gains.

Copyright © Dr Vijay Malik. All Rights Reserved.

Top Down and Bottom Up approaches:

Top Down approach:

Top down approach to the fundamental analysis is also called EIC (economy-industry-company) approach. In the top-down approach, an investor tries to identify those economies (countries) of the world, which are expected to grow at a faster pace than other economies. Once the investor has found such economies, she studies them in detail. Within these economies, the investor tries to identify the industries, which are expected to witness higher growth than other industries. Once the investor has identified high growth industries in selected economies, she tries to find out the companies in these high growth industries, which are expected to benefit the most from such expected growth. Once the investor has finalized the list of such companies, she buys stocks of these companies. The investor expects to benefit from the higher earnings, which these companies are expected to create over next many years.

Bottom Up approach:

The bottom-up approach to the fundamental analysis involves identifying companies, which are expected to grow their business without restricting the stock-picking search to any particular industry or economy (country). All the stocks listed on all the stock exchanges in the world, irrespective of country or industry of operation, are open for selection to the investor. The investor uses various selection criteria to search for the best stocks. Such selection criteria help an investor find out the companies he likes e.g. the fastest growing companies across all sectors or the companies, which are selling at a discount to the cash in their bank accounts. Once the investor finds a good company, he buys its stock and expects to benefit from the future growth of the business of the company.

Comparison between Top Down and Bottom Up approaches:

Top down approach limits an investor's analysis of stocks of only a few countries and a few industries. However, the bottom-up approach does not have this limitation. The bottom-up approach provides an investor with the option of investing in those companies, which are doing very good but are in industries, which are currently not doing well. Such companies are known to make huge wealth for investors. Peter Lynch, the fund manager of Fidelity Magellan Fund from 1977 to 1990, has recommended investing in such companies in his book One Up on the Wall Street.

Thus, we can see that bottom-up approach gives an investor more options to choose his stocks for investment.

Growth Investing and Value Investing approaches:

Growth Investing:

In growth investing approach to fundamental analysis, the investor tries to find such companies, which are expected to witness a very high growth in business performance in future. Once the investor has found such a company, she buys its stocks. The investor expects to benefit from the future high growth of the business of the company.

Copyright © Dr Vijay Malik. All Rights Reserved.

Value Investing:

The investor following the value-investing approach of fundamental analysis tries to find the fair value of the stock of a company by analyzing various business and financial parameters of the company. After calculating the fair value of the stock of a company, the investor compares it with the current market price on a stock exchange. If the investor finds that the current stock price of the company is lower than the fair value of its stock as per her calculations, she buys the stocks of the company. The investor expects to benefit from the increase in the stock price after-market discovers the discount in the stock value and increases the stock price to its fair value.

Comparison between Growth Investing and Value Investing approaches:

In growth investing approach, the investor puts more focus on the future growth of the company and ignores the current valuation levels of its stock as compared to the ongoing/past performance of the company's business. The investor buys its stock at whatever price it is currently available in the stock market.

Value investing approach of stock picking is equivalent to finding goods selling at a discount in any market place e.g. a grocery store. A value investor will not buy the stock of a company, which is expected to show good business performance in future if its stock is currently selling at a price higher than its fair value. The value investor would think that the current expensive valuation has already increased the price of the stock of that company to such an extent that the potential of increase in the stock price in future is limited. The investor would ignore this company and start the search for another company whose stock is priced at a discount to the fair value.

If an investment decision goes wrong, then the risk of suffering losses, is much more in growth investing, as it does not focus on the current valuation of the stock price. If a company selected by growth investing approach does not grow as expected or its growth slows down a bit, the stock market will punish its stock. In such a case, the stock prices will fall very fast and the investor might lose a lot of her invested capital. However, in the case of companies selected by value investing, if the stock market does not realize the discount available in the stock of a company soon, then its stock price might not increase in the short term. However, it would provide the investor with an opportunity to accumulate more stocks of this company. Thus value investing approach has a higher "Margin of Safety" as described by Benjamin Graham.

It is said that the market may keep ignoring the discount available on a stock for a very long time. Therefore, stock investing should have a very long-term investment horizon. It is similar to an investment in family land or real estate. You do not sell the land or property for every day-to-day financial need. Similarly, it is recommended not to sell stocks for day-to-day financial requirements and look at them from a very long-term perspective preferably in decades.

My approach to Stock Picking:

We have discussed the major approaches to stock picking. We have also seen comparative features of different stock picking approaches. It was mentioned in the beginning of this chapter that every investor should choose an approach or a mix of approaches, which she likes. After reading books of various successful investors, who had followed different stock picking approaches mentioned above and after a

Copyright © Dr Vijay Malik. All Rights Reserved.

personal experience of about 8 years of investing in Indian stock markets, I have found the following mix of stock picking approaches, which I like:

Fundamental Analysis:

As previously mentioned, I prefer fundamental analysis for stock picking as compared to technical analysis. I like fundamental analysis because it treats an investor as an owner of the company and the fundamental investor needs to make only a few right investment decisions in her life to make significant wealth as compared to a technical investor. On the other hand, the technical investor needs to be on the lookout for right stocks almost daily.

Bottom Up approach:

I prefer bottom up approach as compared to a top-down approach. If an investor follows a top-down approach, she would find that the stocks of the companies, which are expected to do good in high growth industries of such economies (countries), which are expected to outperform other economies, are already overpriced. This limits the choice of stocks available for her investments unless she decides to overpay for them. In the bottom-up approach, the investor focuses on the good companies irrespective of the industries and economies. Therefore, she is able to select stocks of good performing companies from all the industries whether these industries are growing at a fast or at a slow pace. If the investor follows a bottom-up approach to stock picking, she would have better chances of finding out companies, which are growing at a fast pace but whose stocks are priced at a discount currently.

A mix of Growth Investing and Value Investing approach to Fundamental Analysis:

I follow a mix of growth and value investing approaches. I search for companies, which have grown their earnings at a good pace in past and their earnings are expected to keep growing in future. Once I have prepared a list of such high growth companies, I try to find out the companies from this list, whose stocks are currently selling at a discount in the market. This is like having best of the both worlds and many readers might think that it won't be easy to find such companies.

However, Indian stock markets are under-penetrated and only a few well-known stocks are well researched by market analysts. Most of the large investors like FIIs, mutual funds etc. focus on only about 400-500 stocks of large companies out of more than 5,000 companies listed on Indian stock exchanges. An investor can find the hidden gems among these balance 4,500 stocks, which are not getting analyzed by stock market analysts. These hidden gems offer an opportunity to invest in high growing companies, which are available at very reasonable stock prices. I focus on this under-analyzed segment of Indian stock markets to find potential stocks for my portfolio.

Thus to summarize, I follow a bottom-up fundamental analysis approach in which I look for high growing companies available at attractive stock prices.

Any person who wants to be an investor can learn about these approaches for stock picking. The investor can focus on the approaches which she finds suitable for her according to her temperament, work schedule, lifestyle etc. The investor can choose to pick the best of the characteristics of various stock picking approaches and mix them to create an approach of her own.

Copyright © Dr Vijay Malik. All Rights Reserved.

Once the investor has decided about her stock picking approach, she should start searching for companies whose stocks meet her criteria. The investor should keep on improvising her approach by incorporating lessons, which she would learn from further readings and personal experiences in stock picking.

At the start of Warren Buffett's investing career, no one could tell whether he would be the most successful investor of all times. No one could predict the success of Benjamin Graham, Peter Lynch or Phil Fisher. Similarly, no one knows whether you and I are going to become successful & wealthy investors. However, the current requirement is to put in the necessary effort in stock picking and wait for the future to unfold the results. Various investors have become successful in the past. I believe that I can be successful at stock picking and so can be anyone else who is willing to put in the required effort.

Copyright © Dr Vijay Malik. All Rights Reserved.

3) Why I Left Technical Analysis And Never Returned To It!

I started investing in stock markets in 2006 by learning technical analysis, which I continued to follow for 2 years until I realized that I was going in a wrong direction. It took a few huge lost opportunities, a lot of introspection, some unlearning and a lot of new learning before I realized that fundamental analysis is the direction that I should follow.

Since that day, I had never found any occasion to doubt my approach. Fundamental investing was the approach; I should have followed since the beginning. However, better late than never and I could finally start my dream journey to financial independence (like Jim Rogers).

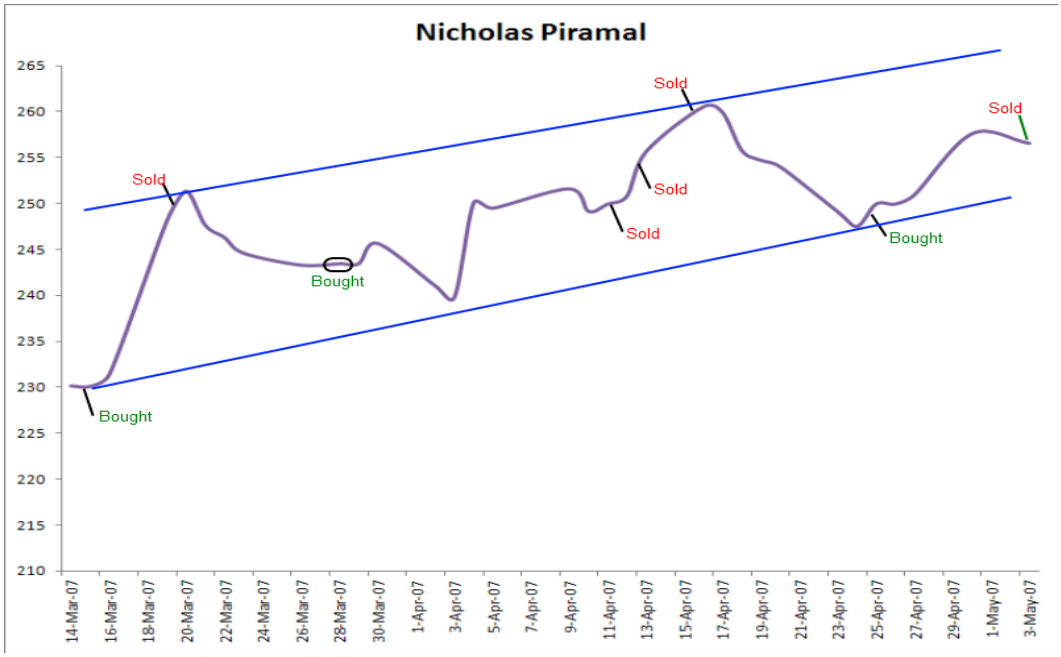
Two books from Dr. Elder Alexander, a psychiatrist turned stocks trader from the USA, laid the foundation of my stock market investing journey:

1. Trading For A Living and
2. Come Into My Trading Room

Both are excellent books that I always recommend to anyone who wishes to learn technical analysis.

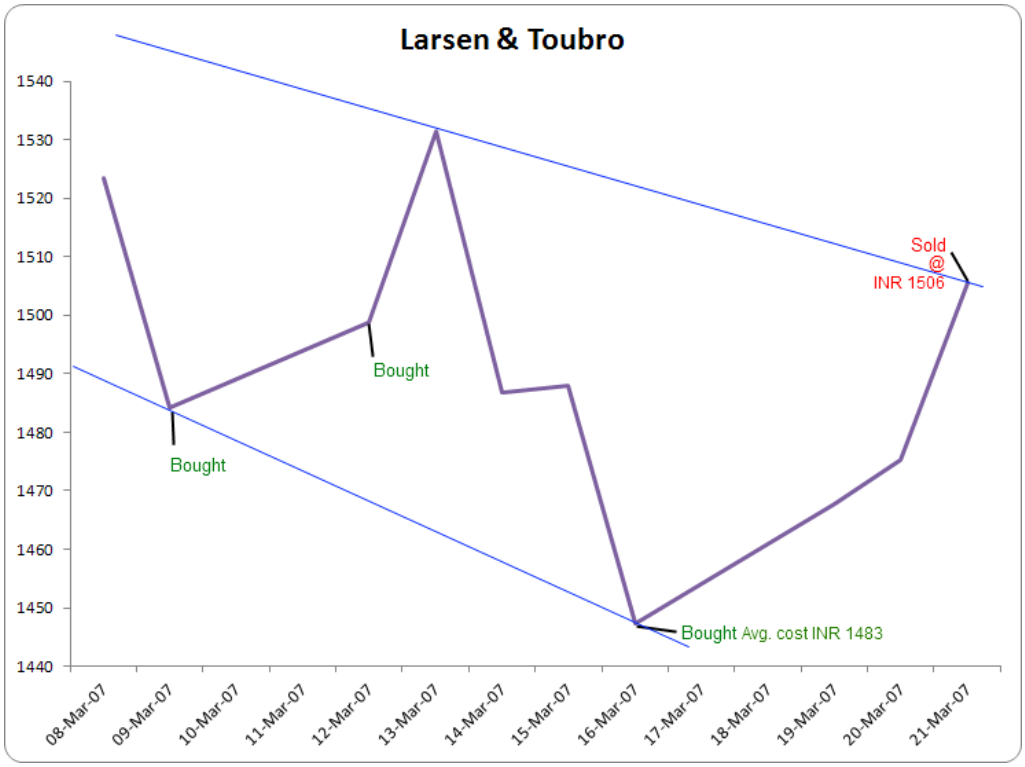
I read them in detail and learned about many technical indicators. I found the sources where I could get the charts for doing technical analysis of Indian stocks. I ended up downloading the historical data of all the stocks being traded on Bombay Stock Exchange (BSE) and National Stock Exchange (NSE) on my computer. I spent countless hours finding stocks where charts could tell me when the next breakout (a sudden rise in stock price) is going to happen. Lucky enough, I could find quite a few of them.

I started buying stocks near their support levels and selling them near their resistances. I remember the excellent calls I took in Nicholas Piramal India Ltd:

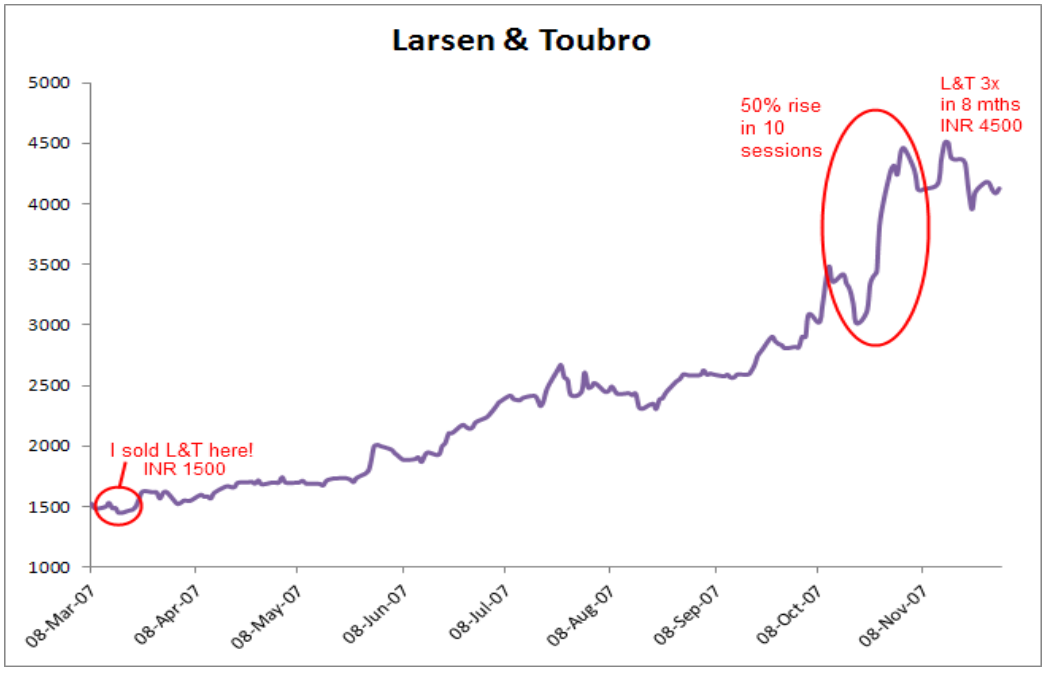


Copyright © Dr Vijay Malik. All Rights Reserved.

Not all decisions were right like Nicholas Piramal. Some went downhill as well, however, I could still save on losses by increasing positions at some luckily good times. See Larsen & Toubro Ltd (L&T):



Life was going on fine. I was making money in some trades and losing in some of them. However, I got the shock of my life when I accidentally revisited L&T in November 2007. Oh My God! The stock was trading at ₹4,500. Three times from where I had sold it in March 2007.



Copyright © Dr Vijay Malik. All Rights Reserved.

I was dumbstruck. I stood staring at this chart feeling like a fool. Here was a stock, which I had in my hands at ₹1,500 and within 8 months, it had given 200% returns. That is an IRR of 420%! With my eyes popping on the screen, I had no answer to give myself. I could never have captured this rise from 1,500 to 4,500 by technical analysis.

Every tiny rise and fall on the stock line in the chart gives a buy or sell signal in technical analysis. There are more than 50 of them in the above chart over 8 months. I needed to get all of them right, to travel the journey from 1,500 to 4,500. This required an accuracy of better than six-sigma. To top it all, the meteoric rise of 50% from 3,000 to 4,500 levels within 10 trading days put the final nail.

In technical analysis, I had been keeping stop losses and target prices in mind. These rarely lie beyond a few percentage points from the purchase price. How on earth could I have captured this gigantic rise in a trade? I would have sold the stock much earlier, the day I got 5 or 10% return.

Something was not right. Whatever I was doing, I was missing something. Something that was very important! I had spent months reading authentic books about technical investing. I had followed all advice of Dr. Elder Alexander, diligently. Then what was I missing?

Lucky for me, then, I came to know about fundamental analysis. Benjamin Graham was the God of this field and The Intelligent Investor, its bible. I spent weeks going through this book. Every day of reading felt like an enlightenment. Why did I not come to know about this person before! I started to find answers to all my questions. I came to know what I was missing. I was a value investor gone astray.

All that was needed to capture the fabulous rise of L&T was – "Sit tight and do nothing"! Find a good stock and stay invested. It was this simple!

Armed with this new knowledge, I sat foot in the world of value investing. I started studying fundamentals of all the stocks I came across. Low P/E was the key. Never to buy beyond P/E*P/B of 22.5 was the mantra (the gospel of Ben Graham).

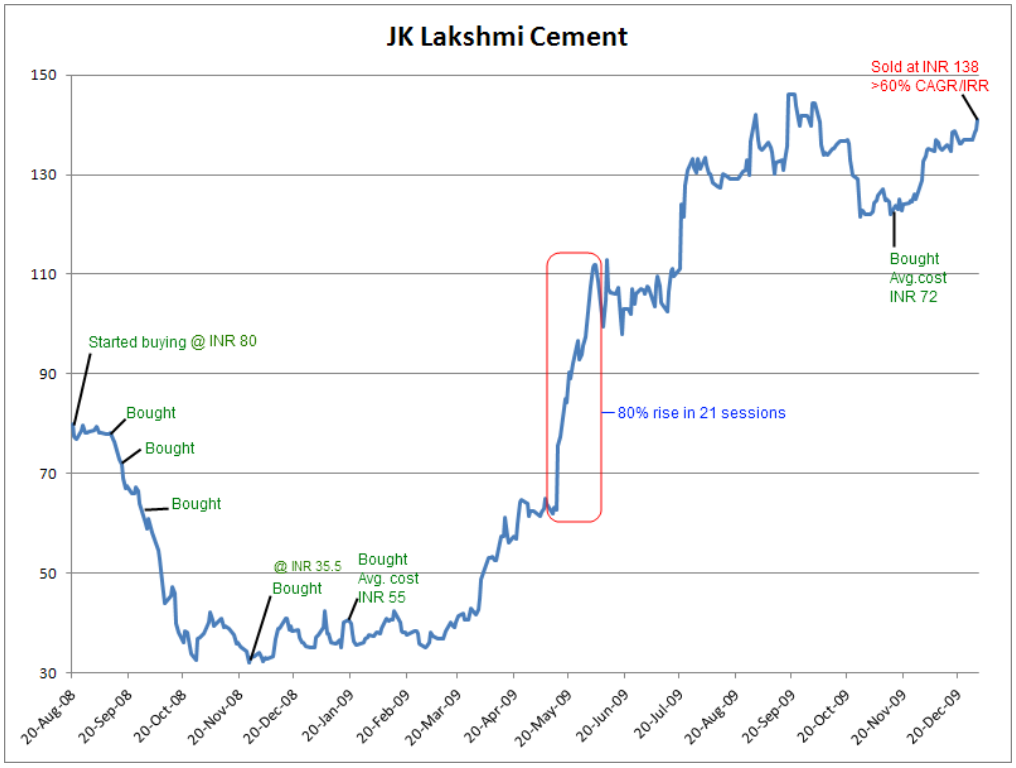
I realized that Indian stock markets are full of gems for value investors. It was mid-2008 and Lehman was about to crash. Almost every stock was available very cheap. I chose three stocks for myself: JK Lakshmi Cement Limited, Allahabad Bank Limited and Hindustan Petroleum Corporation Limited (HPCL). Buy right and sit tight, was my new mantra. Graham had now taught me not to lose heart in falling market.

In August 2008, I bought JK Lakshmi at ₹80. Within a month, Lehman crashed. The entire world crashed with it. JK Lakshmi was seen trading at ₹32. However, with full faith in Graham, who had survived The Great Depression (1929-32), I dug my heels in. The prices kept on falling and I kept on buying.

Graham had said that all gloom would finally end. The Intelligent Investor, though written in 1949, has stood the test of time. In March 2009, the markets started to rise. I was holding JK Lakshmi at ₹55.

The prices started rising and my losses kept on narrowing. In just over a month, I was at breakeven. I told myself to hold my emotions and not to do the same mistake twice (remember L&T!).

Copyright © Dr Vijay Malik. All Rights Reserved.



This time, I could capture all the gains that I had missed 2 years back in L&T including the meteoric rise of 80% in 21 trading days. The only thing different from last time was that this time I was following fundamental analysis instead of technical analysis.

The price rise did not stop at that, I sold JK Lakshmi at ₹138 (split adjusted) in December 2009. I sold it not because I did not like the stock or wanted to book profits, but because I needed money for some personal purpose.

With fundamental analysis, my learning cycle was complete. I had found what I wanted to follow in stock markets. Since then, I am a fundamental investor following value investing.

What according to me are the features of fundamental investing vs technical investing?

Technical analysis keeps an investor on a treadmill. You can never relax. Carrying open positions requires guts. No one knows how markets are going to open up or end at any day. Fundamental investors sleep peacefully at night.

Technical analysts rarely capitalize on big moves. There is so much noise in indicators, everyone giving either buy or sell signal all the time. In fundamental investing, you buy once and sit tight. It lets the large gains come to you. I feel safe to say that an investor nibbles in technical analysis whereas she grabs a big bite in fundamental analysis.

In technical investing you need to get most of your decision right (>50%) before you make some money. Significant money is required to cover the cost of the live data feed, brokerages and losses of wrong trades.

Copyright © Dr Vijay Malik. All Rights Reserved.

In fundamental investing even 10 stocks chosen well over one's lifetime can make one millionaire. Warren Buffett is a live example. He found Coca-Cola, Gillette, Wells Fargo, Washington Post and stayed invested with them.

Technical analysis is more time consuming. An investor has to continuously keep updating the charts and analyzing new patterns, which keep on appearing, whereas in fundamental analysis, once a quarter reviews seem sufficient.

I believe that fundamental analysis is ideally suited for any investor who has a daytime job and wants to generate wealth by investing in stock markets. I have tested both the waters and I do not think that I would ever want to turn back to technical investing.

Copyright © Dr Vijay Malik. All Rights Reserved.

4) Shortlisting Companies for Detailed Analysis

As per Bombay Stock Exchange website, at September 14, 2014, there are 5,471 stocks available for investing. Each of these stocks represents a company running a unique business. The business of each of these companies is different from all the other companies whether they are from the same or different industries.

For example, a pharmaceutical company will have a business entirely different from a telecom company. Moreover, within the pharmaceutical companies, a company selling its products in the Indian market will have a very different business from another company, which sells its products in overseas markets. Among pharmaceutical companies, which focus on overseas markets, a company, which sells its products in US & other developed countries will have a different business than the company, which sells its products in Africa & other developing countries. Therefore, investing in any company will expose an investor to a business that would be very different from investing in any other company.

Therefore, investing in stocks of one company will produce very different results than investing in stocks of any other company. Therefore, it is suggested that an investor must be very particular about choosing the companies in which she invests her hard-earned money.

An investor should analyze a company in detail before adding it to her portfolio. However, it is very difficult for any investor to analyze all the companies available for investment. Their number stands at 5,471 today and is expected to increase in future. Therefore, every investor should use a process for filtering out all the companies that do not meet her requirements. She should then focus on the remaining companies to find out the companies, which she feels are the best. Such companies will prove to be great investment opportunities for her.

The process of shortlisting companies is necessary so that an investor can focus her limited time and effort on a few targeted companies. Shortlisting companies before analysis helps an investor get maximum benefit out of her effort.

Different methods for shortlisting companies for detailed analysis:

There are many different methods used by investors to shortlist companies for analysis. Some of the common methods are described below:

- **Magazines**: There are many magazines that are focused on stock markets e.g. Dalal Street, Capital Markets etc. These magazines regularly publish many articles with a basic analysis of companies. If an investor reads these magazines regularly, she can select the companies mentioned in these magazines, which she likes, for detailed analysis. However, an investor should not invest in any company just because it is recommended by these magazines. These magazines should serve merely as a source to select stocks for detailed analysis. The final decision should always be based on investor's own analysis.
- **Newspapers**: Similar to magazines, many newspapers have business sections and publish stories about different companies. If an investor likes any company based on a news article, she should analyze it further in detail, before making an investment decision.

Copyright © Dr Vijay Malik. All Rights Reserved.

- **Television**: Many TV channels have special programs, which give coverage to growing companies. Such programs present a good analysis of company's history, its brands, its customers etc. They also feature interviews with the company's management. These programs can be a good source of information for selecting companies for detailed analysis.

However, all these methods, which use mainstream media to shortlist companies have a limitation. Mainstream media usually covers those companies, which are famous and the market has already recognized the value of their stocks. Therefore, stocks of such companies usually sell at a premium and potential for the future price increase is generally limited.

Therefore, many investors try to use sources where they can find companies, which have the potential for high growth in their business and whose stocks are not yet recognized by the markets. Some of such methods are mentioned below:

- **Local Marketplace**: Many investors try to find companies suitable for investment by focusing on bestselling products in the local markets. They visit malls, shops etc. to find out about the most selling products and the shops that sell them. One of the successful investors, Peter Lynch, has written that he had taken many investment ideas by observing the products bought by his wife and children. If an investor decides to follow this approach, she should find out whether the companies, which make the highly demanded products, are available for investment on any stock exchange. If yes, then she should analyze these companies in detail. This approach is best for identifying companies in consumer goods industries.
- **Online Stock Screeners**: Stock screeners are tools provided by different websites, which allow investors to search for companies that meet their investment criteria. Once an investor mentions her stock picking criteria, these websites show her a list of companies meeting her search criteria. Then, the investor can analyze these companies further. An investor should select her stock picking criteria based on the investment approach that she finds suitable to her as detailed earlier in this book.

My Method of Shortlisting Companies for Detailed Analysis:

I follow a bottom-up fundamental analysis approach in which I look for high growing companies available at attractive stock prices. After reading books of successful investors and based on personal experience in stock investing, I have prepared a list of stock picking criteria. These criteria can be used with the stock screening tools of different websites. These criteria help me in shortlisting companies for detailed analysis, which are growing fast but are yet to become famous.

I am confident that at the end of this book, all the readers would be able to make their own stock picking criteria, which would help them select stocks based on their stock-picking approach. Such criteria would reflect the personal approach of every reader and will help her proceed on her stock investing journey.

Copyright © Dr Vijay Malik. All Rights Reserved.

Online Stock Screeners available to Investors:

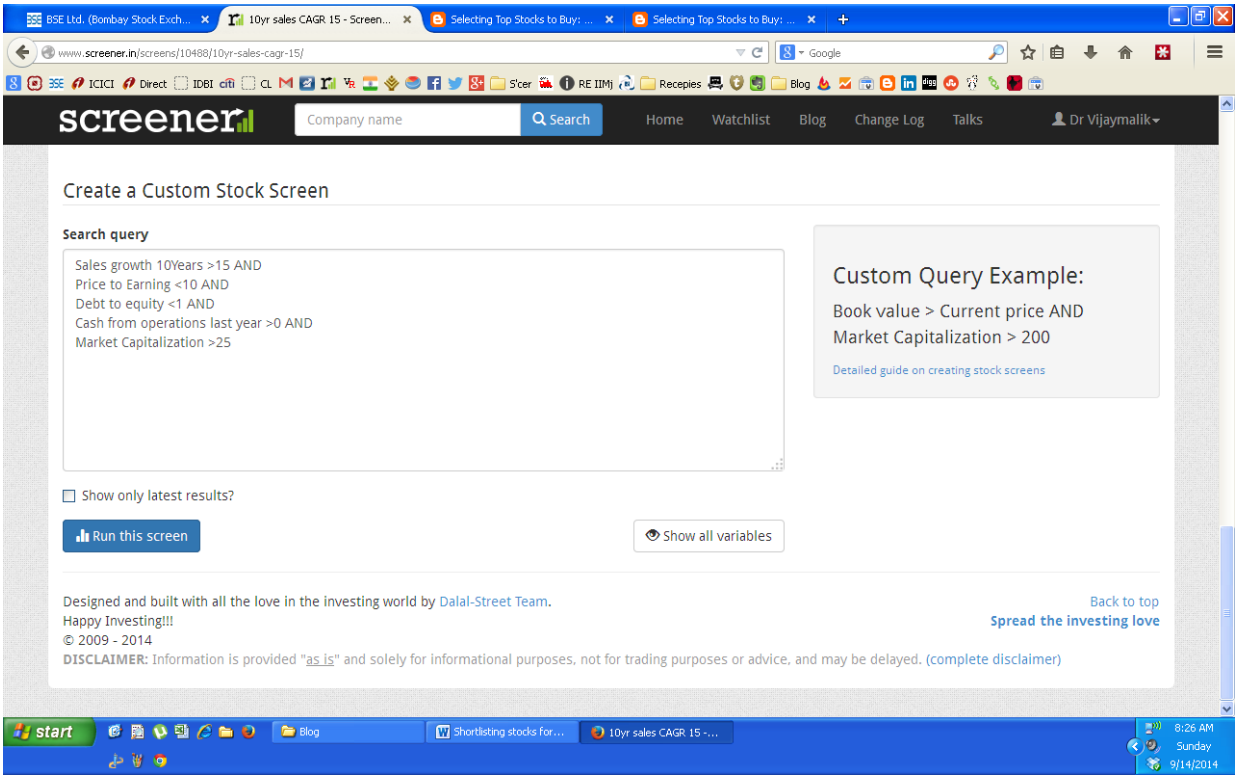
Once an investor has formed her stock picking criteria, all she needs is a tool for searching companies based on these criteria. Now a day, there are many websites, which offer online tools to investors for shortlisting companies based on their criteria. These websites are paid as well as free ones:

- **Free Websites**: BSE provides annual reports of almost all listed companies from 1997 onwards. Other free sources include screener.in, equitymaster.com, askkuber.com.
- **Paid Websites**: E.g. CMIE, Capitaline. These paid websites charge an annual fee of a few lakh rupees for providing their services.

Paid websites offer more features than the free websites. However, an investor should consider paid websites only if she has a very large portfolio. Free websites are good enough to meet analysis requirements of an individual investor. I believe that if an investor's portfolio is smaller than ₹10 cr, then she should not use paid websites, as annual charges of paid websites would be a significant cost to her portfolio.

My favorite online stock screening tool is www.screener.in. It is a very simple to use website. It has very elaborate instructions for helping the first time uses.

I have given below a few screenshots demonstrating the step-by-step approach for using its stock screener. I have used a sample set of stock picking criteria for this demonstration.

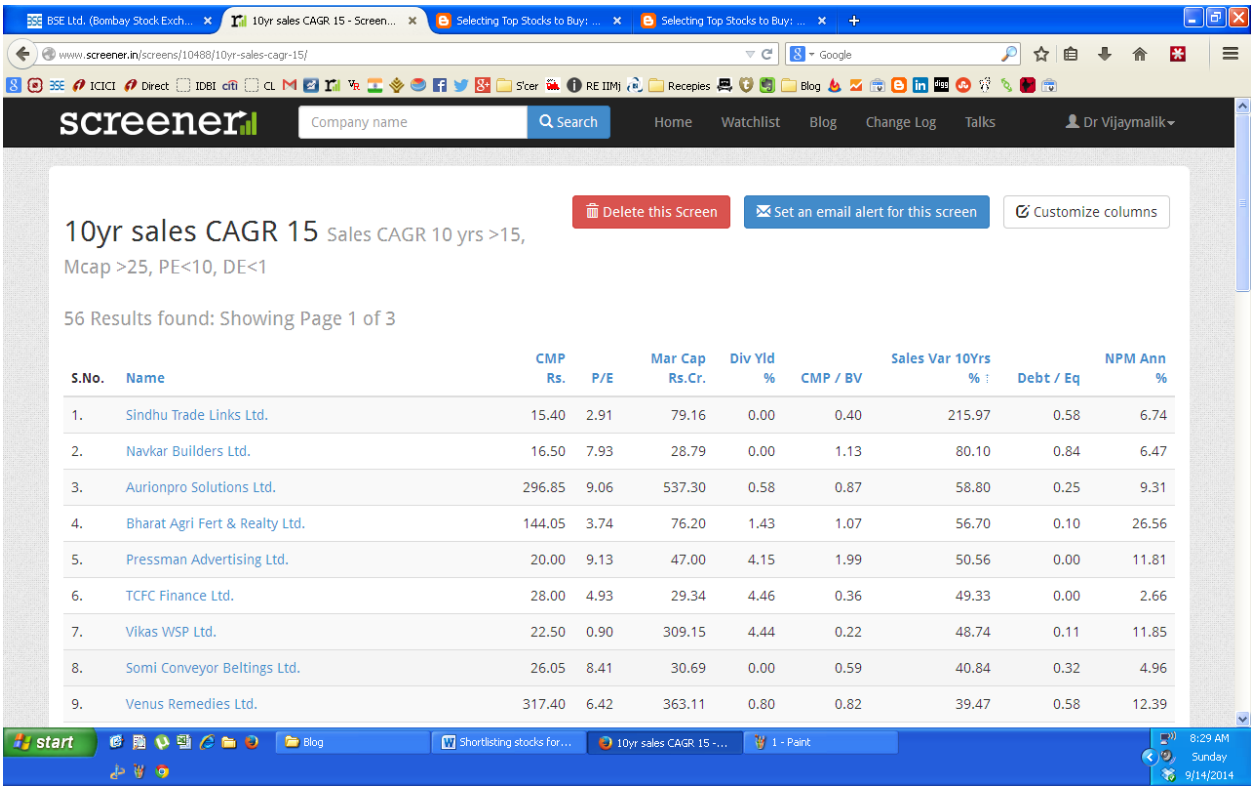


Copyright © Dr Vijay Malik. All Rights Reserved.

In the above screen, I have searched for companies where:

1. Sales have grown by a compounded annual growth rate (CAGR) of 15% for last 10 years.
2. Price to earnings ratio is less than 10
3. Debt to Equity ratio is less than 1
4. Cash generated from operation is positive and
5. Market capitalization is greater than ₹25 cr.

Once an investor clicks on "Run this screen", the website will provide her with a list of companies whose stocks meet the criteria specified above.



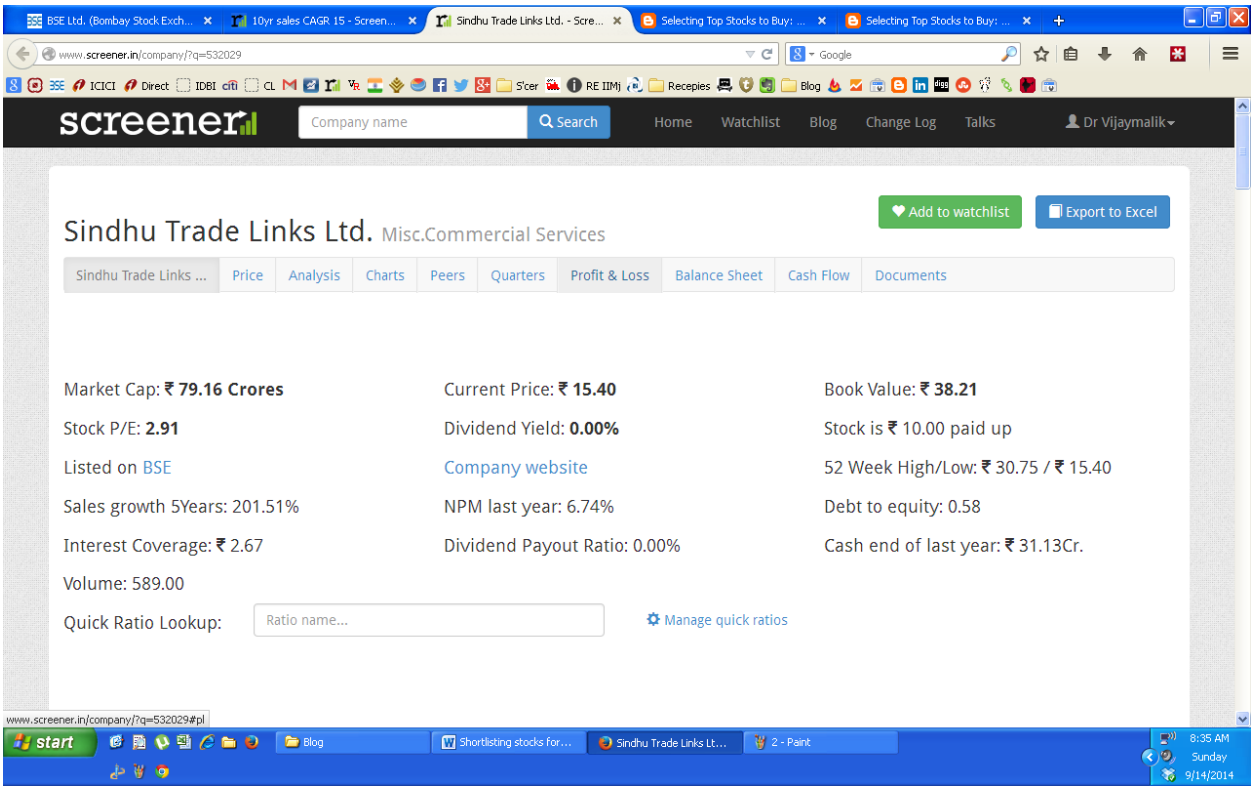
S.No.	Name	CMP Rs.	P/E	Mar Cap Rs.Cr.	Div Yld %	CMP / BV	Sales Var 10Yrs %	Debt / Eq	NPM Ann %
1.	Sindhu Trade Links Ltd.	15.40	2.91	79.16	0.00	0.40	215.97	0.58	6.74
2.	Navkar Builders Ltd.	16.50	7.93	28.79	0.00	1.13	80.10	0.84	6.47
3.	Aurionpro Solutions Ltd.	296.85	9.06	537.30	0.58	0.87	58.80	0.25	9.31
4.	Bharat Agri Fert & Realty Ltd.	144.05	3.74	76.20	1.43	1.07	56.70	0.10	26.56
5.	Pressman Advertising Ltd.	20.00	9.13	47.00	4.15	1.99	50.56	0.00	11.81
6.	TCFC Finance Ltd.	28.00	4.93	29.34	4.46	0.36	49.33	0.00	2.66
7.	Vikas WSP Ltd.	22.50	0.90	309.15	4.44	0.22	48.74	0.11	11.85
8.	Somi Conveyor Beltings Ltd.	26.05	8.41	30.69	0.00	0.59	40.84	0.32	4.96
9.	Venus Remedies Ltd.	317.40	6.42	363.11	0.80	0.82	39.47	0.58	12.39

One can see that there are 56 companies out of the total 5,471 companies, which meet the sample shortlisting criteria. Now an investor can focus her time & effort on analysis of these 56 companies and ignore the balance 5,415 companies.

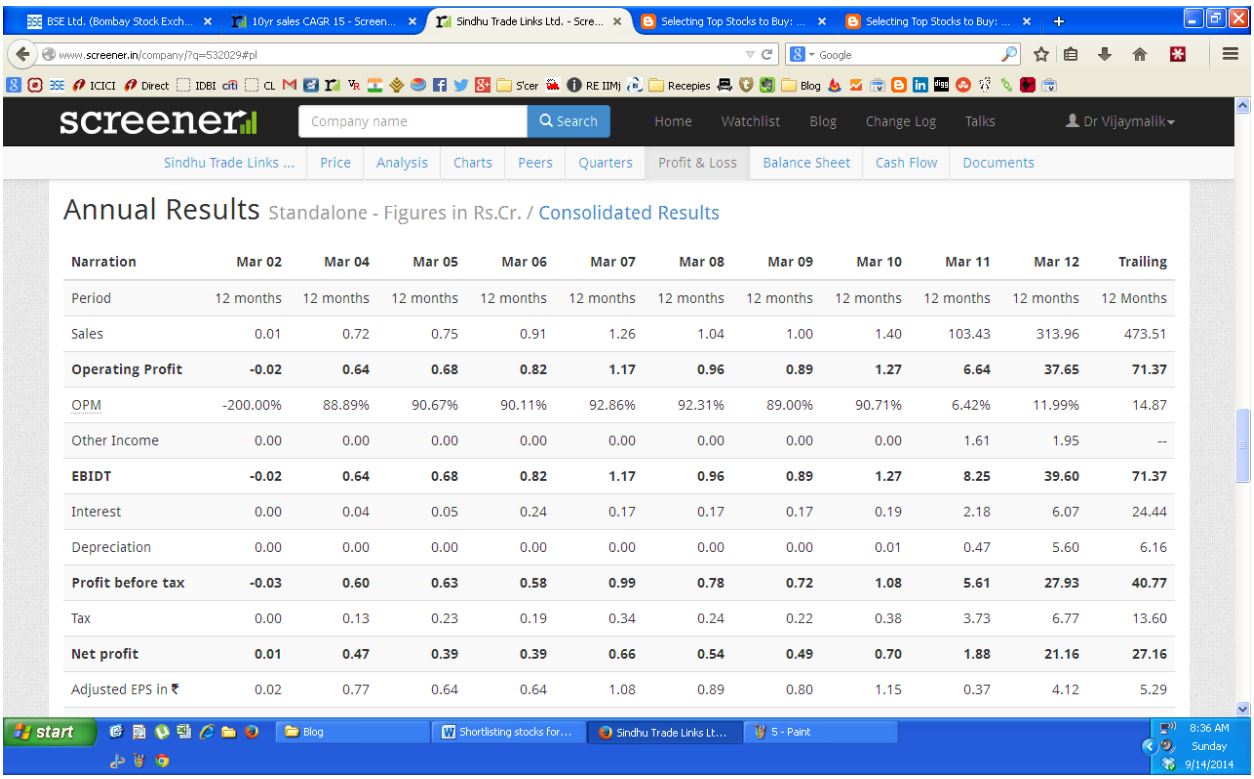
An investor can click on each company's name to find out more details about each company in the search results.

Copyright © Dr Vijay Malik. All Rights Reserved.

Company Snapshot:



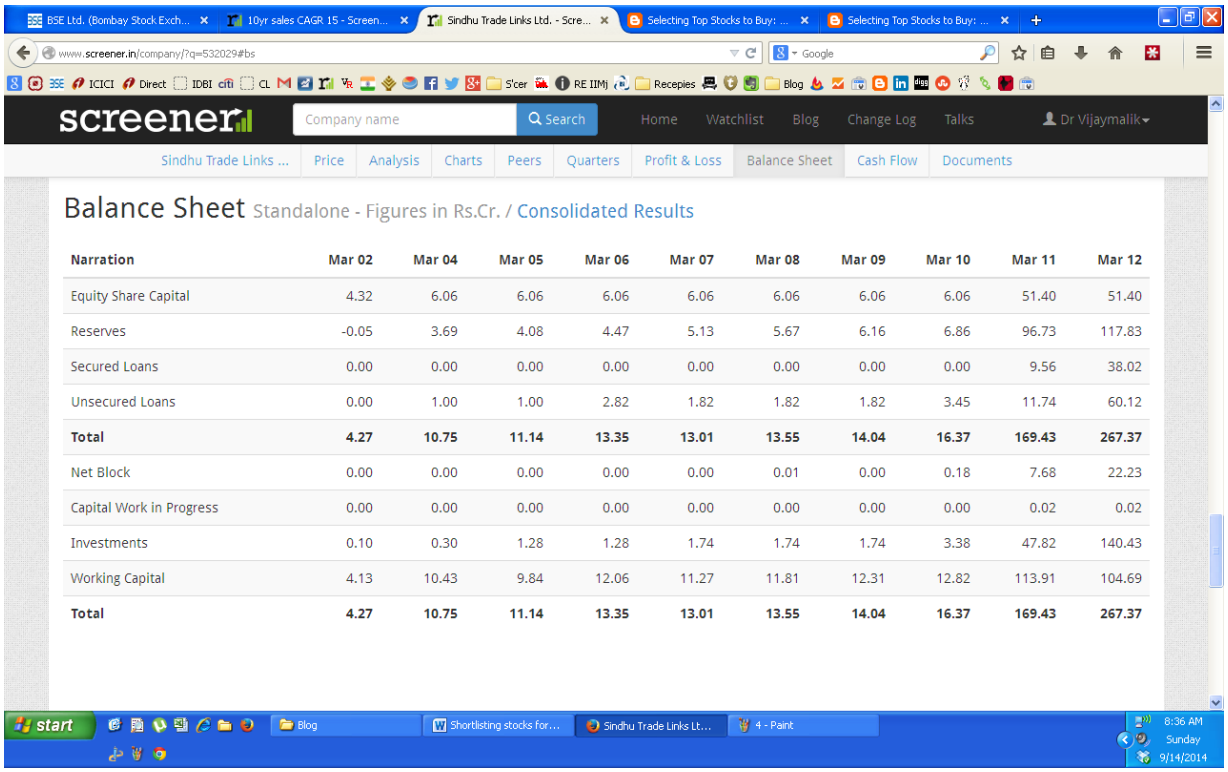
Profit & Loss details for last 10 years:



Narration	Mar 02	Mar 04	Mar 05	Mar 06	Mar 07	Mar 08	Mar 09	Mar 10	Mar 11	Mar 12	Trailing
Period	12 months	12 months	12 months	12 months	12 months	12 months	12 months	12 months	12 months	12 months	12 Months
Sales	0.01	0.72	0.75	0.91	1.26	1.04	1.00	1.40	103.43	313.96	473.51
Operating Profit	**-0.02**	**0.64**	**0.68**	**0.82**	**1.17**	**0.96**	**0.89**	**1.27**	**6.64**	**37.65**	**71.37**
OPM	-200.00%	88.89%	90.67%	90.11%	92.86%	92.31%	89.00%	90.71%	6.42%	11.99%	14.87
Other Income	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	1.61	1.95	--
EBIDT	**-0.02**	**0.64**	**0.68**	**0.82**	**1.17**	**0.96**	**0.89**	**1.27**	**8.25**	**39.60**	**71.37**
Interest	0.00	0.04	0.05	0.24	0.17	0.17	0.17	0.19	2.18	6.07	24.44
Depreciation	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.01	0.47	5.60	6.16
Profit before tax	**-0.03**	**0.60**	**0.63**	**0.58**	**0.99**	**0.78**	**0.72**	**1.08**	**5.61**	**27.93**	**40.77**
Tax	0.00	0.13	0.23	0.19	0.34	0.24	0.22	0.38	3.73	6.77	13.60
Net profit	**0.01**	**0.47**	**0.39**	**0.39**	**0.66**	**0.54**	**0.49**	**0.70**	**1.88**	**21.16**	**27.16**
Adjusted EPS in ₹	0.02	0.77	0.64	0.64	1.08	0.89	0.80	1.15	0.37	4.12	5.29

Copyright © Dr Vijay Malik. All Rights Reserved.

Balance Sheet details for last 10 years:



Balance Sheet Standalone - Figures in Rs.Cr. / Consolidated Results

Narration	Mar 02	Mar 04	Mar 05	Mar 06	Mar 07	Mar 08	Mar 09	Mar 10	Mar 11	Mar 12
Equity Share Capital	4.32	6.06	6.06	6.06	6.06	6.06	6.06	6.06	51.40	51.40
Reserves	-0.05	3.69	4.08	4.47	5.13	5.67	6.16	6.86	96.73	117.83
Secured Loans	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	9.56	38.02
Unsecured Loans	0.00	1.00	1.00	2.82	1.82	1.82	1.82	3.45	11.74	60.12
Total	**4.27**	**10.75**	**11.14**	**13.35**	**13.01**	**13.55**	**14.04**	**16.37**	**169.43**	**267.37**
Net Block	0.00	0.00	0.00	0.00	0.00	0.01	0.00	0.18	7.68	22.23
Capital Work in Progress	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.02	0.02
Investments	0.10	0.30	1.28	1.28	1.74	1.74	1.74	3.38	47.82	140.43
Working Capital	4.13	10.43	9.84	12.06	11.27	11.81	12.31	12.82	113.91	104.69
Total	**4.27**	**10.75**	**11.14**	**13.35**	**13.01**	**13.55**	**14.04**	**16.37**	**169.43**	**267.37**

Cash flows details for last 10 years:



Cash Flow Standalone - Figures in Rs.Cr. / Consolidated Results

Narration	Mar 01	Mar 02	Mar 04	Mar 05	Mar 06	Mar 07	Mar 08	Mar 09	Mar 11	Mar 12
Cash from Operating Activity	**-0.03**	**0.41**	**-0.62**	**0.70**	**-1.49**	**1.26**	**1.09**	**-1.15**	**-83.09**	**66.53**
Cash from Investing Activity	0.09	-1.73	-0.30	-0.98	0.00	-0.45	-0.01	0.00	-55.90	-112.49
Cash from Financing Activity	0.00	2.37	1.00	0.00	1.82	-1.00	0.00	0.00	145.37	70.77
Net Cash Flow	**0.06**	**1.11**	**0.09**	**-0.28**	**0.33**	**-0.20**	**1.08**	**-1.15**	**6.38**	**24.81**

Recent Announcements:

- Financial Results for June 30, 2014 Aug. 14, 2014
- Shareholding Pattern For June 30, 2014 July 21, 2014
- Financial Results for March 31, 2014 (Audited) (Standalone) June 5, 2014

Annual Reports:

Financial Year - 2012 from BSE
Financial Year - 2011 from BSE
Financial Year - 2010 from BSE

Credit Ratings:

CRISIL BBB-(Stable) from crisil
CRISIL BBB-(Stable) from crisil
BWR BBB -(Stable) from brickworks

Copyright © Dr Vijay Malik. All Rights Reserved.

Thus, we can see that now a day, some very useful tools for information on stocks & companies are available to every investor. Stock selection is no longer a field reserved for only a few big investors. Any common investor, including you and me, can search for great companies and analyze them in detail.

In the current era, to become a successful investor, all we need is the right approach towards stock investing, some amount of hard work and an internet connection!

Copyright © Dr Vijay Malik. All Rights Reserved.

5) How to conduct Detailed Analysis of a Company

The current chapter aims to provide a framework for the detailed analysis of any stock before we delve deep into the threadbare analysis of any company for making investment decision about its stock.

It is said that there is no single path to success. Similarly, there is no single defined way of analysis to find a good company. Investors can analyze a company in many different ways depending upon their stock picking approach.

Technical Analysis:

An investor, who follows technical analysis, would study past stock price & volume data and various indicators derived from this data on charting software. Her analysis would focus on finding stocks whose charts show a defined pattern where she can predict future price and make buying/short-selling decisions about the stock accordingly. Her aim is to find a company whose stock is set for a rise/fall in near future.

Fundamental Analysis:

Growth Investing Approach:

An investor, who follows growth investing approach of fundamental analysis, would like to study a company like an entrepreneur. She would focus on a company's product, target market, suppliers, customers, management, financials etc. She would want to know the strength and sustainability of the business of a company. Her aim is to find a company that is going to increase its earnings in future. Her belief is that when a company increases its earnings, the demand for its stock will increase. Increasing demand for the stock would lead to increase in the price of the stock of the company. The investor would gain from an increase in stock price as well as dividends to be received from the company in future.

She focuses on finding companies, which have a sustainable business advantage, which can last for decades so that she need not shift out of the stock of a company every few days. She thinks like the owner of the company and remains invested in it for decades.

Value Investing Approach:

An investor, who follows the value-investing approach of fundamental analysis, would focus on finding fair value of the company. She would focus on the assets and earning potential of the companies. She tries to find out the companies whose stocks are priced at a discount to the fair value. The deeper the discount she can find, the better it is!

My Approach to Stock Investing:

I follow a bottom-up fundamental analysis approach in which I look for high growth companies whose stocks are available at attractive prices. I focus on finding companies, which have grown their sales & profits at a good pace in past and have the business strength to keep growing in future. I look for companies, which have low debt as it offers safety & a potential future route to raise funds. I try to find out companies whose stock is selling at low valuations so that it can offer a huge margin of safety. I believe that if earnings of a company increase then stock price would also rise. However, no one knows the timing of stock price

Copyright © Dr Vijay Malik. All Rights Reserved.

rise and this is the uncertainty/risk, which requires the patience of staying put with good stocks. The patience of staying invested in good companies is rewarded handsomely.

Detailed Analysis of a Company:

I divide the analysis of any company in four sections: Financial Analysis, Business & Industry Analysis, Valuation Analysis and Management Analysis.

There is no particular order in which an investor should approach these sections. One may start from financial analysis or management analysis. However, all the four sections are essential and none can be left unanalyzed.

A) Financial Analysis:

The aim of financial analysis is to analyse the amount of income it earns in sales, the amount of profits it is able to retain for shareholders after factoring in all expenses & taxes and the growth in sales & profits over past. Financial analysis also focuses on the sources of funds, which a company has used for creating its assets. It also involves the analysis of the amount of cash it generates from its operations and utilization of this cash, whether for investments or debt repayment etc. The aim is to find companies, which have a healthy financial position that can offer the potential for future growth.

The financial analysis involves the reading of annual reports of a company. It comprises of a detailed analysis of three main financial statements:

Profit & Loss Statement (P/L):

This section of financials provides details of total income that a company has earned in a year (also called Topline). It provides details of all the expenses the company has incurred to earn the topline. It also provides details of the taxes the company paid to the govt. authorities. The part of topline, which remains after meeting all the expenses and taxes, is called net profit or bottom-line.

I focus on companies which earn a lot of money (topline), use minimum amount to earn that money, pay due amount of taxes on its profits and increase the sales (topline) & earnings (bottom-line) year on year.

Balance Sheet (B/S):

This section of financials provides details of all the assets and liabilities of a company at the last date of the financial year. In the Indian context, it provides details at March 31 of any given year.

Liabilities are the sources of funds, which a company has utilized to purchase all the assets it owns. The usual sources are shareholder's own money (equity), retained earnings (profits earned but not distributed to shareholders) and debt (borrowings from banks and other sources)

Assets provide details of utilization of the money raised under liabilities. Assets comprise of fixed assets, investments and current assets. Fixed assets are permanent fixtures that generate revenue year after year for the company e.g. plant & machinery. Investments reflect the money that the company has invested in

Copyright © Dr Vijay Malik. All Rights Reserved.

different other companies, joint venture, subsidiaries etc. which are expected to earn money for company's shareholders. Current assets are usually consumed within next one year. Current assets include inventory that gets consumed and gets sold as finished product within a year, cash & similar investments kept by the company to meet day to day requirements and money due from customers (account receivables or debtors) and loans given to different parties that are expected to be received back within a year).

I focus on companies, which use the minimum amount of debt and create assets that keep on generating revenue for the company year after year without the need of frequent expenses to maintain these assets.

Cash Flow Statement:

This section provides details of the cash that a company has generated in last financial year from operation (cash-flow from operations or CFO). This section also includes details of cash used in making investments or received from selling investments (cash-flow from investing activities or CFI) and cash raised from financial institutions as borrowings or repaid to them during the last year (cash-flow from financing activities or CFF)

I focus on companies, which generate a good amount of cash flow from operations that can take care of their requirements of investment (CFI) and repayment of debt (CFF). If a company generates so much cash that after taking care of CFI and CFF, it still has a surplus left, it is a dream company and I buy as many stocks as I can (Shop till you drop!!).

Some knowledge of accounting can be a good advantage to do the financial analysis of a company. However, it is not required to be a master of accounting for stock investing. An investor who does not have a background in finance & accounting, but is willing to put in the effort needed to read the annual reports, will get the required knowledge of accounting during analysis. Therefore, I firmly believe that anyone irrespective of educational background can be a great stock picker.

B) Business & Industry Analysis:

I am a bottom-up fundamental investor. Therefore, I give more weight to the business qualities of a company than the industry it operates in. In fact, I follow Peter Lynch when he says that:

> Moderately fast growers (20 to 25 percent) in non-growth industries are ideal investments.

I try to find a company, which has shown good growth of sales & profits in past years. I consider such a company a good investment candidate irrespective of its industry. I try to focus on the performance of the company in comparison to its industry peers and try to find out if it has any business advantage over its peers.

Warren Buffett calls this business advantage "Moat". Many investors visit company stores, manufacturing plants, meet its customers, suppliers, and vendors etc. to find out the moat of a company. If time permits, an investor should do these activities, as these will give her information that the stock markets are yet to come across. However, many individual investors including me, have limited time left after the daytime job and therefore, cannot go to the market and meet different stakeholders of the company. Therefore, I use

Copyright © Dr Vijay Malik. All Rights Reserved.

consistent growth in sales in past as a substitute for market research and try to analyse it further. If I find a company has been growing at a rate of 20% year on year for past 10 years whereas its peers are growing only at 10% or less, I analyse it further. If 10 year back it had a single manufacturing plant and it has increased its capacity to 5-6 plants now where it is able to sell the entire production of these 5-6 plants, then the company is bound to have a sustainable advantage "Moat".

The moat can be discovered after doing market research if time permits but detailed analysis of past growth, other financial parameters like higher profit margins as compared to industry peers, can easily provide an investor with the indication of a sustainable business advantage.

We have the advantage of witnessing one of the most severe recessions ever since 2008. It is blessing in disguise as we can analyse the performance of any company during this recession and see how its business fared. If it was able to show sustained growth during 2008-2014, it is expected to have a good business advantage, which has sustained it in bad times and it might help it to grow its business further when good times (Achche Din) arrive!

C) Management Analysis:

Management is the most important parameters and I give it more importance than any other parameter. I want to invest in companies, which are run by honest people whom I can trust with my personal money. A crook manager will always find more than one way to cheat shareholders. I avoid companies where I see even the slightest sign of compromise of integrity.

Management analysis is mainly a subjective exercise, however; it contains some objective parameters as well. We should read the profile of the promoters, search about their credentials, any issues, penalties, regulatory actions etc. about them from public sources (e.g. google). We should do similar checks about independent directors as well. Once we are convinced that there is nothing to question their character & integrity then we should move ahead with further analysis.

As an investor should stay invested in stocks of a company for decades, management succession plans become a vital factor. As in India, most businesses run in families, we should see whether the key promoter has introduced her next generation into business. We should read about the next generation. We should find out their education credentials and the amount of experience they have already had working under the guidance of their parents.

Certain parameters like salary being paid to children of the key promoter are a good indicator of values being instilled by promoters in her children. I was amazed to find a company, which made about ₹50 cr. (₹500 million) in profits but the promoter paid only ₹10,000/- (₹0.01 million) per month to his daughter who had joined the board of directors. Today, I am heavily invested in the stocks of that company.

For any further information, we should always call the company secretary or investor's relations officer of the company before we commit our hard-earned money to any stock.

Many objective parameters can provide indications about investor-friendliness of the promoters & management:

Copyright © Dr Vijay Malik. All Rights Reserved.

A comparative analysis of salary drawn by promoters and the profits of a company is a good parameter. The promoter should not have a history of seeking an increase in remuneration when the profits of the company declined in past.

Successful execution of increase of production capacity, especially by green field plants, is a good indicator of competent management. It is very good if the capacity addition has been done without facing any delays.

A company that has consistently increased its dividend payout with an increase in profits in past usually has a good management.

Purchase of shares of a company by its promoters is a sign of a good promoter. However, selling of shares by promoters is not necessarily negative. Company's shares are usually promoter's biggest asset and they usually sell it whenever any cash requirement arises in personal life.

D) Valuation Analysis:

There are many parameters, which need to be studied to analyse the valuation levels of a company. Some of the important parameters are:

Price to Earnings ratio (P/E):

I believe that P/E is the single most important parameter to analyse whether the stock of any company is overvalued or undervalued at any point in time. It is calculated by dividing the current market price (CMP) of a stock by profit/earnings per share (EPS). It represents the price an investor pays to buy ₹1 of earnings. I prefer the companies, which are available at low P/E ratio, preferably less than 10.

Price to Book Value ratio (P/B):

It is calculated by dividing the CMP of a stock with the book value (shareholder's equity + retained earnings) per share. It represents the price an investor pays for ₹1 of net assets after settling all outside liabilities of a company. I find P/B ratio irrelevant due to the usage of the historical cost of company's assets while calculating book value. The historical cost might not represent the current market value of company's assets. However, P/B ratio is very important for companies in the financial sector where most of the assets are cash assets and book value is a good indicator of the net worth of the company.

Benjamin Graham said that an investor should look for companies where P/E * P/B is < 22.5. However, I focus mainly on companies with P/E <10 while ignoring P/B ratio.

Every investor develops her own parameters as her investing experience grows and I believe that every reader of this blog would be able to find her favorite parameter as she keeps analyzing more and more companies.

Market Capitalization:

It represents the value of all the shares of a company and indicates the value for which the entire company can be bought at any point in time. Companies are divided into micro-cap, small-cap, mid-cap and large-cap based on their market capitalization. I prefer investing in companies, which are currently micro-cap or

Copyright © Dr Vijay Malik. All Rights Reserved.

small-caps as these companies represent the section of the economy, which can grow fast and become future large-caps.

There are many other parameters like return on equity (ROE), return on capital employed (ROCE), dividend yield etc. which are analysed by different investors to find out stocks which hold the potential for providing good returns in future. We would analyse many such factors in the subsequent chapters in this book, which focus on the valuation analysis.

In the current chapter, we discussed various aspects of the analysis of any company. An investor should analyse the companies from each of these angles: financial, business & industry, management and valuation before she invests her hard-earned money in any stock.

The investor should realize that her rejection rate of stocks would always be high as good companies selling at attractive prices are always difficult to find. However, finding one good stock each year is more than sufficient. 10 good stocks in one's lifetime can make one a billionaire. The investor should never be in a hurry. She should learn to be patient and should hold the impulse to buy a stock if she does not find a good stock.

The investor should have very strict stock selection criteria for adding stocks in her portfolio so that she can be confident that only right stocks are selected. Easy selection criteria will lead to many undesirable stocks in the portfolio, which will require selling soon after buying. This would lead to wastage of time and effort put in stock selection. The key is to find if the company would survive for next 25-30 years and whether the investor can visualize it being there after many decades. Economic cycles of upturn and downturn will be there. A good company can weather all of them and come out a winner.

Copyright © Dr Vijay Malik. All Rights Reserved.

6) Understanding the Annual Report of a Company

At the end of each financial year, every company is required by law to prepare a report for shareholders, which provides the details of the performance of the company over the year. This report is called annual report. The annual report is the single most important source of information for an investor. The importance of annual report to an investor is akin to alphabets for any language or periodic table for Chemistry.

The detailed analysis of any company starts with reading of the annual report of the company. I believe that if an investor does not read annual reports of companies, she would not be able to become a successful investor.

Sources for getting the annual report:

An individual investor can get annual reports of any company from multiple sources. These sources are free as well as paid sources.

Free Sources:

Free sources are sufficient for most of the requirements of any individual investor. Some of the common sources are:

A) Company Website > Investor Section:

This is the most common source and should be the first place to look for information about any company. Many companies provide annual reports for almost 10-12 years on their website. Below is the screenshot of investor's section on the website of Larsen & Toubro Ltd, which provides annual reports from 2002 onwards.

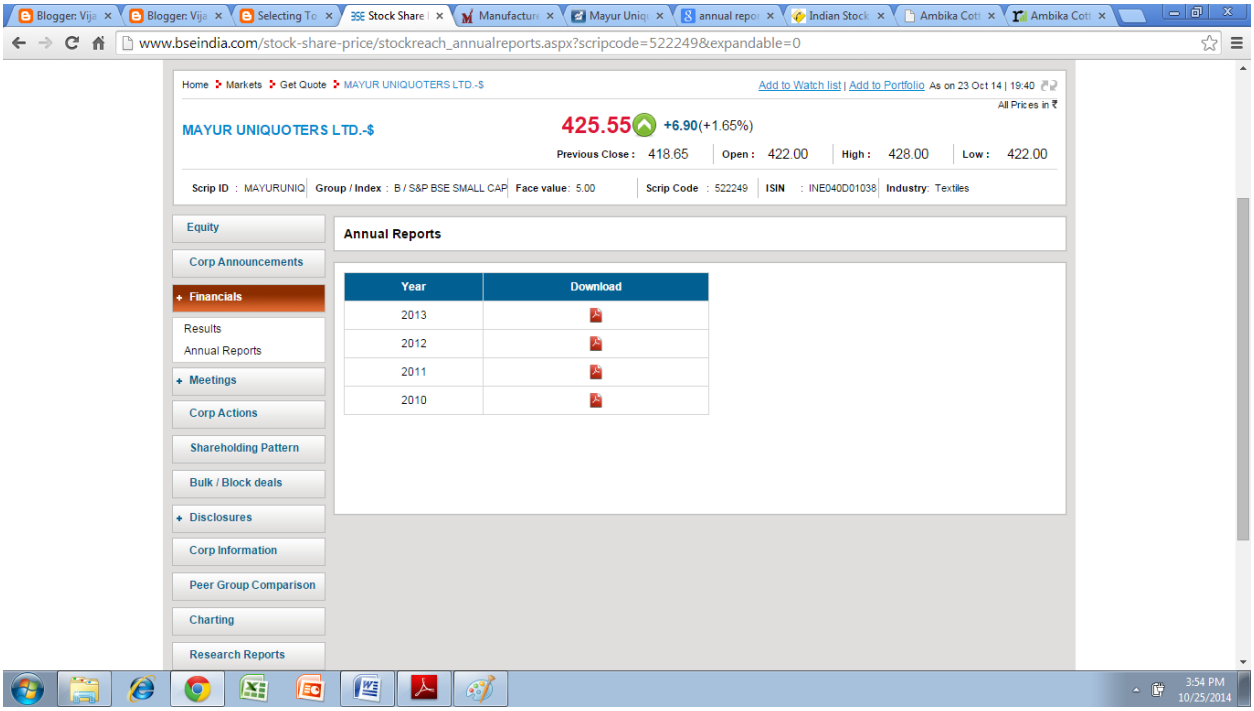
However, there are many companies, which do not publish annual reports on their websites. For example Mayur Uniquoters Ltd (MUL) does not have links for annual reports at its website.

Most of the companies, which lack annual reports on their websites, are small-cap and mid-cap companies, which are yet to have an investor friendly interface. As these companies grow in size, they start investing in public relations & investor-friendly initiatives and improve significantly in the dissemination of information. Therefore, the absence of annual reports on the website should not be seen negatively. It should be accepted merely as a phase in company's life cycle. There are many other public sources from where we can get the required information. Some of such sources are mentioned below.

B) Stock Exchange Websites:

Stock exchanges are an important source of information distribution for companies. Many stock exchanges around the world host much more information, financial and otherwise, about companies than mere press releases and corporate announcements. In India, Bombay Stock Exchange (BSE www.bseindia.com) is one such stock exchange, which provides annual reports (from 1997 onwards) as well as financial results of the companies listed on BSE:

Copyright © Dr Vijay Malik. All Rights Reserved.



As we can see above, the annual reports of MUL are available on the website of BSE. Therefore, an individual investor can get the annual reports of the companies that do not provide annual reports on their websites, from websites of stock exchanges.

C) Financial Websites:

Many financial websites also provide annual reports of companies. e.g. www.moneycontorl.com.

Paid Sources:

The sources mentioned above are free sources available to any investor. Free sources of financial information are sufficient for most of the requirement of individual investors. However, there are many paid sources as well that can provide the annual reports to investors. Some of such sources are:

- http://www.reportjunction.com/
- http://www.report.capitaline.com/

Understanding the Annual Report

The annual report provides a yearly account of the performance of a company. We should read the annual report of a company with same vigor be it when analyzing it for investment for the first time or when monitoring it as part of our portfolio. While analyzing companies for the first time investment, I prefer reading annual reports going back as far as possible, preferably for last 10 years or more.

Annual report contains financial as well as non-financial information about the company. Both financial and non-financial information are equally important for investors.

Copyright © Dr Vijay Malik. All Rights Reserved.

Non-financial Information:

A) Communications from Promoters and Senior Management:

The annual report is a yearly occasion when owners/managers communicate with the shareholders and inform them about the vision of the company, its performance during past year, its achievements, hurdles & challenges being faced, steps taken to overcome such hurdles, the status of past expansion plans & other projects undertaken by the company etc.

Many promoters take this opportunity very seriously and inform the shareholders about the company and their philosophy in such details that their communications become a collector's affair. Warren Buffett is one such person. His letters to shareholders of Berkshire Hathaway as part of the annual report are read by investors world over. I would suggest that every person who wishes to be a successful investor in the stock market should read all his letters.

The communication of a company's management to its shareholders is a very important source for judging the status of the company as well as the industry. In fact, whenever I want to know about the status of any industry, I read the annual report of any company belonging to that industry. One reading of management's communication and the Management Discussion & Analysis (MDA) section would give an investor an authentic brief snapshot about the industry and the company.

B) Directors' Report:

In this section, the directors as representatives of shareholders intimate them about the financial performance of the company during past year, the status of projects under implementation, major customers, status of conversion of new customers, other major initiatives taken by the company.

We should analyse the current performance of the company by comparing it with the outlook presented by directors in past years in the annual report. Special focus should be on the projects under implementation. We should check whether the company is able to finish projects on time and whether the company has abandoned projects midway.

I have provided below a snapshot of the director's report from the FY2013 annual report of MUL.

Copyright © Dr Vijay Malik. All Rights Reserved.

DIRECTORS' REPORT

To,
Dear Members,
Mayur Uniquoters Limited

Your Directors have pleasure in presenting the Twentieth Annual Report together with the audited accounts for the year ended on 31st March, 2013.

1. FINANCIAL PERFORMANCE

(Rs in Lacs)

Particulars	2012-13	2011-12
Total Income	38327.47	31909.37
Total Expenditure	**31301.52**	**26526.76**
PROFIT BEFORE INTEREST, DEPRECIATION AND TAX (PBIDT)	**7025.95**	**5382.61**
Less: Interest	91.05	77.06
Less: Depreciation	517.00	387.29
PROFIT BEFORE TAX (PBT)	**6417.90**	**4918.26**
Less: Provision of Taxation Including Deferred Tax	2055.35	1581.20
PROFIT AFTER TAX (PAT)	**4362.55**	**3337.06**
Add: Balance Brought Forward From Previous Year	**6907.50**	**4754.22**
Profit Available For Appropriation	**11270.05**	**8091.28**
APPROPRIATION:		
Transferred To General Reserve	437.00	333.71
Equity Dividend (including Proposed Dividend)	947.31	730.78
Corporate Tax on Dividend	156.60	119.29
Balance Carried To Balance Sheet	**9729.14**	**6907.50**

Previous year figures have been re-grouped and rearranged wherever considered necessary.

2. STATE OF COMPANY'S AFFAIRS

Currently in India, the national economy and marketplace is undergoing rapid changes and transformation. The volatility in the macroeconomic environment during the FY 13 continued to cast its shadow and most of the markets where Mayur operates, were impacted. Today the companies are operating in such a marketplace where the survival of the fittest is the law. Even in this environment, the Company recorded an exemplary financial performance. The major contributing factors for such all round performance across all the geographies and industry verticals was the Company's customer-centric approach and its ability to innovate customer specific products, focus on pricing, disciplined execution of complex projects and the rigor in following strong internal processes.

Changing economic scenario & business conditions, evolving consumer preferences, rapid technological innovations & adoption and globalization are driving Mayur to transform the manner in which they operate. Your Company is now focused on its core business objective i.e. growth, profitability and asset efficiency. FY 13 has been a year of challenges and stellar achievements. Mayur has shown resilience and has

C) Management Discussion & Analysis (MDA):

MDA is another important section where management informs the shareholders about the business environment being faced by the company. The management informs the shareholders about the industry

Copyright © Dr Vijay Malik. All Rights Reserved.

outlook, company outlook, opportunities, challenges, risks, updates on research & development, human resources etc. A snapshot of the MDA from the FY2013 annual report of MUL is provided:

MANAGEMENT DISCUSSION AND ANALYSIS

1. Economic Overview

The outlook for the world economy is improving at pale rate and does not seem much flourished. The economic environment during the FY 13 has been tough and the growth in India moderated for one more year. There were various Internal and external factors that played a vital role; the effect of the uncertainty and recessionary trends in the global economies were compounded by the complexity in the domestic environment. The GDP growth rate remained positive and relatively healthy despite all odds but currency volatility, concerns regarding the economic growth model, transitional imbalances and emerging focus on issues relating to corruption softened the sentiments.

FY 13. The economy is facing historically high current account deficit, high fiscal deficit, inflationary trends and deepening growth concerns with GDP growth rate for 2012 – 2013.

The global economy led by a fall in unemployment data and housing recovery in the US is expected to show some improvement in 2013. Indian economy is also expected to benefit from easing liquidity, lower interest rates, speed on policy reforms and hopefully normal monsoons. The presence of a large and young population, particularly the large middle class is expected to drive demand to ensure continued economic growth in India, which augur well for the long term prospects of the synthetic leather industry.

D) Details of Personnel in-Charge of running the Company:

The annual report provides details qualification of all the directors, key management people responsible for decisions of the company. It provides details of employees who are being paid in excess of ₹60 lakh (₹6.0 million) per annum in the annexure to director's report and disclosures. Below screenshot provides details of salaries of most of the directors including promoter-directors of MUL for FY2013:

ANNEXURE-I TO DIRECTORS' REPORT

Information as per section 217(2A) of the Companies Act, 1956, read with the Companies (Particulars of Employees) Rules, 1975 and forming part of the Directors' Report for the year ended 31st March, 2013.

Name of Employee	Designation	Qualification	Age (Yrs)	Date of Appoint-ment	Experience (Years)	Annual Gross Remuneration (Rs. in Lacs)	Last Employment	Last Designation
Mr. Suresh Kumar Poddar	Chairman & Managing Director & CEO	BSC	66	27/07/2000	43	114.80	Own Business	Entrepreneur
Mr. Manav Poddar	Executive Director	B Com (Hons.)	38	01/11/2002	18	85.18	Own Business	Entrepreneur
Mr. Arun Kumar Bagaria	Executive Director	B Com (Hons.) & MBA	40	30/06/2007	16	75.68	Own Business	Entrepreneur
Mr. Ramdas U Acharya	Senior Vice President (Technical)	MBA (Material & Production Management), MS in Chemical Engineering,	66	24/03/2011	32	131.24	Uniroyal Engineered Products Co	Vice President (R&D and Quality)

Copyright © Dr Vijay Malik. All Rights Reserved.

We get to know about the salary being drawn by most of the promoter directors in this section. We can analyze whether salary drawn is in line with the industry norms/profits of the company.

In case of a company, Ambika Cotton Mills Ltd (ACML), I was surprised to see that the salary being drawn by promoter-chairman & managing director (CMD) was ₹75 lakh (₹7.5 million) per annum and the salary of his daughter who was working as executive director was ₹1.5 lakh (₹0.15 million) per annum.

In FY2013, ACML had reported sales of ₹400 crore (₹4,000.0 million) and a net profit of ₹31 crore (₹310.0 million). Salary being drawn by the promoter's daughter was mere ₹12,500 per month, which is equal to any lowest level employee of any government organization in India. The screenshot from the annual report of ACML for FY2013 showing salaries of Mr. Chandran (promoter-CMD) and Ms. Bhavya (his daughter, executive director) is given below:

13. Disclosure

1. Materially Significant related party transactions that may have potential conflict with the interest of the company: The Company do not have any such transactions.
2. Details of remuneration for the year ended 31.03.2013

(a) Non executive directors

S.No.	Name of the Director	Sitting Fees (Rs.)
1.	Sri.K.N. Sreedharan	1,20,000
2.	Dr.K. Venkatachalam	1,20,000
3.	Sri.R. Soundararaja Perumal	1,20,000
4.	Sri.G.Udayakumar (Amount paid to IDBI Bank Limited)	30,000
	Total	3,90,000

(b) Chairman and Managing Director and Executive Director

Sl.No.	Name of the Director	Salary (Rs.)	Commission (Rs.)	Sitting Fees (Rs.)	Total (Rs.)
1.	Sri. P.V. Chandran	24,00,000	51,00,000	60,000	75,60,000
2.	Mrs. Bhavya Chandran	1,20,000	-	30,000	1,50,000

E) Report on Corporate Governance:

This section contains the details composition of the board of directors, quorum of various committees of the board, attendance record of various directors in different meetings, details of past and upcoming annual general meetings, information of listing on various exchanges, past dividend record, proposed dividend, stock market data, distribution of shares etc. It also contains details of registrar & transfer agent of the company.

F) Notice of Annual General Meeting (AGM):

This would contain the information about the upcoming AGM as well as different decisions that require shareholder's ascent by way of a vote. We get to know of salary hike sought by promoter managers, plans of taking further debt, new expansion projects, and entry of next generation of leaders in board positions etc. by the items listed to be voted in AGM.

Copyright © Dr Vijay Malik. All Rights Reserved.

Financial Information:

The annual report contains almost entire financial data that an investor needs to form her views about the company:

A) The Independent Auditor's Report:

The financial section starts with the report of an independent auditor in which an independent entity provides its views about the financial information presented in the annual report. Auditor's report comments on the key items like any deviation from the accepted accounting practices, any amounts that are not paid to government authorities, any default in payments to lenders, sufficiency of control systems to the size of the company, any frauds conducted by company or its employees, proper utilization of funds raised by company from lenders/IPOs etc.

Auditor's report gives you a snapshot of the authenticity of financial information that follows in the annual report.

B) Financial Statements:

These consist of three important sections: balance sheet, profit and loss statement and cash-flow statement. Financial statements of the current year are always shown in parallel to figures of the previous year so that performance of current year can be compared with immediately preceding year.

1) Balance Sheet:

This section of financials provides details of all the assets and liabilities of a company at the last date of the financial year. Liabilities are the sources of funds, which a company has utilized to purchase all the assets it owns. The balance sheet of MUL at March 31, 2013, is shown below:

Copyright © Dr Vijay Malik. All Rights Reserved.

BALANCE SHEET AS AT 31ST MARCH, 2013

(Rs. in Lacs)

PARTICULARS		Note No.	AS AT 31.03.2013	AS AT 31.03.2012
I	**EQUITY AND LIABILITIES**			
1	**Shareholders' Funds**			
a)	Share Capital	3	1,082.64	541.32
b)	Reserves and Surplus	4	10,764.08	8,046.76
c)	Money Received Against Share Warrants		-	-
2	**Share Application Money Pending Allotment**		-	-
3	**Non-Current Liabilities**			
a)	Long-Term Borrowings	5	459.24	292.16
b)	Deferred Tax Liabilities (Net)	6	355.36	302.32
c)	Other Long-Term Liabilities		-	-
d)	Long-Term Provisions	7	6.13	12.57
4	**Current Liabilities**			
a)	Short-Term Borrowings	8	1,640.15	-
b)	Trade Payables	9	4,738.43	4,674.20
c)	Other Current Liabilities	10	1,705.70	1,583.02
d)	Short-Term Provisions	11	597.47	397.81
	TOTAL		**21,349.20**	**15,850.16**
II	**ASSETS**			
1	**Non-Current Assets**			
a)	Fixed Assets	12		
i)	Tangible Assets		5,466.74	4,509.17
ii)	Intangible Assets		-	-
iii)	Capital Work-in-Progress		1,890.71	397.76
iv)	Intangible Assets Under Development		-	-
b)	Non-Current Investments	13	6.57	6.57
c)	Deferred Tax Assets (Net)		-	-
d)	Long-Term Loans and Advances	14	365.09	158.93
e)	Other Non-Current Assets	15	109.64	59.99
2	**Current Assets**			
a)	Current Investments	16	1,358.90	1,165.14
b)	Inventories	17	4,423.37	3,070.66
c)	Trade Receivables	18	5,645.07	4,059.85
d)	Cash and Bank Balances	19	1,065.12	1,903.80
e)	Short-Term Loans and Advances	20	678.88	336.22
f)	Other Current Assets	21	339.11	182.07
	TOTAL		**21,349.20**	**15,850.16**

We can see the comparative position of MUL at March 31, 2013, & March 31, 2012, and observe the way the balance sheet size has increased from ₹15,850.16 lakh (₹1.58 billion) to ₹21,349.20 lakhs (₹2.13 billion). Almost half of the increase of ₹5,499.04 lakhs (₹0.54 billion) has been contributed by the increase in reserves & surplus by ₹2,700 lakhs (₹0.27 billion). This is a sign of healthy growth by a company.

2) Profit & Loss (P/L) Statement:

This section of financials provides details of total sales that a company has achieved in a year and all the expenses the company has incurred to achieve these sales. The balance after expenses and taxes constitutes the net profit for the shareholders. Given below is the P/L statement of MUL for FY2013:

Copyright © Dr Vijay Malik. All Rights Reserved.

PROFIT & LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH, 2013

(Rs. in Lacs)

	PARTICULARS	Note No.	Year Ended 31.03.2013	Year Ended 31.03.2012
I	Revenue from Operations(Gross)	25	41,693.35	34,484.47
	Less: Excise Duty		3,639.45	2,745.42
	Revenue from Operations(Net)		38,053.90	31,739.05
II	Other Income	26	273.57	170.32
III	**Total Revenue (I+II)**		**38,327.47**	**31,909.37**
IV	EXPENSES			
	Cost of Materials Consumed	27	28,088.38	23,720.87
	Purchase of Stock-in-Trade		-	-
	Change in Inventories of Finished Goods, Work-in-Progress and Stock-in-Trade	28	(600.94)	(301.43)
	Employee Benefit Expenses	29	1,232.91	1,053.33
	Finance Costs	30	243.51	196.41
	Depreciation & Amortization Expenses	31	517.00	387.29
	Other Expenses	32	2,428.71	1,934.64
	Total Expenses		**31,909.57**	**26,991.11**
V	Profit Before Exceptional and Extra Ordinary Items and Tax (III-IV)		6,417.90	4,918.26
VI	Exceptional Items			-
VII	Profit Before Extraordinary Items and Tax(V-VI)		6,417.90	4,918.26
VIII	Extraordinary Items		-	-
IX	**Profit Before Tax (VII-VIII)**		**6,417.90**	**4,918.26**
X	**Tax Expenses**			
	Current Tax	33	2,002.32	1,476.73
	Deferred Tax		53.03	104.47
XI	**Profit/(Loss) for the Period From Continuing Operations (IX-X)**		**4,362.55**	**3,337.06**
XII	Profit/(Loss) From Discontinuing Operations		-	-
XIII	Tax Expenses of Discontinuing Operations		-	-
XIV	Profit/(Loss) From Discontinuing Operations (After Tax) (XII-XIII)		-	-
XV	**Profit/(Loss) for the period (XI+XIV)**		**4,362.55**	**3,337.06**
XVI	Earning per Equity Share of Face Value of Rs.10/- each	34		
1	Basic (in Rs.)		40.30	30.82
2	Diluted (in Rs.)		40.30	30.82

We can see that total revenue has grown by 20% from ₹31,909.37 lakh (₹3.19 billion) in FY2012 to ₹38,327.47 lakh (₹3.83 billion) in FY2013. Such revenue growth is very good. On top of it, we can see that in the same period net profit has grown by 30% from ₹3,337.06 lakh (₹0.33 billion) in FY2012 to ₹4,362.55 lakh (₹0.44 billion) in FY2013. This higher growth in net profit is an indication of improvement in operating efficiency of the company.

3) Cash-Flow Statement:

This section provides details of the cash that a company has generated in last financial year from operation (cash-flow from operations or CFO). This section also includes details of cash used in making investments or received from selling investments (cash-flow from investing activities or CFI) and cash raised from financial institutions as borrowings or repaid to them during the last year (cash-flow from financing activities or CFF). Given below is the cash-flow statement of MUL for FY2013:

Copyright © Dr Vijay Malik. All Rights Reserved.

CASH FLOW STATEMENT FOR THE YEAR ENDED 31st MARCH, 2013

(Rs. in Lacs.)

		Year Ended 31.03.2013	Year Ended 31.03.2012
A.	**CASH FLOW FROM OPERATING ACTIVITIES**		
	Net Profit before Tax	6,417.90	4,918.26
	Depreciation & Amortisation	517.00	387.29
	Interest Income (Net)	(36.22)	(22.68)
	Loss from Sale of Fixed Assets	7.38	3.85
	Profit on Sale of Investment	(1.91)	-
	Dividend Received	(117.81)	(31.89)
	Operating Profit before Working Capital Changes	**6,786.34**	**5,254.83**
	Trade and Other Receivable	(1,585.23)	(900.55)
	Inventories	(1,352.71)	(1,615.28)
	Trade and other Payables	643.43	1,910.95
	Loans & Advance and Other Current/Non-Current Assets	168.53	(309.10)
	Cash Generated from operation	**4,660.36**	**4,340.85**
	Taxes paid (Net of refunds)	(1,936.82)	(1,416.93)
	Net Cash from Operating Activities	**2,723.54**	**2,923.92**
B.	**CASH FLOW FROM INVESTING ACTIVITIES**		
	Purchase / Acquisition of fixed assets	(3,660.88)	(1,271.75)
	Sale of Fixed Assets	12.00	2.73
	Purchase of Investments (Net)	(191.86)	(1,165.14)
	Interest Income	136.67	90.72
	Dividend Income	117.81	31.89
	Net cash used in Investing Activities	**(3,586.26)**	**(2,311.55)**
C.	**CASH FLOW FROM FINANCING ACTIVITIES**		
	Proceeds / Repayment of borrowings	1,807.24	(229.23)
	Interest Paid	(85.08)	(77.78)
	Dividend Paid	(819.35)	(687.25)
	Dividend Distribution Tax Paid	(136.11)	(115.83)
	Net cash from Financing Activities	**766.70**	**(1,110.09)**
	Net Increase / (Decrease) in Cash & Cash Equivalents	(96.02)	(497.72)
	Opening Balance of Cash & Cash Equivalents	650.78	1,148.50
	Closing Balance of Cash & Cash Equivalents	**554.76**	**650.78**

We can see that in FY2013, MUL generated ₹2,723.54 lakh (₹0.27 billion) of cash from operations and raised ₹766.70 lakh (₹0.07 billion) of cash from financing and used it for investing ₹3,586.26 lakh (₹0.35 billion) in assets of the company. Thus, we can observe that MUL has funded most of its investments in FY2013 from its operations (aka internal accruals), which is a sign of healthy growth.

C) Schedules/Notes to Financial Statements:

Schedules contain the detailed breakup of numbers shown in financial statements. They are an integral part of financial statements and are studied along with financial statements to get a better understanding of financial statements. For example, if we want to see the details of long-term borrowings in the balance sheet of MUL shown above, we should refer to note/schedule no.5 of the annual report of MUL, for more details:

Copyright © Dr Vijay Malik. All Rights Reserved.

5.Long-Term Borrowings

Secured		
Term Loans:		
From Banks:		
Andhra Bank-Account No.026930100001796	6.69	10.33
Terms of Repayment : Repayable in 28 equal quarterly installments beginning from 02.06.2009		
Canara Bank-Account No.0362773000013	140.50	176.50
Terms of Repayment : Repayable in 85 equal monthly installments beginning from 28.02.2011		
Canara Bank-Account No.0362773000010	11.90	15.56
Terms of Repayment : Repayable in 90 equal monthly installments beginning from 30.12.2009		
IDBI Bank Ltd-Account No.142673200000639	52.27	89.77
Terms of Repayment : Repayable in 20 equal quarterly installments beginning from 01.10.2010		

Nature of Security

Term Loan from banks are secured against mortgage of Land & Building situated at Village-Jaitpura,Jaipur and first charge on movable and immovable assets both present and future situated at Village-Jaitpura,Jaipur with specific first charge of respective bank on fixed assets financed by them.The term loans are further secured by hypothecation of Raw material ,Work-in-Process and finished goods and other current assets of the company on pari -passu basis.

Thus we get to know the details of the lenders, their respective loan amounts, repayment schedules and the security offered for different loans availed by the company from its lenders.

If we want to see whether MUL has invested in a new plant/assets during the year, then we can see its details in schedule/note on fixed assets:

12. FIXED ASSETS

(Rs. in Lacs)

NAME OF ASSETS	GROSS BLOCK				DEPRECIATION				NET BLOCK	
	AS AT 01.04.12	ADDITIONS DURING THE YEAR	DEDUCTIONS DURING THE YEAR	AS AT 31.03.13	AS AT 01.04.12	FOR THE YEAR	ADJUSTMENT	AS AT 31.03.13	AS AT 31.03.13	AS AT 31.03.12
A) TANGIBLE ASSETS										
OWN ASSETS:										
FREE HOLD LAND & SITE	448.46	5.45	-	453.91	-	-	-	-	453.91	448.46
DEVELOPMENT										
BUILDING & PREMISES	1,120.48	595.22	-	1,715.70	209.41	36.71	-	246.12	1,469.58	911.07
PLANT & EQUIPMENT	3,135.49	602.65	-	3,738.14	1,129.96	324.83	-	1,454.79	2,283.35	2,005.53
(IMPORTED)										
PLANT & EQUIPMENT	1,284.91	162.33	10.24	1,437.00	530.52	97.83	4.08	624.27	812.73	754.39
(INDIGENOUS)										
FURNITURE & FIXTURES	249.92	26.46	0.10	276.28	93.78	17.85	0.05	111.58	164.70	156.14
VEHICLES	191.31	53.02	24.25	220.08	43.86	20.20	11.62	52.44	167.64	147.45
OFFICE EQUIPMENTS	66.35	17.58	2.35	81.58	28.02	3.63	1.82	29.83	51.75	38.33
COMPUTERS & PERIPHERALS	110.38	31.23	-	141.61	62.58	15.95	-	78.53	63.08	47.80
TOTAL	**6,607.30**	**1,493.94**	**36.94**	**8,064.30**	**2,098.13**	**517.00**	**17.57**	**2,597.56**	**5,466.74**	**4,509.17**
PREVIOUS YEAR	4,847.83	1,772.80	13.33	**6,607.30**	1,717.58	387.29	6.74	2,098.13	4,509.17	3,130.25

We can see that the company has invested ₹1,493.94 lakh (₹149.3 million) in current year, which was mainly invested in building & premises and plant & equipment. It indicates that the company is probably

Copyright © Dr Vijay Malik. All Rights Reserved.

investing in a new manufacturing unit. If we see the figures for previous year in the last row, then we realize that last year the company had invested ₹1,772.80 lakh (₹177.2 million) in its assets. This gives an investor an indication that the company is in the expansion phase and continuously investing in assets.

Schedules/Notes are very important and should be studied with patience and due care. The quality of schedules is an important reflection of the quality of management of the company. Warren Buffett says that if you are unable to understand the notes, it is because the CEO does not want you to understand them. A lot of information/financial jugglery is often hidden in schedules.

D) Related Party Disclosures:

Every company is required to disclose every transaction it enters into with its promoters and other related entities. A careful analysis of these transactions can reflect whether the promoter is using different transactions to transfer money from the company to itself.

We should look at the transactions between the company and promoter owned entities (POE, enterprises over which promoters are able to exercise significant influence). The presence of transactions like interest-free loans to POE, taking assets owned by POE on lease/purchase at prices higher than market value are some of the examples by which we can get a sense of promoters who are taking out funds from the company and gaining at the cost of minority shareholders.

Thus, we can see that the annual report is one such document that can throw light on the status of the company, provide information to gauge its potential for future growth and provide insight on the character of the management of the company. It is the single most important document that every investor should read.

Copyright © Dr Vijay Malik. All Rights Reserved.

7) How to do Financial Analysis of a Company

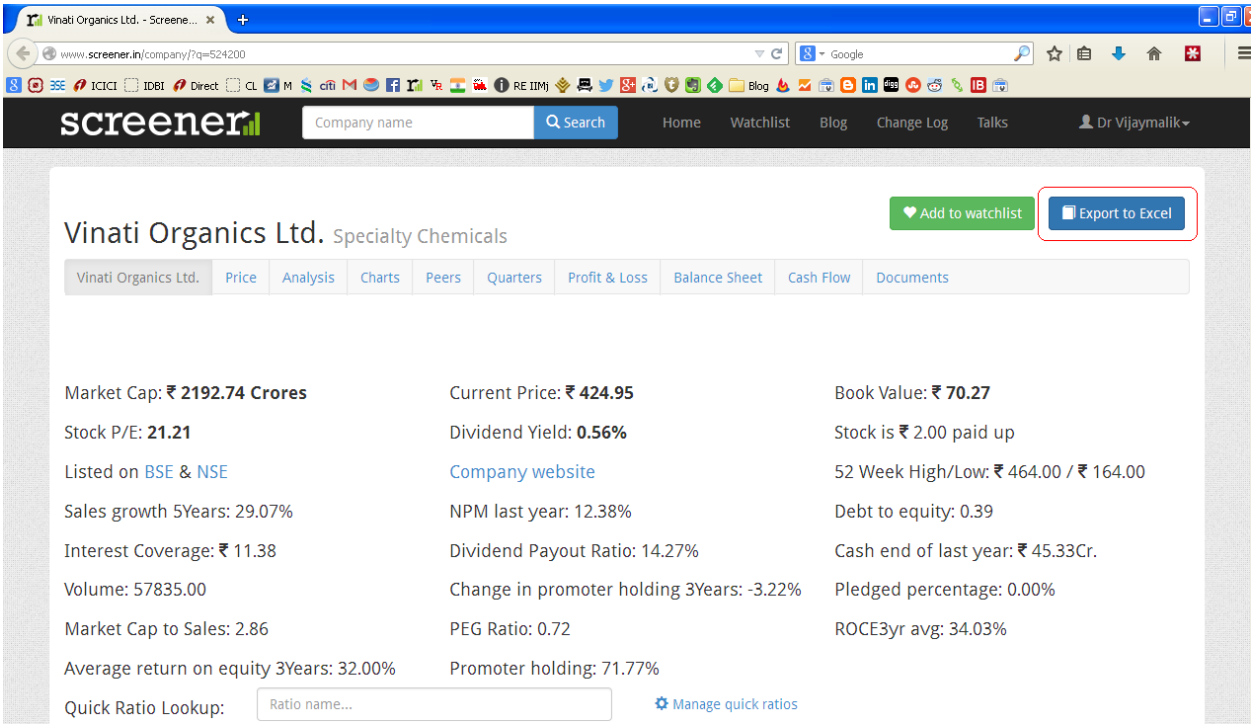
Financial analysis it forms the basic backbone and the first filter for selecting stocks for further analysis. Only the stocks that satisfy the criteria of good financial performance should be worthy of spending further time.

The financial analysis consists of studying three paramount sections of the annual report and analyzing them in detail. These three sections are Balance Sheet (B/S), Profit & Loss statement (P&L) and Cash Flow statement (CF).

Before you begin to feel that financial analysis might contain a lot of mathematics and difficult calculations, I want to tell you that the entire financial analysis consists of the study of only two things: Ratios and Growth rates. As we delve deeper into financial analysis, we would see that it entails reading the annual reports, noting down some relevant numbers from it and study various ratios of these numbers and their growth rates over the years.

To further simplify the things, readers would be happy to note that, now a day an investor does not need to see the financial numbers in the annual report of the company and punch in the numbers in a data analysis software like Microsoft Excel (excel). The investor can use free resources on the internet, which can provide readymade data files containing financial details of companies which the investor can use in excel to perform a good analysis. One such free resource available to investors in Indian equity markets is www.screener.in

At www.screener.in, the webpage for every company has a link stating- “Export to Excel”. You can download the excel file of financial data of the company by clicking this link.



Copyright © Dr Vijay Malik. All Rights Reserved.

Once ready with the data, doing financial analysis is a breeze. However, if any investor is not verse with using data analysis software like excel, he can use the calculators to find out the ratios and growth rates. The result by both means would be the same. However, excel would make the analysis easier to perform.

Analysis of Profit and Loss Statement (P&L):

Sales Growth:

The first parameter to check is the growth of sales that a company has achieved in the past. Companies that have a product or service, which is high in demand usually show high growth of sales in past.

Vinati Organics Ltd (VOL) is a world market leader in two of its products. Its products have witnessed good demand and therefore its sales have increased by leaps & bounds in past:

Year	**2005**	**2006**	**2007**	**2008**	**2009**	**2010**	**2011**	**2012**	**2013**	**2014**
Sales (₹Cr.)	49	58	84	150	194	237	322	447	553	696

Thus we can see that sales of VOL have grown from ₹49 cr (0.49 billion) in 2005 to ₹696 cr (6.96 billion), which means a compounded average growth rate (CAGR) of 34% over last 10 years. An investor should prefer companies that have grown at least at a rate of 15% or more in past. One should note that very high growth rates of 50% or more are unsustainable in long run.

Profitability:

Profitability can be measured by two prominent measures operating profit margin (OPM) and net profit margin (NPM).

OPM measures the portion of sales income that is remaining after deducting costs of producing these sales e.g. raw material costs, employee costs, sales & marketing costs, power & fuel costs etc. Operating profit does not factor in expenses like depreciation of fixed assets, interest and tax expenses. NPM reflects the net profit that remains after a company has paid its interest, tax and factored in depreciation. Net profit is final remnant after meeting all expenses and is available with the company for reinvesting or distributing to shareholders as a dividend.

An investor's aim is to find companies with good profitability, which they have been able to sustain in the past. Companies with high-profit margins are able to face tough times comfortably and still make money for their shareholders.

Copyright © Dr Vijay Malik. All Rights Reserved.

Let us analyse the profitability of VOL. All figures are in ₹Cr. (10 million). Some calculations might show some mismatch because of rounding off.

Year	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Sales (A)	**49**	**58**	**84**	**150**	**194**	**237**	**322**	**447**	**553**	**696**
Operating Profit (B)	**7**	**6**	**10**	**29**	**37**	**58**	**70**	**95**	**120**	**153**
OPM% (B/A)	**15%**	**11%**	**12%**	**20%**	**19%**	**24%**	**22%**	**21%**	**22%**	**22%**
Other Income(C)	0	0	0	0	0	1	2	3	4	9
EBIDT* (D=B+C)	7	7	10	30	37	58	71	98	124	162
Depreciation (E)	2	2	3	3	3	5	6	7	10	15
Interest (F)	1	1	2	3	3	4	5	9	12	18
Profit before tax (G=D-E-F)	5	3	6	23	31	49	60	82	103	129
Tax (H)	1	1	2	8	7	12	11	27	34	42
Net profit (I=G-H)	**3**	**2**	**4**	**15**	**25**	**40**	**52**	**55**	**69**	**86**
NPM% (I/A)	**7%**	**3%**	**4%**	**10%**	**13%**	**17%**	**16%**	**12%**	**12%**	**12%**

*EBIDT: Earnings before interest depreciation and taxes

We can see that the OPM for VOL witnessed an increase during period 2005 to 2010 from 15% to 24% indicating improving the efficiency of operations. Thereafter, the company has been sustaining OPM levels of about 22% since last 5 years, which is a very good sign about operating efficiency of VOL. NPM has also seen a similar trend by initially increasing from 7% to 17% and then sustaining at about 12% levels.

Tax:

A company with good accounting and corporate governance standards would want to pay all legitimate taxes to the government. In India, the corporate tax rate is 30% for Indian companies and 40% for foreign companies.

There are many tax incentive schemes for different companies/industries/states etc., that provide many tax saving avenues that companies use to lower tax expense. Nevertheless, abnormally low tax payouts should raise red flags and must be analysed.

Copyright © Dr Vijay Malik. All Rights Reserved.

Let us see tax payout histories of VOL. Figures are in ₹Cr. (10 million). Some calculations might show some mismatch because of rounding off.

Year	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Profit before tax (A)	5	3	6	23	31	49	60	82	103	129
Tax (B)	1	1	2	8	7	12	11	27	34	42
Tax% (B/A)	31%	39%	35%	34%	22%	24%	18%	33%	33%	33%

We can see that the company has been paying tax mostly at the rate of corporate tax, which is a healthy sign. Tax payouts also give a glimpse of the management quality and integrity. Hence, we would revisit tax payouts while discussing management analysis in the subsequent chapters of this book.

Interest coverage:

Interest coverage gives an indication whether the operating profits generated by the company are sufficient to pay interest to the lenders for the funds it has borrowed from them. It can be measured by the ratio of operating profit to interest expense called Interest Coverage Ratio:

Interest Coverage Ratio = Operating Profit / Interest Expense

An investor should look out for companies that have interest coverage of at least 3. It implies that they make an operating profit of at least ₹3 whereas their interest expense is ₹1.

Higher interest ratio provides a cushion during bad economic times and the company would not find it difficult to service its debt even during bad times.

Let us see the interest coverage of VOL. Figures are in ₹Cr. (10 million). Some calculations might show some mismatch because of rounding off.

Year	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Operating Profit (A)	7	6	10	29	37	58	70	95	120	153
Interest (B)	1	1	2	3	3	4	5	9	12	18
Interest coverage (A/B)	7	6	5	9	11	14	16	10	10	9

We can see that VOL has been maintaining an interest coverage ratio of about 10-15 over the years. It means that VOL would be able to service its debt even in bad times without much issue.

One important thing to note here is that every investor defines these ratios and growth rates as per her own preference. There is no single defined way of analyzing financial statements.

Copyright © Dr Vijay Malik. All Rights Reserved.

Warren buffet prefers owner's earning over net profit. Many investors like to include non-operating income while calculating interest coverage. Nevertheless, I prefer to use only operating income and avoid non-operating income while calculating interest coverage.

Therefore, the more investors you interact and the more authors you read, you would find that everyone has her own way of analyzing financial statements. You should not be bogged down by different formulas used by different investors. You should try to analyze and find out the parameters/ratios that differentiate the companies, which you feel comfortable investing in.

Analysis of Balance Sheet (B/S)

Debt to Equity ratio (D/E, Leverage):

D/E ratio measures the composition of the funds that a company has utilized to buy its assets. Company uses its assets to produce goods & services that bring the sales revenue to the company. D/E shows how much of the total funds employed by the company are its own (shareholder's funds) and how much are borrowed from other lenders. D/E of 1 means that 50% of funds are brought by shareholders and rest 50% are borrowed from lenders.

I prefer companies, which have very low debt. During bad times when the company might not be able to make good profits, lender will ask for their money and the company might have to sell its assets in distress to pay back the lenders. If the company is not able to find buyers willing to pay sufficient money, it can become bankrupt. Therefore, investors should prefer companies with low debt to equity ratio.

Let us see the debt to equity ratio of VOL over time. Figures are in ₹Cr. (10 million). Some calculations might show some mismatch because of rounding off.

Year	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
Equity Share Capital (1)	7	7	7	10	10	10	10	10	10	10
Reserves (2)	20	21	23	33	55	89	134	177	231	300
Total shareholder's funds (E=1+2)	**26**	**27**	**30**	**43**	**65**	**99**	**144**	**187**	**241**	**310**
Secured Loans (3)	16	19	21	28	45	57	70	118	163	88
Unsecured Loans (4)	0	3	5	6	6	6	7	36	38	34
Total debt (D=3+4)	**16**	**23**	**26**	**34**	**51**	**63**	**77**	**153**	**201**	**122**
D/E	**0.6**	**0.8**	**0.9**	**0.8**	**0.8**	**0.6**	**0.5**	**0.8**	**0.8**	**0.4**

We can see that VOL has been maintaining D/E less than 1 consistently. D/E increased in 2012-13 when the company was increasing its capacities and raised debt to fund its expansion plans. Once the expanded capacity became functional, it used the extra profits it could make to pay off its debt (from ₹201 cr. to ₹122 cr.) and brought down its D/E in 2014 to 0.4.

Copyright © Dr Vijay Malik. All Rights Reserved.

Some investors like to use only secured or long-term debt for calculating D/E ratio. However, I prefer taking total debt for calculating D/E ratio.

Current Ratio (CR):

CR is calculated as a ratio of current assets of a company to its current liabilities.

Current Ratio = Current Assets / Current Liabilities

Current assets (CA) are the assets that are consumed within next one year. They include inventory that gets consumed and gets sold as finished product within a year, cash & similar investments kept by the company to meet day to day requirements and money due from customers (account receivables or debtors) and loans given to different parties that are expected to be received back within a year.

Current liabilities (CL) include payables within next one year and the short-term provisions.

CR of >1 means that the company has CA which exceed CL and that the company would be able to pay off its near-term liabilities by the money it would receive from current assets.

Let us see the current ratio (CR) of VOL over time. Figures are in ₹Cr. (10 million). Some calculations might show some mismatch because of rounding off.

Year	**2005**	**2006**	**2007**	**2008**	**2009**	**2010**	**2011**	**2012**	**2013**	**2014**
Inventories (A)	9	8	8	12	12	19	35	43	55	47
Receivables (B)	8	13	20	22	28	36	52	86	113	115
Cash (C)	0	1	0	0	0	0	0	32	34	45
Current Assets (CA=A+B+C)	**17**	**22**	**28**	**34**	**40**	**55**	**87**	**161**	**202**	**207**
Current Liabilities(D)	12	12	15	18	18	19	29	50	86	99
Provisions (E)	1	1	1	3	4	4	8	14	19	21
Total CL (CL=D+E)	**12**	**13**	**17**	**21**	**22**	**23**	**38**	**64**	**105**	**120**
CR (CA/CL)	**1.4**	**1.7**	**1.7**	**1.6**	**1.9**	**2.4**	**2.3**	**2.5**	**1.9**	**1.7**

We can see that VOL has been consistently maintaining CAs in excess of CLs, which is a very healthy sign. Investors should look for companies that have CR of at least 1.25 or more.

Copyright © Dr Vijay Malik. All Rights Reserved.

Analysis of Cash Flow Statement (CF):

This section provides details of the cash that a company has generated in last financial year from operation (cash flow from operations or CFO). This section also includes details of cash used in making investments or received from selling investments (cash-flow from investing activities or CFI) and cash raised from financial institutions as borrowings or repaid to them during the last year (cash-flow from financing activities or CFF).

An investor should focus on companies, which generate a good amount of cash flow from operations that can take care of their requirements of investment (CFI) and repayment of debt (CFF). If an investor can find a company that generates so much cash that after taking care of CFI and CFF, it still has a surplus left, she would have hit a jackpot.

Let us see the cash flow statement of VOL over time. Figures are in ₹Cr. (10 million). Some calculations might show some mismatch because of rounding off. Positive values mean cash inflow and negative values mean cash outflow.

Year	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014
CFO (A)	4	2	2	12	27	29	31	20	92	134
CFI (B)	-8	-7	-3	-17	-40	-35	-39	-61	-113	-9
CFF (C)	1	5	1	5	13	6	7	72	22	-113
Net Cash Flow (A+B+C)	-2	1	-1	0	1	0	0	30	2	12
Cash at the end of year	1	1	1	1	2	2	2	32	34	45

We can see that VOL has been generating a good amount of cash from operations year on year. CFO has increased during 2005-14 from ₹4 cr. (0.04 billion) to ₹134 cr. (1.34 billion). We can observe that during 2005-13, VOL was funding its expansion plans (negative CFI) by a mix of operating cash (CFO) and debt (CFF).

In 2014, the company did not undertake any major expansion. The expansions done in past year is bringing in increased cash each year for VOL. In 2014, the company used this cash to pay off its debt (CFF is -113 cr.) and reduced its debt from ₹201 cr. to ₹122 cr. (see table in D/E section above).

Parameters Using Mix of B/S, P&L and CF:

Until now, we have used ratios and growth rates that utilized figures from either B/S or P&L or CF alone. We have not used the ratios/parameters that utilize figures across these three financial statements.

Comparative analysis of B/S, P&L and CF is necessary, as it will provide a sanctity check on the numbers reported by any company. It will also provide further insights into the financial position and operating efficiency of the company. Some of the parameters that indicate operating efficiency of a company use a mix of B/S and P&L like Inventory turnover ratio, receivables turnover, payables turnover etc.

Copyright © Dr Vijay Malik. All Rights Reserved.

These parameters are the next level of analysis, which an investor should do when she is well versed with the parameters discussed above. However, one analysis that compares P&L with the CF is mandatory for each investor to perform on every company she is studying. It compares the cumulative net profit (profit after tax, PAT) of last few years with the cumulative CFO of the same period.

Cumulative PAT vs. cumulative CFO:

A company that sells any product today might not receive its payment immediately. However, it is legitimately eligible to receive it. Therefore, accounting standards allow it to report this sale and its profit in the P&L. However, the money received from the buyer will be reflected in CFO only when the money is actually received from the buyer.

Therefore, if we compare PAT and CFO for any one year, they would differ from each other. However, over a long time, cumulative PAT and CFO should be similar.

If cumulative PAT is similar to CFO, it means that the company is able to collect its profits in actual cash from its buyers. If CFO is abysmally lower than PAT, it would mean that either the company though legitimately eligible to receive money from the buyer, is not able to collect it or the profits are fictitious. In either case, the investor should avoid such a company.

Let us compare cumulative PAT and CFO of VOL over time. Figures are in ₹Cr. (10 million). Some calculations might show some mismatch because of rounding off.

Year	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	Total
PAT	3	2	4	15	25	40	52	55	69	86	**351**
CFO	4	2	2	12	27	29	31	20	92	134	**353**

We can see that VOL registered profits of ₹351 cr. (3.51 billion) during 2015-2014 and collected ₹353 cr. (3.53 billion) net cash flows from operations. This is a very healthy sign for any company.

Conclusion:

In the current chapter, we learnt about financial analysis of a company in details. The parameters discussed above are essential ones and should suffice for basic due diligence by any retail investor. As we would agree that there is never an end to the analysis and analysts do spend years analyzing companies. There are hundreds of more ratios, which can be used to gain further insights into the financial position of any company.

However, I believe that if a retail investor can analyse the eight parameters discussed above and importantly understand the trend of this parameter over the life of the company, then she would easily be able to select financially sound stocks out of thousands of options available to her. She would also be able to avoid financially bad companies and spare a lot of her time that might have gone into studying such bad companies further.

Copyright © Dr Vijay Malik. All Rights Reserved.

I would summarize the eight financial parameters here:

1. Sales growth: Look for high and sustainable growth >15% per year. The growth rate of >50% is unsustainable.
2. Profitability: Look for high and sustainable OPM and NPM. I prefer companies with NPM of >8%.
3. Tax: Tax rate should be near general corporate tax rate unless some specific tax incentive is applicable to the company.
4. Interest coverage: Look for companies with interest coverage ratio of >3.
5. Debt to Equity ratio: Look for companies with low/nil debt. Preferably D/E <0.5
6. Current ratio: Look for companies with CR >1.25
7. Cash flow: Positive CFO is necessary. It's great if CFO meets the outflow for CFI and CFF.
8. Cumulative PAT vs CFO: Look for companies where cumulative PAT and CFO are similar for last 10 years.

In the past, there have been many instances where managements/companies have tried to use shortcuts to show good financial performance in reported numbers when the actual business on the ground was not doing well. Such instances have been common throughout the world whether it be Enron in USA or Satyam in India.

It is important that every investor learns about the tricks being used by such managements and while doing financial analysis takes care to find out whether the performance being shown is genuine or artificially made up.

Therefore, this book has a chapter dedicated to the common shortcuts used by companies to dress up their financial statement.

Copyright © Dr Vijay Malik. All Rights Reserved.

8) 7 Signs to tell whether a Company is cooking its Books: "Financial Shenanigans"

We all know about one company or the other, which had manipulated its accounts to dupe investors. Instances of management manipulating the books of accounts are not bound by any geography, race, religion or culture. Be it USA (Enron, WorldCom), Europe (Paramalat), India (Satyam) or Japan (Toshiba), each market has its own share of 'stalwarts', who instead of genuinely improving the business, decided to cook the books to show better performance.

Nowadays, most of the companies offer share price linked incentive schemes to their managers. Such schemes are offered to align the interests of managers and shareholders so that both can benefit from the good performance of the company and its stock. However, these schemes have acted as double-edged swords.

Share price linked incentives motivate managers to work hard and show good performance. Nevertheless, when times are tough and business is a slump, they offer easy incentives to managers for dressing up the accounts to show a good picture to the markets to shore up the share price.

In the hindsight, the analysis of disclosures & exchange filings of such companies has always pointed to clues, which could have helped investors in identifying the red flags. However, the key is to identify such clues before the problems become large enough to affect the share price. These clues, if identified at right times, could have guided investors to exit before the nefarious acts of these companies became public and their prices fell like a pack of cards.

Therefore, it becomes essential that all stock market investors, be it institutional or individual should learn the tools/signs that can indicate when a company starts deviating from the standard practices and the possibility of an underlying fraud becomes a real possibility. The signs that can tell an investor, whenever something is not right with the presented accounts. An investor can then, analyse the company deeper and rule out whether the company is trying to falsify its books and if so, then can exit the company's stock at the earliest opportunity.

Recently, I read the book: **"Financial Shenanigans: How to Detect Accounting Gimmicks & Frauds in Financial Reports"** by Howard M. Schilit and Jeremy Perler. This book provides a comprehensive account of the possible juggleries that managements can play to dress up their financial statements. It helps the readers identify the signs/tools that could have caught these juggleries at an early stage.

The book explains various methods deployed by companies in the past to manipulate their earnings, cash flows and balance sheet metrics. It then takes the reader through the key parts of their disclosures, which could have directed a discerning reader to the gimmicks played by the management. Finally, the book explains to the reader with calculations, various ways to find out the correct earnings and cash flows from the inflated numbers presented by the companies.

"Financial Shenanigans" provides an easy to read and simple to understand explanations of complex circuitous acts of managements to dress up their financials.

Copyright © Dr Vijay Malik. All Rights Reserved.

The current chapter attempts to summarize the comprehensive effort of the authors, Howards Schilit & Jeremy Perler and presents the gist to investors to sensitize them about the need to learn more about such shenanigans.

Most of the attempts to dress up the accounting books by management are focused on manipulation of earnings (revenue & profit), cash flows and balance sheet to present a better picture of deteriorating the financial situation.

Let us understand these attempts one by one:

A) Manipulation of Earnings:

Most of the companies attempt to show higher revenue & profits during the current period to meet or exceed market expectations. Higher earnings in the current period act as a strong factor to raise the market price of company's shares and increase the wealth of promoters/managers who stand to benefit from their stake/stock options in the company.

However, there have been cases when companies have tried to mask the current good performance and tried to defer revenue/profits to a future period so that they can show sustained performance during upcoming tough times.

Deferring current good earnings for future periods helps the company to show sustained performance during bad times, thereby, giving the impression of the resilient business model to the markets. Stock markets usually assign higher multiples (P/E ratio) to such companies, which show stable performance with low volatility in earnings. Therefore, the management has sufficient incentive to act both ways.

Management may use the following techniques to inflate their current period earnings:

- Recording revenue too soon
- Recording bogus revenue
- Boosting income by using one time or unsustainable activities
- Shifting current expenses to a later period
- Using techniques to hide expenses or losses

Management may use the following techniques to subdue their current period earnings in an attempt to inflate future period earnings:

- Shifting current income to a later period
- Shifting future expenses to an earlier period

All these steps could easily help the management achieve their objectives. However, there are certain checks and balances in place in the system, which often play the spoilsport for such managements:

- the requirements of disclosures about revenue recognition and other accounting policies and
- the presence of three financial statement: Balance Sheet, Profit & Loss and Cash Flow Statement, which talk to each other. If the management tinkers with one of these statements, then there is very high probability that investors would find signs of unhealthiness in other two statements.

Copyright © Dr Vijay Malik. All Rights Reserved.

We would look at the methods to detect earnings manipulation by management in the later part of this chapter.

B) Manipulation of Cash Flow:

Most of the corporate frauds in 1990-2000s involved the companies showing super-normal growth in revenues & profits. However, upon analysis of cash flows, it could easily be deciphered that the earnings were not backed by cash flows. Therefore, all the investors started analyzing cash flow statements to see whether the profits are being converted into cash flow from operations to verify the genuineness of earnings.

Cash flow from operations (CFO) became the key parameter to analyse companies. However, the ever-evolving managements realized this pattern and soon enough devised techniques to manipulate cash flow statements as well, so that they could hide ineligible/bogus revenue practices from investors.

These techniques mainly focused on either shifting investing/financing inflow to operating section or shifting operating outflow to investing section. The book "Financial Shenanigan" classifies such attempts under following headings:

- Showing financing cash inflow as operating inflow
- Showing operating cash outflow as investing outflow
- Using acquisitions or disposals to boost operating cash flow
- Boosting operating cash flow by using unsustainable activities

However, in these cases as well, the mandatory requirement of reconciliation of three financial statements helped the investors. Reconciliation requires that all the entries of cash inflow or outflow have to be in the cash flow statement and the management can only change their classification from one head to another. Therefore, if an investor uses certain adjustments in her analysis of cash flows then she can easily detect such shenanigans and improve her stock analysis to reflect the true economic reality.

C) Misrepresenting Balance Sheet items:

The book "Financial Shenanigans" describes many ways in which overzealous managements distort the balance sheet presentations to show a rosy picture to investors. Some of these methods are:

- Distorting account receivables to hide revenue problems: e.g. by selling them, showing them in other receivables than account receivables, changing definitions of DSO (days of sales outstanding or receivables days) etc.
- Distorting inventory metrics to hide profitability problems: By classifying certain inventory as noncurrent saying that it will not be used within one year. Using only in-store inventory and excluding warehouse & transit inventory etc.
- Distorting financial asset metrics to hide impairment problems: mainly applicable for financial institutions, which might use various tricks to hide the actual stress in their loan books.

Copyright © Dr Vijay Malik. All Rights Reserved.

D) Using non-standard parameters as representative of business performance:

Many times, managements create new parameters to describe their business performance. Such parameters are not the standard parameters of profitability or efficiency as described in accounting standards. However, many times, they help investors understand the status of companies of any particular industry in a better fashion.

Such creative parameters are essential but due to non-standardization, the managements get an opportunity to change their definitions as per their requirements. Some of the examples covered in the book "Financial Shenanigans" are:

- **"Same store sales" for retailers, restaurants**: Managements may alter the vintage/criteria of the eligible stores to be used in the calculation of disclosed metric. Companies have been known to show a high level of reverse engineering skills to create such eligibility criteria to show the desired trend in performance.
- **ARPU (average revenue per user) for telecom, broadband or cable TV companies:** The key here is what constitutes the revenue and the number of users in ARPU. Management of one company may exclude advertisement revenue and report only subscription revenue whereas management of another company may include advertisement and other certain items as well. Similarly, different companies may use different criteria to select the number of users for calculating ARPU.
- **Subscriber addition for media houses:** Some companies may add up subscribers of unconsolidated entities/JVs as well, while others may not.
- **The order book for contractors**: Some companies may not disclose the details about orders, which might contain cancellation clauses/indemnity clauses and club all orders as if they might be firm sources of revenue in future.
- **Using EBITDA rather than PAT for disclosing business performance:** Some companies may act as if key expenses like depreciation, interest etc., are irrelevant for businesses and investors. For many companies, like rental cars, depreciation is the real cost of inventory & operations. Looking at EBITDA only for such companies is highly misleading.
- **Presenting cash earnings (PAT + Depreciation) or EBITDA instead of CFO to investors as better parameters**: Some managements may stress on cash earnings as if changes in the working capital do not matter for businesses.

All the above-described methods have been used by one company or the other in past to dress up its books in order to hide their deteriorating financial position from the markets & investors. The book "Financial Shenanigans" provides detail of each of these tools used by different managements with real life examples.

"Financial Shenanigans" delves deeper into regulatory & exchange filings done by these companies and digs out extracts from their disclosures, which if noticed by investors, could have alerted them about things not being right. Then, the investors could have analysed it further to reassess their investment positions.

"Financial Shenanigans" also explains various tools and ratios, which if used by investors during analysis, would have helped them, identify the red flags. Some of these tools can be easily calculated from the publically available information and therefore, can be very helpful for all the readers. Let us discuss these tools, which I believe that every stock market investor should learn and use in her stock analysis framework:

Copyright © Dr Vijay Malik. All Rights Reserved.

Tools to Detect Financial Frauds in Companies:

1) Cumulative Cash from Operations (cCFO) falling short of cumulative Profit after Tax (cPAT) in the past:

As discussed above, if any company inflates its revenue by either accelerating its revenue recognition or recording false/bogus revenue, then there is a high probability that such revenue would not be backed by a collection of cash. In such cases, the cumulative CFO would fall behind cumulative PAT.

Therefore, investors should always compare cCFO and cPAT of any company over last 10 years and be wary when cCFO is significantly less than cPAT. Such companies would require enhanced due diligence before the investor commits her hard earned money to them.

2) Increasing Receivables Days/Days of sales outstanding (DSO):

Similar to the above point, inflated revenue recognition without the backing of cash collections would lead to continuously increasing account receivables/trade receivables/debtors in the balance sheet. The increase in account receivables, if at a faster pace than increase in sales, would increase the Receivables Days/DSO.

Many times, such receivables could be bogus receivables, which might not be realised ever. Therefore, the investor should be wary of investing in companies, which show continuously increasing receivables days.

Similar to the increase in account receivables, a continuous increase in unbilled receivables also reflects an aggressive revenue recognition policy. Investors should be very cautious while analyzing companies with a large amount of unbilled receivables like infrastructure companies and EPC contractors.

Moreover, investors should also be concerned when they see a large drop in DSO/receivables days especially after a period of rapid increase in DSO. This is because such drop in DSO might be due to the management using the tricks to either sell receivables off their books or classify them under any other head in the balance sheet.

3) The fast buildup of inventory/decreasing inventory turnover:

Inventory buildup may indicate that the company might be carrying old inventory on its books, which might not be useful anymore. Management may hesitate before writing off such inventory, as it would have to book impairment losses, which would reduce earnings.

However, such write-offs if genuinely needed, then cannot be deferred indefinitely and companies end up recognizing major impairment losses all of a sudden. Such large losses affect the earnings in a big way and no doubt that the share price tanks both due to losses and due to management quality concerns.

Therefore, an investor should do extra due diligence when she comes across companies, which have continuously decreasing inventory turnover over the years.

Copyright © Dr Vijay Malik. All Rights Reserved.

4) Free Cash Flow:

"Financial Shenanigans" mentions many cases where companies tried to inflate their earning and CFO by capitalizing normal day-to-day operating expenses. By using this trick, the companies derive dual benefits. They improve their profits as they do not deduct these expenses from revenue and at the same time inflate CFO as they show these expenses as cash outflow for investing section rather than in operating section.

Detecting such tricks can be quite challenging for an amateur investor who does not have a deep understanding of accounting & finance as well as does not have sufficient spare time to spend in deeply analyzing financial statements. However, the investor can safeguard herself from these management tricks by using a simple method. This method is using the Free Cash Flow (FCF) rather than Cash from Operations (CFO) for her analysis.

FCF is arrived at by deducting capital expenditure (Capex) from CFO and thereby taking care of the operating expenses excluded from P&L and shown as a cash outflow from investing section.

FCF = CFO – Capex

Therefore, it is advised that and investor should:

- focus more on cash flow statement than P&L.
- Moreover, she should rely more on FCF than CFO, while analyzing cash flow statement.

The investor should be cautious when she observes declining free cash (FCF) while strong CFO in the cash flow statements.

5) Frequent Acquisitions:

Acquisitions are a favorite area for over-smart managers to hide a lot of things under the carpet. Analysis of financials become a lot complex when two companies merge with each other and the management presents combined financial statements for the two companies.

Apart from the book manipulations, acquisitions also provide many legal means (loopholes) for acquiring companies to beautify their books. Improvement in CFO is one such loophole. Let's see how it works:

Account receivables of the acquired company, when received, flow through the CFO of acquirer, whereas the costs incurred to generate these receivables (inventory bought by the acquired company, salaries paid in past etc.), which ideally should flow through CFO as outflow, now flow through CFI as outflow as acquisition cost for the acquiring company.

We can see that if any company that tries to grow organically, then it would have to do a lot of cash outflow from operations (inventory purchase, salaries etc.) to generate cash inflow from operations (CFO), whereas in acquisition, the acquiring company gets target's future cash inflow from operations (outstanding account receivables at time of acquisition) but its related cash outflow (acquisition cost) is recorded as cash outflow from investing.

Copyright © Dr Vijay Malik. All Rights Reserved.

Therefore, acquisitions provide a legal method of boosting CFO. No wonder once companies realize this, they become serial acquirers.

"Financial Shenanigans" provide a tool to counter this inflated CFO position. The authors advise that the investors should use:

CFO - Capex outflow - Cash paid for acquisitions

to mitigate this impact.

6) Abnormal/supernormal performance:

An investor should be cautious while she comes across companies that show deviation from normal trends like:

- Unexpected stable/smooth earnings during tough volatile times
- Continuous history of meeting market expectation of earnings

This is not to say that such companies would not have the inherent business strength to show exceptional performance. However, there is a high probability that management of such companies might be managing their accounts to show such performance. Therefore, it is advised that the investor should do enhanced due diligence while analyzing these companies.

7) Changes in accounting policies/disclosures:

Changes in accounting policies are one of the major methods used by managements to hide financial juggleries. Major policies to be monitored for changes by investors are:

- Change in revenue recognition policies
- Change in capitalization of expenses policies
- Change in accounting years (April-March to July-June to Jan-Dec etc.)
- Change in depreciation assumptions
- Change in pension, lease assumptions

An investor should always ask herself the question: Why the particular accounting change and why now?

Similarly, investors should focus on variations in disclosures:

- Be wary when company stops disclosing an important metric.
- Failing to highlight off balance sheet obligations/contingent liabilities like corporate guarantees given to the bank for loans taken by other parties or a lawsuit or claim filed against the company.
- New disclosures should provide more answers not give rise to many new questions. If the reverse is true, then management is hiding something.

These are some of the tools described by "Financial Shenanigans" to help investors recognize accounting manipulations at initial stages and protect their hard earned money.

Copyright © Dr Vijay Malik. All Rights Reserved.

After reading the book “Financial Shenanigans”, the reader would realize that managements of many of the well-known names in the world have used accounting tricks at some point in time. They have mostly been caught by regulators, penalized, and directed to rectify their books. It indicates that no investor is shielded from accounting juggleries and she can ignore learning about at her own peril.

The book describes numerous ways of accounting manipulation that have been used by firms and similarly many other ways/indicators, which can highlight the use of nefarious methods in the financial statement. However, covering all of them is not possible within one chapter. However, the investor should be aware that ever-evolving financial landscape would provide newer opportunities for over smart managements to use shortcuts to achieve their targets.

Therefore, it becomes essential that every investor should learn about the basic tools to highlight any accounting manipulation and use them regularly in her stock analysis so that she can avoid investments in fraud companies and save her hard-earned wealth from erosion.

Copyright © Dr Vijay Malik. All Rights Reserved.

9) Self-Sustainable Growth Rate: a measure of Inherent Growth Potential of a Company

Self-Sustainable Growth Rate (SSGR) is the rate of growth, which a company can achieve from its profits without relying on additional sources like debt or equity dilution. SSGR estimation has occupied an important part of my stock analysis as it indicates the strength of the business model of a company.

A company with high self-sustainable growth rate can continue to show high growth rates without impairing its capital structure, i.e. without raising high debt. I believe that the growth funded by profits is the best form of growth as it keeps the company insulated from many adverse factors during tough economic environments.

Debt has a high cost attached to it. The interest eats into the profitability. Interest and principal need to be paid as per agreed on schedule irrespective of the company generating profits or not. This increases the risk of bankruptcy during tough times.

The shareholders of debt-free companies can sleep easy at night irrespective of the company facing economic headwinds or tailwinds. Debt-free companies have the leeway of reducing prices, dividend payouts and even suffer losses for a longer period than debt-laden companies. Therefore, debt-free companies have a higher probability of coming out successful from economic downturns and provide avenues of long-term growth to investors at lower risk.

Self-Sustainable Growth Rate (SSGR) is one such parameter that can help an investor determine, which companies would be able to show debt free growth in future. The investor can then study further about these companies and post detailed analysis, she can shortlist companies for investment. The investor, convinced with detailed financial, business, management & valuation analysis and high SSGR, can keep the invested companies in her portfolio with confidence.

I thank my friend, Saurabh Dwivedi, a sea-surfer turned banker, for providing his valuable time & inputs where after multiple rounds of discussions & iterations, we could bring the self-sustainable growth rate (SSGR) formula to the implementation stage.

Self-sustainable growth rate derives its genesis from the basic outline of a company's growth story. During its life, a company needs to:

1. Sell products in the market
2. Generate profits from these sales
3. Pay dividends from its profits
4. Invest undistributed profits in company's assets
5. Use these assets to produce sales in the future

A company needs to do these activities year on year for long periods. If the company were able to do it successfully, then it would generate a huge amount of wealth for its shareholders.

Copyright © Dr Vijay Malik. All Rights Reserved.

The efficiency level of any company on the steps discussed above can be easily assessed by readily available information in public domain:

1. **Net Profit Margin (NPM):** NPM highlights the ability of the company to generate profits from sales.
2. **Dividend Payout Ratio (DPR):** DPR indicates the share of profits that is distributed as dividends to shareholders. (1-DPR) reflects the share of profits retained by the company for reinvestment in its own operations.
3. **Depreciation (Dep):** Depreciation indicates the wear & tear of a company's assets over time. It is an indicator of reduced efficiency of existing assets to produce sales as these assets become older.
4. **Net Fixed Assets Turnover (NFAT):** NFAT provides the sales generation ability of a company from its net fixed assets. (net fixed assets = gross fixed assets – depreciation)

If an investor analyses the combined effect the four parameters discussed above, then she would be able to arrive at the expected growth rate of a company by utilizing only the retained profits. This expected growth rate is Self-Sustainable Growth Rate (SSGR).

The central theme of self-sustainable growth rate calculation is to first, find out the amount of funds available for reinvestment and then, the efficiency level with which these invested funds are utilized by the company. We can understand it by the elaboration given below:

- Funds available for reinvestment (Reinvest-able funds) = (Sales in Year '0')*NPM*(1-DPR)
- Fixed assets at end of the year '0'/start of year '1' = Fixed assets at start of year '0' – Depreciation + Reinvest-able funds
- Sales expected in next year (Year '1') = Fixed assets at end of year '0' * NFAT
- Self-sustainable growth rate (SSGR) in % = (Sales in Year '1' / Sales in Year '0')-1

Using the understanding of SSGR as discussed above and some simple algebraic operations, the formula of SSGR calculation is reduced to the following equation:

SSGR = NFAT*NPM*(1-DPR) - Dep

Where,

- SSGR = Self Sustainable Growth Rate in %
- Dep = Depreciation rate as a % of net fixed assets
- NFAT = Net fixed asset turnover (Sales/average net fixed assets over the year)
- NPM = Net profit margin as % of sales
- DPR = Dividend paid as % of net profit after tax

The Self-Sustainable Growth Rate (SSGR) formula is a simplified one, because:

1. All the input ratios like NPM, Depreciation, Dividend Payout, and Fixed Asset Turnover keep on changing year after year and the huge variation in any one year can significantly alter the SSGR output.

Copyright © Dr Vijay Malik. All Rights Reserved.

2. The formula assumes that profits reinvested in any year get converted into fixed assets in the same year and start generating sales from next year. However, in reality, any capital expenditure (capex) done by a company would take a few months or years to become operational in form of increased production capacity.
3. The formula does not factor in an important parameter where funds are locked in or released during the year, which is working capital.

Out of the three points highlighted above, first two points can be mitigated by taking an average of last 3-year data of all the ratios i.e. NPM, Depreciation, Dividend Payout and Net Fixed Asset Turnover. Taking average will reduce the impact of any single year abnormal high/low value. Simultaneously, it will also ensure that the impact of reinvested profits of each year get distributed over 3 years, which is a reasonable period for any company to operationalize new capex into enhanced capacity.

Important: I have used the 3-year average of all the ratios for the cases discussed in the illustrations below.

Regarding the third point of funds being locked in/released from working capital, an investor can find the evidence from a comparison of cumulative net profit after tax (cPAT) of last 10 years with the cash flow from operations (cCFO) over the same period. Based on her case-specific findings, the investor can adjust her interpretation of SSGR outcome to reflect the reality. We would discuss some of such cases in the interpretation section below.

Interpretations

A) If Self-Sustainable Growth Rate (SSGR) is more than the sales growth of the company.

It indicates that the company has the ability to generate cash in excess of the requirement to sustain its current growth rate. Such companies usually keep on accumulating cash, can afford to give high dividends without impacting prospects of future growth or can increase their growth rate in future without straining their capital structure.

We can see examples of a few companies that have their self-sustainable growth rate (SSGR) more than their current growth rates.

Copyright © Dr Vijay Malik. All Rights Reserved.

FDC Limited

(INR Crores/10 Millions)	Mar-05	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14
Sales	326	340	426	491	578	652	700	699	765	837
Net profit after tax (PAT)	55	69	64	66	83	149	149	133	158	134
Net Profit Margin (NPM)	**17%**	**20%**	**15%**	**13%**	**14%**	**23%**	**21%**	**19%**	**21%**	**16%**
Depreciation	7	8	9	11	13	14	17	18	28	25
Net Fixed Assets (NFA)	93	104	137	153	214	223	271	280	277	272
Depreciation as % of NFA (Dep)	**8%**	**8%**	**7%**	**7%**	**6%**	**6%**	**6%**	**6%**	**10%**	**9%**
Net Fixed Asset Turnover (NFAT)		**3.5**	**3.5**	**3.4**	**3.1**	**3.0**	**2.8**	**2.5**	**2.7**	**3.1**
Dividend Payout	12	13	16	16	20	27	31	31	34	33
Dividend Payout Ratio as % of PAT (DPR)	**23%**	**19%**	**26%**	**24%**	**23%**	**18%**	**21%**	**23%**	**21%**	**25%**

Self Sustainable Growth Rate (SSGR)				**36%**	**30%**	**35%**	**40%**	**40%**	**35%**	**31%**

	3Yr	5Yr	7Yr	10Yr
Past sales growth rate	**6%**	**8%**	**10%**	**11%**

Total Debt	**3**	**3**	**3**	**13**	**3**	**2**	**2**	**1**	**1**	**1**

The self-sustainable growth rate (SSGR) of FDC Limited is about 30-40%. However, the company has been growing at about 8-10% over last 10 years. Comparison of past sales growth with SSGR would indicate that its entire growth could be funded by its profits. An investor can notice that FDC Limited has very low & almost nil debt on its books.

Container Corporation of India Limited

(INR Crores/10 Millions)	Mar-05	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14
Sales	1,995	2,433	3,037	3,347	3,417	3,706	3,828	4,061	4,406	4,985
Net profit after tax (PAT)	429	526	704	752	791	787	876	878	940	985
Net Profit Margin (NPM)	**21%**	**22%**	**23%**	**22%**	**23%**	**21%**	**23%**	**22%**	**21%**	**20%**
Depreciation	67	83	94	106	116	135	145	158	173	189
Net Fixed Assets (NFA)	1,216	1,389	1,529	1,665	1,926	2,140	2,307	2,394	2,720	3,009
Depreciation as % of NFA (Dep)	**5%**	**6%**	**6%**	**6%**	**6%**	**6%**	**6%**	**7%**	**6%**	**6%**
Net Fixed Asset Turnover (NFAT)		**1.9**	**2.1**	**2.1**	**1.9**	**1.8**	**1.7**	**1.7**	**1.7**	**1.7**
Dividend Payout	81	101	121	140	151	151	168	180	190	199
Dividend Payout Ratio as % of PAT (DPR)	**19%**	**19%**	**17%**	**19%**	**19%**	**19%**	**19%**	**20%**	**20%**	**20%**

Self Sustainable Growth Rate (SSGR)				**31%**	**32%**	**29%**	**27%**	**25%**	**24%**	**22%**

	3Yr	5Yr	7Yr	10Yr
Past sales growth rate	**9%**	**8%**	**7%**	**11%**

Total Debt	**11**	-	-	-	-	-	-	-	-	-

We can see that the self-sustainable growth rate (SSGR) of Container Corporation of India Limited is about 22-25%. However, the company has been growing at about 8-11% over last 10 years. Comparison of past sales growth with SSGR would indicate that it could fund its entire growth by its profits. No wonder that Container Corporation of India Limited is a debt free company.

Copyright © Dr Vijay Malik. All Rights Reserved.

Thus we can see that the companies with SSGR higher than past sales growth are either debt free or have reduced their debt significantly over the past. These companies are good investment candidates as they can keep growing without the need of debt and can face tough economic situations better.

B) If Self-Sustainable Growth Rate (SSGR) is less than the sales growth shown by the company in the past:

Such a situation will indicate that the company's business model does not have the inherent strength to sustain the growth rate it is trying to achieve. The company would continuously need to supplement its profits by bringing in additional cash from equity infusion or debt, to fund its growth aspirations. Most of such companies rely primarily on debt to meet the requirement of additional cash and thereby see high levels of debt on their balance sheets.

Let us see examples of a few companies that are growing at a rate higher than their self-sustainable growth rate (SSGR).

Castex Technologies Limited (erstwhile Amtek India Limited)

(INR Crores/10 Millions)	Jun-05	Jun-06	Jun-07	Jun-08	Jun-09	Jun-10	Jun-11	Jun-12	Sep-13	Sep-14
Sales	347	477	750	1,228	799	1,029	1,437	1,875	2,298	2,991
Net profit after tax (PAT)	41	67	117	347	54	76	114	156	210	248
Net Profit Margin (NPM)	**12%**	**14%**	**16%**	**28%**	**7%**	**7%**	**8%**	**8%**	**9%**	**8%**
Depreciation	25	28	36	53	70	96	126	147	212	248
Net Fixed Assets (NFA)	198	300	617	1,020	1,180	2,264	2,626	2,642	4,689	5,501
Depreciation as % of NFA (Dep)	**12%**	**9%**	**6%**	**5%**	**6%**	**4%**	**5%**	**6%**	**5%**	**4%**
Net Fixed Asset Turnover (NFAT)		**1.9**	**1.6**	**1.5**	**0.7**	**0.6**	**0.6**	**0.7**	**0.6**	**0.6**
Dividend Payout	5	8	7	1	3	6	4	1	1	1
Dividend Payout Ratio as % of PAT (DPR)	**5%**	**8%**	**7%**	**1%**	**3%**	**6%**	**4%**	**1%**	**1%**	**1%**
Self Sustainable Growth Rate (SSGR)				**24%**	**15%**	**8%**	**0%**	**0%**	**0%**	**1%**

	3Yr	5Yr	7Yr	10Yr
Past sales growth rate	**28%**	**30%**	**22%**	**27%**

Total Debt	**156**	**624**	**519**	**660**	**703**	**2,015**	**1,888**	**2,808**	**4,165**	**5,186**

We can see from the above data that the self-sustainable growth rate (SSGR) of Amtek India Limited is very low, almost 0-1%. This is primarily because of very low fixed asset turnover of 0.6-0.7. Low SSGR indicates that almost entire sales growth of 25-30% in the past has been debt-funded. There is little surprise left in the observation that the debt of Amtek India Limited has increased from ₹156 cr. to ₹5,186 cr. over last 10 years.

Copyright © Dr Vijay Malik. All Rights Reserved.

Glenmark Pharmaceuticals Limited

(INR Crores/10 Millions)	Mar-05	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14
Sales	571	704	1,224	1,980	2,116	2,480	2,949	4,021	5,012	6,005
Net profit after tax (PAT)	107	88	310	632	192	324	458	460	623	546
Net Profit Margin (NPM)	**19%**	**12%**	**25%**	**32%**	**9%**	**13%**	**16%**	**11%**	**12%**	**9%**
Depreciation	16	23	42	72	103	121	95	98	127	217
Net Fixed Assets (NFA)	337	523	593	919	1,566	1,787	2,067	2,486	2,829	3,096
Depreciation as % of NFA (Dep)	**5%**	**4%**	**7%**	**8%**	**7%**	**7%**	**5%**	**4%**	**4%**	**7%**
Net Fixed Asset Turnover (NFAT)		**1.6**	**2.2**	**2.6**	**1.7**	**1.5**	**1.5**	**1.8**	**1.9**	**2.0**
Dividend Payout	8	8	10	17	10	11	0	13	0	0
Dividend Payout Ratio as % of PAT (DPR)	**8%**	**9%**	**3%**	**3%**	**5%**	**3%**	**0%**	**3%**	**0%**	**0%**

Self Sustainable Growth Rate (SSGR)				**41%**	**39%**	**27%**	**13%**	**16%**	**18%**	**15%**

	3Yr	5Yr	7Yr	10Yr
Past sales growth rate	**27%**	**23%**	**26%**	**30%**

Total Debt	**437**	**735**	**935**	**988**	**2,090**	**1,869**	**620**	**2,000**	**2,288**	**3,267**

We can see that the self-sustainable growth rate (SSGR) of Glenmark Pharmaceuticals Limited is about 15-18%. However, the company has been growing at about 25-30% over last 10 years. It indicates that the excess sales growth of 8-10% in the past has been funded by debt. Therefore, the debt of Glenmark Pharmaceuticals Limited has increased from ₹437 cr. to ₹3,267 cr. over last 10 years.

We can see that for all these companies, which are trying to grow at a pace faster than their inherent self-sustainable growth rate (SSGR), their debt levels are spiralling in an attempt to provide funds needed to produce the excess growth. The debt-funded growth exposes the company and its shareholders to high risk of reduced profitability and bankruptcy during tough economic situations.

C) Companies that have SSGR less than the current growth rate, but still manage to reduce debt over the years.

Ideally, companies with self-sustainable growth rate (SSGR) less than current growth rate are expected to see high debt levels as seen in the above discussion. It is with the assumption that such companies do not generate sufficient funds from their profits to meet the requirements of growth. However, an investor would come across companies where despite low self-sustainable growth rate (SSGR), the companies have reduced their debt levels.

In most of these companies, the investor would find that the companies have improved their operating efficiency over the years or have sold their assets to generate cash to repay debt.

Improved operating efficiency would release funds stuck in working capital either in the form of inventory or receivables. Increasing inventory turnover or decreasing receivables days lead to funds stuck in working capital being released. It would be evident from cCFO of last 10 years being higher than cPAT over the same period.

Funds raised from sales of the assets would appear as positive cash from CFI (cash flow from investing).

Copyright © Dr Vijay Malik. All Rights Reserved.

We can see the example of Fiem Industries Limited, which has SSGR lower than the current growth rate. Nevertheless, it has been able to reduce its debt by improving its operating efficiency.

Fiem Industries Limited

(INR Crores/10 Millions)	Mar-05	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Total 10 Years
Sales	100	124	168	177	219	294	417	534	602	718	
Net profit after tax (PAT)	3	8	14	9	5	11	11	21	27	37	146
Net Profit Margin (NPM)	**3%**	**6%**	**8%**	**5%**	**2%**	**4%**	**3%**	**4%**	**5%**	**5%**	
Depreciation	3	4	5	8	9	9	13	17	18	22	
Net Fixed Assets (NFA)	38	49	94	125	123	139	217	282	293	313	
Depreciation as % of NFA (Dep)	**7%**	**7%**	**5%**	**6%**	**7%**	**7%**	**6%**	**6%**	**6%**	**7%**	
Net Fixed Asset Turnover (NFAT)		**2.8**	**2.4**	**1.6**	**1.8**	**2.2**	**2.3**	**2.1**	**2.1**	**2.4**	
Dividend Payout	0	0	2	2	2	2	3	3	4	6	
Dividend Payout Ratio as % of PAT (DPR)	**0%**	**0%**	**18%**	**27%**	**54%**	**23%**	**22%**	**14%**	**15%**	**16%**	

Self Sustainable Growth Rate (SSGR)				**6%**	**0%**	**-2%**	**-3%**	**0%**	**1%**	**2%**

	3Yr	5Yr	7Yr	10Yr
Past sales growth rate	**20%**	**27%**	**23%**	**25%**

Total Debt	**23**	**27**	**31**	**48**	**49**	**54**	**131**	**139**	**107**	**87**

	Mar-05	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Total 10 Years
Inventory Turnover (High is better)							**12.0**	**12.1**	**12.8**	**15.8**	
Cash from Operating Activity (CFO)	**0**	**15**	**4**	**8**	**22**	**39**	**20**	**52**	**71**	**77**	**307**

We can see that the self-sustainable growth rate (SSGR) of Fiem Industries Limited is about 1-2%. However, the company has been growing at about 25% over last 10 years. Comparison of past sales growth with SSGR would indicate that the excess sales growth should have been funded by debt. It has been true in the past as we can see that the debt levels of Fiem Industries Limited have increased from ₹23 cr. in FY2005 to ₹139 cr. in FY2012.

However, the improved inventory turnover in recent years from 12.0 to 15.8 has released the capital stuck in working capital. This has led to the generation of excess cash by way of cCFO over last 2 years of ₹148 cr. (71+77) than cPAT of ₹64 cr. (27+37) over same period. The cash released from working capital could be used by the company to reduce its debt over last 2 years from ₹139 cr. to ₹87 cr.

An investor should be cautious while investing in such companies, as their inherent business model cannot sustain high growth rates they are trying to achieve. Debt reduction is mainly due to improving efficiency. Debt levels are expected to rise when these companies reach an optimal level of operating efficiency and are not able to reduce working capital further or do not have further non-core assets to sell.

D) If SSGR is similar to current growth rate of the company

In such companies, the investor needs to see whether the entire profits are available for fixed asset creation or are being stuck in working capital. A simple test to find this out is by comparing the cumulative net profit after tax (cPAT) of last 10 years with the cash flow from operations (cCFO) over the same period.

If cCFO, which factors in changes in the working capital, were significantly less than cPAT, then it would indicate that the company would not be able to maintain its current growth rate without raising additional

Copyright © Dr Vijay Malik. All Rights Reserved.

funds. Otherwise, the company would need to raise additional cash through either equity or debt to fund its increased working capital needs along with growth.

Conclusion

We can see that the companies, which have high Self-Sustainable Growth Rate (SSGR), are able to grow in a debt-free manner and provide good wealth creation opportunities for shareholders.

High Self-Sustainable Growth Rate (SSGR) is dependent upon below factors:

1. High net profit margins (NPM)
2. Low dividend payout ratio (DPR)
3. Low depreciation (Dep)
4. High net fixed asset turnover (NFAT)

Therefore, a company that currently has low Self-Sustainable Growth Rate (SSGR), can improve its SSGR by:

1. Improving its profitability (NPM) so that it generates higher funds by profits
2. Reducing dividend payouts so that most of the profits are reinvested in company's operations
3. Increase net fixed asset turnover (NFAT) by using better technology & processes so that it can produce more sales from the same amount of fixed assets.

I believe that an investor should invest in companies, which have nil or very low debt on their books. Such companies are easy to find by filtering all the stocks on debt to equity parameter. However, the ideal investments are the stocks, which can remain debt-free when they grow in future. The investor can find such stocks by analyzing the Self-Sustainable Growth Rate (SSGR) during detailed analysis.

This brings us to the end of this chapter in which we learned about assessing the inherent growth capabilities of companies. We noticed that companies trying to grow at a higher rate than the self-sustainable growth rate (SSGR) end up having a lot of debt on their balance sheet. Such companies expose the shareholders to high risk. On the other hand, if companies having self-sustainable growth rate (SSGR) higher than the current growth rate, then they can keep on growing without raising debt and provide good long-term investment opportunities for investors.

Copyright © Dr Vijay Malik. All Rights Reserved.

10) How to do Valuation Analysis of a Company

Valuation analysis is conducted to decide whether the stock of a company is current selling at attractive (cheap/undervalued), fair (rightly priced) or expensive (overvalued) valuations. Valuation analysis is the second level of filter post financial analysis, used to select stocks for further analysis. Only the stocks that satisfy the criteria of good financial performance and attractive valuations should be analysed further.

Once an investor has found a financially strong company by using the parameters highlighted in the previous chapter, she should do the valuation analysis to check whether the stock of the company is priced right.

If the shares of a company are overvalued then the investor should avoid investing in it, however, good the company's financial position may be. Investing hard-earned money in overvalued stocks exposes the investor to higher levels of risk where the potential of future appreciation is limited but the risk of losing money is high. Therefore, valuation analysis becomes paramount before taking a decision to buy any stock.

Valuation analysis compares the stock market values of the stock of a company with its financial parameters. Stock market values consist of current market price (CMP), market capitalization (MCap) etc. Various financial parameters, which are used in valuation analysis, are earning per share (EPS), sales, sales growth rate, earnings (EPS) growth rate, book value, shareholder's equity, dividend payout etc.

Different investors have devised many criteria to assess the current valuation levels of the stock of a company. Some of these criteria are:

Price to Earnings Ratio (P/E ratio)

P/E ratio is the most widely used parameter to analyse whether the stock of any company is overvalued or undervalued at any point in time. It is calculated by dividing the current market price (CMP) of a stock by profit/earnings per share (EPS). It represents the price an investor pays to buy ₹1 of earnings of a company.

If P/E is 10, it means that to get ₹1 of earnings in one year from a company, the investor is paying ₹10. Similarly, if P/E is 20, it means that to get ₹1 of earnings in one year from the company, the investor is paying ₹20. If we compare P/E ratio of 10 and 20, in the above example, it would become evident that at P/E of 20, the investor is paying more money to get the same value of ₹1 in earnings than when P/E is 10.

Investors interpret P/E ratio and its derivatives in multiple ways to decide about valuation level of a stock:

- Comparing P/E ratio of the stock with the industry in which the company operates: Industry P/E ratio is the average of P/E ratios of all the companies of the specific industry listed on the stock exchange. If P/E ratio of the stock is higher than the industry P/E ratio, it is assumed to be overvalued and vice versa.
- Comparing current P/E ratio with historical P/E ratio of the stock: if P/E ratio is lower than average P/E ratio of last 10 years, then the stock is deemed undervalued and vice versa.
- Comparing P/E ratio with earnings (EPS) growth rate (PEG ratio) as described below and

Copyright © Dr Vijay Malik. All Rights Reserved.

- Comparing P/E ratio in form of Earnings Yield (EY) with the yield on other asset classes like government securities (GSec), Treasury Bills etc. as described below.

P/E To Growth Ratio (PEG Ratio)

PEG ratio compares the P/E ratio with the growth rate of earnings (EPS) of the company. The underlying assumption is that a stock can command a P/E ratio, which is comparable to the growth rate of the earnings of the company i.e. a company that is growing its earnings at 25% yearly should have a P/E ratio should be about 25.

PEG ratio is measured by dividing P/E ratio with the earnings growth rate (PEG ratio). If P/E ratio is less than the growth rate of the earnings of the company i.e. if PEG ratio is less than 1, the stock is assumed to be undervalued and vice versa.

Earnings Yield (EY)

EY takes into account the absolute value of P/E ratio. It is measured as the inverse of P/E ratio i.e. E/P. It is calculated by dividing the EPS with CMP. EY provides an idea about the earning/returns that a stock would produce for every ₹ invested by the buyer in it.

If P/E is 20, then EY would be 1/20 = 5%. Many investors compare EY with Government Securities (GSec) yield in India or Treasury yield in the USA. If EY is more than GSec/Treasury yield, then the stock is assumed undervalued and at an attractive investment as investors would find stocks more rewarding than bonds and shift money from bonds/fixed income investments to stocks.

10-year GSec yield in India is currently about 8%. As per above parameter, a stock should have EY of at least equal to 8% (i.e. P/E ratio of 1/8 or 12.5) to be considered a better investment over bonds/GSec.

The Margin of Safety (MoS):

The concept of MoS by Benjamin Graham is based on EY. Graham says that the higher the difference between EY and GSec/Treasury Yield, the safer is the stock investment.

To illustrate, suppose the investor buys a stock of company ABC Ltd at ₹100. If EPS of ABC Ltd is ₹10 then P/E ratio would be 10 and the EY would be 1/10 or 10%. As current GSec yield is 8%, ABC Ltd is a good investment. Suppose, after the investor buys ABC stock, its price falls and become ₹50, then the P/E ratio would become 5 and the EY would become 1/5 i.e. 20%. EY of 20% would attract more and more investors to shift money from bonds markets and use it to buy ABC stock as it yields 20% against GSec yield of 8%. This new demand for ABC stock will increase its stock price and limit the downfall. Herein, Graham says that higher the difference between EY and GSec/Treasury yield, higher is the Margin of Safety.

I prefer stocks with P/E ratio of less than 10 as they offer a good margin of safety.

Copyright © Dr Vijay Malik. All Rights Reserved.

Price to Book Value Ratio (P/B ratio)

P/B ratio is calculated by dividing the CMP of a stock with the book value (shareholder's equity + retained earnings) per share. It represents the price an investor pays for ₹1 of the net assets of the company after settling all its outsider's liabilities.

P/B ratio of 1 means that the investor is paying exactly the money that the assets are in company's records. P/B ratio of 2 means that one is paying double the amount that the assets are in company's records. Higher book values mean costlier valuations of the company. Stocks with P/B ratio of less than 1 are considered undervalued and vice versa.

I find P/B ratio irrelevant due to the usage of the historical cost of company's assets while calculating the book value. The historical cost might not represent the current market value of company's assets. However, P/B ratio is very important for companies in the financial sector where most of the assets are cash assets and book value is a good indicator of the net worth of the company.

Benjamin Graham said that an investor should look for companies where P/E * P/B is < 22.5. However, I focus mainly on companies with P/E <10 while ignoring P/B ratio.

Price to Sales Ratio (P/S ratio)

P/S ratio was used by James O'Shaughnessy. It is calculated by dividing CMP of a stock with sales per share of the company. It effectively compares the MCap of the company with its annual sales. If P/S ratio of a stock is <1.5, then the stock is considered undervalued. O'Shaughnessy advised investors to sell the stock once its P/S ratio exceeds 3.

Dividend Yield (DY)

DY is a measurement of dividend paid by a stock compared to its market price (DY = dividend paid/CMP). If a company with CMP of ₹100 pays a dividend of ₹2 per share in a year, then its DY is 2%.

An investor can relate DY to the rental yield of a residential property or yield on bonds/GSec/Treasury. If annual rental income is ₹2 lac (0.2 million) from a flat, which has a value of ₹1 crore (10 million), then the rental yield of that flat is 2%. High yields, whether dividend or rental, mean that share/flat prices are cheaper and low yields mean that share/flat prices are costlier. Stocks with DY of >5% are considered very attractive.

However, companies that are growing very fast need to invest most of the profits for expansion plans. Such companies prefer to declare very small dividends. I do not focus on the DY if the company puts the retained profits to good use.

We can find out whether the company is utilizing retained earnings to generate value for shareholders, by comparing the amount of retained earnings with the increase in market capitalization of the company over last 10 years. As per Warren Buffett, a company should generate at least $ 1 in market value for each $ 1 of profits retained. This comparison is an important parameter for assessing the management capability to

Copyright © Dr Vijay Malik. All Rights Reserved.

generate value for shareholders. I would discuss more about it in the chapters on management analysis of a company.

Enterprise Value (EV) To EBITDA Ratio (EV/EBITDA)

Enterprise value (EV) of a company is calculated as Equity + Total Debt – Cash & Equivalents. It is a measure of all the funds employed by a company in its operating assets irrespective of their source i.e. whether own or borrowed funds. We deduct cash & equivalents as they represent the excess assets, which are not deployed in the operations of the company yet. Cash investments provide interest/investment income, which is non-operating income for the company. An individual investor should use market capitalization (MCap) of the company in place of Equity in above formula to arrive at current EV of the company.

EBITDA stands for earnings before interest, tax, depreciation and amortization. EBITDA is a measure of the amount of profits that are pertaining to all stakeholders in the company including shareholders, bondholders or lenders.

EV/EBITDA is a measure of analyzing the valuation level of companies that does not factor in the capital structure (debt to equity ratio) of the company.

Interpretation of EV/EBITDA is similar to P/E ratio. What P/E ratio is for equity holders of a company, EV/EBITDA is for all stakeholders (shareholders, bondholders & lenders put together) of the company. Low EV/EBITDA ratio represents undervalued company and vice versa.

EV/EBITDA is mainly used by investors when they plan to buy entire companies rather than investing in a small number of stocks. However, it still has its relevance for equity investors.

Conclusion

In the current chapter, we learnt about various parameters used for doing valuation analysis of the stock of a company in details. The parameters discussed above are simple ones and should suffice for the basic due diligence by any individual investor.

There are many more ratios like Price to Cash EPS ratio, Cash to MCap ratio etc., which can be used to gain further insights into the valuation levels of the stock of a company. However, I believe that if an investor analyses any stock on some of the parameters discussed above before she commits to buy it, she would be able to avoid putting her hard-earned money in overvalued stocks where the potential of future appreciation is rather limited and the risk of loss of money is high.

To summarize the important valuation parameters:

- Price to Earnings ratio (P/E ratio): I prefer investing in financially sound companies with P/E ratio of <10. They provide a good margin of safety.
- P/E to Growth ratio (PEG ratio): should be <1.

Copyright © Dr Vijay Malik. All Rights Reserved.

- Earnings Yield (EY): should be greater than long-term government bond yields or bank fixed deposit interest rates.
- Price to Book value ratio (P/B ratio): should be <1. However, I find it irrelevant for sectors other than financial services.
- Price to Sales ratio (P/S ratio): buy if P/S ratio is < 1.5 and sell if >3.
- Dividend Yield (DY): Higher the better. DY of >5% is very attractive. However, I do not focus a lot on DY for companies in the fast growth phase.
- EV/EBITDA: It is a valuation parameter for entire stakeholders and removes the impact of sources of funds (i.e. capital structure or debt to equity ratio).

Copyright © Dr Vijay Malik. All Rights Reserved.

11) Hidden Risk of Investing in High P/E Stocks

Every investor, be it in any stock market across the world, would have come across many stocks, which trade on sky high price to earnings (P/E) ratios. These P/E ratios sometimes cross all reasonable levels of valuation logic; sometimes even crossing levels of 100!

I have been repeatedly asked by many investors whether they should invest in such high P/E stocks and why I always stay away from such companies.

Many investors perceive high P/E companies as the ones with assured future growth and very good management. Other investors perceive low P/E stocks as the ones with assured problems.

A recent incident, when I received an offer from a broker to buy stocks of an unlisted insurance company of a very reputed financial services group, at a very high P/E ratio, made me think about different aspects of investing in high P/E stocks. The argument inevitably led to a comparative analysis of investing in high P/E and low P/E stocks.

The current chapter is an attempt to put in perspective the odds of success and the hidden risks that investors face while investing in high P/E stocks.

Recently, I got an offer from a broker to buy stocks of HDFC Standard Life Insurance Company Limited at ₹195. The company is not listed on stock exchanges, therefore, there are limited opportunities to buy its stocks

21st December, 2015.

To,

Dear Investor,

Subject : **Offer to Sell Unlisted/ Unquoted Securities.**

Respected Sir,

Kindly Find Our Offer As Under :-

Sr.	Scrip Name	Offer Rate
1	Hdfc Standard Life Insurance Company Ltd	195.00

As I am always willing to explore stocks, therefore, I thought about doing a preliminary analysis of this opportunity. HDFC Standard Life Insurance Company Limited provides its financials, annual reports, investor's presentations on its website. Therefore, it was not difficult to do a brief assessment.

I found that the current earnings per share of HDFC Standard Life Insurance Company is ₹3.93, which meant that the current price amounted to a price to earnings ratio (P/E ratio) of almost 50 (49.62 to be precise).

Copyright © Dr Vijay Malik. All Rights Reserved.

Profit/(Loss) carried forward to the Balance Sheet		**3,829,861**	**(2,349,779)**
Earnings Per Share - Basic (₹) (Refer note 12 of Schedule 16 (B))		3.94	3.64
Earnings Per Share - Diluted (₹) (Refer note 12 of Schedule 16 (B))		3.93	3.64
Significant accounting policies & Notes to the accounts	16		
Schedules referred to above and the Notes to the Accounts form an integral part of the Accounts			

In terms of our report of even date attached

For Haribhakti & Co. LLP
Chartered Accountants
Firm Registration No.103523W

For and on behalf of the Board of Directors

Deepak S Parekh
Chairman

Sir Gerry Grimstone

Amitabh Chaudhry
Managing Director & CEO

Keki M Mistry

I am a value investor who likes to buy stocks cheap; in fact, very cheap. The cheaper, the better. Usually less than P/E ratio of 10. The offer of shares of HDFC Standard Life Insurance Company at such a high level (P/E ratio of 50) made me think about the proposition, which should be offered to investors to make them buy stocks at such valuation levels.

A little thought brought about many factors, which might be put forward to the investors to convince them about such valuation levels. Some of these factors are like:

- The underpenetrated insurance market in India leading to huge market opportunity.
- HDFC group having an established management track record, which gives confidence that they would take timely decisions to capitalize on the opportunity
- HDFC being a recognized brand is expected to attract required talent to grow at a fast pace
- HDFC group companies (HDFC Limited, HDFC Bank Limited) have been accorded good valuations by markets in terms of both price to equity ratio (PE ratio) and price to book value ratio (PB ratio). This gives the confidence that if HDFC Standard Life Insurance Company Limited repeats the performance of its group companies, then the market might be willing to assign the same level of valuation parameters to it as well.
- and many more reasons, including that HDFC Standard Life Insurance Company Limited, would come with an IPO later where stocks would be sold at an even higher price. We leave such other reasons for discussion for some other day.

I found that this proposition is no different than any other listed stock, which is currently trading at sky-high valuations of P/E ratio of >50x. In all these cases, an investor is presented with an established brand, which is mostly market leader having a huge untapped market potential for continued future growth. There are many examples of such stocks like Page Industries Limited, Eicher Motors Limited, and Just Dial Limited (which until recently, used to trade at P/E ratio of >75).

Therefore, the current chapter is equally relevant for stocks both in public and private markets, which are trading at high valuations.

As mentioned earlier that I focus on stocks trading at cheap valuations. However, for a change, I started thinking from the perspective of an investor, who decides to invest in stocks that are presented as having "almost" certain high growth in future:

Copyright © Dr Vijay Malik. All Rights Reserved.

- I imagined that the investor had already bought HDFC Standard Life Insurance Company Limited at the offer price of ₹195 currently in the year 2016.
- I imagined that time has shifted by 10 years (the year 2026) and the investor is still holding the shares of HDFC Standard Life Insurance Company Limited that she bought in 2016 at ₹195.
- I imagined that over last 10 years (2016-2026) all the above assumptions about the future growth of insurance sector and the resultant growth of HDFC Standard Life Insurance Company Limited, have come true.
- I imagined that HDFC Standard Life Insurance Company Limited is now listed on stock exchanges, in the year 2026.
- I also imagined that HDFC Standard Life Insurance Company Limited is being valued at similar levels at which other established HDFC group companies like HDFC Limited and HDFC Bank Limited, are trading, after showing decades of sustained good business performance.

With all these imaginations in my mind, I thought about the kind of returns the investor would have made as a long term investor in HDFC Standard Life Insurance Company Limited.

It required some simple mathematical calculations, as below:

- HDFC Standard Life Insurance Company Limited grows its earnings at an excellent rate (CAGR) of 25%. It is seen that growth rates in excess of 25% are unsustainable over long periods of time and growth, even for established brands, inevitably moderates to such reasonable levels of 20-25%. Take the case of Hindustan Unilever Limited, which has grown by 11% over last 10 years.
    - Earnings per share (EPS) of HDFC Standard Life Insurance Company Limited after 10 years: 3.93*(1.25)^10=₹36.60
- HDFC Limited and HDFC Bank Limited are currently trading at consolidated P/E ratios of 17.75 and 22.74 respectively (data from screener at February 27, 2016). I assumed that HDFC Standard Life Insurance Company Limited would trade at a P/E ratio of 23 after 10 years of consistent growth.
    - Therefore, HDFC Standard Life Insurance Company Limited is assumed to be trading at a price of ₹841.80 in 2026 (=36.60*23)
- I calculated the amount of return the investor would have made in terms of capital gains for holding HDFC Standard Life Insurance Company Limited for 10 years:
    - Unrealized capital gains: (841.80/195)^(1/10) = 15.7%
- I assumed that HDFC Standard Life Insurance Company Limited would be paying a dividend to reward its shareholders for association. Its dividend yield is expected to be about 1-2%, in line with other large cap stocks. HDFC Limited and HDFC Bank Limited have current dividend yields of 1.43% and 0.83% respectively.
    - Assuming 1.3% of dividend yield provided total return (capital gains + dividends) of 17% per annum (15.7% + 1.3%) for holding HDFC Standard Life Insurance Company Limited for 10 years

An annual return of 17% over 10 years, is a respectable rate of return for any investor. I would be very happy to earn a return of 17%, if it's reasonably certain, over 10 years.

Copyright © Dr Vijay Malik. All Rights Reserved.

However, in life, especially in business and equity markets, environment changes very frequently. Well-thought out assumptions fail to materialize and the growth shown in business models remains on excel only.

Let's see what all could happen over upcoming years, which might prevent HDFC Standard Life Insurance Company Limited to achieve a sustained formidable growth of 25% over next 10 years:

- Current market leader, Life Insurance Corporation of India Limited (LIC), might reduce prices of products, which are currently the costliest in the market and it prices them at par or below private competitors. (Nothing beats the assurance of sovereign guarantee for an insurance company as a surety against payment default when claim needs to be paid. I would have chosen LIC over any other company, if its premium for term life insurance plan would have been similar to other players).
    - this one step by LIC has the potential of deflating business models of many non-serious players in life insurance sector and severely denting the growth rates of others.
- Government's ongoing drive to liberalize insurance sector in order to allow infusion of capital by foreign players would make even relatively smaller Indian players who could tie up with strong foreign partners, as formidable competitors to HDFC Standard Life Insurance Company Limited. It would make the achievement of sustained growth by HDFC Standard Life Insurance Company Limited, difficult.
- HDFC Standard Life Insurance Company Limited might suffer from human errors in leadership, which may delay its growth plans by a few years.
- Unpredictable regulators might come out with certain regulations over next 10 years, which might slow down the business growth
- Judicial activism/public interest litigations/NGOs might change the entire business environment altogether, which might make even doing business, leave apart growth, difficult and put the entire industry behind by a few years. Instances of coal block de-allocation, cancelling of 2G spectrum are pertinent. Such events are becoming more and more frequent, which even though highly beneficial for the industry, in the long run, might push the development back a few year when seen in the perspective of investor's investment horizon.
- Sometimes, the challenges come from entirely unexpected events. Investors in Shale Gas industry would never have seen the oil price slide coming, which has made many of the companies, bankrupt.

Above instances try to highlight the fact that there can be many factors, which may be completely out of control of HDFC Standard Life Insurance Company Limited that might impact its earnings growth rate over next 10 years and consequently, it might grow at a rate lower than 25%.

Similarly, there might be many factors, which might impact the valuation that market might be willing to give to HDFC Standard Life Insurance Company Limited after 10 years:

- The world might be falling apart again in 2026 (assuming 8-10 years of bull-bear cycle)
- India might be falling apart after nonperformance of intervening government/opposition for next 10 years
- We might elect a government, which deprioritizes private investment and promotes public spending as a mode of economy's growth

Copyright © Dr Vijay Malik. All Rights Reserved.

- Foreign investors (FII/FDI) might have found some other destination/country, which offers better potential than India
- And not to forget, the government might tax long-term capital gains from stock markets

There can be many more reasons to believe that the market situations might change and HDFC Standard Life Insurance Company Limited might not be able to command a P/E ratio of 23 after 10 years.

It is evident that the business and market valuation assumptions might not sustain as discussed above in the calculation of expected total return of 17% per annum, by holding shares of HDFC Standard Life Insurance Company Limited over 10 years.

Therefore, it becomes pertinent that we should do a sensitivity analysis of the total return that an investor would earn over varying situations of earnings growth rate that HDFC Standard Life Insurance Company Limited might achieve over next 10 years and the valuation level that market might be willing to assign its shares after 10 years.

We get the following table on doing the sensitivity analysis (with a constant dividend yield of 1.3% assumed earlier):

Sensitivity analysis of Total Returns on purchasing the stock at P/E ratio of 50

Current EPS (₹)	3.93
Purchase price (₹)	195
Purchase P/E ratio	50

		Earnings growth rate for next 10 years					
		30%	**25%**	**23%**	**20%**	**15%**	**10%**
P/E at the end of 10 years	**30**	25%	20%	18%	15%	11%	6%
	25	23%	18%	16%	13%	9%	4%
	23	22%	17%	15%	12%	8%	3%
	20	20%	15%	14%	11%	6%	2%
	15	17%	12%	10%	8%	3%	-1%
	10	12%	8%	6%	4%	-1%	-5%

The table reflects the precarious situation, which an investor puts herself into, by buying stocks at a high price of 50 times the earnings (P/E ratio) in the first place.

- If the annual sustained business/earnings growth rate achieved by HDFC Standard Life Insurance Company Limited over next 10 years is less than 15% (which in itself if a very good growth rate to achieve), then even if the market values it at a P/E ratio of 25, the return of an investor would be 9%.
    - Moreover, if the market decides to value HDFC Standard Life Insurance Company Limited at a more reasonable P/E ratio of 15 (assuming PEG ratio of 1), then the return to the investor would be mere 3%, which is less than the returns provided by a savings account

Copyright © Dr Vijay Malik. All Rights Reserved.

(offers 4%, tax-free up to ₹10,000 per year and after that 2.8% assuming highest tax rate of 30%).

- Similarly, an investor can see that if the market decides to value HDFC Standard Life Insurance Company Limited at a P/E ratio of 15 or lower, then even if it achieves spectacular growth rates of 25% per annum continuously for next 10 years, then its return would be modest (12% or lower)
- And importantly, despite a healthy profitable growth rate of 10%, the investment might become loss making for the investor if the market does not value HDFC Standard Life Insurance Company Limited at a P/E ratio of about 20.

This scenario analysis clearly depicts that by initially purchasing the stock at a high P/E ratio of 50, the investor has put many odds against herself. For her to make a respectable return and beat the return offered by fixed income instruments in India, her selected company must grow its earnings at a rate higher than 20% per annum and the market must value this company at a P/E multiple of more than 20. Otherwise, she might be better off investing in a fixed instrument and have peace of mind while sleeping.

Such a situation reminds me of a runner, who has to keep running on the treadmill at a high speed of 20km/hour for 10 years and the selection committee (market) must recognize her efforts (assigning valuation levels), otherwise it might not be a very happy ending. This becomes a very stressful situation for the runner and increases the chances of injury. The margin of error here is very low.

All this hard work and stress can be avoided, if the investor can take care of one simple thing:

"Never. Never overpay for a stock; however attractive the proposition is!"

Let's assume the investor finds a company, which is hitherto unknown and growing at a good pace with sustained profitability, is conservatively financed and is available at a cheap valuation (assume P/E ratio of 10).

Now, let's see how the total returns (including a dividend yield of 1.3% discussed earlier) to the investor would look like in different scenarios of earnings growth rate over next 10 years and the valuation levels assigned by the market at the end of 10 years:

Sensitivity analysis of Total Returns on purchasing the stock at P/E ratio of 10

Current EPS (₹)	3.93
Purchase price (₹)	39.3
Purchase P/E ratio	10

		Earnings growth rate for next 10 years					
P/E at the end of 10 years		30%	25%	23%	20%	15%	10%
	30	46%	41%	39%	35%	30%	24%
	25	44%	38%	36%	33%	27%	22%
	23	43%	37%	35%	32%	26%	21%
	20	41%	35%	33%	30%	25%	19%
	15	37%	31%	29%	26%	21%	16%
	10	31%	26%	24%	21%	16%	11%

Copyright © Dr Vijay Malik. All Rights Reserved.

An investor would notice that if she does not overpay (i.e. buys at a P/E ratio of 10 in this case), then even if the company achieves an earnings growth rate of 10% per annum over next 10 years and the market assigns the company a P/E ratio of 10, she would make a total return of 11%, which is equal to returns offered by the most attractively priced creditable fixed return instruments in India.

Any scenario of a higher earnings growth rate over next 10 years and any valuation level higher than P/E ratio of 10, would bring positive surprises for the investor.

Earnings growth rate of 20% and P/E ratio of 20, which was essential to beat the fixed income instruments earlier (when the initial purchase price was at P/E ratio of 50), would now give the investor an annual total return of 30%!!

From the above analysis, an investor would appreciate that she can turn the odds of the stock market in her favour if she decides never to overpay for her stocks. She should avoid buying stocks at high P/E ratio, however attractive the story may seem. Instead, she should spend time in finding out companies that are growing at a decent pace with sustained profitability, are conservatively financed and are yet to be recognized by the markets.

The hard work spent in finding out such hidden opportunities can tilt the odds in her favour. She can remain assured that even the modest sustained growth in the earnings and any recognition of her stock pick by established brokerage houses/institutional investors, would bring very pleasant rewards to her portfolio.

I always advise investors to focus more on the initial stock selection by finding good companies at an attractive price. It's like a treasure hunt. However, once the investor has invested in such a company, then she can sleep peacefully over many future years. She can keep adding to her such stocks at every decline with the assurance that the game of the markets is now tilted in her favour.

No wonder, in markets, many renowned investors have stressed:

Never overpay for a stock.

Or

Well begun, half done.

I would summarize it by saying that

"Buy good stocks cheap and get peaceful sleep".

An investor might think that if a stock is fundamentally sound, then the market would have already recognized it and it would no longer be available at low P/E ratio. The investor would not be wrong with this assumption. However, over time markets have proven that good quality stocks especially, the ones with low market capitalization, can remain hidden from institutional radar for prolonged periods of time. No wonder that entrepreneurial investors have been able to find attractive investment opportunities in the markets at cheap valuations.

Copyright © Dr Vijay Malik. All Rights Reserved.

On the contrary, the investor might also think that any stock would be available at a low P/E ratio only when it has certain problems and it might deserve low P/E ratio. The investor is not entirely wrong in this assumption also as low P/E segment is the area which contains almost entire junkyard of stock markets. However, it is this same low P/E segment, where hidden opportunities exist, which have the potential of providing good returns to investors.

I believe that the common perception of high P/E stocks being safe and low P/E stocks being risky, is the very reason that entrepreneurial investors are able to find good investment opportunities in different market situations.

Moreover, an investor does not need to find a lot of such opportunities of fundamentally sound companies available at attractive prices. Experiences of notable investors have shown that a handful of such companies over the lifetime of the investor, are sufficient to create significant wealth for her. I believe that if an investor is able to one such stock every one or two years, then it is more than sufficient for getting good returns from stock markets.

To conclude, I believe that an investor should focus on finding fundamentally sound companies available at low P/E ratio and avoid buying companies with high P/E ratio. If an investor is able to follow this approach and find a handful of stocks over her lifetime, then she could expect to have the odds of the market turned in her favour. In this way, she can expect to generate significant wealth from stock markets without losing her peaceful sleep.

Copyright © Dr Vijay Malik. All Rights Reserved.

12) How to earn High Returns at Low Risk - Invest in Low P/E Stocks

Investing in low price to earnings ratio (P/E ratio) stocks has been around for about a century now. Its most ardent proponent, Benjamin Graham, has been one the best stock investors of all times. He introduced low P/E ratio as one of the founding principles of value investing school. Graham's major focus was to find out stocks, which were selling at a discount to their fair value. Such stocks present an opportunity to earn good returns while exposing the investor to low risk. He pointed out that these stocks can be easily found among stocks trading at a low P/E ratio.

I was introduced to value investing and low P/E stocks in 2008 when I read The Intelligent Investor by Benjamin Graham. I was highly impressed with Graham's teachings & the value investing approach to stock investing. I found a perfect match between my investing aspirations and the principles of value investing. Thereafter, I left technical analysis and started following the fundamental analysis of stock investing.

Graham stressed on two vital principles for stock investors: 1) never overpay for any stock and 2) always keep a sufficient margin of safety while investing.

Upon years of stock analysis, I realized that the stocks, which satisfy Graham's two principles, are invariably the stocks that trade at P/E ratios < 10. These stocks offer great return potential to an investor along with a high margin of safety. I have been investing in low P/E stocks since last 8 years and it has served me well. It has helped me get pleasant returns from my portfolio.

Low P/E stocks have always been referred as risky investments by investors and stock proponents. Their arguments are not entirely wrong because low P/E ratio is the area, which in addition to exciting investing opportunities, also contains the entire junkyard of the stock market.

Low P/E ratio segment contains stocks, which are excellent businesses, growing at a fast pace with good business advantage & efficient management but currently in the nascent stage of their life cycle. Such stocks are yet to be recognized by general market participants and therefore, available at low valuations. On the contrary, this segment also contains stocks that have poor business fundamentals, running in losses and have questionable management that has eroded wealth of shareholders over the years.

Therefore, the key to benefiting from low P/E ratio stocks is to separate the wheat from the chaff. Selecting good stocks in this segment is a treasure hunt where hard work spent is well rewarded.

Graham believed that the prevalent notion of undertaking higher risk being necessary for expecting higher returns is a myth. He believed that expectation of returns depends upon the intelligent effort put in by the investors. Graham said that market inefficiencies provide many opportunities for earning high returns by taking minimal risk provided the investors do the hard work of identifying them.

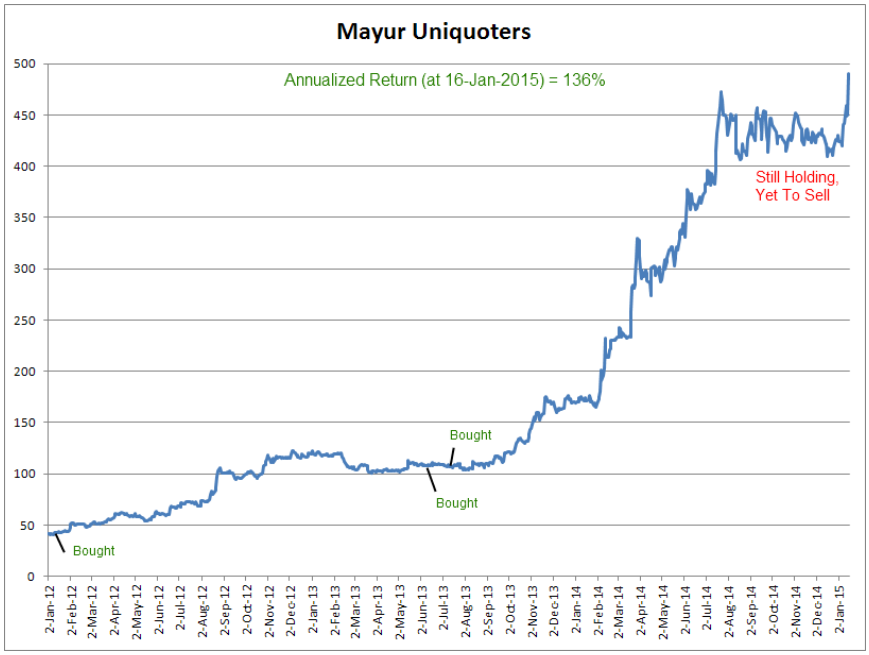
I believe that low P/E stocks (P/E <10), if selected after detailed analysis offer a unique opportunity of high return with low risk for the investor.

Copyright © Dr Vijay Malik. All Rights Reserved.

Examples of investments in two companies: Mayur Uniquoters Ltd. & Vinati Organics Ltd. (Vinati), which I bought in January 2012 and February 2012 at low P/E ratio, after my due diligence, are very pertinent here:

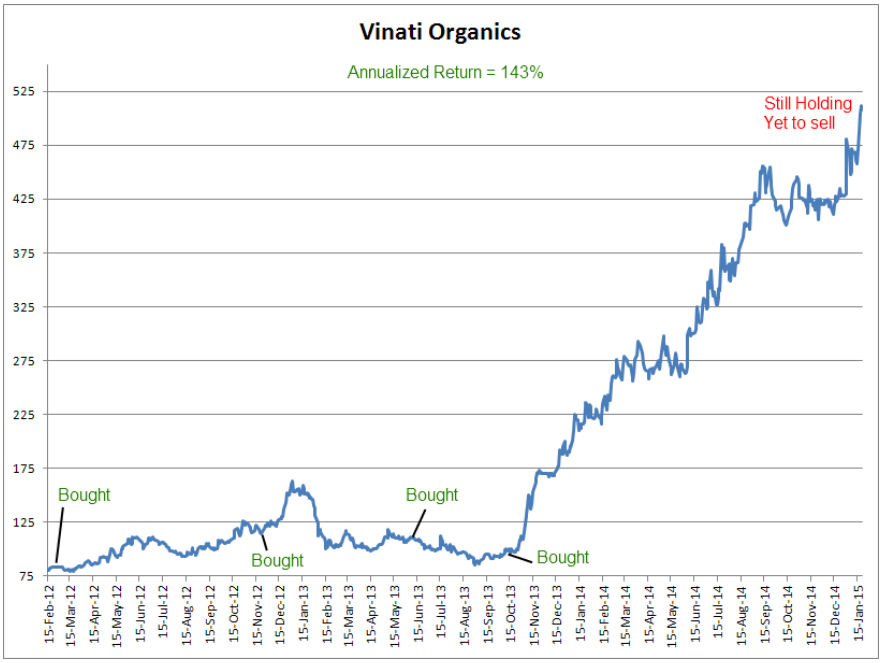
Initial Purchase Details	**Mayur Uniquoters**	**Vinati Organics**
(Split/bonus adjusted)	**Jan-12**	**Feb-12**
EPS for last 12 months (INR) (E)	6.4	10.4
Share Price (INR) (P)	42	80
P/E ratio	**6.6**	**7.7**

Both Mayur Uniquoters and Vinati have provided excellent returns in my portfolio (analysis done in January 2015):



Based on my experience in stock markets since 2006, I have realized that low P/E stocks, if selected after proper due diligence, offer the much aspired combination of high returns with low risk. Let us see which features of low P/E stocks make it possible:

Copyright © Dr Vijay Malik. All Rights Reserved.



Low P/E Stocks Offer High Margin of Safety

The Margin of Safety:

Graham introduced a novel concept of Margin of Safety (MoS) in his book The Intelligent Investor. The margin of safety compared the earnings yield (EY) of a stock with the yield on government securities (GSec) or treasury securities. Earnings Yield (EY) is calculated as the ratio of earnings per share (EPS) and current market price (CMP) of any share.

EY=EPS/CMP

The Margin of Safety implies that the higher the earnings yield from government securities (GSec)/Treasury Yield, the safer is the stock investment.

To illustrate, suppose the investor buys a stock of company ABC Ltd at ₹100. If EPS of ABC Ltd is ₹10 then P/E ratio would be 10 and the EY would be 1/10 or 10%. As current GSec yield is about 8%, ABC Ltd is a good investment. Suppose, after the investor buys ABC stock, its price falls and becomes ₹50, then the P/E ratio would become 5 and the EY would become 1/5 i.e. 20%. EY of 20% would attract more and more investors to shift money from bonds markets and use it to buy ABC stock as it yields 20% against GSec yield of 8%. This new demand for ABC stock will increase its stock price and limit the downfall. This forms the basis of Graham's assumption that the higher the difference between EY and GSec/Treasury yield, higher is the Margin of Safety.

Mayur Uniquoters at P/E ratio of 6.6, offered EY of 15%, which is significantly higher than prevalent GSec yield of about 8%. Similarly, Vinati at P/E ratio of 7.7, offered EY of 13%, which again is higher than the GSec yield. Thus, both Mayur Uniquoters and Vinati offered a very good margin of safety in terms of Benjamin Graham and thus, represented low-risk investment opportunities.

Copyright © Dr Vijay Malik. All Rights Reserved.

Low P/E Stocks Offer High Return Potential

Most of the low P/E stocks are small to mid-cap companies that are yet to be recognized by market participants or large cap companies that are facing trouble and hence, currently, out of favour.

I prefer finding small to mid-cap companies, which show good financial, business, valuation and management strengths and invest in them with a long-term horizon. Such companies have proved to be excellent investments because of many subsequent underlying developments, which work in the investor's favour:

Increased Coverage by Market Participants:

If the selected low P/E companies have a sustainable business advantage and continue growing at good pace, then these companies are recognized by other market participants like equity research firms. Stockbrokers put these companies in their coverage list and publish regular reports about them. Such coverage brings these companies to the notice of other investors and increases the demand for their shares.

The sustained good business performance of Mayur Uniquoters and Vinati Organics has been recognized by research firms. Both these companies are currently being tracked by research firms like HDFC Securities & Edelweiss among many others. Because of the reports of these firms, many investors now know about the good performance of these companies, which has led to increased demand for their shares.

Improvement of Credit Rating:

Sustained good business performance by these companies is also recognized by credit rating agencies. Rating agencies upgrade credit rating of their debt facilities, which leads to lower cost of debt for these companies, which is good for their future business prospects. Apart from the lower cost of debt, improving credit ratings bring these companies under the radar of many institutional investors who start to look at these companies as potential investment opportunities.

During 2012-2015, Mayur Uniquoters was upgraded twice by CARE Ltd from A to A+ (October 2012) and from A+ to AA- (October 2014). Similarly, Vinati Organics was upgraded by CARE Ltd from A- to A (August 2014). These rating upgrades have improved the business prospects for Mayur Uniquoters and Vinati Organics.

The increase in Stake by Institutional Investors:

Increased coverage by research firms, upgrade of ratings by credit rating agencies are some of the factors that bring good performing low P/E companies in the notice of institutional investors. Once convinced of the business advantage of such companies, some institutional investors buy shares of these companies. Once such a company features in the portfolio of one institutional investor, other big investors who track peer portfolios get enticed to these companies and a cycle of investments starts.

Copyright © Dr Vijay Malik. All Rights Reserved.

During 2012-2015, both Mayur Uniquoters and Vinati Organics witnessed increasing investments by institutional investors:

	Shareholding Pattern (%)			
	Mayur Uniquoters		Vinati Organics	
	Dec-12	Dec-14	Dec-12	Dec-14
Promoters	75.0	66.4	75.0	72.3
Institutional Investors	**0.3**	**11.9**	**2.1**	**6.5**
Others	24.7	21.7	23.0	21.3
Total	100.0	100.0	100.0	100.0

P/E Expansion:

Potential of P/E expansion is the single most important factor that leads to good returns for investors in low P/E stocks. Increased demand for their shares by institutional investors & other market participants increases the premium on their shares and thereby the P/E ratio rises.

During 2012-2015, both Mayur Uniquoters and Vinati Organics witnessed a significant increase in their P/E ratios. P/E ratio of Mayur Uniquoters increased from 6.6 to 33.7 and Vinati Organics from 7.7 to 24.5.

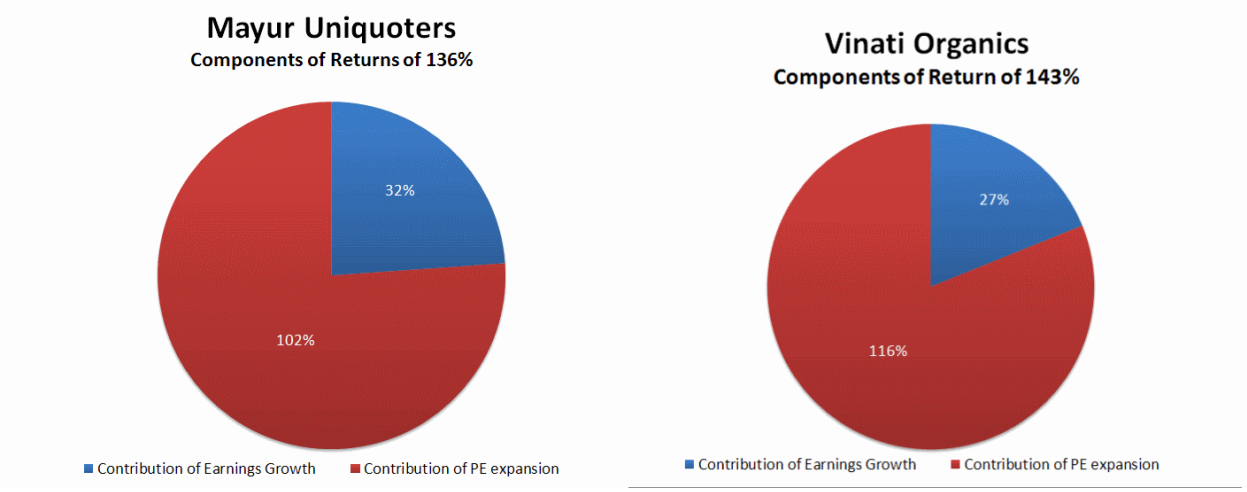
	Mayur Uniquoters		Vinati Organics	
(Split/bonus adjusted)	Jan-12	Jan-15	Feb-12	Jan-15
EPS for last 12 months	6.4	14.6	10.4	20.7
Share Price	42	490	80	508
P/E ratio	**6.6**	**33.7**	**7.7**	**24.5**

P/E expansion is the major factor resulting in significant returns for an investor, apart from continued earnings growth. The below table shows that out of the annualized returns (IRR) provided by Mayur Uniquoters and Vinati Organics, a huge portion is because of P/E ratio expansion:

	Trailing 12 months EPS (INR)			Stocks Return (IRR)	Contribution of P/E expansion
	Dec-12	Dec-14	CAGR (A)	(B)	C = B-A
Mayur Uniquoters	6.4	14.6	32%	136%	**104%**
Vinati Organics	10.4	20.7	27%	143%	**116%**

Copyright © Dr Vijay Malik. All Rights Reserved.

We can see that out of annualized returns (IRR) of 136% generated by Mayur Uniquoters, earnings growth contributed only 32% and P/E expansion contributed whopping 104%. Similarly, for Vinati Organics, out of annualized return (IRR) of 143%, earnings growth contributed only 27% and P/E expansion contributed 116%.



For Mayur Uniquoters, P/E expansion accounted for 75% (102/136) of total returns and for Vinati Organics, P/E expansion accounted for 81% (116/143) of total returns. Therefore, we can see that more than 75% of the total returns generated by Mayur Uniquoters and Vinati Organics are due to P/E expansion.

Limitation on Returns While Buying High P/E Stocks

Capital gains from a stock investment come from the growth of company's earnings and expansion of P/E ratio. If a company's growth potential is well recognized in the stock market, then its share price already factors in future growth potential. Shares of such companies usually trade at high P/E ratios (>20) and scope of future P/E expansion is minimal. If an investor, buys shares of such companies then the contribution from future P/E expansion is very low or nil. On the contrary, if high P/E ratio companies, due to any reason, are not able to match market's expectation of growth rate, then their P/E ratio decreases and the investor can suffer a greater risk of capital loss.

If an investor had invested in Mayur Uniquoters and Vinati Organics at P/E ratio of 25-30, then she would have potentially, got the returns of 32% and 27% respectively, solely due to their earnings growth. She would have missed the contribution of P/E expansion on her investments, which is a very significant component of overall return.

Moreover, according to Benjamin Graham, the stocks with high P/E ratio have low earnings yield (EY), which is well below the GSec/Treasury Yield. Therefore, stocks with high P/E ratio offer low Margin of Safety and in turn, entail higher risk than stocks with low P/E ratio.

Therefore, I believe that stocks with high P/E ratio offer limited return with high risk. Stocks of companies with low P/E ratio offer potential of high returns at low risk.

Copyright © Dr Vijay Malik. All Rights Reserved.

However, low P/E ratio should not be the only criteria for selecting a stock for buying. Investors should focus on finding a conservatively financed, fast growing company available at low P/E ratio. The company should be a fundamentally strong company, which is yet to be recognized by the market. It has to meet all the criteria of the checklist for buying a stock.

An investor has to tread very carefully while investing in low P/E stocks. As mentioned earlier, this is the segment where the entire junk of stock market is present. If an investor were too enamored by low P/E as the only criteria, she may end up owning poor quality stocks that might lead to loss her entire capital.

However, if the investor applies all the criteria of financial, business & industry, management and valuation analysis on the shortlisted stocks and then selects the stock to buy, she would be able to find the winners. It is a treasure hunt!

Additionally, the investor must not forget the equally important process of regular monitoring of stocks in her portfolio.

The sequence of events of recognition by other market participants and P/E expansion might not happen immediately after an investor buys a low P/E stock. It might take years before market responds to the good business performance of stocks. However, until then, an investor should show patience and enjoy the fruits of dividends.

Copyright © Dr Vijay Malik. All Rights Reserved.

13) 4 Principles to Decide the Investable P/E Ratio of a Stock for Value Investors

Deciding about the valuation level of any company at which an investor buys its stock is one of the key aspects of stock analysis. It is said that even a very good company if bought at an overvalued price, might not prove to be a good investment. Therefore, every investor while analysing stocks for investment keeps on continuously asking herself, whether the current price presents an attractive valuation opportunity or whether she might get stuck in an overvalued stock if she buys the stock at current prices.

There are many parameters, which are used by different investors to assess the valuation levels of any stock at a given price. A few of these parameters are listed below:

1. Price to Earnings ratio (P/E ratio)
2. P/E to Growth ratio (PEG ratio)
3. Earnings Yield (EY)
4. Price to Book value ratio (P/B ratio)
5. Price to Sales ratio (P/S ratio)
6. Dividend Yield (DY)
7. EV/EBITDA

Every investor has her own favourite valuation ratios, which she determines based on her own experience and preferences. I prefer using the price to earnings ratio (P/E ratio) as the valuation level for determining the attractiveness of a given stock price of any company.

P/E ratio is the most widely used parameter to analyse whether the stock of any company is overvalued or undervalued at any point in time. It is calculated by dividing the current market price (CMP) of a stock by profit/earnings per share (EPS). It represents the price an investor pays to buy ₹1 of earnings of a company.

The current chapter is an attempt to help the reader tread on a guiding path to determine the right price i.e. P/E ratio to be paid for a stock. This chapter attempts to determine a few of the factors that influence the P/E ratio of the stock and tries to bring some objectivity to the approach of determining the right P/E ratio that the investor might be willing to pay for the stock.

The chapter would focus on the key criteria that an investor should look at while deciding about the P/E ratio (premium or discount) that she may pay for any company. These criteria would help her in deciding about the maximum P/E that she may pay for a company, which she has initially bought at very attractive levels but the stock has now increased in price and P/E ratio. This would also help her in deciding her strategy for accumulating stocks which are already existing in her portfolio.

Among all the multitude of factors that influence the potential purchase price (P/E ratio) of any stock, we believe that there are four primary factors:

1. Prevailing interest rate in the economy
2. Competitive advantage (moat) enjoyed by the company
3. Circle of competence of the investor

Copyright © Dr Vijay Malik. All Rights Reserved.

4. Stable business premium

Let's now delve deeper into each of these factors to assess how they influence the potential purchase price of any stock for the investor:

1) Prevailing Interest Rate in the Economy

The prevailing interest rate in the economy influence the stock prices as well as the underlying business of the companies in a significant manner.

Investor always compare expected returns from stocks with the alternatives available to them. One of the key alternative asset class available to all the investors is debt funds, whose return depends a lot on the prevailing interest rates. As interest rates fall, the returns from debt funds decline and they lose their attractiveness to investors. As a result, a lot of investors shift their money to stock markets and are ok to accept comparative lower returns from stock markets until the time such returns are sufficient to beat the yields on debt funds. It results in investors willing to pay higher prices to same stocks, which they otherwise would not have paid.

On the contrary, if interest rates are high, then investors have debt funds as a readily available alternate asset class giving them good returns. In such a scenario, attractive by the perceived certainty of returns from debt funds, a lot of investors withdraw funds from equity markets as they are unwilling to take the risk associated with stocks and as a result, they are unwilling to hold the stocks at higher prices. It results in the stock prices, in general, getting depressed at the times of high-interest rates.

Moreover, low-interest rates lead to easier and cheaper availability of credit/loans to companies and in turn help them grow and post good results/profits. This leads to a lot of investors buying stocks and taking their prices high in low-interest rate situations. The reverse happens when interest rates are high. Profits of companies decline and the investors push the stock prices lower.

In an attempt to bring an objectivity to this influence of interest rates on the economy, the chapter delves into the concept of margin of safety put forward by Benjamin Graham in his book: The Intelligent Investor.

The discussion below uses Earnings Yield as a factor to determine the margin of safety and the resultant P/E ratio that an investor should target for any stock.

Earnings Yield (EY) is calculated as the inverse of Price to Earnings (P/E) ratio i.e. E/P ratio. It is calculated by dividing the earnings per share (EPS) with the current market price (CMP).

EY provides an idea about the earning/returns that a stock would produce for every ₹1 invested by the buyer in it.

Benjamin Graham advised comparing the EY with Treasury Yield (USA). Similar yield to compare in India is the ongoing yield on Government Securities (G-Sec). The higher the difference between EY and G-Sec/Treasury Yield, the safer is the stock investment.

Copyright © Dr Vijay Malik. All Rights Reserved.

To illustrate, suppose an investor buys a stock of company ABC Ltd at ₹100. If EPS of ABC Ltd is ₹10 then its P/E ratio would be 10 (100/10) and its EY would be 1/10 or 10%. As current G-Sec yield is about 7.50-8.00%, ABC Ltd is a good investment as per Graham's criteria.

Suppose, after the investor buys the stock of ABC Ltd., its price falls to ₹50, then the P/E ratio would become 5 and the EY would become 1/5 i.e. 20%. EY of 20% would attract more and more investors to shift money from bonds markets and use it to buy stocks of ABC Ltd. as it provides an opportunity to invest money at a yield of 20% against G-Sec yield of 8%. This new demand for stocks of ABC Ltd. would increase its stock price and limit the downfall.

The higher the difference between EY and G-Sec/Treasury yield at the time of purchase of the stock, the higher is the cushion in times of adversity i.e. higher Margin of Safety. Therefore, the stocks with higher earnings yield (EY) i.e. the ones with low P/E ratio, would provide a higher cushion to the investor during tough times.

Therefore, one benchmark that an investor might keep to determine the maximum P/E ratio to pay for the purchasing the stock of any company can be derived from Government Securities (G-Sec Yield) or the Treasury Yield.

1. **If the 10 years G-Sec yield is 10%,** then the investor may decide about the maximum P/E ratio to be paid for a stock as 10 (i.e. 1/10%)
2. **If the 10 years G-Sec yield declines to 8%,** then the investor may be comfortable at paying a P/E ratio of 12.5 (1/8%) for the stocks.
3. **If the 10 years G-Sec yield rises to 12.5%,** then the investors should pay only a P/E ratio of 8 to the stock (1/12.5%)

The chapter on assessing the margin of safety uses the above concept to determine the margin of safety inherent in the purchase price of the stock.

2) Competitive Advantage (Moat) enjoyed by the Company

The competitive advantage of any company, aka moat, helps it to protect its business, its market, and its margins from competition. As a result, the company is able to generate higher sales growth, sustained/improving profitability margins, significant free cash flows etc. for its shareholders.

Two concepts are used to determine the margin of safety in the business of a company. These two concepts are:

1. Self-Sustainable Growth Rate (SSGR)
2. Free Cash Flows (FCF)

The current chapter utilizes these two concepts to determine whether the company has a competitive advantage and deserves to be paid any premium in terms of a higher P/E ratio over and above the P/E ratio arrived by using 10-year G-Sec yields discussed above.

Copyright © Dr Vijay Malik. All Rights Reserved.

2. 1) Self-Sustainable Growth Rate (SSGR)

Self-Sustainable Growth Rate (SSGR) is a measure of the growth potential inherent in the business model of a company, which it can achieve using resources generated through its current profits without relying on external sources of funds like debt or equity dilution.

Self-Sustainable Growth Rate (SSGR) utilizes the features of a company's business model like net profit margin (NPM), dividend payout ratio (DPR), depreciation (Dep) and net fixed asset turnover (NFAT) to arrive at the sales growth rate that the company can achieve without leveraging itself.

The formula for calculating SSGR is:

SSGR = [(1-Dep) + NFAT*NPM*(1-DPR)] – 1

It can be inferred from the above formula, the companies with higher profitability (NPM), operating efficiency (high NFAT) and lower dividend payouts (DPR) would have higher self-sustainable growth rate (SSGR).

An investor should compare the SSGR of the company with its current sales growth to see if there is any margin of safety in the business of model of the company:

a) If the SSGR is higher than current sales growth rate:

It means that the company's business features (NPM, NFAT & DPR) allow it to grow its sales at a higher rate than the current growth rate. In the case of economic downturn, the company can safely:

1. reduce its profitability to generate higher demand
2. reduce dividends to conserve funds to make additional investments and
3. invest in fixed assets to improve its plant & machinery/technology (leading to lower NFAT)

in an attempt to maintain its current sales growth rate.

All the above steps would provide funds from business activities and the company would not have to rely on external sources like debt or equity dilution to get funds to maintain its current growth rate. Therefore, the company with higher SSGR can increase their sales growth rate in normal times and maintain current sales growth rate during tough times without leveraging their balance sheet by taking on debt.

This ability to sustain the growth rate in times of stress without impacting the returns to shareholders makes such companies eligible to be paid a premium while purchasing their stocks. Investors may choose to pay a premium over the P/E ratio arrived at after considering ongoing 10 years G-Sec yield, to purchase these companies that have SSGR above sales growth rate.

Let us see the examples of companies, which have SSGR higher than their 10 years sales growth rate:

Copyright © Dr Vijay Malik. All Rights Reserved.

VST Tiller Tractors Limited

VST TILLERS TRACTORS LTD

(₹ Crores/10 Millions)	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Mar-16
Sales	162	189	274	345	427	531	482	624	552	647
Net profit after tax (PAT)	13	14	29	42	46	50	49	83	70	74
Net Profit Margin (NPM)	**8%**	**8%**	**11%**	**12%**	**11%**	**9%**	**10%**	**13%**	**13%**	**11%**
Depreciation	3	3	3	3	2	3	3	4	9	13
Net Fixed Assets (NFA)	27	28	38	51	53	57	77	124	135	127
Depreciation as % of NFA (Dep)	**10%**	**10%**	**7%**	**5%**	**4%**	**6%**	**4%**	**3%**	**7%**	**10%**
Net Fixed Asset Turnover (NFAT)		**6.9**	**8.3**	**7.7**	**8.2**	**9.6**	**7.2**	**6.2**	**4.3**	**4.9**
Dividend Payout	2	3	4	6	8	8	8	13	13	13
Dividend Payout Ratio as % of PAT (DPR)	**18%**	**20%**	**15%**	**15%**	**17%**	**16%**	**16%**	**16%**	**19%**	**17%**

Self Sustainable Growth Rate (SSGR)				**57%**	**71%**	**72%**	**66%**	**66%**	**54%**	**46%**

	3Yr	5Yr	7Yr	10Yr
Past sales growth rate	**10%**	**9%**	**13%**	**17%**

Total Debt	**8**	**8**	**7**	**11**	-	**16**	-	-	-	-

VST Tiller Tractors Limited has an SSGR of more than 45%, whereas it is growing its sales at an annual rate of 15%-17%. SSGR data indicates that the company can grow at a rate much higher than its current sales growth without requiring outside capital in terms of debt/equity dilution. No wonder that the company has shown very healthy growth without raising any debt.

Tide Water Oil Co. (India) Limited

TIDE WATER OIL CO (I) LTD

(₹ Crores/10 Millions)	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15
Sales	263	363	433	481	565	692	801	867	918	956
Net profit after tax (PAT)	8	9	23	28	58	64	59	63	68	171
Net Profit Margin (NPM)	**3%**	**2%**	**5%**	**6%**	**10%**	**9%**	**7%**	**7%**	**7%**	**18%**
Depreciation	2	2	3	3	6	10	9	9	9	7
Net Fixed Assets (NFA)	18	20	26	34	77	72	73	70	69	90
Depreciation as % of NFA (Dep)	**10%**	**9%**	**10%**	**10%**	**8%**	**13%**	**13%**	**13%**	**13%**	**8%**
Net Fixed Asset Turnover (NFAT)		**19.0**	**18.8**	**16.1**	**10.2**	**9.3**	**11.1**	**12.1**	**13.2**	**12.0**
Dividend Payout	1	1	2	3	4	5	10	13	17	30
Dividend Payout Ratio as % of PAT (DI	**17%**	**15%**	**8%**	**9%**	**8%**	**8%**	**18%**	**21%**	**25%**	**18%**

Self Sustainable Growth Rate (SSGR)				**63%**	**89%**	**81%**	**70%**	**60%**	**57%**	**95%**

	3Yr	5Yr	7Yr	10Yr
Past sales growth rate	**6%**	**11%**	**12%**	**15%**

Total Debt	**34**	**14**	**6**	**3**	-	-	-	-	-	-

Tide Water Oil Co. (India) Limited has an SSGR of more than 55%, whereas it is growing its sales at an annual rate of 12%-15%. SSGR data indicates that the company can grow at a rate much higher than its current sales growth without requiring outside capital in terms of debt/equity dilution. No wonder that Tide Water Oil Co. (India) Limited has shown very healthy growth without raising any debt.

Copyright © Dr Vijay Malik. All Rights Reserved.

We can see that the companies like VST Tiller Tractors Limited and Tide Water Oil Co. (India) Limited, which have SSGR higher than their 10 years sales growth are able to sustain their growth without leveraging their balance sheets. In the case of economic downturn, these companies can decide to reduce profitability to generate higher demand, reduce dividends to conserve funds to make additional investments and invest in fixed assets to improve its plant & machinery/technology to maintain their current sales growth rate.

In the case of such companies, an investor may choose to pay a premium (higher P/E ratio) over and above the P/E ratio arrived at after considering ongoing 10 years G-Sec yield.

The premium that an investor might decide to pay for such companies is a personal preference; for example, a premium of incremental PE ratio of 1 for every 5-10% cushion of SSGR over the 10-year sales growth to arrive at the ideal PE ratio.

(Please note that this is a very rough guideline for calculating the amount of premium in terms of P/E ratio of which is yet to be established by any statistical estimates).

b) If the SSGR is lower than current sales growth rate:

The investor would notice that such companies are already growing more than their business potential. Such companies usually rely on raising debt or diluting their equity to generate funds needed for investments to generate the sales growth.

These companies usually grow at a sales growth rate which is much higher than their business potential (SSGR). The result is that these companies have to consistently raise debt/dilute equity to raise funds for investments to generate the growth, as their operational business is not able to generate required amount of funds.

Let us see the examples of companies, which have SSGR lower than their 10 years sales growth rate:

Pratibha Industries Limited

PRATIBHA INDUSTRIES LTD

(₹ Crores/10 Millions)	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15
Sales	174	300	565	806	1,007	1,272	1,670	2,169	2,302	3,165
Net profit after tax (PAT)	12	20	34	45	57	71	81	83	15	44
Net Profit Margin (NPM)	**7%**	**7%**	**6%**	**6%**	**6%**	**6%**	**5%**	**4%**	**1%**	**1%**
Depreciation	1	1	4	7	14	17	23	31	45	59
Net Fixed Assets (NFA)	13	21	92	154	289	316	485	866	1,111	1,073
Depreciation as % of NFA (Dep)	**5%**	**5%**	**4%**	**5%**	**5%**	**5%**	**5%**	**4%**	**4%**	**6%**
Net Fixed Asset Turnover (NFAT)		**17.2**	**10.0**	**6.5**	**4.5**	**4.2**	**4.2**	**3.2**	**2.3**	**2.9**
Dividend Payout	-	3	3	3	5	6	6	6	2	2
Dividend Payout Ratio as % of PAT (DI	**0%**	**14%**	**10%**	**7%**	**9%**	**8%**	**7%**	**7%**	**13%**	**5%**

Self Sustainable Growth Rate (SSGR)				**57%**	**32%**	**21%**	**16%**	**12%**	**5%**	**1%**

	3Yr	5Yr	7Yr	10Yr
Past sales growth rate	**24%**	**26%**	**28%**	**38%**

Total Debt	**50**	**136**	**133**	**248**	**435**	**440**	**971**	**1,508**	**2,037**	**2,283**

Copyright © Dr Vijay Malik. All Rights Reserved.

Pratibha Industries Limited has been growing its sales at a growth rate of about 28%-38% over last 10 years, however, its business model indicates that in the current situation it is not able to sustain any growth beyond 5% from inherent sources in the business as its SSGR is almost 1%-5%. Pratibha Industries Limited has to raise almost the entire amount of funds to support its growth from additional sources like debt.

It is not surprising that Pratibha Industries Limited has witnessed its debt increase from ₹50 cr. in FY2006 to ₹2,283 cr. in FY2015.

Jai Prakash Power Ventures Limited

JAIPRAKASH POWER VENTURES LTD

(₹ Crores/10 Millions)	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15
Sales	272	329	301	289	650	699	1,616	2,253	2,693	3,944
Net profit after tax (PAT)	146	200	213	143	252	165	403	329	20	137
Net Profit Margin (NPM)	**54%**	**61%**	**71%**	**49%**	**39%**	**24%**	**25%**	**15%**	**1%**	**3%**
Depreciation	44	46	46	47	95	95	230	324	447	465
Net Fixed Assets (NFA)	1,521	1,544	1,505	1,584	4,066	3,074	9,657	11,217	12,449	23,104
Depreciation as % of NFA (Dep)	**3%**	**3%**	**3%**	**3%**	**2%**	**3%**	**2%**	**3%**	**4%**	**2%**
Net Fixed Asset Turnover (NFAT)		**0.2**	**0.2**	**0.2**	**0.2**	**0.2**	**0.3**	**0.2**	**0.2**	**0.2**
Dividend Payout	-	-	74	74	-	-	-	-	-	-
Dividend Payout Ratio as % of PAT (DI	**0%**	**0%**	**35%**	**52%**	**0%**	**0%**	**0%**	**0%**	**0%**	**0%**

Self Sustainable Growth Rate (SSGR)				**6%**	**5%**	**4%**	**4%**	**2%**	**0%**	**-1%**

	3Yr	5Yr	7Yr	10Yr
Past sales growth rate	**35%**	**43%**	**44%**	**35%**

Total Debt	**1,081**	**1,070**	**900**	**741**	**5,375**	**12,019**	**14,812**	**18,008**	**20,541**	**22,901**

Jai Prakash Power Ventures Limited has been growing its sales at a growth rate of about 35%-45% over last 10 years, however, its business model indicates that in the current situation it is not able to sustain any growth from inherent sources in the business as its SSGR is almost 0%. Jai Prakash Power Ventures Limited has to raise almost the entire amount of funds to support its growth from additional sources like debt.

It is not surprising that Jai Prakash Power Ventures Limited has witnessed its debt increase from ₹1,081 cr. in FY2006 to ₹22,901 cr. in FY2015 and recently has to resort to selling its assets to repay its lenders.

An investor would notice that the companies that grow at a rate higher than what their business model can fund have to face stress going ahead when the debt burden increases to unsustainable levels.

An investor might feel that she may invest in such companies by buying them at a discount to the P/E ratio arrived at after considering ongoing 10 years G-Sec yield, just as she decided to buy the companies with SSGR higher than sales growth at a premium. However, it is advised that the investor should avoid investing her hard-earned money in such companies and try to find out other opportunities where companies are growing within their SSGR.

Copyright © Dr Vijay Malik. All Rights Reserved.

2. 2) Free Cash Flows

As described in the chapter on margin of safety: 3 Simple Ways to Assess "Margin of Safety": The Cornerstone of Stock Investing, I believe that free cash flow (FCF) is the ultimate measure of investibility of any company.

It is calculated as the surplus cash with the company after meeting its capital expenditure requirements.

FCF = CFO – Capex

Where,

- CFO = cash flow from operations
- Capex = capital expenditure including maintenance capex and capital work in progress (CWIP)

Capex for any year can be calculated as the difference between gross fixed assets (GFA) & CWIP at the start of the year and end of the year. It can also be calculated by deducting net fixed assets & CWIP at the start of the year from the net fixed assets & CWIP at end of the year and adding back the depreciation for the year.

Capex:

(GFA + CWIP) at the end of the year – (GFA + CWIP) at the start of the year

OR

(NFA + CWIP) at the end of the year – (NFA + CWIP) at the start of the year + Depreciation for the year

Free cash flow (FCF) is the most essential feature of any business as it amounts to the surplus/discretionary cash that the business/company is able to generate for its shareholders. FCF is the equivalent of savings for a household.

If we as households are not able to manage our expenses within our means of income, i.e. are not able to save anything, then our financial health is going to suffer a lot in future. We would have to borrow from relative/banks etc. to meet our requirements. The debt, which we raise to fund our expenses, needs to be paid at predefined intervals irrespective of the fact whether we are able to save in future/have our job intact or not. The debt pressure increases the bankruptcy risk and leads to stress in our lives.

The scenario is exactly the same for companies as well.

If a company does not have positive free cash flow, it means that it is spending beyond its means. Such a company would have to raise funds from additional sources like debt or equity dilution to meet its requirements. These funds, if raised from debt, would decrease profitability by interest expense and increase bankruptcy risk and if raised from equity, would lead to dilution of the stake of existing shareholders.

Copyright © Dr Vijay Malik. All Rights Reserved.

In both the cases, the situation of companies continuously raising debt/equity to meet their cash flow requirements becomes less attractive for investors as compared to the companies that are able to meet their fund requirements from their cash flow from operations.

It might be argued that the investments done today by the company would lead to revenue & profits in the future and would generate wealth for the shareholders.

This argument is a valid argument just like an educational loan for an individual. An education funded by the loan is an investment, which has the potential of increasing the skills set, earnings ability and future wealth of a person and therefore is considered a good investment.

Similarly, for companies the investments in plants & machinery and technology is like an educational loan, which increases future earnings potential. Therefore, we should worry about a situation where a company is not able to generate positive FCF for a few year. Such companies might be taking education loans to generate future wealth. However, if a company is not able to generate positive FCF over long periods of time (I assess them over last 10 years), then the company resembles a continuous cash guzzling machine.

It resembles an individual who is continuously garnering degrees after degrees costing millions of rupees/dollar, without ever putting those skills to commercial use. Or those degrees might be fake and cash has already gone down the drain! In both the cases, the investment done is not of much use.

I, as a shareholder, expect the companies I own, to be cash generating machines. Their business should be a source of cash for me and not the other way round. Therefore, positive free cash flow generation by a company over last 10 years, is one of the key criteria for stock selection for me.

Once an investor has identified a company with positive cash flow, then she should further analyse what proportion of cash flow from operations (CFO) over last 10 years, it has used in capital expenditure (capex) and what proportion is available as free cash flow (FCF%).

Free Cash Flow% (FCF%) and Margin of Safety:

I find that the companies, which have achieved their sales growth in the past by using the minimum amount of CFO as capex have a significantly higher margin of safety over the companies which have used almost all CFO. Needless to say, the companies, which have their capex much higher than their entire CFO over last 10 years (i.e. negative FCF), have very low/negative margin of safety.

An illustration:

Let's take an example of two similar sized companies (A & B) growing their sales at a similar rate (say 15%) in the past. Let's assume that both the companies A & B, generated the same amount of CFO over last 10 years (say ₹100 cr).

Let's assume that on analysing the capex done by these companies in last 10 years, we find company A has achieved the sales growth (15%) by doing a capex of ₹50 cr (50% of CFO), thereby, generating an FCF of ₹50 cr. On the contrary, we find that the company B has achieved the same sales growth (15%) by doing a capex of ₹100 cr (100% of CFO), thereby, generating NIL FCF.

Copyright © Dr Vijay Malik. All Rights Reserved.

When the tough times strike the economy in future, the profitability of companies would decline, customers would delay the payment of cash, suppliers would ask for immediate cash and the credit from all sources would become costly.

In such a situation, company A, whose business model permitted it to achieve the sales growth by using only 50% of CFO in the past, would be able to bear the impact of reducing cash inflows as customers cancel their orders, squeeze profit margins and delay the payments. Theoretically, company A can tolerate its profitability and cash collections (CFO) declining by 50%, before signs of stress start becoming visible in its business operations & planned investments.

On the other hand, company B, which was already investing 100% of its CFO to generate its sales, would find even the slightest decline in its cash flow (CFO), impacting its operations. Declining orders, reduced profitability and delayed payments from customers would make it difficult for company B to make payments to its suppliers and do planned investments. Company B would have to rely on additional debt/equity raising to fund its cash requirements.

If there is another company C, which was already using more than 100% of its CFO in capex, thereby having negative free cash flow (FCF). Such a company would already be sagging down under a lot of debt burden. In the tough economic situation described above, company C would find difficult to continue its business operations as usual as sources of cash dry up. The additional debt, which was essential to sustain its business model, would become further costly.

Companies like C are prime candidates for bankruptcy in tough times as they find it difficult to service exiting debt, make payments to suppliers. Such companies, usually being capex heavy and operating at low-profit margins, find it difficult to garner additional business by reducing their profitability as it would push them into losses. Such companies rarely have any margin of safety built in their business model.

Free Cash Flow% (FCF%) and P/E Ratio

Let's see the examples of some of the companies from the perspective of FCF and try to determine if they deserve any premium in terms of P/E ratio over and above the P/E ratio arrived at after considering ongoing 10 years G-Sec yield.

Copyright © Dr Vijay Malik. All Rights Reserved.

a) Companies with Positive Free Cash Flow (FCF):

Atul Auto Limited

ATUL AUTO LTD

(₹ Crores/10 Millions)	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Total 10 Yrs (2006-15)
Sales	129	122	80	117	120	202	299	364	430	493	-
Net profit after tax (PAT)	4	3	1	0	5	9	16	26	30	41	135
Net Profit Margin (NPM)	**3%**	**3%**	**2%**	**0%**	**4%**	**5%**	**5%**	**7%**	**7%**	**8%**	
Cash Flow from Operations (CFO)	4	6	8	7	10	14	20	41	24	36	168
Capex ((NFA+WIP) change+Dep)		8	10	7	2	4	3	11	10	32	88
Free Cash Flows (FCF)											**80**
FCF% (FCF/CFO)											48%

	3Yr	5Yr	7Yr	10Yr
Past sales growth rate	**18%**	**33%**	**30%**	**16%**

Dividend Paid	1	1	0	0	1	2	4	7	8	11	35
Total Debt	**16**	**28**	**34**	**32**	**23**	**6**	**4**	-	-	-	

Over last 10 years (FY2006-15), Atul Auto Limited has generated cash flow from operations (CFO) of ₹168 cr. whereas it needed to invest only ₹88 cr. in its business and thereby leaving ₹80 cr. (48%) in hand of the company as discretionary cash to reward its shareholders. No wonder, the company could provide dividends to the tune of ₹35 cr. over last 10 years despite remaining virtually debt free.

TTK Prestige Limited

TTK PRESTIGE LTD

(₹ Crores/10 Millions)	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Mar-16	Total 10 Yrs (2006-15)
Sales	281	326	401	508	764	1,103	1,358	1,294	1,388	1,525	-
Net profit after tax (PAT)	12	21	22	52	84	113	133	112	92	115	756
Net Profit Margin (NPM)	**4%**	**6%**	**6%**	**10%**	**11%**	**10%**	**10%**	**9%**	**7%**	**8%**	
Cash Flow from Operations (CFO)	4	46	43	62	74	62	97	85	67	122	663
Capex ((NFA+WIP) change+Dep)		25	6	8	21	155	87	71	-6	17	385
Free Cash Flows (FCF)											**278**
FCF% (FCF/CFO)											42%

	3Yr	5Yr	7Yr	10Yr
Past sales growth rate	**4%**	**15%**	**21%**	**21%**

Dividend Paid	3	4	6	11	14	17	20	23	26	31	156
Total Debt	**74**	**47**	**21**	**3**	**2**	**79**	**115**	**27**	-	-	

Over last 10 years (FY2006-15), TTK Prestige Limited has generated cash flow from operations (CFO) of ₹663 cr. whereas it needed to invest only ₹385 cr. in its business and thereby leaving ₹278 cr. (42%) in hand of the company as discretionary cash to reward its shareholders. No wonder, the company could provide dividends to the tune of ₹156 cr. over last 10 years despite remaining virtually debt free.

Copyright © Dr Vijay Malik. All Rights Reserved.

We can see that the companies like Atul Auto Limited and TTK Prestige Limited, which have generated positive free cash flows (FCF) are able to sustain their growth without leveraging their balance sheets. During tough times, such companies can reduce prices of its products, offer higher credit period to its customers, pay suppliers promptly to attract and retain quality suppliers without impacting its balance sheet.

These companies would not need to raise debt for such crisis strategies; only a slight reduction in the dividend payouts to the shareholders would provide enough of money to fund the emergency measures.

In the case of such companies, an investor may choose to pay a premium (higher P/E ratio) over and above the P/E ratio arrived at after considering ongoing 10 years G-Sec yield.

The premium that an investor might decide to pay for such companies is a personal preference; for example, a premium of incremental PE ratio of 1 for every 5-10% cushion of FCF% above minimum any threshold for companies that have been growing their sales above 15% per annum for the last 10 years.

(Please note that this is a very rough guideline for calculating the amount of premium in terms of P/E ratio of which is yet to be established by any statistical estimates).

b) Companies with Negative Free Cash Flow (FCF)

Now, let's see some cases where companies have grown beyond their means (CFO) and have done more capex than its inherent business strength permitted.

Bhushan Steel Limited

BHUSHAN STEEL LTD

(₹ Crores/10 Millions)	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Total 10 Yrs (2006-15)
Sales	2,715	3,815	4,177	4,943	5,611	7,000	9,941	10,744	9,676	10,646	-
Net profit after tax (PAT)	154	313	424	421	846	1,005	1,023	909	62	-1,254	3,904
Net Profit Margin (NPM)	**6%**	**8%**	**10%**	**9%**	**15%**	**14%**	**10%**	**8%**	**1%**	**-12%**	
Cash Flow from Operations (CFO)	454	353	439	537	397	1,009	2,852	-213	2,311	2,173	10,312
Capex ((NFA+WIP) change+Dep)		1,509	2,923	3,194	4,112	4,980	7,531	6,766	8,416	1,823	41,255
Free Cash Flows (FCF)											(30,943)
FCF% (FCF/CFO)											-300%

	3Yr	5Yr	7Yr	10Yr
Past sales growth rate	**2%**	**14%**	**14%**	**16%**

Dividend Paid	10	11	11	11	11	11	11	11	11	-	97
Total Debt	**2,036**	**3,242**	**5,718**	**8,066**	**11,404**	**16,561**	**21,501**	**28,523**	**35,224**	**39,079**	

Over last 10 years (FY2006-15), Bhushan Steel Limited has generated cash flow from operations of ₹10,312 cr. However, its business required it to invest ₹41,255 cr in the company, thereby eliminating any chance of free cash flow. The company, on the contrary, had to raise debt to fund its capital expenditure requirements. Total debt of the company increased from ₹2,036 cr. in FY2006 to ₹39,079 cr. in FY2015.

Copyright © Dr Vijay Malik. All Rights Reserved.

If an investor analyses deeply, then she would notice that the entire dividend of ₹97 cr., paid by the company over last 10 years has been funded by debt.

National Fertilizers Limited

NATIONAL FERTILIZER LTD

(₹ Crores/10 Millions)	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Total 10 Yrs (2006-15)
Sales	1,634	3,866	4,141	5,127	5,092	5,791	7,305	6,720	8,017	8,520	-
Net profit after tax (PAT)	116	176	109	97	172	139	127	-171	-90	26	701
Net Profit Margin (NPM)	**7%**	**5%**	**3%**	**2%**	**3%**	**2%**	**2%**	**-3%**	**-1%**	**0%**	
Cash Flow from Operations (CFO)	(223)	(63)	626	122	159	(286)	(118)	(678)	(1,608)	304	(1,766)
Capex ((NFA+WIP) change+Dep)		26	18	27	37	518	2,170	1,774	-34	-141	4,395
Free Cash Flows (FCF)											**(6,160)**
FCF% (FCF/CFO)											349%

	3Yr	5Yr	7Yr	10Yr
Past sales growth rate	**5%**	**11%**	**11%**	**20%**

Dividend Paid	41	53	33	29	52	42	38	-	-	8	295
Total Debt	**227**	**327**	**525**	**265**	**403**	**665**	**2,985**	**5,615**	**7,558**	**7,645**	

Over last 10 years (FY2006-15), National Fertilizers Limited has generated negative cash flow from operations of ₹ (1,766) cr. However, its business required it to invest ₹4,395 cr in the company, thereby further deepening the negative cash flow position. The company, on the contrary, had to raise debt to fund its capital expenditure requirements. Total debt of the company increased from ₹227 cr. in FY2006 to ₹7,645 cr. in FY2015.

The investor would notice that the entire dividend of ₹295 cr., paid by the company over last 10 years has been funded by debt.

If the economic scenario deteriorates further, then companies like Bhushan Steel Limited and National Fertilizers Limited would have to meet its cash requirements by raising further debt or equity. In case its lenders or shareholders, do not provide this capital, then the company would face a difficult time to tide over the crisis and may resort to selling assets to repay lenders or face bankruptcy.

Looking at the above situation, it is clear that companies like Bhushan Steel Limited and National Fertilizers Limited do not have a significant margin of safety built into its business model.

An investor might feel that she may invest in such companies by buying them at a discount to the P/E ratio arrived at after considering ongoing 10 years G-Sec yield, just as she decided to buy the companies with positive free cash flow (FCF) at a premium. However, it is advised that the investor should avoid investing her hard earned money in such companies and try to find out other opportunities where companies are growing while maintaining a positive FCF.

The investor should note that positive FCF should be a necessity before considering any company for investment and the fact that higher the FCF as a proportion of CFO, the higher the margin of safety.

Copyright © Dr Vijay Malik. All Rights Reserved.

3) Circle of Competence of the Investor

An investor should prefer to invest in the companies, which are in her circle of competence i.e. the companies where the investor understands the products, the markets, the management, the industry etc.

The investor should continuously try to expand her circle of competence by reading more and more about companies and industries. It is one of the key requirements from a stock investor.

Investors usually have a lot of knowledge about companies that are:

- from the industry in which the investor works
- already part of investor's portfolio where the investor had selected the company after doing significant research

It is a known fact that the investors can take informed decisions about the companies that are within their circle of competence and thus have a key advantage over other investors while deciding about investments in these companies. This advantage is also a form of Margin of Safety.

I believe that in case the investor is not finding good opportunities in the markets at very attractive prices, then she can pay a little premium to purchase stocks of companies in her circle of competence.

To illustrate, assuming an investor has a criterion of purchasing companies at a P/E ratio of 10 or lower but is not able to find any new company to add to the portfolio, which is priced at a P/E ratio of 10 or below, then she may think of buying additional quantities of stocks already existing in her portfolio by increasing her ideal PE ratio by paying a premium. This is with the assumption that the investor has selected the stocks in her portfolio by doing sufficient research and has been monitoring the stocks on a continuous basis and is well aware of the management, business, products and markets of the companies in her portfolio.

4) Stable Business Premium:

In 2020, I analysed all 2,800 listed companies with a market capitalization of more than ₹10 cr. (**What I learnt from brief analysis of 2,800 Companies)**

During this exercise, I found that large companies with strong financial performance are valued higher than small companies with strong financial performance.

I noticed that once a company crossed the ₹10,000 cr market capitalization barrier, the market gave it a premium of about 10-15 PE ratio. It means that if an investor finds a company with strong business growth backed by cash flow from operations and characterised by good free cash flow, which the company uses to reward the shareholders and the investor notices that it has a market capitalization of more than ₹10,000 cr, then the investor will find that its PE ratio will be about 10-15 PE more than another similar company with strong fundamental growth with free cash flow etc. but which has a lower market capitalization.

This trend of higher PE ratios to the large companies with good fundamentals seems to be the "stable business" premium that the market pays to such companies. This is because these large companies have an established business model, a much larger reach to their customers, established sales & distribution setup

Copyright © Dr Vijay Malik. All Rights Reserved.

and financial power to withstand the crisis. In addition, during challenging times, large companies take market share away from their smaller competitors. (Read: **Financial performance of large companies shows that they are large for some reason**)

It seems that when companies keep growing their business, then at some level, the market may think that the company has now surpassed the "existential threat". It means that it is highly likely that the company would be able to survive the next crisis and come out of it alive without facing bankruptcy.

Relieving the market of "existential threat" seems to be an important barrier that large companies with good fundamentals seem to have crossed. As a result, the market rewards these companies with a "stable business" premium of a 10-15 PE ratio.

An investor may draw a few inferences from it:

First, if she focuses on the segment of large companies with strong fundamental growth and convinces herself to pay a premium of 10-15 PE ratio to buy stocks of these companies, then she can avoid many negative surprises in her portfolio during a crisis or difficult times. This may bring peace to her investing journey.

On the other hand, the investor may infer that if she finds a small company with strong fundamental growth and stays with the company when it crosses barriers like ₹10,000 cr market capitalization, then the market, in general, will appreciate the company for its "stable business" and no "existential threat". As a result, the market will then give this company a premium of 10-15 PE ratio, which will add a significant amount of return to her portfolio performance.

So, if an investor finds a company with a large business size that have crossed the "existential threat" barrier, then she may pay this "stable business premium" of 10-15 PE ratio to the company.

With this, we come to an end of the current chapter, which focused on the key criteria that an investor should look at while deciding about the P/E ratio that she may pay for any company. These criteria would help her in deciding about the maximum P/E that she may pay for a company, which she has initially bought at very attractive levels but the stock has now increased in price and P/E ratio. This might help the investor in deciding her strategy for accumulating stocks which are already existing in her portfolio.

To summarize, the investor may use the following approach in determining the P/E ratio while buying a stock:

1. **Prevailing Interest Rate in the Economy:**
    1. The investor should use the 10-year government securities (G-Sec) yield/treasury yield to arrive at a benchmark P/E ratio at which she may decide to pay a premium or a discount depending on the other parameters about the company. Lower interest rates/yield scenarios would lead to higher P/E ratios and vice versa.
2. **Competitive Advantage (Moat) enjoyed by the Company:**
    1. Self-Sustainable Growth Rate (SSGR): If the company has an SSGR, which is higher than the last 10 years annual sales growth rate, then the investors may decide to pay a premium

Copyright © Dr Vijay Malik. All Rights Reserved.

over the P/E ratio arrived at after considering ongoing 10 years G-Sec yield, for buying the stocks of the company.

   i. The investor should avoid companies, which have SSGR much lower than the 10 years annual sales growth rate and as a result are growing beyond their business potential by continuously raising debt.

2. Free Cash Flow% (FCF/CFO): An investor may decide to pay a premium over the P/E ratio arrived at after considering ongoing 10 years G-Sec yield, for buying the stocks of the companies which generate high free cash flow as a proportion to their cash flow from operations (FCF/CFO).
   i. The investor should avoid companies, which have negative free cash flows and are funding their growth/normal business operations by raising debt.

3. Circle of Competence of the Investor:

1. In case the investor is not able to find any new stock, which is within her comfortable P/E ratio range, then she may decide to pay a little premium to invest in stocks, which are within her circle of competence. These stocks may be from the existing portfolio of the investor, which she has selected after doing sufficient research or may be from the industry that the investor knows thoroughly about.

4. Stable Business Premium:

1. A premium of 10-15 PE ratio to large companies that have crossed the "existential threat" barrier with a large business size, an established business model, a much larger reach to their customers, established sales & distribution setup and financial power to withstand the crisis and who, during challenging times, can take market share away from their smaller competitors.

Copyright © Dr Vijay Malik. All Rights Reserved.

14) How to do Business & Industry Analysis of a Company

Business & Industry Analysis (BIA) involves analyzing the current situation of the industry in which any company operates and finding out the strengths of the company, which would help it grow its operations at a faster pace in comparison to its competitors. It involves forming an opinion about whether the industry would grow in future and within this industry, whether our company would be able to gain increasing market share.

BIA is one of the most contentious areas of stock analysis. I have never seen any two persons agreeing upon a common conclusion regarding industry & business prospects of any company or sector. If we take any industry, say infrastructure, one analyst would say that infrastructure industry is going to grow as India has a huge shortage of good infrastructure and Hon. Prime Minister's vision has a significant focus on infrastructure development, hence, infrastructure companies would generate good returns for investors. At the same time, another analyst might say that most of existing infrastructure projects are stuck for approvals and all infrastructure companies are reeling under huge debt, hence, by the time investment cycle would revive, all these companies would have turned bankrupt.

There is never a shortage of divergent views in BIA. Therefore, the more an investor discusses BIA with different people, the more she is going to get confused. Hence, it is advised that every investor should have a fixed framework or checklist for conducting BIA for any stock. She should be guided by her framework/checklist while conducting BIA and should not deviate much. Else, the risk of her getting lost in the analysis is very high. Warren Buffett calls such situation as "Analysis Paralysis". One should avoid falling into the trap of analysis paralysis. I firmly believe that any investor who is willing to spend the required time reading the basic books on investing & conducting stock analysis on her own would be able to make her BIA framework/checklist within a few weeks of effort.

The usage of BIA in stock analysis depends on the stock investing approach being followed by the investor. BIA is done only in fundamental analysis approach to stock selection. Technical analysis does not involve BIA as the investor/trader following technical analysis is concerned only with the past prices and trading volume data of the stock and is indifferent to whether the stock is a manufacturing, an agricultural or a financial services company. Fundamental analysis of a stock involves understanding the underlying business of a company, its products, customers, suppliers etc.

Even in the fundamental analysis approach, the importance of BIA depends on whether the investor follows Top-Down or Bottom-Up approach:

Top-Down Approach:

If the investor follows Top-Down approach for stock selection, BIA would be the starting point of her analysis. She would typically follow the EIC (Economy-Industry-Company) approach as detailed in the previous chapters. She would first try to identify those economies (countries) of the world, which are expected to grow at a faster pace than other economies. Once she has found such economies, she studies them in detail and tries to identify the industries, which are expected to witness higher growth than other industries. Upon identifying high growth industries in selected economies, she tries to find out the

Copyright © Dr Vijay Malik. All Rights Reserved.

companies in these high growth industries, which are expected to benefit the most from such expected growth.

Bottom-Up Approach:

A bottom-up approach to the fundamental analysis involves identifying companies, which are expected to grow their business without restricting the stock-picking search to any particular industry or economy (country). All the stocks listed on all the stock exchanges in the world, irrespective of country or industry of operation, are open for selection to the investor. The investor tries to focus solely on companies with superior business strengths without worrying a lot about the industry in which it operates. This approach is very well captured by Peter Lynch when he says:

> Moderately fast growers (20 to 25 percent) in non-growth industries are ideal investments.

I follow the bottom-up fundamental investment approach. Therefore, I give more weight to the business qualities of a company than the industry in which it operates. I try to find a company, which has shown good growth of sales & profits in past years. I consider such a company a good investment candidate irrespective of its industry. I try to focus on the performance of the company in comparison to its industry peers and try to find out if it has any business advantage over its peers. Warren Buffett calls this business advantage "Moat".

How to find out "Distinct Business Advantage (Moat)"

Finding whether a company has Moat or distinct business advantage is the main aim of a fundamental investor. There are varying methods, which different investors use to identify Moat of a company:

Primary Market Research:

Many investors visit company stores, manufacturing plants, meet its customers, suppliers, vendors etc. If time permits, an investor should do these activities, as these will give her information that the stock markets are yet to come across. However, many individual investors including me, have limited time left after the daytime job and therefore, cannot go to the market and meet different stakeholders of the company. Therefore, I use secondary sources to identify parameters, which might act as a proxy to the existence of Moat.

Secondary Sources:

There are many parameters, which can indicate whether a company has any distinct business advantage (Moat) or not. Consistent history of year on year (YoY) sales growth serves as a very good substitute for primary market research for finding out Moat. It has served me well to identify good companies, which have grown their market share consistently over the years.

If a company has minimal or no growth in its sales for past 10 years, then it is certain that it does not have any Moat. Whereas a YoY sales growth of 20% or more indicates that, the company is doing something that is rewarding it with higher sales.

Copyright © Dr Vijay Malik. All Rights Reserved.

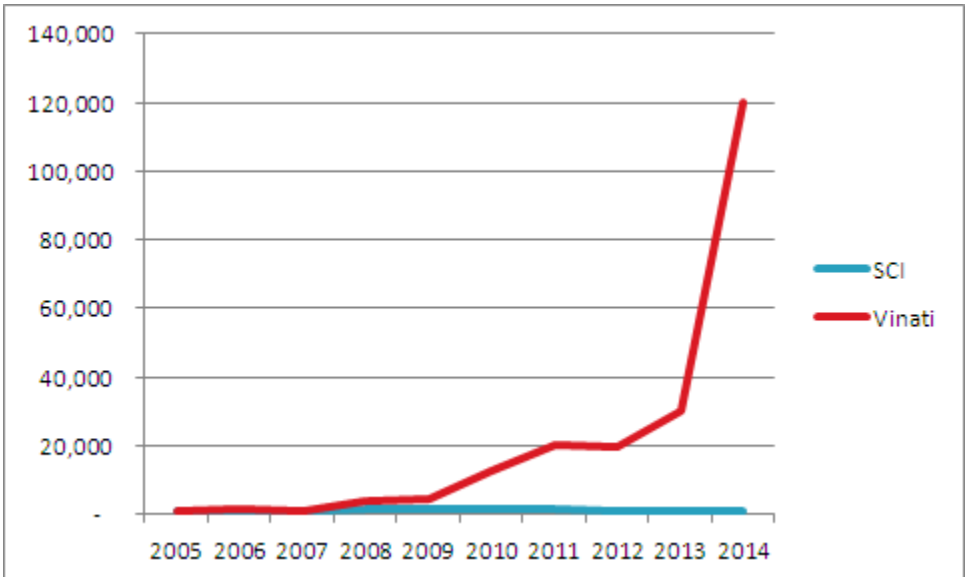
Let us see two companies, which reflect a stark contrast in the compounded annual growth rate (CAGR) of sales over 10 years period of 2005-2014: Shipping Corporation of India (SCI) and Vinati Organics Ltd. (Vinati). The table contains sales figures in ₹Crores/10 Million:

	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	CAGR 2005-14
SCI	3,396	3,531	3,703	3,727	4,167	3,463	3,543	3,868	4,198	4,232	**2%**
Vinati	49	58	84	150	194	237	322	447	553	696	**34%**

We can see the significant different in the business growth of SCI and Vinati over 10 year period of 2005-2014.

Given a choice, an investor should always avoid companies which show minimal/no growth over extended periods in past e.g. SCI which has grown at a meagre rate of 2%. No wonder that SCI has eroded wealth of investors over last 10 years as its market capitalization has decreased from ₹4,000cr (40 billion) in 2005 to ₹3,000 cr. (30 billion) currently. On the contrary, during the same period, Vinati increased its sales at a growth rate of 34% and created huge wealth for its shareholders. Its market capitalization increased from ₹18 cr. (0.18 billion) in 2005 to ₹2,200 cr. (22.00 billion) currently.

Alternatively, we can compare the value of ₹1,000 invested in SCI & Vinati in 2005 with its current value. In SCI the original investment would have reduced to ₹746 wherein Vinati it would have increased to ₹120,000.



However, the criteria of high sales growth should not be taken at face value. Sales growth must be analysed in detail to conclude whether the company has genuine business advantage leading to growth or it is fudging its accounts to show high growth.

Copyright © Dr Vijay Malik. All Rights Reserved.

Analysis of consistent sales growth to find out "Moat"

Whenever an investor finds a company that has been growing its sales at a good rate (e.g. more than 20% YoY) for past 10 years, she should analyse it further to find out whether it is due to due to the distinct business advantage (Moat) of the company:

1. Comparison with Industry Peers:

If a company has sales growth of 20% YoY for past 10 years whereas its peers are growing only at 10% or less, it might have a Moat. However, if all the peers are also growing at same pace, then the company might not have any distinct advantage.

Let us compare sales growth of Vinati, which is a speciality chemical company, with other companies of the same industry during 2005-2014. The table below contains sales figures of each company over 10 years period from 2005-2014. Figures are in ₹Crore/10 million.

	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	CAGR 2005-14
Vinati	49	58	84	150	194	237	322	447	553	696	**34%**
Clariant Chemicals	378	859	691	869	931	935	987	968	1096	1248	**14%**
Anil Ltd	172	172	202	225	276	374	504	602	707	825	**19%**

We can see that sales of Vinati have grown at a rate of 34%, which is more than the growth of Clariant (14%) and Anil Ltd. (19%). It leads us to conclude that Vinati has some advantage (Moat) over and above its peer that is helping it to grow at a faster pace.

2. The increase in Production Capacity and Sales Volume:

Sales growth can come from two sources: increased price of product per unit and increase volume of sales (number of units sold). If a company were able to increase the price of its product consistently without a decline in demand for its product, it would seem great at first instance. However, if sales growth over years is driven solely by an increase in product prices and not by an increase in sales volume, then it is an unsustainable growth because, over time, other substitutes of the product will appear in the market and the company would face irrelevance.

Therefore, it is important that the company, apart from increasing prices, should also increase its market reach by selling its product to more and more customers. The data of units of product sold by the company over years is available in the annual report of every company.

Copyright © Dr Vijay Malik. All Rights Reserved.

	2005	2014	CAGR 2005-14
Production capacity (tonnes per annum)	7,000	63,500	28%
Quantity sold (tonnes) (A)	6,167	54,737	27%
Sales price per tonne (INR) (B)	79,325	127,177	5%
Total sales (₹Cr./10 Million) (A*B)	49	696	34%

Thus, we can see that Vinati has achieved its growth in sales from ₹49 cr. (0.49 billion) in 2005 to ₹696 cr. (6.96 billion) in 2014 by increasing its sold quantity from 6,167 tonnes to 54,737 tonnes and by increasing the price per tonne of its products from ₹79,325 to ₹127,177 during the same period.

This pattern is very healthy as the increase in product prices has been at an annual growth rate (CAGR) of 5%, which is in line with the inflation rate during 2005-14 and, thereby, easily acceptable to consumers. Most of the sales growth by Vinati has been by finding more & more consumers for its products. These consumers had choices of buying products from Vinati's competitors and buying substitute products. However, they decided in favour of Vinati. This is a strong sign of distinctive business advantage (Moat) enjoyed by Vinati.

3. Conversion of Sales Growth into Profits:

A company, which has a distinct business advantage (Moat) will generate increased profits with an increase in sales. Many companies increase their sales by spending a lot on unnecessary capacity additions; heavy sales, marketing & advertisement push which leads to short term increase in sales. However, high expenses in terms of interest on debt taken to fund unnecessary capacity and marketing expenditures ensure that the growth in sales does not benefit shareholders in terms of increased profits.

Therefore, it is paramount to check whether increased sales have led to equivalent growth in profits. Sales growth without an increase in profits means that there is no business advantage.

Let us see how Vinati fairs on this parameter. Figures in the table are in ₹crore/10 million.

	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	CAGR 2005-14
Sales (A)	49	58	84	150	194	237	322	447	553	696	**34%**
Net profit after tax (B)	3	2	4	15	25	40	52	55	69	86	**44%**
Net profit margin (B/A)	7%	3%	4%	10%	13%	17%	16%	12%	12%	12%	

Copyright © Dr Vijay Malik. All Rights Reserved.

We can see that Vinati has not only maintained its profitability over the years but also increased its profit margin from 7% in 2005 to 12% in 2014. This increased profitability has led to Vinati's profits to grow at higher annual rate (CAGR) of 44% against sales CAGR of 34%. These are signs of a definite business advantage (Moat).

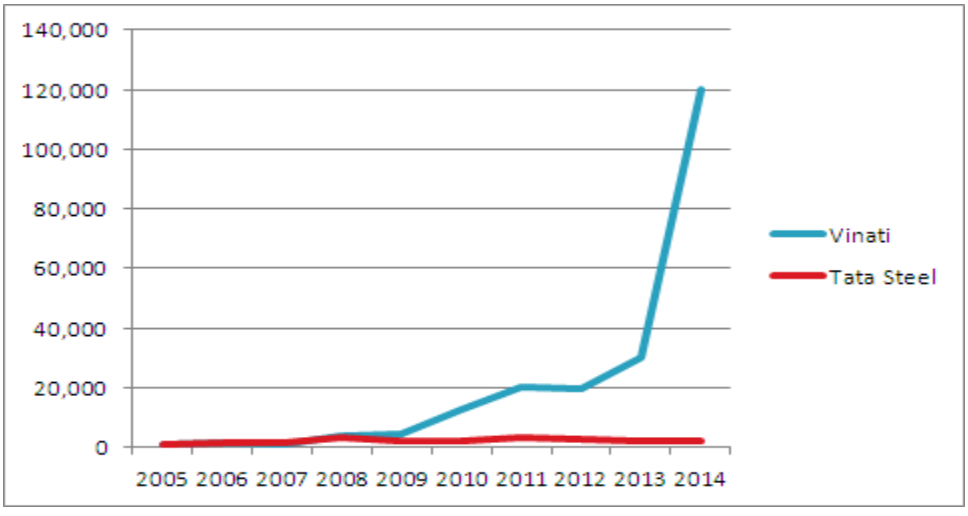
To compare we must see example of a company, which has increased its sales over the years but was not able to maintain its profitability. Tata Steel is a good example of one such company. Figure in the table are in ₹crore/10 million.

	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	CAGR 2005-14
Sales (A)	15,999	20,244	25,118	131,500	147,365	102,306	118,753	132,900	134,712	148,614	28%
Net profit after tax (B)	3,603	3,735	4,177	12,350	4,951	(2,009)	8,983	5,390	(7,058)	3,595	0%
Net profit margin (B/A)	23%	18%	17%	9%	3%	-2%	8%	4%	-5%	2%	

We can see that Tata Steel grew its sales a very good rate of 28% over 10 years from 2005 to 2014. However, most of this growth came from the acquisition of Corus in 2007-08, which was funded by taking huge debt. The company had to pay huge interest on the debt it had taken. Its product is steel, which is a commodity product, where the buyer can easily use steel of any other company to replace steel from Tata Steel, thereby offering no distinct business advantage.

The result was that the company could not convert its growth in sales into higher profits. Despite about 10 times increase in sales from 2005 to 2014, its profits were stagnant at 2005 levels (No profit growth in 10 years). It even reported losses in 2010 and 2013.

Let us compare how much ₹1,000 invested in Vinati and Tata Steel in 2005, would have been today.



Copyright © Dr Vijay Malik. All Rights Reserved.

We can see that ₹1,000 invested in Vinati in 2005 would have become ₹120,000 currently, whereas the same money if invested in Tata Steel, would have become only ₹2,372 currently.

Therefore, an investor should avoid companies, which are not able to convert its increasing sales into profits. Such companies do not have a sustainable business advantage and are not good investment opportunities.

4. Conversion of Profits into Cash:

We must check whether the growing profits are being received by the company as cash. We learnt in "Financial Analysis of a Company" that:

> "A company that sells any product today might not receive its payment immediately. However, it is legitimately eligible to receive it. Therefore, accounting standards allow it to report this sale and its profit in the P&L. However, the money received from the buyer will be reflected in cash flow from operations (CFO) only when the money is actually received from the buyer. Therefore, if we compare profit after tax (PAT) and CFO for any one year, they would differ from each other. However, over a long time, cumulative PAT and CFO should be similar.
>
> If cumulative PAT is similar to CFO, it means that the company is able to collect its profits in actual cash from its buyers. If CFO is abysmally lower than PAT, it would mean that either the company though legitimately eligible to receive money from the buyer, is not able to collect it or the profits are fictitious. In either case, the investor should avoid such a company."

Let us see whether Vinati is able to convert its profits into cash. Figures in the table are in ₹crore/10 million.

	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	Total
PAT	3	2	4	15	25	40	52	55	69	86	**351**
CFO	4	2	2	12	27	29	31	20	92	134	**353**

Thus, we can see that profits generated by Vinati over the years have been collected in cash. It ensures that profits are not inflated or fictitious. This confirms that the business advantage (Moat) enjoyed by the company is for real.

5. Creation of Value for Shareholders from the Profits Retained by the Company:

Any company can do two things with the profits it generates from its operations. Either it can distribute all the profits to its shareholders or it can retain some/all of it with itself to invest for the growth of operations. Any company, which has a sustained business advantage (Moat) will generate greater value for its shareholders from the profits it retains with itself after paying dividends. Warren Buffett says that any company must generate at least $1 in market value for every $1 it retains with itself.

Copyright © Dr Vijay Malik. All Rights Reserved.

Let us check how Vinati and Tata Steel compare on this parameter. Figures in the table are in ₹crore/10 million.

	Vinati Organics	Tata Steel
Total retained profits of last 10 years (A)	305	28,228
Total increase in market capitalization in 10 years (B)	2,174	22,780
Value created per ₹of retained profits (B/A)	**7.13**	**0.81**

Thus, we can see that Vinati Organics created the value of ₹7.13 for every ₹1 of profits retained for investment by it, whereas Tata Steel created only ₹0.81 of value for every ₹1 of profit retained by it. In effect, Tata Steel destroyed the value of shareholders' money that it decided to invest in its own business, which does not have any distinctive business advantage (Moat). On the contrary, we can see that Vinati Organics has generated huge value for its shareholders because of the distinctive business advantage it enjoys.

Thus, we can see that an individual investor, who do not have enough time and resources to conduct primary market research like visiting company stores, manufacturing plants, meet its customers, suppliers, vendors, interacting with industry stakeholders, experts etc., can also identify companies with distinct business advantage (Moat) and create wealth for herself in the long term.

Conclusion

In the current chapter, we learnt about business & industry analysis (BIA) of a company before investing in its stock. We learned that in the bottom-up fundamental analysis, an investor should not worry about the industry in which a company operates. Instead, she should focus on identifying companies with sustainable distinct business advantage (Moat).

We learned that the individual investor, who does not have enough time & resources to conduct primary research and interact with different shareholders, should analyse sales growth shown by a company in past, in detail to identify whether the company has signs of Moat.

We learned that for identifying companies with sustainable business advantage (Moat), an investor should focus only on companies, which have shown good growth rates in their sales (>15-20%) in past. She should conduct in-depth analysis of factors of sales growth and other tests to find out whether the sales growth is due to Moat or management aggression for expansion or accounting jugglery.

Here is a summary of the parameters, which should be tested on a company showing high sales growth in past, to find out whether it has a Moat:

1. **Comparison with industry peers**: The Company must show sales growth higher than peers. If its sales growth is similar to peers, then there is no Moat.
2. **Increase in production capacity and sales volume**: The Company must have shown increased market penetration by selling higher volumes of its product/service. Sales growth that comes only

Copyright © Dr Vijay Malik. All Rights Reserved.

by increasing the price of the product is not sustainable as over time, substitute products start appearing in the market.

3. **Conversion of sales growth into profits**: A Moat would result in increasing profits with increasing sales. Otherwise, sales growth is only a result of unnecessary expansion or aggressive marketing push, which would erode value in long term.
4. **Conversion of profits into cash**: Increasing profits due to Moat must be collected as cash. Otherwise, either the profits are fictitious or the company is selling to any John Doe for higher sales without having the ability to collect money from them.
5. **Creation of value for shareholders from the profits retained by the company**: The Company with Moat will create significantly higher market value for its shareholders for every ₹ of profits retained by it. If a company were destroying the value of shareholders money, it would never have a Moat, however fast it may show its sales to be growing.

Thus, if an investor can find a company, which has shown high sales growth (>15-20%) over last 10 year and which can pass the test of 5 parameters discussed above, then she can be certain that she has found a company which has a sustainable business advantage. Such companies have the potential to create significant wealth for their shareholders over long periods. She should invest in such companies and stay with them for decades.

Investors around the world use many more parameters to judge the presence of Moat. Return on Equity (ROE) and Return on Capital Employed (ROCE) are the prominent parameters being used by many investors for this purpose. However, I am not a great proponent of ROE and ROCE and I believe that if an investor can test the company on above 5 parameters, then she can be reasonably certain that the companies invested by her have strong indications of distinct business advantage (Moat).

Copyright © Dr Vijay Malik. All Rights Reserved.

15) Is Industry P/E Ratio Relevant to Investors?

Buying a good stock at a cheap price is one of the key pillars for making wealth in the stock markets. If an investor pays too much for the stock, then she may not make any money despite the sustained good performance of the company whereas if she gets a stock a deep bargain then even a moderate performance by the company might provide her good returns.

Every investor wishes to buy the stocks of companies at cheaper prices. However, each investor uses different criteria to assess whether the stock of a company is selling at cheap or expensive levels. Some use price to earnings ratio (P/E ratio), others use price to book value ratio (P/B ratio), dividend yield, sales to market capitalization for their assessment.

One of the other criteria that commonly surfaces during a discussion on valuations, is price to earnings ratio (P/E ratio) of the industry. Different investors use Industry P/E ratio differently in their stock selection process.

Looking at the popularity of Industry P/E ratio as a stock selection parameter, I have been repeatedly asked by many readers and investors about the importance one should assign to Industry P/E ratio while selecting stocks for investing.

The current chapter is an attempt to elaborate my perspective on the relevance of Industry P/E ratio in the stock analysis. The chapter would highlight my views on importance and usage of Industry P/E ratio in the selection of stocks for investing.

Industry P/E ratio provides an idea to investors about the average P/E ratio of all the companies in that industry, which are listed on the stock exchanges. There can be varied methods in which Industry P/E can be calculated. Some sources calculate it as a simple average of P/E ratio of the constituent companies of the industry whereas some other sources calculate it as market-capitalization weighted average of P/E ratios of constituent companies. Or simply, it can be the ratio of total market capitalization of all the companies in the industry to the net profits of all these companies.

Different investors have different beliefs behind using Industry P/E ratio in their stock selection process:

- Some investors believe that companies operating in a particular industry would always have a P/E ratio higher than other industries. E.g. it is normally perceived that companies operating in the service industry would have a higher P/E ratio than companies operating in the manufacturing industry. Therefore, investors believe that it is ok to buy companies belonging to certain industries at a higher P/E and assume that such stocks even at a higher P/E ratio would provide the same level of margin of safety than another stock trading at a lower P/E ratio in a different industry.
    - The underlying logic given is that manufacturing is more capital intensive than services and therefore the consistent requirement of capital infusion in the business would be a constant drag on company's resources leading to lower P/E ratio.
    - Within manufacturing, it is assumed that certain companies like FMCG group would have a higher P/E ratio than traditional/commodity companies like cement.

Copyright © Dr Vijay Malik. All Rights Reserved.

- Some investors believe that a stock trading at a P/E ratio lower than its Industry P/E is cheaply priced. The inherent assumption is that the selected stock deserves to be priced at the P/E ratio of the industry.
- Investors' belief also has the assumption that the P/E ratio of all the stocks in the industry should tend to drift towards Industry P/E ratio. This is called Mean Reversion theory, which indicates that the P/E ratio of the stocks with P/E ratio lower than Industry P/E ratio, would rise and the P/E ratio of stock with P/E ratio higher than Industry P/E ratio, would fall to the Industry P/E ratio.

Moreover, the Industry P/E ratio data is readily available at various publically available sources of data like Moneycontrol. If an investor believes in using Industry P/E ratio as a method of assessing the over/under-valuation level of any stock, then it provides her an easy checklist tool to decide about the valuation of the stock.

However, I do not believe in using industry P/E ratio as selection criteria for stocks and have been advising readers & investors about the same. There are many reasons for it:

1) There is always a huge difference among the P/E ratios of stocks within any industry:

Almost always, every industry has stocks spread across a wide range of P/E ratios. This is true for any industry be it manufacturing or services.

The following data about Cement, Cigarettes and Banking industry taken from Moneycontrol for March 4, 2016, clearly illustrates wide variation in these industries.

(The data provided on Moneycontrol website for comparative analysis consists of P/E ratios based on standalone financials and the same has been used for the purpose of this chapter.)

Industry Cigarettes:

Cigarettes Industry P/E ratio 26.42 (4th March 2016)

Sr	Company	Last Price	Change	% Chg	CEPS *	EPS *	P/C	P/E
1	Godfrey Phillip	1,165.05	13.25	1.15	53.72	34.05	21.69	34.22
2	ITC	316.00	-1.50	-0.47	13.27	12.08	23.81	26.16
3	VST	1,648.50	2.30	0.14	114.24	93.58	14.43	17.62
4	Kothari Product	169.10	-0.70	-0.41	18.10	17.54	9.34	9.64
5	Raghunath Inves	2.09	-0.09	-4.13	0.70	0.55	2.99	3.80

Source: moneycontrol

We can see that the range of P/E ratios of the constituent companies, is very wide.

Copyright © Dr Vijay Malik. All Rights Reserved.

In Cigarettes industry, Raghunath International Limited is trading at a P/E ratio of 3.80 whereas Godfrey Philips India Limited is trading at a P/E ratio of 34.22, whereas the industry P/E ratio is 26.24.

Industry Cement-Major:

Cement-Major Industry P/E ratio 38.76 (4th March 2016)

Sr	Company	Last Price	Change	% Chg	CEPS *	EPS *	P/C	P/E
1	Prism Cement	67.40	0.30	0.45	2.88	0.17	23.40	396.47
2	Dalmia Bharat	729.10	-11.45	-1.55	4.73	4.28	154.14	170.35
3	Shree Cements	11,058.05	-180.55	-1.61	396.19	130.73	27.91	84.59
4	Heidelberg Cem	66.95	0.80	1.21	7.06	0.99	9.48	67.63
5	Rain Industries	33.20	-1.85	-5.28	0.82	0.78	40.49	42.56
6	Birla Corp	345.50	8.35	2.48	28.38	8.45	12.17	40.89
7	ACC	1,239.30	-14.70	-1.17	66.17	31.47	18.73	39.38
8	Ambuja Cements	201.85	1.95	0.98	9.23	5.20	21.87	38.82
9	J. K. Cement	546.35	-4.25	-0.77	33.95	14.42	16.09	37.89
10	UltraTechCement	2,904.95	-49.00	-1.66	118.10	76.81	24.60	37.82
11	Udaipur Cement	9.86	0.08	0.82	0.46	0.37	21.43	26.65
12	Orient Cement	137.35	1.70	1.25	8.57	6.26	16.03	21.94
13	Ramco Cements	365.50	-9.20	-2.46	29.05	18.64	12.58	19.61
14	India Cements	75.50	1.30	1.75	12.41	4.01	6.08	18.83
15	OCL India	429.70	23.70	5.84	48.80	24.39	8.81	17.62
16	KCP	69.55	0.60	0.87	7.16	4.50	9.71	15.46
17	Panyam Cements	58.40	-0.25	-0.43	12.24	8.54	4.77	6.84
18	Saurashtra Cem	45.80	-0.40	-0.87	13.02	7.98	3.52	5.74

Source: moneycontrol

In Cement-Major industry, Saurashtra Cements Limited is available at a P/E ratio of 5.74 while Prism Cement Limited is available at P/E ratio of 396, whereas the industry P/E ratio is 38.76.

Copyright © Dr Vijay Malik. All Rights Reserved.

Industry Banks-Private Sector:

Banks-Private Sector Industry P/E ratio 18.36 (4th March 2016)

Sr	Company	Last Price	Change	% Chg	CEPS *	EPS *	P/C	P/E
1	Kotak Mahindra	667.35	10.30	1.57	11.53	10.48	57.88	63.68
2	IDFC Bank	49.75	0.55	1.12	0.89	0.89	55.90	55.90
3	IndusInd Bank	914.40	20.25	2.26	38.46	36.33	23.78	25.17
4	HDFC Bank	1,021.05	7.20	0.71	49.00	46.41	20.84	22.00
5	Yes Bank	759.35	2.15	0.28	58.84	56.82	12.91	13.36
6	City Union Bank	88.80	-0.05	-0.06	7.98	7.20	11.13	12.33
7	Axis Bank	415.80	-1.05	-0.25	36.35	34.65	11.44	12.00
8	DCB Bank	77.90	0.20	0.26	7.43	6.61	10.48	11.79
9	Federal Bank	49.90	0.45	0.91	4.77	4.34	10.46	11.50
10	ICICI Bank	220.50	2.60	1.19	21.68	20.55	10.17	10.73
11	Lakshmi Vilas	88.95	-0.30	-0.34	10.41	9.54	8.54	9.32
12	South Ind Bk	17.85	0.10	0.56	2.04	2.05	8.75	8.71
13	Karur Vysya	402.30	-0.20	-0.05	53.24	46.56	7.56	8.64
14	JK Bank	64.80	0.40	0.62	13.78	11.83	4.70	5.48
15	Karnataka Bank	96.95	1.25	1.31	22.75	23.50	4.26	4.13

Source: moneycontrol

In Banking-Private Sector, Karnataka Bank Limited is available at a P/E ratio of 4.13 whereas Kotak Mahindra Bank Limited is available at a P/E ratio of 63.68, whereas the industry P/E ratio is 18.36.

This range of P/E ratio of individual stocks within an industry has always been very wide in the past and is expected to remain so in future. There would be stocks, which are constantly poor performing, which would keep selling at lower P/E ratios and there would be stocks which are good performing and therefore would keep selling at higher P/E ratios.

There would be unrecognized stocks selling at low P/E initially, which would show sustained good performance and become recognized later on and would sell at high P/E.

Similarly, there would be stock which performed well in the past and therefore sold at higher P/E ratio, but over time have lost business advantage and started performing poorly. Such stocks would sell at low P/E ratio going ahead.

There would also be times when a stock whose business is declining, would see its earnings fall and after initial decline in P/E ratio caused by commensurate decline in price along with earnings, would suddenly

Copyright © Dr Vijay Malik. All Rights Reserved.

seem trading at high P/E ratio when the fall in earnings (denominator) is much more than the fall in stock price (numerator). A time would come when the earnings would be NIL or negative and P/E ratio would tend to be infinity!

Therefore, an investor would notice that within an industry, there is no established norm that all the players would trade at a specific P/E ratio, which many times is assumed to be characteristic of that particular industry. P/E ratio is dependent on the characteristics of the company. If a company performs good, then the market would reward it with higher P/E ratio and if the company is not performing good, then the market would penalize it by lowering its P/E ratio.

2) Stocks of good performing companies in an industry tend to trade at a higher P/E ratio than the stocks of poorly performing companies even in supposedly high P/E industries.

An investor would notice that the P/E ratios of good performing manufacturing companies do sell at a higher P/E ratio than poorly performing services companies, whereas the common perception is that the companies in the asset light services industry should trade at a higher P/E ratio than asset heavy manufacturing/commodity industries.

An investor would observe that in the P/E data for various industries shared above, established players in cement industry like UltraTech Cement Limited, Ambuja Cements Limited, J K Cement Limited etc. despite being in capital-intensive manufacturing sector trade at a higher P/E ratio (37-38) than their counterparts in the asset light banking industry like HDFC Bank Limited, Yes Bank Limited (P/E ratio of 22 & 13.36 respectively).

Moreover, if we compare the P/E ratio of these good performing cement companies with poorly performing banks like J&K Bank, Karnataka Bank (P/E ratio of 5.48 and 4.13 respectively), then the difference becomes further distinct.

Therefore, the investor would notice that the P/E ratio is dependent upon the business performance of the company and not on the industry to which it belongs. If the company selected by an investor performs well, then the market would reward it with a higher P/E multiple, irrespective of the industry to which this company belongs.

3) Assessing valuation level based on Industry P/E ratio underlines Mean Reversion Theory, which might not always work:

Many times, investors believe that if a stock is selling at lower than Industry P/E ratio, then it is cheaply priced and if it is selling at a higher P/E ratio than Industry P/E, then the stock is expensive.

The underlying assumption by the investor is that the P/E ratio of the stocks selling at lower than Industry P/E ratio would rise to the Industry P/E ratio. Similarly, the P/E ratio of stock with selling at higher than Industry P/E ratio would fall to the Industry P/E ratio.

This assumption is Mean Reversion theory. Investopedia defines mean reversion as:

Copyright © Dr Vijay Malik. All Rights Reserved.

> "The mean reversion is the theory suggesting that prices and returns eventually move back towards the mean or average. This mean or average can be the historical average of the price or return or another relevant average such as the growth in the economy or the average return of an industry."

However, there is enough evidence in the real life that basing investment decisions on mean reversion theory might not be a successful investment strategy.

The most widely known & the biggest victim of investment philosophy based on mean reversion is the hedge fund Long Term Capital Management (LTCM). LTCM was managed by the most brilliant brains of current times including the noble laureates Myron S. Scholes and Robert C. Merton of the Black-Scholes-Merton model for options pricing.

After studying the yield data of different investment instruments for past many years and analysing it statistically, LTCM based its investment strategy on the premise that yields of different instruments would always converge towards their historical mean/average. Therefore, LTCM bought the yield (took a long position on the yield), whenever it fell below historical average and sold it short whenever it rose above the historical average.

LTCM could make money through this strategy for about 4-5 years. However, during one such period in 1998, the yields did not revert to the mean. On the contrary, they kept on moving further away from the mean. No wonder, accentuated by its leverage, LTCM became bankrupt within a few days.

Therefore, an investor would notice that if she buys a stock trading at a P/E ratio, which is lower than its Industry P/E ratio, thinking that the P/E ratio of her stock would rise over time to the level of its Industry P/E, then she might be up for disappointment as such mean reversion may not happen at all. There might a possibility that such a mean reversion might happen eventually, but it may take so much time that the return in such a delayed scenario might not be attractive.

As has been said by the famous economist, John Maynard Keynes:

> "Markets can remain irrational longer than you can remain solvent."

4) Industry P/E ratio depends on the P/E ratio of underlying companies and it's not the other way round.

Industry P/E ratio is a derived number, which is calculated from the constituent companies either by a simple average or a market capitalization weighted average of their individual P/E ratios. Movement of P/E ratios of individual ratios would lead to increase or decrease in the Industry P/E ratio.

As mentioned in the point (1) above, the P/E ratios of individual companies within any industry vary a lot and therefore, Industry P/E does not influence the P/E level of its constituent companies.

Furthermore, I believe that if an investor is able to buy stocks of a potentially good company at cheaper valuations (low P/E ratio) in an industry, which currently has a low P/E ratio, then in future, when the

Copyright © Dr Vijay Malik. All Rights Reserved.

selected company performs well and the market assigns its stock a higher P/E ratio, then this company would increase the P/E ratio of the entire industry.

Therefore, I believe that it's the Industry P/E that is influenced by its constituent companies and an investor should choose good performing stocks at cheaper valuations irrespective of its Industry P/E ratio levels. A good performing company's stock will make the industry P/E higher, when market assigns it high P/E (re-rates it), rather than the market penalizing its good performance by putting it at lower P/E despite its good performance.

5) Industry P/E ratio data might be erroneous as there might not be any specific industry in which a company could be classified.

Many times, a company might be operating in a niche industry, which might not have many players listed on stock exchanges. In such a case, the financial portals like Moneycontrol might put it under any industry segment that might not be a true representative for its line of business.

As the financial portals have fixed number of industries in their data sets, they assign the company to any industry, which the staff believes, is the nearest to the company's line of business and the financial portals provide the Industry P/E data for such a stock based on non-comparable peers. In such cases, the investors who rely on Industry P/E for their analysis might make erroneous decisions based on the irrelevant Industry P/E data.

E.g. Mayur Uniquoters Limited, which manufactures artificial leather, does not have a lot of listed peers from the same line of business. Therefore financial portals find it difficult to classify it any of their existing set of industries. We may see below that Moneycontrol has assigned Mayur Uniquoters Limited to "Plastics" industry, whereas screener has assigned it to "Textile" industry:

Peers on Moneycontrol:

Peer Comparison

Market Cap | Price | Net Sales | Net Profit | Total Assets | Price Performance

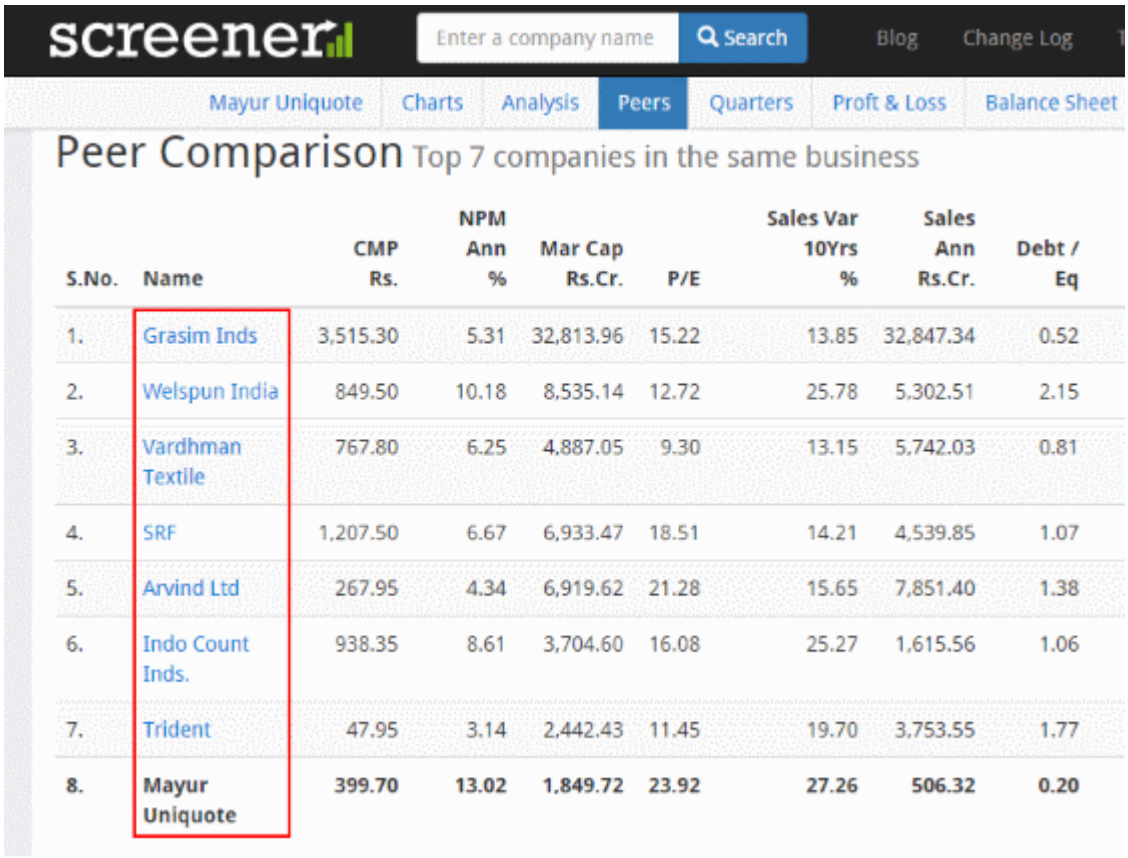
COMPANY NAME	LAST PRICE	% CHANGE	52 WK HIGH	52 WK LOW	MARKET CAP
Supreme Ind	754.05	0.87	765.00	540.00	9,578.46
Astral Poly Tec	348.60	-0.36	534.05	311.00	4,174.49
Jain Irrigation	56.25	-0.35	79.00	47.00	2,601.08
Responsive Ind	88.95	0.00	203.50	70.20	2,374.19
Mayur Uniquoter	400.30	-2.32	514.60	376.00	1,852.49

More »

Source: moneycontrol

Copyright © Dr Vijay Malik. All Rights Reserved.

Peers on Screener:



Peer Comparison Top 7 companies in the same business

S.No.	Name	CMP Rs.	NPM Ann %	Mar Cap Rs.Cr.	P/E	Sales Var 10Yrs %	Sales Ann Rs.Cr.	Debt / Eq
1.	Grasim Inds	3,515.30	5.31	32,813.96	15.22	13.85	32,847.34	0.52
2.	Welspun India	849.50	10.18	8,535.14	12.72	25.78	5,302.51	2.15
3.	Vardhman Textile	767.80	6.25	4,887.05	9.30	13.15	5,742.03	0.81
4.	SRF	1,207.50	6.67	6,933.47	18.51	14.21	4,539.85	1.07
5.	Arvind Ltd	267.95	4.34	6,919.62	21.28	15.65	7,851.40	1.38
6.	Indo Count Inds.	938.35	8.61	3,704.60	16.08	25.27	1,615.56	1.06
7.	Trident	47.95	3.14	2,442.43	11.45	19.70	3,753.55	1.77
8.	**Mayur Uniquote**	**399.70**	**13.02**	**1,849.72**	**23.92**	**27.26**	**506.32**	**0.20**

As a result, an investor would observe that the Industry P/E ratio of 31.53 (March 4, 2016) provided by Moneycontrol for Mayur Uniquoters Limited, is not a relevant data point. An investor who takes an investment decision based on such erroneous Industry P/E data, might, unknowingly, make an incorrect decision.

Based on the above points, I believe that the Industry P/E ratio for a company is not a significant parameter for stock selection. I ignore the industry P/E data in my stock selection process, as I know that industry P/E depends on its stocks and if the selected stock does well, then it will pull the industry P/E ratio higher because of its sustained good performance rather than getting impacted by the poor performance of its peers.

It might be erroneous to believe that stocks operating in a certain industry deserve to be priced at a higher P/E when compared to stocks in other industries. We saw in the above discussion that good performing stocks get rewarded by the market by assignment of a high P/E ratio irrespective of their industry.

Therefore, I believe that an investor should focus on finding companies which are showing good growth in their sales with sustained profitability, are conservatively financed, are producing free cash flow from their operations and are cheaply priced providing a good margin of safety, irrespective of their industries.

Copyright © Dr Vijay Malik. All Rights Reserved.

Similarly, the investor should not be willing to buy stocks of any particular industry on a high P/E ratio merely because of the fact that the company belongs to that industry. The investor might face non-pleasant surprises if the selected company does not perform well and lags its peers in terms of P/E ratio whereas other good performing companies keep rewarding their shareholders both by way of higher earnings and resultant high P/E ratios.

Therefore, I believe that an investor should not focus on Industry P/E and in turn should always focus on finding fundamentally good companies selling a cheap price, irrespective of industry.

Copyright © Dr Vijay Malik. All Rights Reserved.

16) Why Management Assessment is the Most Critical Factor in Stock Investing?

Most of the investors, including me, enter the stock markets to fulfil a dream. This is a dream of financial independence. This dream is reinforced by the history of astronomical returns that some of the businesses have generated for their shareholders in the past; Infosys and Wipro being a few of them. I have always aspired to be a shareholder of any such company, which can turn my investment of a few thousands of rupees into millions.

This quest of finding the elixir of stock investing has led me into different directions in the past; first technical investing and then later fundamental investing.

My quest for a guiding light, which could act as a beacon for the while I charter the hitherto unknown seas (to me) of stock investing, ended when I first read Intelligent Investor by Benjamin Graham in 2008 and later on letters of Warren Buffett to shareholders of Berkshire Hathaway in 2011.

One of the key learning I could get from Graham and Buffett was that I should look at stocks not a trading paper to be sold at the flip of a coin but as a part of a functioning business, which is to be held over long periods of time.



However, I have always felt a disconnect with Warren Buffett's above statement in the owner's manual of Berkshire Hathaway.

Warren Buffett can feel as part owner of a business of his investee companies because he usually buys significant stakes in those companies and has the wherewithal to influence the management decision.

Copyright © Dr Vijay Malik. All Rights Reserved.

Whether he actually influences all or a few management decisions, can be a question of debate, but there has never been a doubt that his opinion is difficult to be ignored by the management of his investee companies.

However, when I see myself, or any other retail individual shareholder, as an investor in listed companies, I find that we are always nameless minority shareholders in these companies. Retail shareholders do not have any influence on the business decisions being taken by board &/or management. Most of the decisions get approved by consent of >50% shareholders and some critical ones get approved by the consent of >75% of the shareholders.

A retail investor usually has a very minuscule shareholding in a company. An investment of ₹100,000 in a company with market capitalization of ₹300,000 cr is 0.000003% of its shareholding.

In such a situation, I had always felt that the notion of a retail shareholder being a part owner of a business is slightly over-rated. The hard fact of life is that a retail shareholder with a 0.000003% shareholding is someone whose opinion does not bear a lot of influence on business decisions and the retail shareholder has no other option but to accept whatever business decision is being taken for her by promoters or majority shareholders.

A retail shareholder is not able to control where his investee company would deploy its cash; she is not able to control whether the company would pay a dividend or how much dividend. A retail shareholder is not able to control who would run the company for her, in case the existing management leaves scope for improvement. She cannot control whether her investee company should do or not do an acquisition. A shareholding of 0.000003% is simply not large enough.

Therefore, at the end of the day, a retail shareholder feels that her fate is in the hands of the management/promoters/majority shareholders of the company. Whether the said management would think of her best interests while deciding about future of the company or its business, is out of her control. At best what she can do is to vote with her feet: sell out her shares and leave.

In such a tough helpless situation for a retail shareholder, I have always felt that the real risk that a retail investor is carrying while investing in stock markets, is not that the company she has invested in, would perform badly. The real risk she faces is the management/promoter who controls the destiny of the business and the returns that she would get from her investment, might not think about her when deciding on the company.

The retail investor might have invested in a very good business. The business might be a cash cow, generating crores of surplus cash year after year, but if the management/promoter decides not to share it with the retail shareholder, she will never get even a single rupee out of it.

The retail investor has always found a management/promoter/majority shareholder standing between the fruits of the business and herself. If the management decides to appropriate these fruits of business to themselves, there is hardly little a retail investor can do except to sell out her shares and leave.

In light of these hard but true rules of the game called stock investing, for a retail shareholder, I have come to believe that a stock is not a part ownership of in the business; for a retail shareholder, a stock is:

Copyright © Dr Vijay Malik. All Rights Reserved.

1. a faith in the management;
2. it is a partnership with the promoter;
3. it is a trust in the majority shareholder.

If the management/promoter/majority shareholder decides to breach this trust, then there are very limited options available for a retail shareholder.

Therefore, I approach equity investing while keeping these thoughts/rules of the game in my mind, which make management assessment as the most critical aspect of stock selection.

This is not to undermine the importance of other aspects of the process of stock selection.

It is to emphasize that even if an investor has satisfied herself about the financial, business and valuation analysis of any company, if she is not able to get the confidence from her assessment of the management of the company, then she should rethink her investment decision.

However good the business of the company be, however large competitive advantage (moat) it might claim, however attractive its current valuations be or however strong its financial position be, if the management is not minority shareholder friendly then it is highly likely that she will not make money despite sustained good business performance of the company.

An over-ingenious management/promoter/majority shareholder would always find ways to benefit at the cost of minority shareholders. Such cases have happened in the past and as we understand that history repeats itself, would surely happen in future.

Let us see some of the good businesses to understand what results they bore to minority shareholders:

Gujarat Automotive Gears Limited:

Gujarat Automotive Gears Limited is a small cap company with market capitalization of ₹33 cr. it was established in Baroda in 1973. The company makes auto and tractor components including transmission gears and axle shafts. Its products target OEMs and after-markets in India and sell under the brand name of KAG in India. The company also exports its products and has the United States of America, Germany, Italy, United Kingdom, Belgium, Egypt, Dubai, Sri Lanka, Singapore, Malaysia, Thailand, Australia etc. as its overseas markets.

Gujarat Automotive Gears Limited was first brought to my notice in April 2015 by one of the readers of my website “Venkatasubramaniyan Natarajan”, who has shared his analysis of the company and has asked for my inputs.

Analysis of Gujarat Automotive Gears Limited revealed that it was a great business. The following financial performance would reflect that the company has been showing the picture perfect image of a good business:

Copyright © Dr Vijay Malik. All Rights Reserved.

(INR Crores/10 Millions)			GUJARAT AUTOMOTIVE GEARS LTD						
Narration	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Growth Rate
Sales	8	11	12	13	14	18	22	24	17%
Operating Profit	1	1	1	2	3	3	5	6	35%
Operating Profit Margin (OPM%)	8%	9%	10%	16%	18%	15%	23%	24%	
Net profit after tax (PAT)	0	0	1	1	1	6	4	4	53%
Net Profit Margin (NPM%)	3%	3%	5%	9%	9%	33%	16%	17%	
Total Debt (D)	2	2	2	1	-	0	1	0	
Dividend Paid (Div) Without DDT	0	0	0	0	0	2	2	0	
Cash + Investments (CI +NCI)	0	0	0	0	1	4	5	6	

1. Sales had been increasing at a good pace (17%)
2. Profits had been increasing at even higher pace
3. All the profitability margins were at respectable levels and were improving further
4. The company was a debt free company and
5. Has a cash chest, which was swelling year on year because its business was a cash cow.

Such a business is always a prize catch to investors and there was no surprise that in July 2013, the company was acquired by HIM Teknoforge Limited for ₹21.8 cr. when it purchased the 55% shareholding of erstwhile promoters.

Business | Thu Jul 11, 2013 6:18pm IST Related: DEALS

HIM Group to acquire 55 pct stake in auto component maker Gujarat Automotive for $3.6 million (₹21.8 Cr.)

BY VCCIRCLE.COM

HIM Group, through its privately held flagship company HIM Teknoforge Ltd and associate firm Globe Precision Industries Pvt Ltd, has entered into a definitive agreement to acquire 55 per cent stake in Vadodara-based Gujarat Automotive Gears Ltd (GAGL) from its promoters for Rs 21.8 crore.

ADVERTISEMENT
ADVERTISEMENT

The company went on with its business as usual under the new promoters and finished the next year, FY2014, by generating the highest ever sales of ₹29 cr. and profits of ₹5 cr.

However, the investors were in for a surprise when the balance-sheet of Gujarat Automotive Gears Limited at March 31, 2014, was made public and it showed that the cash holding has reduced from ₹6cr. in FY2013 to ₹1 cr. in FY2014.

(INR Crores/10 Millions)			GUJARAT AUTOMOTIVE GEARS LTD						
Narration	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14
Sales	8	11	12	13	14	18	22	24	29
Operating Profit	1	1	1	2	3	3	5	6	6
Operating Profit Margin (OPM%)	8%	9%	10%	16%	18%	15%	23%	24%	21%
Net profit after tax (PAT)	0	0	1	1	1	6	4	4	5
Net Profit Margin (NPM%)	3%	3%	5%	9%	9%	33%	16%	17%	16%
Total Debt (D)	2	2	2	1	-	0	1	0	-
Dividend Paid (Div) Without DDT	0	0	0	0	0	2	2	0	?? 0
Cash + Investments (CI +NCI)	0	0	0	0	1	4	5	6	1

Copyright © Dr Vijay Malik. All Rights Reserved.

The usage of cash remained a key issue to be found out as the company has not used it to pay a dividend to its shareholders.

The analysis of the balance sheet at March 31, 2014 showed that Gujarat Automotive Gears Limited has utilized its existing cash reserves (decline by about ₹5 cr.) as well as the profits generated in the year FY2014 (increase in reserves & surplus of about ₹4.5 cr) to provide loans & advance to some entity (increase by about ₹10 cr.).

(Amount in Rs)

Particulars	Note No.	As at 31st March, 2014	As at 31st March, 2013
EQUITY AND LIABILITIES			
Shareholders' Funds			
Share Capital	2	3,500,000	3,500,000
Reserves and Surplus	3	182,108,016	136,878,398
		185,608,016	140,378,398
Non-Current Liabilities			
Long-term borrowings	4	–	1,253,987
Deferred tax liabilities (net)		2,108,637	2,201,021
Long term provisions	5	68,593	2,748,595
		2,177,230	6,203,603
Current Liabilities			
Trade payables (Refer Note No.34)		44,858,856	30,826,651
Other current liabilities	6	5,874,641	6,774,182
Short-term provisions	7	2,233,819	2,331,297
		52,967,316	39,932,130
Total		**240,752,562**	**186,514,131**
ASSETS			
Non-current assets			
Fixed assets			
Tangible assets	8	30,329,509	35,989,407
Intangible assets	8	–	–
Capital work-in-progress		80,927	–
Long term loans and advances	9	112,604,166	17,023,324
		143,014,602	53,012,731
Current assets			
Inventories	10	31,060,201	29,160,387
Trade receivables	11	51,566,440	40,977,604
Cash and Bank balances	12	10,934,839	62,412,799
Short-term loans and advances	13	1,297,614	950,610
Other current assets	14	2,878,866	–
		97,737,960	133,501,400
Total		**240,752,562**	**186,514,131**

4.5 Cr.

10 Cr.

5 Cr.

The balance sheet of Gujarat Automotive Gears Limited showed that it had only about ₹3 cr invested in the fixed assets used to make products to generate its sales & profits, whereas it has given a loan of about ₹10 cr to some entity.

Such kind of loan, which makes loan assets more than fixed assets reflected that the management of Gujarat Automotive Gears Limited is finding more value in lending the money than investing it in its core business.

As this business decision of the Gujarat Automotive Gears Limited had important implications, it becomes imperative for any investor to find out who is the entity to whom this loan has been given.

Copyright © Dr Vijay Malik. All Rights Reserved.

The investors could find these details in the annual report of Gujarat Automotive Gears Limited for FY2014, in a section called "Related Party Transactions":

27 **Related Party Disclosures** (Amount in Rs.)

Key Management Personnel	31.03.2014	31.03.2013
Payment of Managerial Remuneration		
Mr. Naresh Kothari, Managing Director(Till 12.09.13)	8,440,002	2,239,335
Mr. Niranjan P Unadkat, Whole Time Director (Till 12.09.13) (includes payment of gratuity and leave encashment)	5,485,248	991,218
Other : Relative of Key Management Personnel		
Payment of Sitting Fees		
Smt Tejas Kothari, Director	9,000	9,000
Enterprise having significant influence		
HIM Teknoforge Limited		
Purchase of material — 9 Cr.	7,913,329	–
Inter Corporate deposit Given	90,000,000	–
Interest on deposit receivable	2,878,866	–

Details in the related party transactions section revealed that Gujarat Automotive Gears Limited has given a loan (inter-corporate deposit) of ₹9 cr. to HIM Teknoforge Limited in FY2014.

This action by Gujarat Automotive Gears Limited meant that it has used its cash reserves and its entire profits for FY2014 and used it to give a loan to HIM Teknoforge Limited. HIM Teknoforge Limited is no one but the new promoter of Gujarat Automotive Gears Limited, who has acquired it in July 2013 by buying 55% of the shares in the company.

It effectively meant that the new promoter, HIM Teknoforge Limited, within a few months of acquisition of Gujarat Automotive Gears Limited has used it as a source of funds (to the extent of ₹9 cr) to serve the purposes of HIM Teknoforge Limited.

I doubt that minority shareholders could have controlled the loan, which HIM Teknoforge Limited being the management & largest shareholder, made Gujarat Automotive Gears Limited give to itself.

Giving the benefit of doubt to the promoter, HIM Teknoforge Limited, that it might be a one of an instance of financial issues with it that it has to take financial help from Gujarat Automotive Gears Limited, it made sense to analyse the fate of this loan over the next year.

The related party transactions section of the annual report of Gujarat Automotive Gears Limited for FY2015 showed the following picture:

26 **Related Party Disclosures** (Amount in Rs.)

Key Management Personnel	31.03.2015	31.03.2014
Payment of Managerial Remuneration		
Mr. Rajiv Aggarwal , Managing Director	2,416,500	
Mr. Naresh Kothari, Managing Director(Till 12.09.13)	-	8,440,002
Mr. Niranjan P Unadkat, Whole Time Director (Till 12.09.13)	-	5,485,248
Other : Relative of Key Management Personnel		
HIM Teknoforge Limited		
Purchase of material	29,927,825	7,913,329
Sales Of Material — + 8 Cr.	291,074	-
Inter Corporate deposit Given	17,00,00,000	90,000,000
Interest on deposit receivable	14,273,933	2,878,866

Copyright © Dr Vijay Malik. All Rights Reserved.

The investors got the surprise that the amount of said loan from Gujarat Automotive Gears Limited to HIM Teknoforge Limited, instead of reducing (i.e. getting repaid) had increased from ₹9 cr at March 31, 2014, to ₹17 cr. at March 31, 2015. It meant that an additional amount of ₹8 cr was transferred as an inter-corporate deposit from Gujarat Automotive Gears Limited to HIM Teknoforge Limited during FY2015.

This is a significant development on two accounts:

1. It indicates that the new promoter, HIM Teknoforge Limited, is using the acquired company, Gujarat Automotive Gears Limited, as a continuous source of funds for its own purposes.
2. Investors would notice that Gujarat Automotive Gears Limited used to make a profit of about ₹4.5-5 cr. every year, however, the loan amount given is more than the profits for a year. Investors would remember that the cash reserves of Gujarat Automotive Gears Limited had already been depleted to give the loan of ₹9 cr. to HIM Teknoforge Limited last year (FY2014). So the question arises, where did the balance money come from, which was used to give a loan (inter-corporate deposit) to HIM Teknoforge Limited?

An analysis of balance sheet of Gujarat Automotive Gears Limited for FY2015 shows the following shocking picture:

(Amount in Rs)

Particulars	Note No.	As at 31st March, 2015	As at 31st March, 2014
EQUITY AND LIABILITIES			
Shareholders' Funds			
Share Capital	2	3,500,000	3,500,000
Reserves and Surplus	3	227,722,314	182,108,016
Non-Current Liabilities			
Long-term borrowings	4	47,200,000	-
Deferred tax liabilities (net)		1,774,160	2,108,637
Long term provisions	5	199,339	68,593
Current Liabilities			
Short-term borrowings	6	7,449,820	-
Trade payables (Refer Note No.35)		30,915,056	45,116,863
Other current liabilities	7	17,431,979	5,874,641
Short-term provisions	8	1,526,231	1,975,812
Total		337,718,899	240,752,562
ASSETS			
Non-current assets			
Fixed assets			
Tangible assets	9	26,117,557	30,329,509
Intangible assets	9	-	-
Capital work-in-progress		-	80,927
Long term loans and advances	10	193,533,041	112,604,166

4.5 Cr.

4.7 Cr.

8 Cr.

Gujarat Automotive Gears Limited in addition to using its profits for FY2015 (increase in reserves & surplus of about ₹4.5 cr), has taken a debt of ₹4.7 cr. and used it to give the additional inter-corporate deposit of ₹ 8 cr. to its new promoter HIM Teknoforge Limited. Being the majority shareholder HIM

Copyright © Dr Vijay Malik. All Rights Reserved.

Teknoforge Limited is effectively making Gujarat Automotive Gears Limited take debt and then use these debt proceeds to give deposits to itself.

An investor would notice from the financial performance of Gujarat Automotive Gears Limited until FY2013 that it used to have a strong business, which was a cash cow. Gujarat Automotive Gears Limited was accumulating cash chest and the need to take debt did not arise.

Now, the management is making Gujarat Automotive Gears Limited, which still has the same good business, take debt to give loans to itself (to HIM Teknoforge Limited) and the cost of this debt (the long-term debt of ₹4.7 cr. from SIDBI @12% p.a. GAGL FY2015 annual report, pg. 30) would have to be borne by Gujarat Automotive Gears Limited.

This effectively means that shareholders of Gujarat Automotive Gears Limited are bearing the cost of debt which Gujarat Automotive Gears Limited is raising to give as inter-corporate deposit to the promoter HIM Teknoforge Limited.

The balance sheet of Gujarat Automotive Gears Limited for at March 31, 2015, also shows that the company now has only ₹2.6 cr. in fixed assets (plants & machinery) and whopping ₹19.35 cr. given as loans & advances. This accompanied with the fact that Gujarat Automotive Gears Limited is now taking debt from other financial institutions to give deposits to others, shows that the character of Gujarat Automotive Gears Limited is now changing from a manufacturing organization to a lending organization.

I doubt a retail individual shareholder who has an ownership of a fraction of a percentage point in Gujarat Automotive Gears Limited, could have controlled any of these business decisions.

Gujarat Automotive Gears Limited was becoming an interesting case generating curiosity as an investor analyses its development year on year. Therefore, I could not stop myself analysing the fate of the story to the latest available data available in the public domain.

Copyright © Dr Vijay Malik. All Rights Reserved.

The latest data of the balance sheet of Gujarat Automotive Gears Limited is available for September 30, 2015:

(Rs. in Lakhs)

	Standalone Statement of Assets and Liabilities	As at 30.09.2015 Unaudited	As at 31.03.2015 Audited
A	**Equity And Liabilities**		
1	Shareholders funds		
	(a) Share Capital 2 Cr.	35.00	35.00
	(b) Reserves and Surplus	2,481.59	2,277.22
	Sub- total- Share Holders Fund	**2,516.59**	**2,312.22**
2	Non Current Liabilities 3.2 Cr.		
	(a) Long term borroeings	795.20	472.00
	(b) Deferred Tax Liability (Net)	17.33	17.74
	(C) Long -terms Liabilities	1.99	1.99
	Sub-total Non current liabilities	**814.52**	**491.73**
3	Current Liabilities		
	(a) Trade Services	389.82	309.15
	(b) Short term borroeings	196.65	74.50
	(c) Other Current Liabilities	210.80	174.32
	(d) Short Term Provision	115.38	15.26
	Sub total Current Liabilities	**912.65**	**573.23**
	Total Equity and Liabilities	**4,243.76**	**3,377.18**
B	**ASSETS**		
1	Non-current Assets		
	(a) Fixed Assets 6.5 Cr.	491.74	261.18
	(b) Long -terms loans and advances	2,599.10	1,935.33
	Sub-total-non current Assets	**3,090.84**	**2,196.51**

Looking at the actions of the new promoters, HIM Teknoforge Limited, it did not come as a surprise that during first 6 months of FY2016:

1. Gujarat Automotive Gears Limited has given an additional amount of ₹6.5 cr. as long-term loans & advances to others. The details of names of these parties would be known in the annual report for FY2016 would be available later.
2. Gujarat Automotive Gears Limited has used its profits for H1-Y2016 (increase in reserves & surplus of about ₹2 cr) and has taken additional debt (increase in long-term debt of ₹3.2 cr.) and used it to give the additional inter-corporate deposit of ₹ 6 cr.

Looking at the trend of actions of the new promoter HIM Teknoforge Limited for past 2 years, it would not come as a surprise that the additional deposit of ₹6 cr. is also made to HIM Teknoforge Limited. However,

Copyright © Dr Vijay Malik. All Rights Reserved.

it remains to be confirmed when the annual report of Gujarat Automotive Gears Limited for FY2016 along with details of related party transactions is available in public domain.

Observations from Gujarat Automotive Gears Limited

The developments at Gujarat Automotive Gears Limited over last two years have presented some important observations:

- HIM Teknoforge Limited has paid ₹21.8 cr. to acquire control of Gujarat Automotive Gears Limited in July 2013 and until March 31, 2015, it has received cash of ₹17 cr. as deposit from Gujarat Automotive Gears Limited. The amount of cash received by HIM Teknoforge Limited from Gujarat Automotive Gears Limited could already have crossed its acquisition cost of ₹21.8 cr. if the additional loans & advances of ₹6 cr. given by Gujarat Automotive Gears Limited in H1-FY2016 also turn out to be given to HIM Teknoforge Limited.
- From the perspective of shareholders of HIM Teknoforge Limited, it has turned out to be an excellent acquisition:
    - They have received almost entire consideration paid, back in terms of inter-corporate deposits and still enjoy control on the great cash generating business of Gujarat Automotive Gears Limited almost free of cost now. Effectively the shareholders of HIM Teknoforge Limited have made Gujarat Automotive Gears Limited pay for its own acquisition.
- However, if seen from the perspective of shareholders of Gujarat Automotive Gears Limited, the picture does not look so shining:
    - The new promoter, HIM Teknoforge Limited, has used Gujarat Automotive Gears Limited's Past Profits (decline in cash reserves: ₹5 Cr), Current Profits (Earnings of 2.5 years: ₹12 Cr) as well as Future Profits (Debt to be repaid by GAGL: ₹8 Cr) and used this entire amount to given loans to HIMself (HIM Teknoforge Limited)
    - The benefits of Past, Present and Future has been taken away from the shareholders of Gujarat Automotive Gears Limited and a retail shareholder with minuscule ownership of the company could have hardly done anything to stop these transactions being controlled by management/promoters/majority shareholders.

The Learning

The analysis of developments at Gujarat Automotive Gears Limited since the takeover by new promoters, presents some key lessons for retail shareholders:

1. Management stands as a mediator between the profits of the business and the retail shareholder. If the management of a company is not minority shareholder friendly, then retail minority shareholders might not get to share the fruits of profits of a company, however good the business performance of the company may be.
2. Equity investment is more than a part-ownership of a business; it is a faith in the integrity of the management

Copyright © Dr Vijay Malik. All Rights Reserved.

3. Retail investors should work hard and try to sense the first sign of management playing smart with them and exit from the company. Else, such managements will keep on finding ways to benefit at minority shareholders' cost.

In the case of Gujarat Automotive Gears Limited, if a shareholder could have observed the decisions of new promoters when details of inter-corporate deposit were disclosed in the annual report of FY2014, then she could have avoided the transfer of earnings, which have continued to happen later on. The retail investor could have found some other investment opportunities where the promoter/management/majority shareholders are the ones who might be more shareholder friendly and invested in them.

Many times, retail investors believe that such kind of instances, as highlighted in the above chapter, happen only in small caps, which are not under coverage radar of market analysts, brokerage firms etc. However, if an investor keeps her observing the market-related developments around her, then she would notice that such instances of management/promoter/majority shareholder acting in a manner which is not in the interests of minority retail shareholders are very frequent. Such instances keep on happening in companies across market cap segments, across industries.

Few of the examples may be:

1. Vedanta Limited decides to pay minority shareholders ₹355/- a share against ₹405/- a share it paid to Cairn Energy UK for acquiring a stake in Cairn India Limited. The difference of ₹50/- per share, which was labelled as "non-compete fee" was described as legally right but not the best from a corporate governance perspective by Mr. Omkar Goswami, an Independent Director of Cairn India Limited
2. Cairn India Limited gave a loan of $1.25 billion (₹7,830 cr) to group company THL Zinc Limited at an interest rate of 3% + 3 month LIBOR (total current cost of about 3.60%), whereas Cairn India could have deposited this money in an FD by State Bank of India for 2 years and earned about 7.50-8.00%. The loss of the income is a cost to shareholders of Cairn India Limited.
3. The decision of Maruti to enter into arrangements with its parent Suzuki in relation to the new plant in Gujarat has been questioned.

Therefore, it is imperative that a retail investor understands that she needs to be very vigilant about management actions while investing afresh or staying invested in any company. Management is the most critical factor that would decide whether she, as a retail minority shareholder, would get benefited from the fruits of business growth the company.

Copyright © Dr Vijay Malik. All Rights Reserved.

17) Steps to Assess Management Quality before Buying Stocks (Part 1)

The current chapter would highlight some of the key steps/tools that investors should use to find out a good management and avoid bad management. An investor should read these carefully and inculcate them in her stock analysis process so that she may avoid falling into the trap of unscrupulous managements that try to benefit at the cost of minority shareholders.

Let's study the tools available to common shareholders by which she can decide about the management quality of a company by using the information available in the public domain:

1) Check Promoters' Background:

Checking the background of the promoters' is the first step in the assessment of the management of any company. A background check might mean different things for different investors. Some may stress on educational qualifications while others may focus on the family background, however, I advise investors to focus on the past management decisions of the promoters.

Educational qualifications do not give the investor any idea about the shareholder friendliness of the promoters. Shareholder friendliness is reflected in the character and integrity of the promoters/management. Therefore, the investor should focus on promoters' past decisions and try to assess whether those decisions were taken while keeping the interest of minority shareholders' in mind.

Let's see an example of a good business and try to assess its promoter's background and find out whether the background check helps the investor in decision making:

Brooks Laboratories Limited

Brooks Laboratories Limited, established in 2002, is a small cap company with market cap of about ₹110 cr. It is active in contract manufacturing space and boasted of big names like Zydus Cadilla, Alembic, Wockhardt, FDC, Alkem etc. in its clientele.

Brooks Laboratories Limited came into my investment radar in 2013 due to its very good financial position:

(INR Crores/10 Millions)	BROOKS LABORATORIES LTD							
Narration	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Growth Rate
Sales	23	28	45	45	53	56	80	**23%**
Net profit after tax (PAT)	1	4	3	5	7	9	7	**36%**
Total Debt (D)	8	12	16	12	9	1	1	
Self-Sustainable Growth Rate (SSGR)			**19%**	**28%**	**26%**	**31%**	**33%**	
Cash + Investments (CI +NCI)	0	5	2	1	1	20	24	

Brooks Laboratories Limited's financials presented a picture perfect scenario of any good business:

1. Sales were growing at 23%

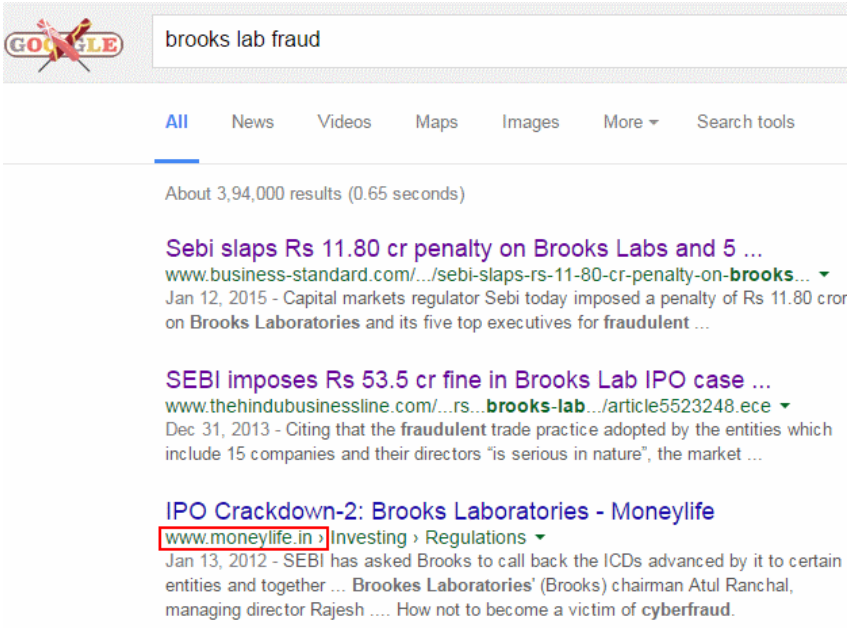
Copyright © Dr Vijay Malik. All Rights Reserved.

2. Profits were growing at an even higher rate of 36%
3. Brooks Laboratories Limited was using its profits to repay debt and was essentially debt free at the end of FY2013 and
4. As the company was acting like a cash machine, it was able to generate surplus cash after meeting debt repayments and was accumulating cash reserves year on year.

Finding a company with such performance is a dream for any investor and I was very happy to have chanced upon Brooks Laboratories Limited.

However, as mentioned above, I suggest that every investor should do the background check of promoters' before making an investment decision. The steps to do a background check is very simple:

"Just Google It"



It is essential to search for the name of the company with certain keywords like "Fraud, Issues, SEBI, Dispute, Court etc." One such search attempt should give an investor about any critical information that might be present in the public domain.

Readers would notice that one of the results about Brooks Laboratories Limited is from Moneylife. In current times, Moneylife is very active in writing about corporate frauds and it is highly likely that if any listed company has been involved in any issue, then Moneylife would have covered it on its website. Therefore, investors may use the keyword "Moneylife" as well to search for the issues related to any company.

The check of promoters' background for Brooks Laboratories Limited reflected that they were involved in defrauding public investor in their IPO and have syphoned off the investor's money from the company. As per the below article in Businessline, SEBI found them guilty and imposed penalties on them.

Copyright © Dr Vijay Malik. All Rights Reserved.

"...it is clear that through fictitious transactions of round tripping of funds, the said noticees ie Konark, Blue Print, Sunshine and Shardaraj along with the promoters of Brooks, had siphoned off the funds to the tune of ₹ 8 crores from the IPO proceeds," SEBI said.

Moreover, SEBI noticed that one of the entity, Suryamukhi Projects, had received ₹ 15.30 crores in advance "without the infrastructure being developed at the project site, which ultimately is siphoning off the funds from Brooks". Suryamukhi has been fined with ₹ 30.60 crore by the market regulator for such act.

After learning about the frauds conducted by the promoters, I decided against invested in Brooks Laboratories Limited.

Thus, investors would notice that a simple Google search could be very useful tool in assessing management quality of any company. Therefore, one of the essential tools for any investor is to do a background check of company's promoters at Google, to assess whether they are shareholder friendly.

Over time, investors would notice that such background search results bring out key information about promoters. Let's see an example where the results point out to positive things about the promoter:

Manappuram Finance Limited

(Disclosure: I am invested in Manappuram Finance Limited)

Manappuram Finance Limited faced heat from the regulator Reserve Bank of India (RBI) in 2012 when RBI asked it to stop using its branches to collect deposits from public on behalf of Manappuram Agro Farms Limited (MAGRO). MAGRO is an entity owned by the promoter of Manappuram Finance Limited, Mr V.P. Nandakumar. Let's see the way event unfolded over the next few days:

1. February 7, 2012: RBI bans MFL and MAGRO from accepting deposits
2. February 10, 2012: Manappuram replies after the board meeting

In compliance with the directions of the RBI, the Company shall completely disassociate its name, officials, manpower, infrastructure, systems etc. from MAGRO and other entities owned or controlled by Mr. Nandakumar or his family.

The Board of Directors of the Company has directed thenCompany to take all steps and measures as is required to address and alleviate all concerns raised by the Reserve Bank of India in both letter and spirit. Mr. Nandakumar has informed the Board of Directors of the Company that he has issued public notices in Malayalam dailies undertaking to honour all obligations to MAGRO's depositors and that no inconvenience would be caused to them.

Copyright © Dr Vijay Malik. All Rights Reserved.

In a meeting on 10 February 2012, the Board of the Company constituted an independent committee of its members, under the chairmanship of Mr. Jagdish Capoor (former Deputy Governor of the Reserve Bank of India and former Chairman of HDFC Bank) to review all relevant aspects of the operations, systems, controls and organization structure including Board composition and effectiveness to enhance governance in the Company. The committee will appoint leading independent legal counsel and other advisors as appropriate to assist with conducting its review. Further, the Company will retain a leading accounting firm to supplement the in-house internal audit team. Leading law firm, Amarchand Mangaldas and internationally reputed accounting firm, KPMG will be assisting in the independent review exercise by the committee.

The investor would notice that the company took the notice from RBI seriously and within a few days clarified its stance about RBI's instructions.

1. It clarified its intention of fully complying with the regulator's instructions by dissociating itself from MAGRO
2. Mr Nandakumar assured that he would honour all the liabilities towards the depositors of MAGRO
3. And most importantly, Manappuram Finance Limited established a committee under the chairmanship of Mr Jagdish Kapoor, former deputy governor of RBI and chairman of HDFC Bank to improve the governance standards of the company. Moreover, reputed companies like Amarchand Mangaldas and KPMG were appointed to help this committee.

These actions reflected the intention of the company to comply with the regulator's intentions in letter and spirit in sharp contrast to some other corporates who try all the options under the sun to fight regulators be it in courts or media.

- March 14, 2012: Mr Nandakumar writes to the board of Manappuram Finance Limited about his plan to sell a stake in the company to pay outstanding depositors of MAGRO:

As disclosed in the previous press release of the company dated 13-02-2012, pursuant to my commitment to the Board of Directors of Manappuram Finance Limited in my letter dated 10th February 2012, and having issued public notices in this regard, I intend to repay all outstanding public deposits of Manappuram Agro Farms and honour all such obligations such that no inconvenience is caused to the depositors. Towards this effect, I intent to sell shortly approximately 4% of theshare capital in Manappuram Finance Ltd on the stock exchange to certain reputable institutional investors.Kindly take it on record and inform the stock exchanges

- March 15, 2012, Press Release: Marquee PE investors led by Baring India, Sequoia Capital, and Siguler Guff buy 4.75% of Manappuram Finance Limited from Promoter on the stock exchange.

Thus we see that the promoters of Manappuram Finance Limited accepted the directions of RBI, stopped collecting the deposits, took steps to enhance the corporate governance, raised funds by selling personal stake in the company and then deposited the money in an escrow account with a public sector bank as the source from which outstanding deposits would be paid on maturity.

Copyright © Dr Vijay Malik. All Rights Reserved.

These steps took care of interests of every stakeholder: MAGRO depositors and Manappuram Finance Limited & its shareholders. And all these events happened within a short period of about one month.

Such events establish that the promoter kept in mind the interest of outside stakeholders while taking his decisions, which is one of the essential qualities to look for while investing in any company.

As we notice that bad habits persist in people similarly, we notice that good habits also persist. We would notice that it was not the first time when Mr Nandakumar had kept the interest of public shareholders above his own:

In this interview published on Rediff in November 2011, Mr Nandakumar talks about the event post the IPO of Manappuram Finance Limited in 1995:

> **One of my most difficult times as an entrepreneur**
>
> We listed our shares at the BSE in 1995 and, in hindsight; we were probably not ready for the challenges of being listed at a stock exchange.
>
> In the initial days, our share price slid from its face value of Rs 10 to as low as Rs 8, over the subsequent months.
>
> People who had subscribed to the shares before the IPO based on my assurance that they would not lose money began queuing up for a buyback.
>
> I actually ended up buying back shares with a market value of Rs 8 at a price of Rs 10. It was not a wise thing to do, but I had to do that to keep my word and somewhere in always knew that it all could turn around, provided we kept our faith.
>
> Today, the sum of Rs10,000 that was invested in our IPO is worth Rs 23 lakh (Rs 2.3 million). The market capitalisation of the company is around $1 billion.

Mr Nandakumar had started Manappuram Finance Limited in 1992 with a capital of ₹10 lakh. He used to add his money to the capital every year so that the capital grew. Then NBFCs required a minimum of ₹3 crore paid-up capital to list at the BSE.

In 1995, Manappuram Finance Limited achieve a capital of about ₹1.25 crore. Mr Nandakumar asked for small investments from his family members and friends and could raise another ₹1.75 Cr. to meet the regulatory requirement for the IPO.

However, as mentioned in the interview, soon after the IPO, the share price reduced from ₹10 to ₹8 per share and the investors started asking him to compensate for the losses. Mr Nandakumar bought back the shares that traded in the market for ₹8, at ₹10 from these investors to keep his word.

This is in stark contrast to the case of Brooks Laboratories Limited, which defrauded investors and syphoned off the money from public investors.

Therefore, looking at the contrasting cases of Brooks Laboratories Limited and Manappuram Finance Limited, an investor would appreciate the different kinds of managements that are present in the listed companies' marketplace. The investor would also appreciate the need for differentiating between these

Copyright © Dr Vijay Malik. All Rights Reserved.

managements and the key role that a background check can play in avoiding bad managements and find out good managements.

Therefore, a background check by way of Google search is the first step for assessing the management of any company, which every investor should mandatorily do.

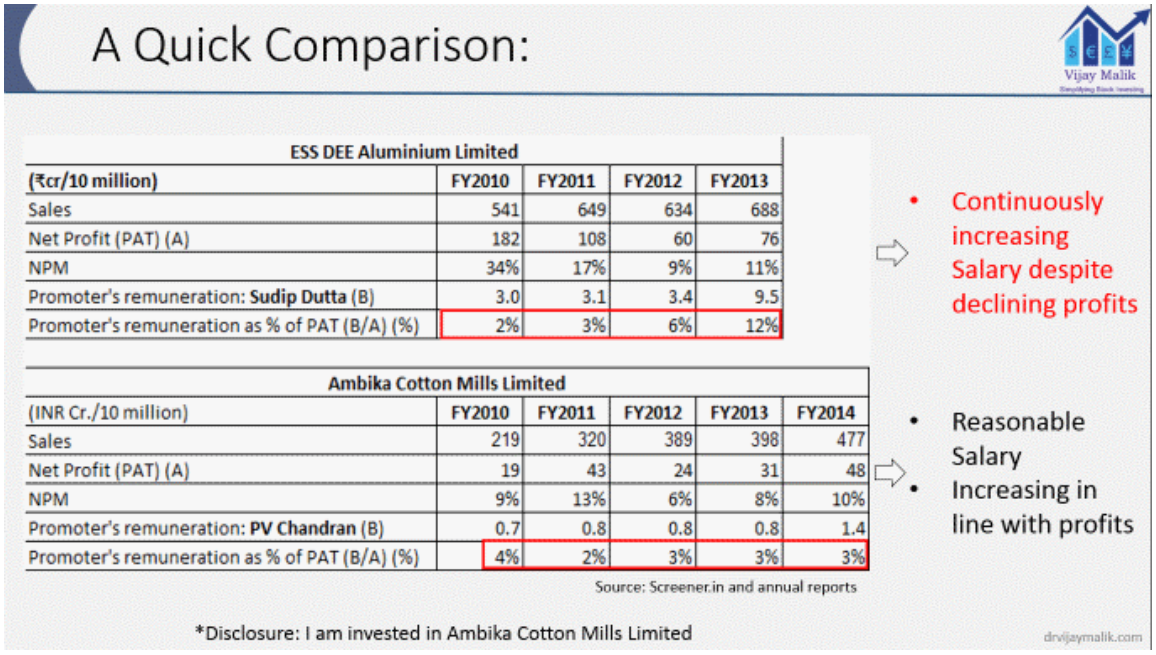
2) Promoter's Salary:

The salary taken by the promoter/management of the company is one of the key parameters that can give critical insights into the management intentions.

Salary/remuneration data of promoter/management/directors is provided by the company in annual Report. This data is not available in the public financial sources like screener/Moneycontrol etc. Therefore, it is essential for investors to read the annual reports to assess the management on this parameter.

After analysing many companies as part of my stock selection process and for answering queries of readers, I notice that the usual salary range for promoter directors/management is about 2-4% of net profit after tax (PAT). The salary generally contains 2% commission on PAT and a fixed monthly component along with other perquisites.

Let us see the examples of performance of two companies and the salaries being taken by their promoters:



An investor can see the sharp contrast between the salaries being taken by promoters of ESS DEE Aluminium Limited and Ambika Cotton Mills Limited.

Remuneration of Mr Sudip Dutta, the promoter of ESS DEE Aluminium Limited has increased from ₹3 Cr. in FY2010 to ₹9.5 Cr. in FY2014 whereas the net profit of the company has decreased from ₹182 cr. to

Copyright © Dr Vijay Malik. All Rights Reserved.

₹76 cr. over the same period. The salary as a percentage of net profits has increased from 2% in FY2010 to 12% in FY2014.

An investor might question the basis of the increase in remuneration of the promoter even in the scenario of declining profits. Such kind of remuneration practices that are not linked to the performance of the company effectively serve as a means for the promoters to benefit at the cost of company shareholders.

On the contrary, if an investor analyses the remuneration pattern of Mr P. V. Chandran, the promoter of Ambika Cotton Mills Limited, then she notices that the salary of Mr Chandran:

- is in the range of 2%-4% of net profits, which is the average range for most of the listed entities,
- has increased only in the years when the profits have witnessed an increase. In the years, when the profits did not increase, the salary remained constant.
- the salary increased beyond ₹0.8 cr. in FY2014 when the profits of the company increased to ₹48 cr. which was more than the previous high watermark of ₹41 cr. achieved in FY2011.

ESS DEE Aluminium Limited came into my investment radar in 2013, however, after analysing it I decided against investing in its shares. The high salary of the promoter which was continuously increasing without a proportionate increase in company's performance was one of the primary reasons for avoiding investment in ESS DEE Aluminium Limited.

Recently, when I revisited the company, then I noticed that the company is reeling under debt of about ₹500 cr. and has been making losses since last 2 quarters (September and December 2015) and its share price has declined from about ₹750 in February 2014 to about ₹90 in May 2016.

Ambika Cotton Mills Limited came into my investment horizon in September 2014. I liked many aspects of the company.

Out of multiple factors that I liked about Ambika Cotton Mills Limited, the reasonable salary being drawn by Mr Chandra along with the moderate level of salaries being paid by the company to potential successors (daughters of Mr Chandran), was an important parameter that helped me take the final investment decision about the company.

(Disclosure: I am still invested in shares of Ambika Cotton Mills Limited)

As I have mentioned in the chapter above that bad habits persist, similarly, good habits also persist in people.

We saw another example of this in December 2015 when Ambika Cotton Mills Limited filed the following notification in stock exchanges:

Copyright © Dr Vijay Malik. All Rights Reserved.

December 28, 2015

To
The Secretary,
Bombay Stock Exchange Limited

This is to inform you that on the recommendation of Nomination and Remuneration committee the Board of Directors at their meeting held on 07/11/2015 have accepted the proposal of Sri.P.V.Chandran to annul the commission part of his remuneration calculated at 2% of the Net Profit of the company with effect from 01/04/2015 as according to Sri.P.V.Chandran such annulment would put him almost at par with other shareholders and a step towards part of further enhancement of Corporate Governance.

The notification mentioned that Mr P. V. Chandran has decided against accepting the commission part of his remuneration, which was calculated at 2% of the net profits of Ambika Cotton Mills Limited. This notice meant that Mr Chandran would be taking only the fixed component of his salary, which is about ₹2 lac per month.

On seeing this notice, one of the celebrated investors in Ambika Cotton Mills Limited, Prof. Sanjay Bakshi, wrote a thank you note to Mr Chandran appreciating his kind gesture towards minority shareholders. This is what Mr Chandran wrote back to Prof. Bakshi:

> I am a stockholder at Ambika and a fan of Mr. Chandran. When I learnt about his gesture towards his junior partners, I wrote a thank you note to him.
>
> Here's what he wrote back:
>
> > I intend to live a simple life and the expenditure for that is very limited. The dividend that I receive from my Company is excess for my expenditure. The Shareholders of my company have reposed faith in me while investing in my Company and I should live up to their expectations. While they receive only dividends, I felt it should be the same for me as well.
>
> Source: fundooprofessor.wordpress.com

Mr Chandran highlighted that he is satisfied with the dividend that he receives from Ambika Cotton Mills Limited, just like minority shareholders and that he does not want to receive any special treatment different from other shareholders. Mr Chandran stresses upon living up to the faith reposed by minority shareholders in him.

I calculated that the promoters of Ambika Cotton Mills Limited would receive about ₹4.28 cr. in the dividend in FY2016 for their 48.63% stake in the company. ₹4.28 cr. per annum seems sufficient for living a good lifestyle in India unless one plans to live very lavish life associated with private jets and parties at private islands.

I respect such managements, who respect the minority shareholders (Ambika Cotton Mills Limited) and don't mind taking a financial hit to keep their words (Manappuram Finance Limited). I like to invest in the

Copyright © Dr Vijay Malik. All Rights Reserved.

companies run by such managements and stay invested as their partner in the growth of the business over long periods.

3) Related Party Transactions

Related party transactions section is one of the essential parts of the annual report that every investor should analyse in detail for every company that she plans to study. This section discloses a summary of all the transaction/balances at year end for the dealings that the company made with promoters and their personal entities, joint ventures etc. during the year.

Related party transaction section is a goldmine of the information for assessment of any management. By studying each transaction in this section, an investor can conclude whether the promoters are benefiting from the company at the cost of minority shareholders.

Let's analyse the related party transactions of a company:

Rexnord Electronics & Controls Limited

Rexnord Electronics & Controls Limited founded in 1988, is a Mumbai-based small-cap company with a market cap of about ₹45 cr. The company is a manufacturer of fans: AC Axial Fans, DC brushless fans, condenser cooling, evaporator, no frost, water cooler and gear motors.

I came to know about Rexnord Electronics & Controls Limited, when one of the readers of the website, Susheel Kapoor, asked me a query about his analysis of the company.

While reading the annual report of Rexnord Electronics & Controls Limited for FY2015, an investor notices that the company has sought shareholder's approval for an agreement, which the company has already entered into with M/s Excelum Enterprises. The agreement is for sale & purchase, payment of commission on sales including overseas sales and reimbursement of expenses to Excelum Enterprises.

Item No. 5 :

The main business of the Company is manufacturing and sale of instrument cooling fans and shaded pole motors used for industrial purposes. The Company has entered into a Contractual Agreement with M/s. Excelum Enterprises for Sale & Purchase, payment of Commission on Sales (including Overseas Sales) and reimbursement of expenses for an amount not exceeding of ₹ 2 Crores on annual basis, on such terms and conditions as may be agreed to by the Board.

M/s. Excelum Enterprises is a Proprietary firm of Mr. Kunal Tanna being a relative of Mr. Kishore Chand Talwar and Mrs. Nainy K. Tanna, Directors of the Company, this transaction will require approval of the shareholders of the Company. Pursuant to the Section 188 of the Companies Act, 2013 and rules

Excelum Enterprises is owned by Mr Kunal Tanna, who is the husband of Ms Nanny Tanna. Ms Nanny Tanna is the daughter of founder promoter & chairman of Rexnord Electronics & Controls Limited, Mr

Copyright © Dr Vijay Malik. All Rights Reserved.

Kishore Chand Talwar. Therefore, we notice that Rexnord Electronics & Controls Limited is entering into a transaction with the son-in-law of the founder promoter of the company.

M/s. EXCELUM ENTERPRISES A proprietorship concern of Mr. Kunal Tanna the spouse of Mrs. Nainy Tanna	MR. KUNDAN TALWAR Son of Mr. Kishore Chand Talwar and brother of Mrs. Nainy K. Tanna

When an investor analyses the annual report further, then she notices that until last year (FY2014), Mr Kunal Tanna was working at Rexnord Electronics & Controls Limited, as the Vice President – International Business. To an outside observer, the current arrangement of payment of commission on sales to Excelum Enterprises by Rexnord Electronics & Controls Limited seems like paying to Excelum for the skill that its proprietor (Mr Kunal Tanna) has learnt by working at Rexnord itself.

Moreover, a look at the salary structure of the promoter family for FY2014 highlights that Mr Kunal Tanna was being paid the highest remuneration in the company even higher than the salary of founder promoter & Chairman Mr Kishore Chand Talwar.

Transactions during the year and balances outstanding as at year end with the related parties are as follows:

Particulars	Volume of Transactions 2014-15	2013-14
Revenue:		
Sales		
Excelum Enterprises	**3293400.00**	0.00
Expenses:		
Purchases		
Excelum Enterprises	**667244.00**	0.00
Director's remuneration		
Shri Kishore Chand Talwar	**2804200.00**	1500000.00
Smt. Nainy K. Tanna	**2708392.00**	1500000.00
Salary		
Shri Kundan Talwar	**2196282.00**	964469.00
Shri Kunal Tanna	**0.00**	2156792.00
Smt. Sharda Talwar	**1865063.00**	1103972.00

I believe that it is good if relatives of the promoter join the company as employees/directors and contribute to the growth of the business and take a commensurate salary for their contribution. Family members at key positions ensure continuity of the business as well as relatively stable loyalties when compared to professionals who keep on shifting their loyalties by giving 90 day notice periods.

However, the investor should become circumspect when she sees the promoter family members entering into contractual agreements with the company. This is because, as in case of Rexnord Electronics & Controls Limited, when two members of the family, a father-in-law, and a son-in-law sit across the table to decide what percentage of commission would be paid to the company of son-in-law, then the minority shareholder can only pray that they would have her best interest in their mind.

The cases of Gujarat Automotive Gears Limited, Cairn India Limited and Maruti Suzuki India Limited, which have been discussed in the first chapter on assessing management quality, should serve as a caution for investors before investing in companies that have a lot of related party transactions.

Copyright © Dr Vijay Malik. All Rights Reserved.

With this, we have come to end of this chapter that highlighted some of the important tools for assessment of management quality:

1. Promoters' background check
2. Promoters' salary
3. Related party transaction

In subsequent chapters, I would discuss remaining critical tools which an investor should use to differentiate a good management from a bad management.

Copyright © Dr Vijay Malik. All Rights Reserved.

18) Steps to Assess Management Quality before Buying Stocks (Part 2)

In the previous chapter we discussed the following tools for management assessment:

1. Promoters' background check
2. Promoters' salary
3. Related party transaction

The current chapter is a continuation of the discussion of the key steps/tools that investors should use to find out a good management and avoid bad management. An investor should read these carefully and use them in her stock analysis process so that she may avoid falling into the trap of unscrupulous managements that try to benefit at the cost of minority shareholders:

4) Warrants:

Warrants are like options which are issued to select shareholders by the company that gives these shareholders a right to convert these warrants into shares of the company at a predetermined price. Like options, warrants come with an expiry date i.e. the period in which the warrants can be converted.

Over the years, promoters/majority shareholder have been treating warrants as a means to give special treatment to themselves. The special treatment might be related to pocketing risk-free gains and to gain/increase stake through backdoor channels.

i) Risk-Free Gains: Converting a situation of potential increase in costs to potential gains

This usually happens in cases where the warrants are issued and become convertible right from the date of issuance. In cases where such immediately convertible warrants are issued at a discount to the market price of the stocks of the company, then it amount to handing over free money to promoters/majority shareholders as promoters do not need to anything else other than convert the warrants into shares the same day and sell these shares into the market to pocket the amount of discount as a risk-free gain.

Even though the allotment price of warrants is guided by statutory regulations by SEBI and the price of allotment would be in compliance with the regulations, however, the point to note here is that if the promoters would have tried to buy shares from the market, then they would not have got it at the prevailing price. Instead, the news of an attempt by promoters to buy shares from the market would have led to significant increase in share price and in turn leading to an increase in the cost of acquisition of shares to the promoter.

However, by way of warrants, this effect of an increase in share price of the company is reversed. The increase in share price which would ideally lead to a higher cost of acquisition of shares (if promoters would have bought shares from the market). However, through warrants, by freezing the cost price of shares at a pre-determined price, the promoters convert the impact of the increase in share price to their advantage by getting a call option payoff.

Copyright © Dr Vijay Malik. All Rights Reserved.

Many companies have resorted to such issuance of warrants. Let's see the example of one such company:

Rexnord Electronics & Controls Limited

Rexnord Electronics & Controls Limited made the following disclosure in its annual report for FY2015:

NOTE 40: ISSUE OF SHARE WARRANTS, THEIR CONVERSION AND UTILIZATION OF ITS PROCEEDS

(a) (i) The Compnay, during the year, has alloted 3478800 Warrants at a price of ₹ 13.40 per warrant carrying an entitlement to subsribe to an equivalent number of equity shares of face value of ₹ 10/- each within 18 months from the date of allotment of warrants to promoter/promoter group and non promoter group in accordance of Regulations for Preferential Issue contained in Chapter VII of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2009 as amended, on 23rd September 2014 and received 25% of issue price as warrant allotment money aggregating to ₹ 1,16,53,980. The compnay has utilized this proceeds for its working capital requirements and other corporate purposes in accordance with the object of the issue.

As per the disclosure, at September 23, 2014, Rexnord Electronics & Controls Limited had allotted 3,478,800 warrants to its promoters at a price of ₹13.40. Each of these warrants was convertible into one equity share of the company. The promoters could convert these warrants into equity shares at any time within 18 months from the date of allotment (September 23, 2014).

The eligibility to immediately convert the warrants is the key here because the closing market price of shares of Rexnord Electronics & Controls Limited at September 23, 2014, is ₹23.34. This effectively means that the promoters can convert the warrants allotted to them on September 23, 2014, the very same day at ₹13.40 and sell the resultant equity shares received into the market at ₹23.34 and pocket the difference of ₹9.94 per share as a risk-free gain, which ideally would have been their cost of acquisition of shares, if they would have tried to buy shares from secondary market as the market would have immediately increased the share price. (Promoters got rights to 3,478,800 shares through warrants, whereas the average daily trading volume for Rexnord on the stock exchange is only a few thousand shares).

The total risk-free gain pertaining to the issued 3,478,800 warrants amount to ₹3.36 cr., which is the free money handed over to the promoters by the company.

This amounts to a loss of minority shareholders as the company has sold its ₹23.34 worth of asset at a price of ₹13.40. Therefore, investors should always compare the allotment price of warrants with the market price of the shares of the company.

ii) Gaining/increasing stake through backdoor channels:

Let's see what further benefit the warrants bestow upon the promoters/majority shareholders.

In FY2015, the promoters of Rexnord Electronics & Controls Limited increased their shareholding from 46.47% at March 31, 2014, to 51.46% at March 31, 2015, by increasing their shareholding by 888,300 shares. This move is very significant from the perspective of promoters as it gives them a majority in the shareholding of the company.

However, when an investor analyses deeper, then she comes to know that the entire increase of 888,300 shares in the holding of promoters had happened by way of conversion of warrants at December 13, 2014, when the promoters had converted 1,098,300 warrants into equity shares of Rexnord Electronics & Controls Limited.

Copyright © Dr Vijay Malik. All Rights Reserved.

The issue to be focused here is that promoters have acquired these additional shares on December 13, 2014, at the warrant conversion price of ₹13.40 instead of the market price of ₹22.85 for the shares of Rexnord Electronics & Controls Limited on that day.

Investors who have spent some time in equity markets would realize that when the promoters start to buy shares in their company, the market sees it as a very positive sign and it increases the market price immediately. However, in the case of Rexnord Electronics & Controls Limited, the promoters instead of paying a premium to market price to increase their stake in the company, got these shares at a deep discount to the market price.

Therefore, effectively the non-promoter shareholders, including retail shareholders, of Rexnord Electronics & Controls Limited had subsidized the purchase of shares by the promoters. And this was made possible by an ingenious instrument: Warrants!

Therefore, whenever an investor is analysing a company and she comes across issuance of warrants to promoters/majority shareholders, then she should analyse the issuance and exercise of these warrants to assess whether the management/promoter/majority shareholders is benefitting at the cost of minority/retail shareholders.

5) Management Focused on Share Price:

Running a business as well as investment in equities demands long-term vision. A promoter/manager is expected to create wealth for the shareholders and take decisions that are beneficial for the business over the long term and not be primarily concerned about short-term implications. Similarly, a long-term value investor should consider holding her investments over many years and not get worried about periods of share price declines in the interim period.

However, many times we see that the promoters/managers are constantly worried about the share price of the company, which is heavily influenced by daily level changes in the operating environment. Such kind of management is hardly willing to take the strong decisions that might be needed for the long-term benefit of the business and in turn for shareholders.

Therefore, an investor should always analyse past decisions of the promoters/managers to assess whether their decisions have been motivated by long-term vision or the short-term share price fluctuations.

Let’s see a recent incident, which presented a pertinent example to this issue.

DCB Bank

DCB Bank has its origins in the merger of many co-operative banks in the 1930s. It was granted the scheduled bank license by the Reserve Bank of India in 1995. Renowned Tata group bought 4.6% in DCB Bank in 2007.

Copyright © Dr Vijay Malik. All Rights Reserved.

Potential 100bagger:

DCB Bank is covered by many big brokerages and has been a favourite among many of them to the extent that Motilal Oswal Securities in its 19th Annual Wealth Creation Study (2009-14), released in December 2014, selected DCB Bank as a stock with a potential of giving 100 times return to the shareholder on their investment.

Exhibit 24

Companies which meet key 100x criteria, subject to management assessment

Company	Small & unknown (Mkt Cap, INR b)	Value Migration / Niche opportunity	Favorable valuation (TTM P/E, x)*
Aarti Drugs	10	Pharma exports	13
Suven Lifescience	22	Pharma exports	17
Granules India	16	Pharma exports	17
DCB Bank	29	Private banking	18
Tata Elxsi	19	Specialized software exports	21
Shilpa Medicare	20	Oncology drugs research	24
Atul Auto	10	Niche 3-wheeler player	25

* Valuation based on price of 25 November 2014

In his book *Path To Wealth Through Common Stocks*, Phil Fisher says, "**in evaluating a common stock, the management is 90%, industry is 9% and all other factors are 1%.**" In the ultimate analysis, it is the management alone which is the 100x alchemist. And it is to those who have mastered the art of evaluating the alchemist that the stock market rewards with gold … by way of 100x Wealth Creation!

12 December 2014 23

DCB Bank had a market cap of ₹2,900 cr. then and effectively the analyst at Motilal Oswal assessed that the Bank has the potential of becoming a ₹290,000 cr. market cap company (A few of the comparative companies to this market cap today, May 28, 2016, are: HDFC Bank ₹300,000 cr., ITC ₹290,000 cr. and Infosys ₹286,000 cr.)

The analyst pointed out that in the evaluation of a common stock, the management is 90%, industry is 9% and other factors are 1%. I completely agree with this belief and therefore assume that the analyst which assessed DCB Bank for the report, would have dedicated at least 90% of the research time in assessing the management of DCB Bank.

On October 13, 2015, DCB Bank came up with its future business strategy and informed the public through stock exchange filings:

Copyright © Dr Vijay Malik. All Rights Reserved.

DCB BANK

Given the above background, in our recently concluded Board meeting we have agreed to make a few important changes to our go-forward approach which is outlined below:

(a) Install 150+ additional branches within 12 months. (Earlier plan was to grow 25 to 30 branches every year). Therefore, the Bank aims to have more than 300 branches by December, 2016.

(b) Invest heavily in customer facing and frontline enabling technologies (This will help to tackle emerging competition)

(c) Proliferation of smart phones, success of Aadhaar, new technologies, contemporary initiatives by NPCI, etc. is creating an exciting phase in banking. Therefore, we plan to partner with select start-up companies that may have disruptive banking concepts. (This will enable us to participate in any transformational or revolutionary ideas)

(d) Form alliances with entities to enhance product / distribution. This will help us to strengthen our franchise.

We have started working on all of the above.

We believe that the main impact on P&L by pursuing the new approach as outlined above will be on account of frontloading implementation of 150+ branches within 12 months. We estimate that, P&L (post tax) will be negatively impacted by approximately Rs. 9 to 15 crores in FY 2016, Rs. 50 to 65 crores in FY 2017 and Rs. 20 to 35 crores in FY 2018. Thereafter, the initiative is likely to produce positive impact on P & L (post tax).

If all goes well, the initiative of implementing 150+ branches implementation is likely to break even in 24 to 30 months and payback in 44 to 50 months. We plan to track the impact of the above mentioned investments separately.

In the last 2 to 3 years we have installed approximately 80 branches. Our current branch expansion experience indicates that if properly executed, branches generally achieve break even between 18 to 22 months and payback in 36 to 40 months.

Cost / Income ratio, ROA and ROE will get negatively impacted due to the gestation period of the new 150+ branches. In the coming 24 to 30 months, depending upon the speed and quality of implementation we expect the Cost / Income ratio to worsen by 5% to 11%, ROA may be in the range of 50 bps to 60 bps and ROE may continue to be below 10%.

After 24 to 30 months we expect steady improvement in Cost / Income ratio, ROA and ROE. In early part of FY 2020, including 150+ additional branches, the target is to achieve Cost / Income ratio below 55%, ROA of 100 bps and ROE of 14%. If the implementation continues as per plan, in FY 2021, we hope to achieve Cost / Income ratio of 50%, ROA of 120 bps and ROE of 16%.

While near term P&L may be negatively impacted, our estimates indicate that Balance Sheet and P & L (post tax) could be better by approximately 30% to 40% by FY 2022 as compared to our current approach of steadily increasing branch network.

Financial numbers are rounded off to nearest whole number October 13, 2015

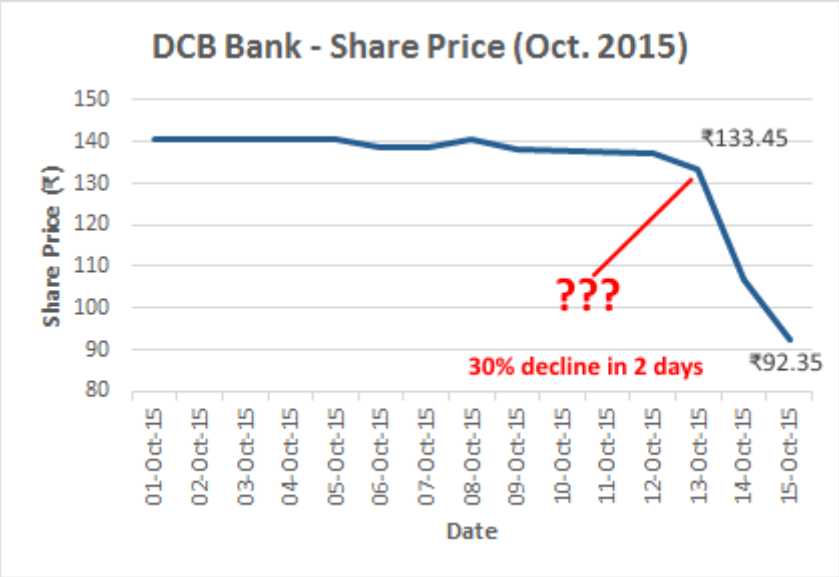
Copyright © Dr Vijay Malik. All Rights Reserved.

DCB Bank stated that:

- it plans to increase the branch expansion speed from earlier 25-30 branches per year to about 150 branches within next one year along with various other technology initiatives
- It had done detailed planning for this business strategy and expects that the cost ratios and in turn profits would be negatively impacted in the short term horizon of about 2-3 years but these decisions would create long-term wealth for the shareholders from FY2019 onwards.

The Bank has done in-depth planning by assessing various parameters like probable break even, payback, return on equity, return on assets etc. and the management seemed to be in the know of the steps that they are taking. The management seemed an ideal one, which prioritizes long-term interests of the business over the short term incentives. I find that such bold managements are in rarity now a days and appreciate such managements.

However, the markets were spooked by this announcement. The share price of DCB Bank tumbled 30% in a span of two days from ₹133.45 at October 13, 2015, to ₹92.35 at October 15, 2015.



The reaction of stock market started with the report of Kotak Securities, which downgraded DCB Bank to "Sell":

Oct 14, 2015, 12.43 PM | Source: Moneycontrol.com

DCB Bank crashes 20%, Kotak downgrades to sell post Q2 nos

DCB is looking to double branches to 300 and increase employees by 50-60 percent in next 12-14 months in what appears to be a very dangerous, unexpected and disappointing shift in their strategy of steady improvement in cost ratios, focusing on risk and improving return ratios, says Kotak.

Copyright © Dr Vijay Malik. All Rights Reserved.

Kotak labelled the management strategy as "very dangerous…..disappointing shift in their strategy"

In quick succession, Edelweiss downgraded DCB Bank to sell.

However, the real shocker was next to come when Motilal Oswal Securities, which has cherished DCB Bank as a potential 100bagger, downgraded it to a "Sell".

Oct 15, 2015, 02.27 PM | Source: Moneycontrol.com

Sell DCB Bank; target of Rs 90: Motilal Oswal

Motilal Oswal is bearish on DCB Bank and has recommended sell rating on the stock with a target price of Rs 90 in its research report dated October 13, 2015.

Sudden shift in strategy is leading to sharp earning cut (PBT CAGR of 16% vs 34% earlier) and ROE falling below 10% till FY17. Considering expansion plans and strong growth, management may choose to raise capital over next 12-15 months, which will keep ROE at sub 10% for a prolong period. Management has guided for ROA and ROE to improve to 1-1.2% and 14-16% by FY20-21 and near term ROAs/RoE are expected to be 50-60bp and sub 10%. While strategy of aggressive expansion will have long term benefit, prolonged pressure on ROEs (less than cost of equity) is leading us to downgrade rating to SELL. Our new target multiple is 1.4x FY17 BV – INR90 (33% downside). We may tweak earnings post concall tomorrow.

Any long term investor would be surprised to read the opinion of Motilal Oswal Securities in its "Sell" recommendation. It stated that despite acknowledging that the business strategy of DCB Bank is beneficial to business in the long term, we are recommending a "Sell".

So much for the long-term vision of the market analysts!

It takes 20.5 years for an investment to grow to 100 bagger if the share price grows at 25% each year. 20.5 years is a very long period, which is sufficient enough for every bit of external and internal environment of any company to undergo a change. The changed business strategy of DCB Bank within one year of the study led the stock analysts to downgrade a potential 100bagger to "Sell". I fail to understand whether the stock analysts expected the management and business environment to remain unchanged for 20.5 years

DCB Bank responds:

The story is not yet over.

Soon thereafter, DCB Bank filed another announcement to stock exchanges on October 15, 2015:

Copyright © Dr Vijay Malik. All Rights Reserved.

DCB BANK

PRESS RELEASE

DCB Bank Update on 150+ additional branches rollout plan

Mumbai 15th October, 2015:

DCB Bank has come a long way in the last few years. We have made satisfactory progress on all fronts. Our Q2 FY 2016 financial performance was in line with our expectations and we hope to continue to perform as per plan in H2 FY 2016.

We sincerely thank the investor community for their support and guidance in our journey so far and we are always keen to engage actively with them on an ongoing basis.

The Bank has a strong management team and an experienced professional board of directors.

Over the last few years, inter alia, we have created a robust business model, strengthened risk management, vastly improved Human Resources capabilities, enhanced Information Technology and Infrastructure. We have also been successful in expanding into new geographies. We have reached a reasonably better position in terms of balance sheet size and other performance metrics.

Our success so far has given us the confidence and opportunity to think bigger in terms of our size and growth for which there are a few options. Also, the banking landscape may change in the coming months.

We recently announced our intention to install 150+ additional branches within 12 months so as to have more than 300 branches by December 2016. This was part of a new approach which has also other elements mentioned in General Q and A dated October 13, 2015.

Post the above announcement we have received feedback on our branch expansion plans from investors, analysts and other stakeholders. We sincerely thank them for taking time to express their feedback.

In view of the feedback received, and in close consultation with our Chairman, the management team has decided to install 150+ branches in a cautious, prudent and calibrated manner over a period of 24 months (instead of 12 months). The management team will work out the financial estimates for the revised branch roll out approach in the next two weeks or so. In due course, revised financial guidance will be shared with the stakeholders in an appropriate manner.

This announcement meant that the business plan, which seemed to have been devised well after a detailed background work, proper research with possible challenges in execution and their responses in place, was changed based on feedback from analysts. To stress, this was the feedback from investors and analysts who

Copyright © Dr Vijay Malik. All Rights Reserved.

might not have worked in a bank branch and would have hardly done the research and hard work that DCB Bank staff might have done to devise the business strategy.

This was a complete "U" turn from the earlier strength and boldness expressed by the management. This demanded a deeper assessment.

One possible answer seemed to lie in the annual report for FY2015 on the page detailing the employee stock options outstanding for the Bank.

Activity in options outstanding under Employees Stock Option Plan

Particulars Value of ESOPs fell from (133-47)*1.1 cr = ₹95 cr. to (92-47)*1.1cr = ₹50 cr.	March 31, 2015	
	Number of options	Weighted Average Exercise Price
Options outstanding at the beginning of the year	10,144,425	45.50
Granted during the year	2,469,000	55.36
Exercised during the year	1,255,515	41.56
Forfeited/Lapsed during the year	322,870	74.84
Options outstanding at the end of the year	11,035,040*	47.29
Options exercisable	6,406,040	46.12

*Includes 67,650 employee stock options exercised, pending for allotment.

It showed that at the end of FY2015, DCB Bank employees had about 1.1 cr. (11 million) options outstanding, which were exercisable at a weighted price of ₹47.29.

On October 13, 2015, when DCB Bank's share price was ₹133, these options (ESOPs) had a value of about ₹95 cr. to their holders. And as per the prevalent corporate culture, a huge majority of these ESOPs are expected to be in the hand of top very few senior management employees.

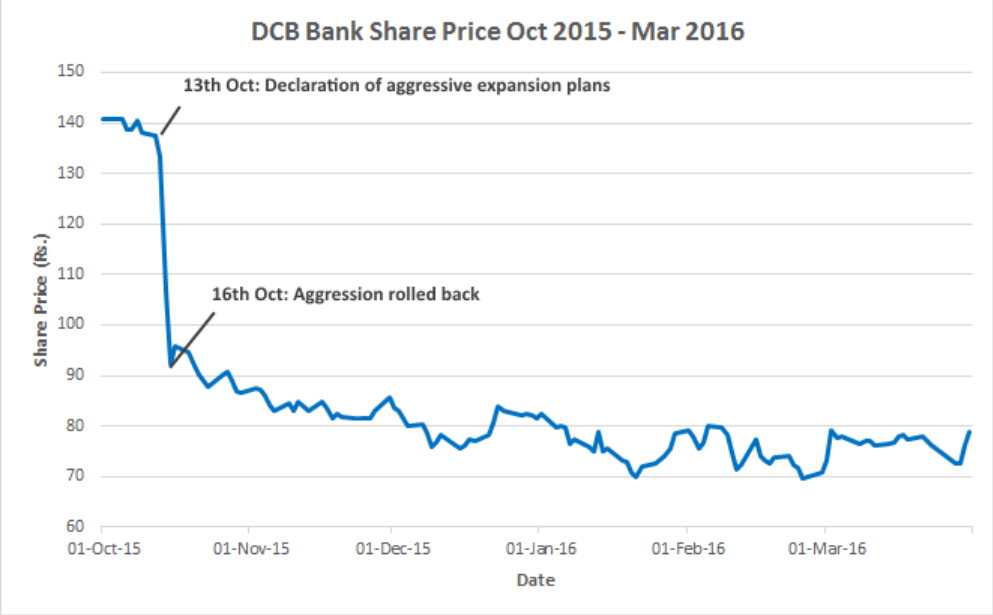
On October 15, 2015, when the DCB Bank's share price fell to ₹92, the value of these 1.1 cr. options had declined to ₹50 cr. That is a decline in value of a whopping ₹45 cr. and that too primarily from the hands of top very few senior management employees.

A decline of ₹45 cr. in wealth (whether real or notional) is very significant for any salaried employee. This significant decline in value of ESOPs presents one probable explanation to the almost U-turn that the DCB Bank management did on its business strategy based on apparent "Analyst" feedback.

So much for the long-term vision of the management! Neither the analysts nor the management is willing to bear the short term pain for long term gains.

Copyright © Dr Vijay Malik. All Rights Reserved.

Let's see how the market responded to the volte face done by DCB Bank management:



(*the stock price chart represents the data until March 31, 2016, prepared for the presentation at Moneylife. At May 28, 2016, the stock price of DCB Bank at BSE is ₹93.60)

The stock price, which is continuously hovering around ₹70-80 potentially reflects the shaken faith of the markets in the management of DCB Bank.

Therefore, it is always advised that whenever any investor analyses any company, then it becomes imperative for her to assess whether the past decisions of the promoters/managers have been motivated by long-term business vision or short-term share price fluctuations. Reading annual reports, the presence of significant amount of ESOPs and going through stock exchange filings can help her reach a decision about such behavior of promoters/managers.

6) Dividends:

One of the key features of stock investment that attract investors is the dividend payment by companies. Stock investors hold regularly dividend paying companies in high regards and believe that the managements that consistently pay dividends are shareholder friendly.

However, before an investor firms up such a belief about any management, it is crucial to assess that the company is paying these dividends out of the free cash available.

Free cash flow (FCF) can be calculated by deducting capital expenditure (Capex) done by the company from its cash flow from operations (CFO):

FCF = CFO - Capex

Copyright © Dr Vijay Malik. All Rights Reserved.

It is highly likely that if a company does not have free cash flow available after meeting capex requirements from its operating cash flows, then it is meeting the requirements of funds to pay dividends to shareholders by raising debt from lenders.

And investors would agree that if a company keeps on paying dividend consistently by raising debt, then sooner or later the debt will reach such levels that lenders would find it difficult to keep giving loans to it and the dividend payments would not remain sustainable.

Similarly, if the company does not have positive free cash flow and uses debt to pay dividends, then hypothetically there is no limit on the amount of dividend it can pay to shareholders. The dividend amount is only limited by the debt that the company can raise, be it a dividend of ₹1 per share or ₹100 per share the only thing that the management needs to do it to find a lender who can give it a loan and it would give the money to shareholders. The operating efficiency of the company does not remain the key parameter for such managements to pay dividends to shareholders.

Therefore, it is advised that investors should not take any comfort from the amount or consistency of dividend payments by a company that uses debt to pay dividends. Moreover, many times such debt-funded dividend payments are to benefit the promoter/majority shareholder at the cost of the company and in turn at the cost of minority shareholders.

Let us see an example of a company, which is paying dividends out of debt proceeds:

(INR Crores/10 Millions) **TATA STEEL LTD (Consolidated)**

Narration	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Total 10 Yrs (2006-15)
Sales	20,322	25,212	1,31,534	1,47,329	1,02,393	1,18,753	1,32,900	1,34,712	1,48,614	1,39,504	
Net profit after tax (PAT)	3,702	4,098	12,350	4,951	-2,009	8,983	5,390	-7,058	3,595	-3,926	**30,076**
Net Profit Margin (NPM%)	18%	16%	9%	3%	-2%	8%	4%	-5%	2%	-3%	
Cash from Operating Activity (CFO)	3,736	5,503	13,394	15,696	10,502	5,655	12,018	14,035	13,146	11,880	**1,05,565**
Capex (NFA+WIP change+Dep)		4,549	49,713	4,920	4,159	9,495	18,582	8,371	25,292	993	**1,26,073**

	3Yr	5Yr	7Yr	10Yr
Past Sales Growth Rate	**2%**	**6%**	**1%**	**24%**

Free Cash Flow (FCF)	**(20,508)**
Free Cash Flow % (FCF/CFO)	**(0)**

Dividend Paid (Div) Without DDT	719	943	1,168	1,168	709	1,150	1,165	777	971	777	**9,547**
Total Debt (D)	**3,377**	**24,926**	**53,625**	**59,901**	**53,100**	**60,577**	**59,897**	**68,507**	**81,609**	**80,701**	

Source: Screener.in & FY2015 Annual Report

The cash flow from operations (CFO) of Tata Steel for 10 years (FY2006-15) stood at ₹105,565 cr. whereas it did capital expenditure (Capex) of about ₹126,073 cr. over the same period, which included massive ₹49,713 cr. in FY2008 primarily to acquire the European steel giant "Corus".

The net result was that over the 10 years (FY2006-15), Tata Steel had a negative free cash flow (FCF) of ₹20,508 cr. (FCF = CFO – Capex), whereas it kept on paying dividends consistently every year and paid out about ₹9,547 cr. of dividends in 10 years (FY2006-15).

Copyright © Dr Vijay Malik. All Rights Reserved.

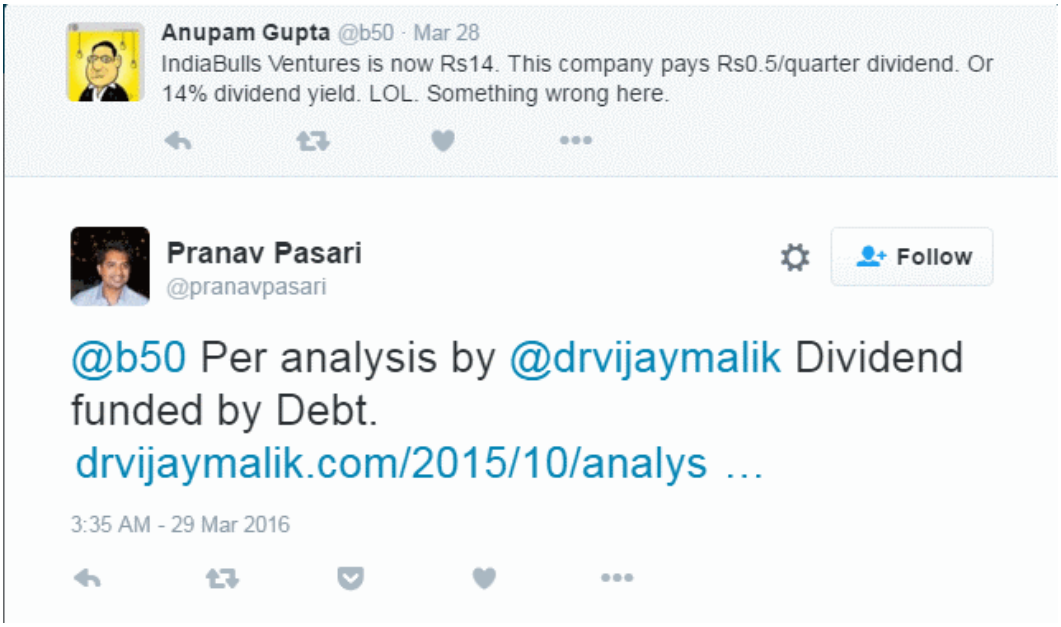
As the company did not have free cash flow to pay dividends to its shareholders, it was not surprising that the dividend payments primarily came from debt, which increased from ₹3,377 cr. in FY2006 to whopping ₹80,701 cr. in FY2015.

There is always a limit to which a company can take debt as with increasing debt levels, the lenders would become increasingly worried about the health of the company and in turn, would stop giving further debt to the company. Therefore, such debt-funded dividends are not sustainable in the long term and investors should not derive any comfort from them.

With this, we have come to end of the chapter, where I stress the importance and steps of management assessment while making stock investments. Until now, we have covered some of the important tools for assessment of management quality:

1. Promoters' background check
2. Promoters' salary
3. Related party transaction
4. Warrants
5. Management focused on share price
6. Dividend payments

An example how drvijaymalik.com is helping investors:



It feels fulfilling to notice that drvijaymalik.com is able to help investors to make opinions and in turn take investment decisions that are good for the long term.

Copyright © Dr Vijay Malik. All Rights Reserved.

19) Steps to Assess Management Quality before Buying Stocks (Part 3)

In the previous chapters, we have learnt the following tools for management assessment:

1) Promoters' background check
2) Promoters' salary
3) Related party transaction
4) Warrants and their misuses
5) Management focused on the share price
6) Dividends funded by debt

The current chapter is a continuation of the discussion of the key steps/tools that investors should use to find out a good management and avoid bad management. An investor should read these carefully and use them in her stock analysis process so that she may avoid falling into the trap of unscrupulous managements that try to benefit at the cost of minority shareholders:

7) Accounting Juggleries:

Many times, instead of working hard to grow the business managements resort to the shortcuts and manipulate the publically reported financial results to create a false image that the company has been doing very well. However, sooner than later, invariably such accounting manipulations are caught and the market heavily punishes the stocks of such companies.

In such cases, it is the minority shareholder who loses her entire investment in the company without any of her faults. Therefore, identifying accounting juggleries/shenanigans becomes a very important aspect of stock analysis.

This book contains a separate chapter highlighting key tools available to investors for identifying key features of the financials, which have a high probability of containing manipulations.

These key tools are:

Cumulative Cash from Operations (cCFO) falling short of cumulative Profit after Tax (cPAT) in the past

1. Increasing Receivables Days/Days of sales outstanding (DSO)
2. Fast buildup of inventory/decreasing inventory turnover
3. Free Cash Flow
4. Frequent Acquisitions
5. Abnormal/supernormal performance
6. Frequent changes in accounting policies/disclosures

After going through the above-mentioned chapter and reading the book mentioned therein "Financial Shenanigans: How to Detect Accounting Gimmicks & Frauds in Financial Reports", an investor would realize that there are certainly red flags, which most of the manufactured balance sheets contain. If an

Copyright © Dr Vijay Malik. All Rights Reserved.

investor is able to detect these red flags and avoids investing in such companies, then she would be able to steer clear of most of the accounting frauds.

These red flags are:

i) Rising Sales, Rising Receivables, and Rising Debt:

This situation primarily appears in companies, which book sales aggressively, sometimes even fictitiously. Such sales do not result in receipt of cash and therefore, lead to increasing account receivables/debtors/trade receivables. However, as the company has to incur operational costs like employee costs, utility costs etc., it typically relies on debt to meet its expenses.

Therefore, unless an investor personally knows that the promoters/majority shareholder in such companies is a person with integrity and that the buyers are facing a genuine financial crunch, which is leading to delayed payments, she should be better off avoiding such companies.

ii) High cash with high debt:

Such a situation is usually avoided by companies as raising funds by debt and keep them as cash without deployment is a losing scenario as it has a financial cost attached to it. Debt invariably has a higher cost than the bank FDs or liquid investments in which cash is usually held by the companies. Therefore, an investor should do extra due diligence whenever she is faced with such a situation in her target company.

The company might have many explanations to keep high cash alongside high debt on its books. Most common answer is that the company is looking for a strategic acquisition and therefore keeping the cash chest ready in case any opportunity arises. However, most of the times companies do not find good acquisition targets soon and therefore the continued presence of high cash with high debt raises concerns for shareholders.

In cases of accounting frauds, it has been seen that the debt shown is a true figure whereas the cash shown in the balance sheet turns out to be fictitious. Most of the times such cash has already been syphoned off from the company by the promoters/majority shareholders/management.

Therefore, it companies with high cash balances along with high debt should always be subjected to deeper scrutiny by the investors.

iii) Serial Acquisitions:

Acquisitions are usually done by companies to get bargain deals in times of stress in the industry. Acquisitions are done by overseas companies in new markets/geographies to get access to the approvals, patents that the target company would have in order to shorten the time to enter a new market. However, acquisitions always pose a challenge to investors as the merging of accounts of two companies using multiple assumptions, mark to markets, revaluation of assets etc. completely mixes up the accounts.

Therefore, it becomes utmost difficult to assess the real financial position by analysing the accounts of the merged entity. No wonder, many accounting frauds remain hidden in the books of serial acquirers and

Copyright © Dr Vijay Malik. All Rights Reserved.

companies find acquisitions as the most convenient method of fooling the analyst community about their real financial position.

Still, it's ok if a company acquires a target company once in a while for business reasons and assimilates & nurtures the target company as a part of its own entity. However, things start to become suspicious if the acquirer acts like a hedge fund and frequently buys & disposes of companies.

Ideally, an investor should avoid companies that are in a habit of growing only through acquisitions. She would do great good to her hard earned money as invariably serial acquirers are known to give negative surprises to shareholders.

8) Competence:

Assessing the competence of promoters/management is a key aspect of stock analysis. However, the competence must not be confused with the educational qualifications of the promoter/management. Time and again evidence have proved that educational qualifications tell little about managerial competence and integrity with which a person would treat its business & shareholders.

Instead, an investor should focus on assessing the project execution skills of the promoter/management. She should analyse the business expansion done by organic growth and ignore the capacity additions through acquisitions while she assesses the competence of the management.

The investor can take help of multiple public sources of information to assess the project execution skills of promoters like annual reports, credit rating reports, milestones on the company website etc. She should focus on organic additions to business capacities and take note of the various warning signs.

Warning signs in promoter/management competence would present in the form of:

1. Company abandoned or cancelled its projects in the past
2. Company was expelled from projects
3. Frequent project execution delays and cost overruns

The investor should prefer buying shares of companies that are run by managements, which have displayed timely completion of the projects within promised timelines.

9) Promoters' Faith in the Business:

Promoters'/majority shareholders' faith in the business gets reflected by two parameters:

i) Shareholding level and the trend of its change:

Ideally, the promoters should have a majority shareholding in the company i.e. more than 50%. However, more than the absolute level of shareholding I believe that the trend of change in promoters' shareholding carries more significance.

Copyright © Dr Vijay Malik. All Rights Reserved.

A trend of increasing shareholding by promoters/majority shareholders over recent quarters/years should be seen as positive and vice versa.

Many times, it is noticed that promoters dilute their stake a lot in initial years to fund the business expansion of the company. Promoters then try to make up for the lost stake earlier by buying shares from the dividends, which they get once the company starts generating cash flow for its shareholders.

Therefore, unless the promoters' stake is very low i.e. less than 25%, an increasing trend of shareholding over the years shows promoters' faith in the business. On the contrary, the companies where promoters have been reducing their stake should be subject to deeper analysis despite such promoters holding more than 50% stake in the company.

ii) Management Succession Plans:

Equity investing is a long-term concept where an investor is expected to hold on to the good companies for years, sometimes even for decades. In such a long-term association with the company, the assessment of management succession becomes paramount. Therefore, an investor should always study the succession plans in depth before investing her hard earned money in stocks of any company.

Companies usually follow either/mix of two approaches for management succession: bringing in promoters' children/young family members or professionals in the company.

There is no ideal succession plan as both have their pros and cons.

Companies with a lot of family members in the senior management run the risk of related party transactions at the cost of interests of minority shareholders as discussed in the previous chapters. Whereas the companies with all the professionals at senior management positions run the risk of business decisions with a short-term focus on share price as mentioned in earlier chapters:

Companies with predominantly professionals' presence suffer from lack of loyalty as professionals keep on shifting their loyalties by handing over notice periods of 90 days (i.e. resignations and job changes).

Therefore, I prefer companies, which have a promoter in charge of the company and who has delegated day to day functioning of the company to professionals hired from the market who bring in fresh perspectives, market intelligence and competitors' knowledge base to the company.

With this, we have come to the end of the section on the importance and steps of management assessment while making stock investments. We have covered some of the important tools for assessment of management quality:

1. Promoters' background check
2. Promoters' salary
3. Related party transaction
4. Warrants
5. Management focused on share price
6. Dividend payments

Copyright © Dr Vijay Malik. All Rights Reserved.

7. Accounting juggleries
8. Competence
9. Promoters' faith in the business

These are the critical tools which an investor should use to differentiate a good management from a bad management. I believe that if an investor assesses the management of her target company on these parameters and finds that the promoter/management is scoring well on all these parameters, then she has found a company which is being run by a competent and shareholder friendly management.

In such a case, if the company meets all the other parameters like financial, business, valuation and operating performance/efficiency parameters, then she should buy shares of the company and look forward to a long association with the promoters.

An investor should always keep in mind that:

Investment in a great business might be futile if its management is not shareholder friendly

At the end, I would like to give one last advice to investors:

"Never Rely on the Awards"

The Golden Peacock Award for corporate governance in 2002 was won by Satyam Computer Services Limited, which later on turned out to be the biggest corporate frauds in India.

Therefore, invariably, an investor should do her own research while investing her hard earned money.

Copyright © Dr Vijay Malik. All Rights Reserved.

20) 3 Simple Ways to Assess "Margin of Safety": The Cornerstone of Stock Investing

We all have faced situations in life where our decisions have gone wrong. Be it personal or professional life, our assumptions are proven erroneous and the outcome is different from what we had anticipated. Stock investing is no different!

We can never be certain that the stock, which we have selected with significant hard work, would always go up in price. No one can assure us that the company, which the stock represents, would keep on growing the way it did in the past. All these elements bring an aspect of risk in investing.

The risk is that the company or the market will prove an investor's analysis wrong and instead of generating wealth from the markets, she would end up losing her hard earned money. And if not handled diligently, these errors might put her financial freedom at stake.

One of the all-time best investors, Benjamin Graham, dealt with this situation lucidly in his book "The Intelligent Investor". Graham highlighted that no matter how careful an investor is, she can never eliminate the risk of being wrong. To tackle this situation Graham introduced the concept of "Margin of Safety" in investing.

Graham presented Margin of Safety as a tool of minimizing the odds of error in an investor's favour. He stressed that Margin of Safety meant never overpaying for a stock, however attractive the investment opportunity may seem. The Margin of safety would provide a cushion for unforeseen adverse developments affecting the investment decision.

Graham in his book "The Intelligent Investor", first published in 1949, provided a simple tool for investors to measure the margin of safety in a stock investment. He advised investors to compare earnings yield of a stock to the yield on the bonds (Government Securities in India) to arrive at the margin of safety.

Since the days of Graham, the concept of Margin of Safety has been interpreted differently by different investors and many of them have come up with their own parameters for determining the Margin of Safety in an investment. Be it Warren Buffett, Peter Lynch or any other investor, everyone follows certain guidelines to assess, what qualities would protect their investment in case things do not turn out the way they have anticipated.

Over last 10 years of investing in equity markets and after analysing hundreds of companies & stocks, I find that there are three different parameters, which provide an objectively measurable assessment of margin of safety. These parameters identify the margin of safety built in the purchase price as well as in the business model of any company and have served me well.

In the current chapter, I would detail these parameters of assessing Margin of Safety in any stock investment along with the tools to measure it.

Copyright © Dr Vijay Malik. All Rights Reserved.

A) The Margin of Safety in the purchase price:

- Earnings Yield being higher than 10 years bond (Government Securities) yield

B) The Margin of Safety in the business of the company:

- Self-Sustainable Growth Rate (SSGR) being higher that current sales growth
- Positive Free Cash Flow (FCF) post meeting entire capex

Let's now deal with each of these three parameters of Margin of Safety one by one.

Earnings Yield

Earnings Yield (EY) as a measure of Margin of Safety, was proposed by Benjamin Graham in his book "The Intelligent Investor". Earnings Yield is calculated as the inverse of Price to Earnings (P/E) ratio i.e. E/P ratio. It is calculated by dividing the earnings per share (EPS) with the current market price (CMP).

EY provides an idea about the earning/returns that a stock would produce for every ₹ invested by the buyer in it.

Benjamin Graham advised comparing the EY with Treasury Yield (USA). Similar yield to compare in India is the ongoing yield on Government Securities (G-Sec). The higher the difference between EY and G-Sec/Treasury Yield, the safer is the stock investment.

To illustrate, suppose an investor buys a stock of company ABC Ltd at ₹100. If EPS of ABC Ltd is ₹10 then its P/E ratio would be 10 (100/10) and its EY would be 1/10 or 10%. As current G-Sec yield is about 7.50-8.00%, ABC Ltd is a good investment as per Graham's criteria.

Suppose, after the investor buys the stock of ABC Ltd., its price falls to ₹50, then the P/E ratio would become 5 and the EY would become 1/5 i.e. 20%. EY of 20% would attract more and more investors to shift money from bonds markets and use it to buy stocks of ABC Ltd. as it provides an opportunity to invest money at a yield of 20% against G-Sec yield of 8%. This new demand for stocks of ABC Ltd. would increase its stock price and limit the downfall.

The higher the difference between EY and G-Sec/Treasury yield at the time of purchase of the stock, the higher is the cushion in times of adversity i.e. higher Margin of Safety. Therefore, the stocks with higher earnings yield (EY) i.e. the ones with low P/E ratio, would provide a higher cushion to the investor during tough times.

The above argument makes me choose my stock in the segment of P/E ratio of 10 or less as these stocks provide a margin of safety. However, it remains critical to differentiate fundamentally sound companies available at low P/E ratio from the troubled companies, which form the junkyard of stock markets.

Copyright © Dr Vijay Malik. All Rights Reserved.

Self-Sustainable Growth Rate

Self-Sustainable Growth Rate (SSGR) is a measure of the growth potential inherent in the business model of a company, which it can achieve using resources generated through its current profits without relying on external sources of funds like debt or equity dilution.

Self-Sustainable Growth Rate (SSGR) utilizes the features of a company's business model like net profit margin (NPM), dividend payout ratio (DPR), depreciation (Dep) and net fixed asset turnover (NFAT) to arrive at the sales growth rate that the company can achieve without leveraging itself.

The formula for calculating SSGR is:

$$\textbf{SSGR} = [(1-\text{Dep}) + \text{NFAT}*\text{NPM}*(1-\text{DPR})] - 1$$

It can be inferred from the above formula, the companies with higher profitability (NPM), operating efficiency (high NFAT) and lower dividend payouts (DPR) would have higher self-sustainable growth rate (SSGR).

An investor should compare the SSGR of the company with its current sales growth to see if there is any margin of safety in the business of model of the company:

1) If the SSGR is higher than current sales growth rate:

It means that the company's business features (NPM, NFAT & DPR) allow it to grow its sales at a higher rate than the current growth rate. In the case of economic downturn, the company can safely:

1. reduce its profitability to generate higher demand
2. reduce dividends to conserve funds to make additional investments and
3. invest in fixed assets to improve its plant & machinery/technology (leading to lower NFAT)

in an attempt to maintain its current sales growth rate.

All the above steps would provide funds from business activities and the company would not have to rely on external sources like debt or equity dilution to get funds to maintain its current growth rate.

Therefore, the company with higher SSGR can increase their sales growth rate in normal times and maintain current sales growth rate during tough times without leveraging their balance sheet by taking on debt.

The examples of FDC Limited and Container Corporation Limited have been discussed in the chapter on SSGR. These companies have SSGR higher than their current sales growth and therefore are able to stay debt free while maintaining their growth.

Copyright © Dr Vijay Malik. All Rights Reserved.

Additionally, we may see the performance of another company: **VST Tillers Tractors Limited:**

(INR Crores/10 Millions)	VST TILLERS TRACTORS LTD									
Narration	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15
Sales	130	162	189	274	345	427	531	482	624	552
Net profit after tax (PAT)	7	13	14	29	42	46	50	49	83	70
Net Profit Margin (NPM%)	6%	8%	8%	11%	12%	11%	9%	10%	13%	13%
Depreciation	3	3	3	3	3	2	3	3	4	9
Net fixed assets (NFA)	26	27	28	38	51	53	57	77	124	135
Depreciation % of NFA (Dep)	10%	10%	10%	7%	5%	4%	6%	4%	3%	7%
Net Fixed Asset Turnover (NFAT)	-	6.12	6.91	8.29	7.71	8.18	9.61	7.17	6.19	4.26
Dividend Paid (Div)	2	2	3	4	6	8	8	8	13	13
Dividend Payout Ratio DPR (Div/PAT)	23%	18%	20%	15%	15%	17%	16%	16%	16%	19%
Self-Sustainable Growth Rate (SSGR)				**41%**	**57%**	**71%**	**72%**	**66%**	**66%**	**54%**

	3Yr	5Yr	7Yr	10Yr
Past Sales Growth Rate	**1%**	**10%**	**17%**	**17%**

Total Debt	**4**	**8**	**8**	**7**	**11**	-	**16**	-	-	-

The business model of VST Tillers Tractors Limited provides it with the ability to grow at a much higher growth rate (SSGR=55-65%) than its achieved sales growth rate of 17% over past 10 years. VST Tillers Tractors Limited has a significant cushion to reduce its profitability, dividend payout ratio and fixed asset turnover during tough times and still not fall into a debt trap, thereby providing a resilient business model and a high margin of safety to the investor.

2) If the SSGR less than current sales growth rate:

The investor would notice that such companies are already growing more than their business potential. Such companies usually rely on raising debt or diluting their equity to generate funds needed for investments to generate the sales growth.

In the chapter on SSGR, we have seen examples of Castex Technologies Limited (erstwhile Amtek India Limited) and Glenmark Pharmaceuticals Limited.

These companies are growing at a sales growth rate which is much higher than their business potential (SSGR). The result was that these companies had to consistently raise debt/dilute equity to raise funds for investments to generate the growth, as their operational business was not able to generate required amount of funds.

Copyright © Dr Vijay Malik. All Rights Reserved.

Let us see an additional example of LT Foods Limited, a manufacturer of popular branded rice "Daawat":

(INR Crores/10 Millions)	LT FOODS LTD (consolidated)									
Narration	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15
Sales	439	499	695	1,061	1,053	1,260	1,422	2,208	2,474	2,735
Net profit after tax (PAT)	11	21	33	30	27	23	-1	56	78	72
Net Profit Margin (NPM%)	3%	4%	5%	3%	3%	2%	0%	3%	3%	3%
Depreciation	6	7	12	20	24	26	34	39	37	47
Net fixed assets (NFA)	38	68	134	208	225	270	331	339	350	370
Depreciation % of NFA (Dep)	16%	11%	9%	10%	11%	10%	10%	11%	11%	13%
Net Fixed Asset Turnover (NFAT)	-	9.44	6.87	6.21	4.86	5.09	4.74	6.60	7.19	7.60
Dividend Paid (Div)	2	2	3	2	5	3	-	5	6	5
Dividend Payout Ratio DPR (Div/PAT)	16%	11%	10%	7%	17%	13%	0%	9%	8%	7%
Self-Sustainable Growth Rate (SSGR)				**17%**	**8%**	**1%**	**-4%**	**-3%**	**0%**	**7%**
							3Yr	5Yr	7Yr	10Yr
Past Sales Growth Rate							**24%**	**21%**	**22%**	**23%**
Total Debt	**224**	**292**	**577**	**729**	**824**	**1,116**	**1,221**	**1,413**	**1,502**	**1,692**

LT Foods Limited has been growing its sales at a growth rate of about 22-23% over last 10 years, however, its business model indicates that in the current situation it is not able to sustain any growth beyond 7% in the business as its SSGR is almost 0-7%. LT Foods Limited has to raise almost the entire amount of funds to support its growth from additional sources like debt.

It is not surprising that LT Foods Limited has witnessed its debt increase from ₹224 cr. in FY2006 to ₹1,692 cr. in FY2015.

Rising debt levels increase the bankruptcy risk of the business during tough times as we have seen recently in the case of Electrosteel Steels Limited, which has been taken over by its lenders.

3) If the SSGR is equal to current sales growth rate:

It means that company is already using its business potential to the maximum and the company would find it hard to maintain its current growth rate in tough business scenarios characterized by industry-wide declining profitability. Similarly, the company would have to raise additional funds by way of debt or equity for funding, in case the company decides to increase its growth further.

Therefore, I find that the business model of the companies with SSGR higher than the current growth rate is more resilient and sustainable during downturns. Thus SSGR forms key parameter to assess the margin of safety in the business model of a company in my stock analysis.

I advise investors to prefer companies that have self-sustainable growth rate (SSGR) higher than their achieved sales growth rate over those companies that have SSGR less than their sales growth rate. The higher the SSGR, the better. High SSGR increases the margin of safety in the business and the capacity to bleed in times of stress without putting the entire business and its shareholders at risk.

Copyright © Dr Vijay Malik. All Rights Reserved.

Free Cash Flow

I believe that free cash flow (FCF) is the ultimate measure of investibility of any company. It is calculated as the surplus cash with the company after meeting its capital expenditure requirements.

FCF = CFO – Capex

Where,

- CFO = cash flow from operations
- Capex = capital expenditure including maintenance capex and capital work in progress (CWIP)

Capex for any year can be calculated as the difference between gross fixed assets (GFA) & CWIP at the start of the year and end of the year. It can also be calculated by deducting net fixed assets & CWIP at the start of the year from the net fixed assets & CWIP at end of the year and adding back the depreciation for the year.

Capex:

(GFA + CWIP) at the end of the year – (GFA + CWIP) at the start of the year

OR

(NFA + CWIP) at the end of the year – (NFA + CWIP) at the start of the year + Depreciation for the year

Free cash flow (FCF) is the most essential feature of any business as it amounts to the surplus/discretionary cash that the business/company is able to generate for its shareholders. FCF is the equivalent of savings for a household.

If we as households are not able to manage our expenses within our means of income, i.e. are not able to save anything, then our financial health is going to suffer a lot in future. We would have to borrow from relative/banks etc. to meet our requirements. The debt, which we raise to fund our expenses, needs to be paid at predefined intervals irrespective of the fact whether we are able to save in future/have our job intact or not. The debt pressure increases the bankruptcy risk and leads to stress in our lives.

The scenario is exactly the same for companies as well.

If a company does not have positive free cash flow, it means that it is spending beyond its means. Such a company would have to raise funds from additional sources like debt or equity dilution to meet its requirements. These funds, if raised from debt, would decrease profitability by interest expense and increase bankruptcy risk and if raised from equity, would lead to dilution of the stake of existing shareholders.

In both the cases the situation of companies continuously raising debt/equity to meet their cash flow requirements becomes less attractive for investors as compared to the companies that are able to meet their funds requirements from their cash flow from operations.

Copyright © Dr Vijay Malik. All Rights Reserved.

It might be argued that the investments done today by the company would lead to revenue & profits in the future and would generate wealth for the shareholders.

This argument is a valid argument just like an educational loan for an individual. An education funded by the loan is an investment, which has the potential of increasing the skills set, earnings ability and future wealth of a person and therefore is considered a good investment.

Similarly, for companies the investments in plants & machinery and technology is like an educational loan, which increases future earnings potential. Therefore, we should not worry about the situation where a company is not able to generate positive FCF for a few year. Such companies might be taking education loans to generate future wealth. However, if a company is not able to generate positive FCF over long periods of time (I assess them over last 10 years), then the company resembles a continuous cash guzzling machine.

It resembles an individual who is continuously garnering degrees after degrees costing millions of rupees/dollar, without ever putting those skills to commercial use. Or those degrees might be fake and cash has already gone down the drain! In both the cases, the investment done is not of much use.

I, as a shareholder, expect the companies I own, to be cash generating machines. Their business should be a source of cash for me and not the other way round. Therefore, positive free cash flow generation by a company over last 10 years, is one of the key criteria for stock selection for me.

Once an investor has identified a company with positive cash flow, then she should further analyse what proportion of cash flow from operations (CFO) over last 10 years, it has used in capital expenditure (capex) and what proportion is available as free cash flow (FCF).

Free Cash Flow and Margin of Safety:

I find that the companies, which have achieved their sales growth in the past by using the minimum amount of CFO as capex have a significantly higher margin of safety over the companies which have used almost all CFO. Needless to say, the companies, which have their capex much higher than their entire CFO over last 10 years (i.e. negative FCF), have very low/negative margin of safety.

An illustration:

Let's take an example of two similar sized companies (A & B) growing their sales at a similar rate (say 15%) in the past. Let's assume that both the companies A & B, generated the same amount of CFO over last 10 years (say ₹100 cr).

Let's assume that on analysing the capex done by these companies in last 10 years, we find company A has achieved the sales growth (15%) by doing a capex of ₹50 cr (50% of CFO), thereby, generating an FCF of ₹50 cr. On the contrary, we find that the company B has achieved the same sales growth (15%) by doing a capex of ₹100 cr (100% of CFO), thereby, generating NIL FCF.

Copyright © Dr Vijay Malik. All Rights Reserved.

When the tough times strike the economy in future, the profitability of companies would decline, customers would delay the payment of cash, suppliers would ask for immediate cash and the credit from all sources would become costly.

In such a situation, company A, whose business model permitted it to achieve the sales growth by using only 50% of CFO in the past, would be able to bear the impact of reducing cash inflows as customers cancel their orders, squeeze profit margins and delay the payments. Theoretically, company A can tolerate its profitability and cash collections (CFO) declining by 50%, before signs of stress start becoming visible in its business operations & planned investments.

On the other hand, company B, which was already investing 100% of its CFO to generate its sales, would find even the slightest decline in its cash flow (CFO), impacting its operations. Declining orders, reduced profitability and delayed payments from customers would make it difficult for company B to make payments to its suppliers and do planned investments. Company B would have to rely on additional debt/equity raising to fund its cash requirements.

If there is another company C, which was already using more than 100% of its CFO in capex, thereby having negative free cash flow (FCF). Such a company would already be sagging down under a lot of debt burden. In the tough economic situation described above, company C would find difficult to continue its business operations as usual as sources of cash dry up. The additional debt, which was essential to sustain its business model, would become further costly.

Companies like C are prime candidates for bankruptcy in tough times as they find it difficult to service existing debt, make payments to suppliers. Such companies, usually being capex heavy and operating at low-profit margins, find it difficult to garner additional business by reducing their profitability as it would push them into losses. Such companies rarely have any margin of safety built in their business model.

Let us see the real life examples of companies with different levels of free cash flow (FCF) generation:

Hindustan Unilever Limited (HUL) is a prime example of a company, which has been able to generate a lot of free cash flow from its operations over the years.

(INR Crores/10 Millions)	HINDUSTAN UNILEVER LTD										
Narration	Dec-05	Dec-06	Dec-07	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Total 10 Yrs (2006-15)
Sales	11,566	12,411	13,871	20,501	17,764	20,023	23,436	27,004	29,234	31,972	
Net profit after tax (PAT)	1,356	1,891	1,915	2,505	2,157	2,296	2,791	3,829	3,946	4,363	
Net Profit Margin (NPM%)	12%	15%	14%	12%	12%	11%	12%	14%	13%	14%	
Cash from Operating Activity (CFO)	1,959	1,671	1,732	2,054	3,480	1,924	2,932	3,605	3,818	3,124	**26,298**
Capex (NFA+WIP change+Dep)	-	100	304	588	550	248	211	415	761	541	**3,718**
							3Yr	5Yr	7Yr	10Yr	
Past Sales Growth Rate							**11%**	**12%**	**13%**	**12%**	
Free Cash Flow (FCF)											**22,579**
Free Cash Flow % (FCF/CFO)											**86%**
Dividend Paid (Div)	**1,101**	**1,325**	**1,976**	**1,635**	**1,418**	**1,411**	**1,621**	**4,000**	**2,811**	**3,245**	**20,543**
Total Debt	**119**	**92**	**102**	**434**	**11**	**-**	**-**	**25**	**46**	**43**	

Copyright © Dr Vijay Malik. All Rights Reserved.

Over last 10 years (FY2006-15), HUL has generated cash flow from operations (CFO) of ₹26,298 cr. whereas it needed to invest only ₹3,718 cr. in its business and thereby leaving ₹22,579 cr. in hand of the company as discretionary cash to reward its shareholders. No wonder, the company could provide dividends to the tune of ₹20,543 cr. over last 10 years despite remaining virtually debt free.

HUL presents an example of a very attractive business, which offers 86% of the cash generated by its owners as free cash without compromising on its future growth. This represents a huge amount of margin of safety built into the business.

During tough times, HUL can reduce prices of its products, offer higher credit period to its customers, pay suppliers promptly to attract and retain quality suppliers without impacting its balance sheet. It would not need to raise debt for such crisis strategies; only a slight reduction in the dividend payouts to the shareholders would provide enough of money to fund the emergency measures.

No wonder, the market loves it and its shares trade at P/E ratio of the high 40s.

On the contrary, we can see the example of Tata Steel Limited, which has been acting as a cash guzzler for its shareholders:

(INR Crores/10 Millions) TATA STEEL LTD (Consolidated)

Narration	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Total 10 Yrs (2006-15)
Sales	20,322	25,212	131,534	147,329	102,393	118,753	132,900	134,712	148,614	139,504	
Net profit after tax (PAT)	3,702	4,098	12,350	4,951	-2,009	8,983	5,390	-7,058	3,595	-3,926	
Net Profit Margin (NPM%)	18%	16%	9%	3%	-2%	8%	4%	-5%	2%	-3%	
Cash from Operating Activity (CFO)	3,736	5,503	13,394	15,696	10,502	5,655	12,018	14,035	13,146	-	**93,685**
Capex (NFA+WIP change+Dep)	-	4,549	49,713	4,920	4,159	9,495	18,582	8,371	25,292	993	**126,073**

	3Yr	5Yr	7Yr	10Yr
Past Sales Growth Rate	**2%**	**6%**	**1%**	**24%**

Free Cash Flow (FCF)	**(32,388)**
Free Cash Flow % (FCF/CFO)	**(0)**

Dividend Paid (Div)	**719**	**943**	**1,168**	**1,168**	**709**	**1,150**	**1,165**	**777**	**971**	**777**	**9,547**
Total Debt	**3,377**	**24,926**	**53,625**	**59,901**	**53,100**	**60,577**	**59,897**	**68,507**	**81,609**	**80,701**	

Over last 10 years (FY2006-15), Tata Steel Limited has generated cash flow from operations of ₹105,565 cr. However, its business required it to invest whopping ₹126,073 cr in the company, thereby eliminating any chance of free cash flow. The company, on the contrary, had to raise debt to fund its capital expenditure requirements. Total debt of the company increased from ₹3,377 cr. in FY2006 to ₹80,701 cr. in FY2015.

If an investor analyses deeply, then she would notice that the entire dividend of ₹9,547 cr., paid by the company over last 10 years has been funded by debt.

If the economic scenario deteriorates further, then the company would have to meet its cash requirements by raising further debt or equity. In case its lenders or shareholders, do not provide this capital, then the company would face a difficult time to tide over the crisis.

Copyright © Dr Vijay Malik. All Rights Reserved.

Looking at the above situation, it is clear that Tata Steel Limited does not have a significant margin of safety built into its business model and the market has realized it.

No wonder, the stock is available at a P/E ratio of low single digits.

Therefore, an investor can see that positive FCF is a necessity before considering any company for investment and the fact that higher the FCF as a proportion of CFO, the higher the margin of safety.

After reading our entire discussion, an investor would realize that there are two major sources of the margin of safety in a stock investment, which can help an investment in the adverse scenarios in future:

A) The margin of safety built in the purchase price of the investor:

- Determined by the Earnings Yield of the stock. The higher the earnings yield than the ongoing treasury/G-Sec yield, the higher the margin of safety.

B) The margin of safety built in the business model of the company:

- Self-Sustainable Growth Rate (SSGR): Higher the SSGR than its achieved sales growth rate, higher the margin of safety
- Free Cash Flow (FCF): Higher the proportion of cash flow from operations (CFO) available as free cash flow (FCF) post meeting all the capital expenditure requirements, higher is the margin of safety.

An investor should always look out for companies with high SSGR, FCF and available at good earnings yield.

The investor would notice that most of the well-known companies in the market, which have a high margin of safety in their business, are already trading at high P/E multiples and therefore preclude any margin of safety in the purchase price. Similarly, among the well-known companies, most of the companies, which are available at low P/E ratio, thereby providing a margin of safety in the purchase price, do not have a high margin of safety in the business.

Therefore, it becomes critical for the investor to search for companies, which have a high margin of safety in the business and at the same time, are available at low P/E ratios. If an investor is able to find such companies, then she can certainly generate a significant amount of wealth through stock markets.

Such companies, which have a combination of a high margin of safety in the business as well as the high margin of safety in the purchase price, are prime candidates to turn out to be multibaggers in future.

It is to emphasize that an investor does not need to find hundreds of such companies. Only a few of them over her entire lifetime can do wonders to her wealth. Even the best investor of all times, Warren Buffett, acknowledges that most of his wealth has come from only a handful of stock picking decisions turning out to be right.

Copyright © Dr Vijay Malik. All Rights Reserved.

21) 7 Important Reasons Why Every Stock Investor should read Credit Rating Reports

Credit rating agencies are independent third party organizations approved by market regulators, which provide an opinion about the credit strength of any borrower or its debt instrument. Their role has been widely ingrained in debt markets as the pricing of loans/debt facilities to any borrower is based on its credit strength.

Almost all the lenders use the credit ratings assigned by such independent credit rating agencies for their appraisal and pricing of the borrowing entities. Similarly, debt market participants decide about the sufficiency of yield being offered on market instruments like non-convertible debentures (NCDs) or commercial paper (CPs) by issuing companies by looking at their credit rating.

In India, there are many approved credit rating agencies. Some of the popular ones are CRISIL (an alliance of Standard & Poor's), ICRA (an alliance of Moody's), India Ratings (Ind-Ra, an alliance of Fitch), CARE (owned by Indian Financial Institutions), Brickwork etc., which are very active in assigning credit ratings and preparing credit reports in Indian financial markets. Detailed credit reports are available only to their paid subscribers; however, summary credit reports are available publically on their website and serve good purpose for retail investors.

Credit ratings vary on a spectrum of AAA to D where AAA means strongest credit strength/lowest possibility of default and D means lowest credit strength/already defaulted on repayment obligations. Various credit ratings are AAA, AA+,AA,AA-,A+,A,A-,BBB+,BBB,BBB-,BB,B and D. As we move from AAA to D, the credit risk increases and the possibility of the borrower defaulting on its debt servicing obligations increases.

As mentioned above, investors in debt markets make extensive use of credit ratings. Credit ratings have been predominantly thought as relevant for debt market participants; however, I believe that they provide a very insightful avenue for equity investors as well.

There are many reasons, which make me believe that every stock market investor should read the credit rating report of her target company. She should not restrict herself to the latest credit rating report, but read all the historical credit rating reports available in public domain and understand the story of movement in the credit profile of the target company.

Let us first understand the critical features that credit rating reports contain, which are helpful for equity analysts and then analyse the credit reports for a sample company as a case study to establish its importance.

Key Inputs Provided by a Credit Rating Report:

A) Important Business Details and its Key Strengths & Weaknesses:

The credit rating report serves as a key resource of business information, which has been verified by a third party. Many times, a company does not disclose many of these details on its website or in its annual report considering them as sensitive information.

Copyright © Dr Vijay Malik. All Rights Reserved.

Such information might include market position, kind of relationships with different stakeholders, business characteristics, the comparative positioning of its brands, status of its competitors, details of key customers and its business strategy.

Credit reports also contain details about the factors leading to the business advantage of the company (MOAT), capacity utilization levels, future expansion plans and updates of ongoing plant constructions/debottlenecking including the status of financial closure of such expansions.

B) A Glimpse into the Critical Confidential Information:

This is one of the reasons; I read credit rating reports of all the companies I analyse.

Credit rating analysts have access to most of the information privy only to the company management, which is not available in public domain but is critical to assess the credit strength of any company. A summary/glimpse of critical sections of such information, which every investor can get in the credit report, sometimes tilts the investing decision in a company's favour or against it.

Such information might include terms of contracts & agreements with buyers & suppliers including cost escalation clauses & formulas, contingency clauses etc., plant capacities & their utilization levels with sales volumes etc.

An equity investor or equity research analyst would not get an opportunity to go through these contracts, unlike the credit rating analysts.

C) Key Factors affecting Company's Performance including Key Risks that it might face going ahead:

Credit rating agencies based on their knowledge of the industry, peers and company analysis, provide the users with a snapshot of key parameters that are expected to affect the performance of the company. Agencies also highlight the key risk factors that might impact the performance of a company negatively, which should be monitored carefully by the investors.

D) Another Independent Opinion apart from the Statutory Auditor, on the Company's Financial Position:

Credit rating reports are prepared by financial analysts who analyse the company's financial information including annual reports while preparing the reports. It serves as another check for the investor that another independent third party has checked the financial information apart from company's statutory auditor.

E) A Third Party Verification of Investor's Analysis:

Credit rating might serve as an independent benchmark for an investor to compare her analysis. E.g., if an investor believes that the fundamental position of her target company has improved over the years but on the contrary, finds that the company's credit rating is going down, then she should recheck her analysis to find out the reasons for such disparity.

Copyright © Dr Vijay Malik. All Rights Reserved.

F) Year on Year Credit Rating Movement: Good Proxy for the Performance:

If an investor notices that the credit rating of a company has improved over the years e.g. from BBB- to A+, then she can be reasonably certain that the company has shown good business performance and as a result, its fundamental strength has improved.

G) Rather than a Rating, it's the Movement of Credit Rating, which is More Important:

This is a critical point. I believe that an investor should focus more on the direction of movement of the credit rating of any company rather than its absolute credit rating level. This is not to say that absolute level is irrelevant. However, I would look favorably at a company "A" whose credit rating has improved from BBB- to A- over the years than another company "B" whose credit rating has deteriorated from AA+ to A over the years, even though the current credit rating of company B is higher than that of company A.

Case Study

Oriental Carbon & Chemicals Limited

Oriental Carbon & Chemicals Limited, an Indian insoluble sulphur manufacturer, has been rated by credit rating company ICRA Limited. Credit rating reports of Oriental Carbon & Chemicals Limited from 2008 are available on the website of ICRA Limited.

The following has been the financial performance of Oriental Carbon & Chemicals Limited over last 10 years:

(INR Crores/10 Millions)	ORIENTAL CARBON & CHEMICALS LTD									
Narration	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15
Sales	**54**	**64**	**91**	**122**	**127**	**159**	**218**	**225**	**262**	**283**
Operating Profit	**10**	**11**	**13**	**15**	**41**	**48**	**56**	**58**	**68**	**71**
Operating Profit Margin (OPM%)	**18%**	**17%**	**14%**	**12%**	**32%**	**30%**	**26%**	**26%**	**26%**	**25%**
Other Income	0	0	0	1	1	4	4	5	3	13
Interest	2	2	3	4	2	3	8	13	11	8
Profit before tax (PBT)	5	4	6	7	35	44	45	40	50	63
Tax%	18%	18%	16%	7%	14%	14%	29%	32%	19%	19%
Net profit after tax (PAT)	**4**	**3**	**2**	**8**	**29**	**37**	**31**	**27**	**40**	**51**
Net Profit Margin (NPM%)	**7%**	**4%**	**2%**	**6%**	**23%**	**24%**	**14%**	**12%**	**15%**	**18%**
Total Debt (D)	**30**	26	26	23	19	53	114	99	82	70
Total Equity (E)	**54**	**56**	**59**	**67**	**91**	**124**	**149**	**171**	**203**	**244**
Debt to Equity ratio (D/E)	**0.5**	**0.5**	**0.4**	**0.3**	**0.2**	**0.4**	**0.8**	**0.6**	**0.4**	**0.3**
	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15
Cash from Operating Activity (CFO)	**-1**	**7**	**6**	**18**	**36**	**29**	**30**	**47**	**52**	**70**
Cash from Investing Activity (CFI)	(3)	2	(3)	(11)	(20)	(63)	(77)	(29)	(23)	(31)
Cash from Financing Activity (CFF)	5	(7)	(3)	(6)	(11)	31	51	(20)	(32)	(32)
Net Cash Flow (CFO+CFI+CFF)	**1**	**2**	**0**	**0**	**5**	**(3)**	**4**	**(2)**	**(3)**	**7**
Cash & Eq. at the end of year	2	3	3	2	8	5	8	6	6	13

Copyright © Dr Vijay Malik. All Rights Reserved.

Now let us analyse the key information that credit rating reports of Oriental Carbon & Chemicals Limited have to provide to the stock market investor, which makes studying these reports essential for the stock market investor both as part of initial appraisal as well as regular monitoring exercise.

A) Important Business Details and its Key Strengths & Weaknesses:

1) Company Background:

The 2008 report has the following gist as company background, which summarizes its entire history of Oriental Carbon & Chemicals Limited in a few words:

> "Oriental Carbon & Chemicals (OCCL) was incorporated in 1978 as Dharuhera Chemicals Limited (DCL) and in 1983 DCL was merged with Oriental Carbon Limited (OCL), a group company engaged in the production of Carbon Black, to form OCCL. Since 1980, DCL's Chemicals & fertilizers division in Dharuhera was engaged in the production of sulphuric acid, oleum, single super phosphate (SSP), sodium silico fluoride and stabilized liquid sulphur.
>
> However, the fertilizer business was deemed unviable; the company exited from the fertilizer business in 2001, and Sulphuric Acid & Oleum production was retained. In 1994, OCCL had set-up a manufacturing facility for the production of Insoluble Sulphur, which is now the flagship product of the company. In 2000, the company realigned its focus to concentrate on Insoluble Sulphur and in the process divested its Carbon Black Unit in favour of Continental Carbon Company of USA.
>
> OCCL has a production capacity of 10,000 metric tonnes per annum (MTPA) for Insoluble Sulphur and 41,250 MTPA for Sulphuric Acid & Oleum."

2) Market Position, Comparative Positioning of Brands, Status of its Competitors:

Credit reports of ICRA Limited provide an investor with a gist of the market standing of Oriental Carbon & Chemicals Limited viz-a-viz its competitors.

2008:

> "OCCL enjoys a dominant market position in the domestic market by virtue of being the only local manufacturer of Insoluble Sulphur in the country. It also enjoys a favourable market position as the 'Second Alternate Supplier' in the global industry, which is dominated by Flexsys of USA.."

3) Relationships with Stakeholders:

Credit reports give an investor about the kind of relationship Oriental Carbon & Chemicals Limited has with its customers.

2012 (September):

> "The reaffirmation of the ratings reflects long track record of OCCL in the business of producing Insoluble Sulphur (IS), its established market position in the domestic industry by virtue of being the leading domestic manufacturer of IS, and strong

Copyright © Dr Vijay Malik. All Rights Reserved.

> customer base comprising major tyre manufacturers across the world and long-term relations with them."

4) Details of key customers:

The reports provide an investor key information about the customers of Oriental Carbon & Chemicals Limited, which many times is not disclosed by the company on its website or its annual report as it might consider it as sensitive information:

2008:

> "…with strong customer base comprising major tyre companies in the world like Continental AG, Goodyear, Bridgestone, Kumho Tyres etc. for exports and Apollo Tyres, Bridgestone, J K Tyres, MRF Tyres, Ceat Tyres, Goodyear India, Birla Tyres etc. in the domestic market."

2015:

> "The company's customer base comprises almost all major tyre manufacturing companies of the world with whom it enjoys long-standing relationships"

5) Business strategy:

Credit reports of Oriental Carbon & Chemicals Limited provide an investor with the critical summary of the business strategy being followed by the company. These inputs can be very vital while understanding the business of the target company and thereby taking the investment decision.

2008:

> "In order to move away from the commoditized nature of the product, OCCL has ventured into manufacturing of tailor-made grades of Insoluble Sulphur, which command a premium over conventional grades of Insoluble Sulphur as the European markets are witnessing a shift from conventional grades to value-added grades of Insoluble Sulphur
>
> OCCL is also engaged in the production of Sulphuric Acid & Oleum, which constitutes about 20% of the total sales of the company. Since these products are sold to selective customers locally, the company doesn't compete with larger players in the industry."

2013:

> "OCCL is steadily focusing on increasing the share of value-added grades of Insoluble Sulphur, which command a premium over the conventional grades."

6) Factors leading to the Business Advantage of the Company (MOAT):

Credit reports of Oriental Carbon & Chemicals Limited, provide a glimpse into whether the company has a sustained business advantage over its peers and if yes, then what are the key factors leading to such advantage:

Copyright © Dr Vijay Malik. All Rights Reserved.

2013:

> "Closely guarded technology, capital-intensive nature of the business, hazardous nature of Sulphur and long gestation period of about one and half years involving quality checks and approvals from the tyre manufacturers for commercial production act as the entry barriers for other players in the industry"

2008:

> "OCCL was engaged in the production of Carbon Black which was hived off to Continental Carbon Limited in 2000 but the company continued to benefit from the business relations with tyre companies in the country"

7) Capacity utilization:

Many times, companies might not disclose the capacity utilization levels, considering it a sensitive information. An investor might get such information as part of the credit rating reports.

2013:

> "In 2012-13, the company set up a greenfield project at Mundra SEZ with a capacity to produce 11,000 MTPA of IS. The capacity utilization remained moderate at 81% in FY13 on the back of subdued demand from Europe, the key market for OCCL."

8) Future Expansion Plans, updates of Ongoing Plant Constructions/Debottlenecking and Status of Financial Closure of such expansions etc.:

This is one essential section of company's performance, which is usually provided in credit reports of all the companies. It provides the investor, most of the information required to assess the project execution capability of company's management & its track record, including any delays, overleveraging etc.

2008:

> "OCCL has recently undertaken a debottlenecking project which would enable the company to increase its existing capacity marginally by January 2009.
>
> Going forward, OCCL plans to set up a manufacturing facility in Mundra SEZ. The company expects to benefit from savings from freight for servicing of export orders and other fiscal benefits on account of operations based in SEZ.
>
> The capital outlay for the project is expected to be around ₹750 million, which is significant in comparison to the current size of the company and exposes the company to project execution risk. However, the project is yet to achieve financial closure."

2009:

> "The company is expected to implement the project in two phases. In the first phase, the company would set up the facility with the capacity to produce 5,000 MTPA which can be expanded to 10,000 MTPA in the second phase of the project.

Copyright © Dr Vijay Malik. All Rights Reserved.

> Out of total capex of ₹750 million for the phase I, OCCL plans to raise term loan of around ₹500 million, while the rest would be funded through internal accruals. The company expects to achieve financial closure for the project by January 2010 and the commercial production is expected to start from July 2011."

2012 (March):

> "The ratings, however, are constrained....residual project implementation risk for the phase II of the Mundra Special Economic Zone (SEZ) project; which is partly mitigated by the successful commissioning of the phase I without material time or cost overrun and advanced stage of the phase II."

2012 (September):

> "OCCL had a production capacity of 12,000 metric tonnes per annum (MTPA) for Insoluble Sulphur (IS) and 41,250 MTPA for Sulphuric Acid & Oleum as on March 31, 2011. However, the production capacity of IS has increased to 23,000 MTPA post completion of Phase II of Mundra greenfield project in May 2012."

B) A Glimpse into the Critical Confidential Information:

As mentioned earlier, this is one of the most important reasons; I read credit rating reports of all the companies I analyse.

Credit rating analysts have access to most of the information privy to the company management, which is not available in public domain but is critical to assess the credit strength of any company.

Credit reports of Oriental Carbon & Chemicals Limited, over the years, have provided key inputs, which help the investor understand the evolution of the business of the company over the years.

2008:

> "OCCL's inability to pass on the price increase in the past has negatively impacted its performance. Although the company has now taken measures to pass on the price increase by entering into quarterly contracts instead of annual contracts with customers, yet it remains exposed to fluctuations in the prices."

2009:

> "ICRA also notes that the sharp fluctuations in raw material (Sulphur and other petroleum derivatives) prices had adversely impacted the profitability of the company during 2007-08; however, the company has taken measures to pass on the raw material price rise to the customers in a timely manner, which is reflected in the improvement in the profitability of the company during 2008-09.
>
> Since 2008-09, the company started entering into quarterly contracts instead of annual contracts with customers to provide itself with the flexibility to pass on the raw material

Copyright © Dr Vijay Malik. All Rights Reserved.

> price increase. This has resulted in significant improvement in the profitability of the company in the last one and half years."

These inputs have helped the investors understand the sudden change in the operating profitability of Oriental Carbon & Chemicals Limited

We can notice in the financial details of Oriental Carbon & Chemicals Limited that the operating margins, which declined from 18% in FY2006 to 12% in FY2009, improved to 32% in FY2010 and have been stable at about 25% since then. Therefore, the explanation for sudden improvement and stabilization of margins of OCCL can be found in the credit rating report.

2013 (November):

> "In FY13, exceptional profit on the sale of Tarapur land along with reversal of profits has helped the company to report a net profit."

This critical input helps investors understand the reasons for the improvement in the margins of Oriental Carbon & Chemicals Limited in FY2014.

2014:

> "The revision of the long-term rating reflects the increase in the scale of operations of the company attributable to rise in sales volumes of Insoluble sulphur (IS) aided primarily by more approvals from overseas customers…."

2015:

> "….the company's products are making inroads into the hitherto untapped but large markets like the US where tyre manufacturers have been receptive in a bid to diversify their suppliers from the one or two that they currently rely on for IS Supplies; the increase in scale of operations of the company attributable to rise in sales volumes of IS primarily due to more approvals from overseas customers…"

C) Key Factors affecting Company's Performance including Key Risks that it might face going ahead:

Credit reports of Oriental Carbon & Chemicals Limited help an investor understand the key factors influencing the business performance of the company including the key risk parameters that need continuous monitoring by the investors.

1) Influencing Factors:

2008:

> "The company is expected to benefit from the favourable prospects in the tyre industry driven by radialisation of tyres as Insoluble Sulphur is a key ingredient for vulcanisation of rubber."

Copyright © Dr Vijay Malik. All Rights Reserved.

2012 (September):

> "Going forward, the ability of OCCL to achieve optimal capacity utilisation for Mundra plant in view of modest demand prospects and efficiently managing the higher working capital requirements along with the improvement in operational performance of SDL would be key rating sensitivities."

2) Risk Factors:

2009:

> "The ratings, however, are constrained by the cyclical nature of the business and the high capital intensity of the business leading to moderate return indicators in the past. ICRA also takes note of the primarily debt-funded capital expenditure (capex) plan of OCCL to set up a greenfield IS plant at Mundra Special Economic Zone (SEZ). As the capex plan is large in relation to current balance sheet size of OCCL, the company is exposed to significant project implementation risks."

2012 (March):

> "The rating watch follows the recent announcement of acquisition of 50% stakes in Schrader Duncan Limited (SDL) by OCCL. The acquisition of relatively weaker entity SDL, which may become a subsidiary of OCCL, could adversely impact the consolidated financials of the company.

2012 (September):

> "Post-acquisition, OCCL has also provided guarantees for the bank limits of SDL, which ICRA has factored in while reaffirming the ratings. ICRA notes that, while the acquisition of SDL, a financially weaker entity, would modestly impact the consolidated financials of the company, its consolidated credit profile will not be materially impacted because of the anticipated comfortable cash generation from its own operations, which will render its key coverage metrics well within the current rating category."

D) Another Independent Opinion apart from the Statutory Auditor, on the Company's Financial Position:

The fact of company's financial statements having been analysed by a credit rating agency of repute and there being no adverse comment about the accounting policies in the credit report provides another independent check about the quality of accounting practices being followed by Oriental Carbon & Chemicals Limited.

E) A Third Party Verification of Investor's Analysis:

Oriental Carbon & Chemicals Limited has witnessed continuous improvement of revenue, profits, margins and reduction in debt over the years. Alongside, the improvement of the credit rating of Oriental Carbon &

Copyright © Dr Vijay Malik. All Rights Reserved.

Chemicals Limited from BBB to A serves as a check that the fundamental position of the company has indeed improved over these years.

F) Year on Year Credit Rating Movement: Good Proxy for the Performance:

As mentioned above, the improvement of the credit rating of Oriental Carbon & Chemicals Limited from BBB in 2008 to A in 2015, serves as a vital evidence that the company has been performing well financially & operationally, thereby leading to improvement in the fundamental position of the company.

Thus, we can see that the even the summary credit reports of Oriental Carbon & Chemicals Limited provided publically by ICRA Limited on its website contain very vital pieces of information, which might or might not be available to investors from the company website, its annual reports, equity research reports or other public sources. These inputs help an investor understand the business of Oriental Carbon & Chemicals Limited in a better manner and take an informed investment decision.

Therefore, I suggest that an investor should read all the available the credit rating reports of all their target companies, including the recent most as well as the historical reports. Reading credit rating reports will add value to her analysis and help her take better investment decisions.

Copyright © Dr Vijay Malik. All Rights Reserved.

22) Final Checklist for Buying Stocks

In previous chapters, I have provided readers with key takeaways in form of crucial parameters that an investor should use while analyzing stocks. Chapters on financial analysis, valuation analysis, business & industry analysis and management analysis contained summary checklists that can be very handy for any investor.

In the current chapter, I have compiled at one place the parameters that an investor should check each stock, before investing her hard-earned savings. This chapter can serve as a final checklist for any stock market investor, which will become very useful while doing a detailed analysis of stocks.

Criteria		Value	Remarks
Financial Analysis			
1	Sales growth	CAGR >15% for last 7-10 years	Growth should be a consistent year on year. Ignore companies where a sudden spurt of sales in one year is confounding the 10 years performance.
			Very high growth rates of >50% are unsustainable.
2	Profitability	NPM >8%	Look for companies with sustained operating & net profit margins over the years
3	Tax payout	>30%	The tax rate should be near general corporate tax rate unless some specific tax incentives are applicable to the company.
4	Interest coverage	>3	
5	Debt to Equity ratio	< 0.5	Look for companies with D/E ratio of as low as possible. Preferably zero debt
6	Current ratio	>1.25	
7	Cash flow	CFO > 0	Positive CFO is necessary.
			It's great if CFO meets the outflow for CFI and CFF
8	Cumulative PAT vs. CFO	cPAT ~ cCFO	Cumulative PAT and CFO are similar for last 10 years

Copyright © Dr Vijay Malik. All Rights Reserved.

Valuation Analysis			
1	P/E ratio	4 Principles to Decide the Ideal PE Ratio of a Stock for Value Investors	Such companies provide good margin of safety
2	P/E to Growth ratio (PEG ratio)	< 1	
3	Earnings Yield (EY)	> 10 year G-Sec yield	EY should be greater than long-term government bond yields or bank fixed deposit interest rates
4	P/B ratio	< 1	However, I find P/B ratio irrelevant for sectors other than financial services
5	Price to Sales ratio (P/S ratio)	< 1.5	James O'Shaughnessy: Buy if P/S ratio is < 1.5 and sell if >3
6	Dividend Yield (DY)	> 0%	Higher the better. DY of >5% is very attractive. However, do not focus a lot on DY for companies in fast growth phase
Business & Industry Analysis			
1	Comparison with industry peers	Sales growth > peers	The Company must show sales growth higher than peers. If its sales growth is similar to peers, then there is no Moat
2	Increase in production capacity and sales volume	Production capacity & sales volume CAGR ~ Sales CAGR	Company must have shown increased market penetration by selling higher volumes of its product/service
3	Conversion of sales growth into profits	Profit CAGR ~ Sales CAGR	A Moat would result in increasing profits with increasing sales. Otherwise, sales growth is only a result of unnecessary expansion or aggressive marketing push, which would erode value in long term
4	Conversion of profits into cash	cPAT ~ cCFO	If cPAT >> cCFO, then either the profits are fictitious or the company is selling to any John Doe for higher sales without having the ability to collect money from them

Copyright © Dr Vijay Malik. All Rights Reserved.

5	Creation of value for shareholders from the profits retained	The increase in MCap in last 10 yrs. > Retained profits in last 10 yrs.	Otherwise, company is destroying wealth of shareholders
Management Analysis			
A) Subjective parameters			
1	Background check of promoters & directors	Web search	There should not be any information questioning the integrity of promoters & directors
2	Management succession plans	Good succession plan should be in place	Salary being paid to potential successors should be in line with their experience
B) Objective Parameters			
3	Salary of promoters vs. net profits	No salary increase with declining profits/losses	promoter should not have a history of seeking increase in remuneration when the profits of the company declined in past
4	Project execution skills	Green/brownfield project execution	The company should have shown good project execution skills with cost and time overruns. Exclude capacity increase by mergers & acquisitions.
5	Consistent increase in dividend payments	Dividend CAGR > 0	Dividends should be increasing with increase in profits of the company
6	Promoter shareholding	> 51%	Higher the better
7	Promoter buying the shares	Insider buying ++	If promoter of a company buys its shares, investors should buy too
8	FII shareholding	~ 0%	the lower the better
Other Business Parameters			
1	Product diversification	Pure play	The company should be either a pure play (only one business segment) or related products. Pure play model ensures that the management is specialized in what they are doing.

Copyright © Dr Vijay Malik. All Rights Reserved.

			Entirely different unrelated products/services are a strict NO. An investor should rather buy stocks of different companies if she wants such diversification.
2	Govt. influence	No govt. interference in profit making	No cap on profit returns or pricing of the product.
			No compulsion to supply to certain clients.
Margin of Safety			
MoS in Purchase Price	Earnings Yield (EY)	EY > 10 Yr G-Sec Yield	Higher the EY than 10 Yr G-Sec Yield, the better
MoS in Business Model	Self-Sustainable Growth Rate (SSGR)	SSGR > Achieved Sales Growth Rate	Higher the SSGR than achieved Sales Growth, the better
	Free Cash Flow (FCF)	FCF/CFO >> 0	Higher the FCF as proportion of CFO, the better
Credit Rating			
1	Credit Rating History	BBB- & above	Current credit rating should be minimum BBB- Credit rating should have been improving over the years

Investors should always keep in mind that, no checklist could ever be complete for doing stocks analysis. However, the parameters in the above test any company and its stock on some of the tough performance parameters. Hence, an investor can be reasonably certain that the stocks, which pass the above checklist, have sound fundamentals and are available at reasonable valuations. If she diligently follows these parameters, invests only in stocks that promise good fundamentals and never overpays for them, then she can be assured of good returns from her portfolio over the long term.

Temporary periods of stock price fluctuations, business cycles where even good companies would not be able to maintain sales growth & profitability, would definitely come in between. However, the investor should keep her patience and not act on impulse and stay invested in a company until the time the inherent business strength of the company is intact. She would reap great benefits of such investing behavior.

No checklist is paramount. Hence, an investor should not restrict themselves to the parameters mentioned above. She should read further about investment analysis and add/remove parameters from the above list as per her understanding.

Copyright © Dr Vijay Malik. All Rights Reserved.

Monitoring stocks in an investor's portfolio is also equally important. An investor should delineate her monitoring activities into ongoing activities, quarterly activities and annual activities. Therefore, this book contains a chapter dedicated to monitoring of stocks in an investor’s portfolio.

Copyright © Dr Vijay Malik. All Rights Reserved.

23) 5 Simple Steps to Analyse Operating Performance of Companies

Analyzing operating performance of any company is a critical step before taking any investment related decision about any company. It tells an investor whether any company is improving its activities year on year and should be a potential investment candidate or on the contrary, its performance is deteriorating with time and any investment in its stock should be avoided.

I thank one of the readers of the website, Satya Prakash, for asking certain queries, which led to the idea of writing this chapter containing the framework of analysis I use for assessing the operating performance of companies.

Past operating performance becomes critical, as it is the outcome of all the business strength (Moat) and intellectual power (Management) any company has. If a company has been touted as the one with a huge moat, however, does not deliver in terms of operating performance, then an investor should be quite wary of relying on such claims. On the contrary, some hidden gems in the markets, which never get media attention, have strong business advantages and managements and keep on showing improved operating performance year on year. If an investor is able to analyse and judge the operating performance of a company over years, then she can easily find out strong investment worthy stocks that can generate significant wealth for her over long periods.

Past financial performance data is presented by the companies in their annual reports. Until now, it used to be very cumbersome for an investor to collect such data, as it involved punching the data from annual reports into a spreadsheet and analyzing it under different ratio/parameters.

However, currently, investors have different freely available tools, which provide the ready to consume data in spreadsheet format about different companies. An investor can download such data from these online sources, analyse it using certain parameters, and come to know whether any company has been showing improved/stagnating/deteriorating operating performance over the years.

In Indian stock markets, such data for past 10 years is provided by portals like Screener.in Morningstar.in etc. Other foreign markets would have similar portals where an investor can get the financial performance data of companies and analyse it.

A simple framework for analyzing operating performance takes it origination from the basic premises of the objective of the existence of any company, which is to grow the wealth of its shareholders. This premise can be broken down into simpler steps, which a company needs to follow over its lifetime:

1. Companies need to grow,
2. Maintain or improve profitability,
3. Operate efficiently,
4. Convert profits into free cash and
5. Use this free cash to fund future growth.

Copyright © Dr Vijay Malik. All Rights Reserved.

Let us now understand the tools used to analyse the performance of any company over these parameters. Ideally, an investor should analyse the data for past 10 years, which is easily available on above-mentioned portals.

1) Companies Need to Grow (Sales Growth):

It is expected that every company, which would generate good returns for its shareholders, would grow its business and produce increased sales year on year.

It can be measured through the compounded annual sales growth (CAGR) of sales over the years. The investor should observe that such sales growth is consistent year on year, rather than an abnormal spike in one or two years, which hide the otherwise poor performance of multiple years.

2) Maintain or Improve Profitability:

Profitability is measured by operating profit margins (OPM) and net profit margins (NPM) of any company

Operating Profit is the residual profit after deducting the cost of raw material, employee costs, sales & general expenses etc. from the sales revenue of any year. It shows the profitability of any company before the charges for capital structure (interest expense for debt raised) and capital intensity (depreciation) of any business or taxes are deducted from sales revenue. OPM measures the profitability purely from core operations of any company without factoring in the non-operating income like interest income or dividend income.

Net Profit is the final amount remaining in the hands of equity shareholders after all possible expenses like interest, depreciation, taxes etc. are deducted from total income (including operating sales revenue and non-operating income). This amount is available to the company for either distributing to shareholders like dividends or investing in company's operations as shareholder's incremental contribution in the business.

Analysis of both OPM and NPM are important while analyzing operating performance of any company. Companies should show stable or improve profitability year on year. If profitability is not stable, it fluctuates wildly year on year or is declining consistently, then an investor must delve deeper into understanding the business dynamics of the company. If she is not able to find any satisfactory answer to such undesirable patterns in profitability, then she should avoid this company and look for other investing opportunities.

Copyright © Dr Vijay Malik. All Rights Reserved.

Honda SIEL Power Products Limited presents a case of increasing growth at the cost of profitability:

INR (Crores/10 million)											
Narration	Mar-05	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Total 10 Yrs
Sales	201	198	231	251	236	307	408	506	516	541	
Operating Profit	17	18	26	31	20	39	43	53	38	51	
OPM%	8%	9%	11%	12%	8%	13%	11%	10%	7%	9%	
Net profit	8	10	17	25	16	13	30	52	21	19	210
NPM%	4%	5%	8%	10%	7%	4%	7%	10%	4%	3%	
Asset Turnover (High is better)	4.5	5.0	6.2	7.0	3.9	4.8	5.5	6.6	4.4	4.8	
Receivables days (low is better)							13	14	19	23	
Inventory Turnover (high is better)							7	7	6	5	
	Mar-05	Mar-06	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Total 10 Yrs
Cash from Operating Activity	20	13	34	7	(6)	25	11	48	(30)	16	138
Cash from Investing Activity	41	7	1	(3)	(14)	(2)	(11)	(5)	37	(12)	39
Cash from Financing Activity	(7)	(14)	(5)	(5)	(5)	(5)	(5)	(9)	(11)	(5)	(69)
Net Cash Flow	55	7	31	(0)	(25)	18	(5)	34	(4)	(1)	109
Cash & Eq. at the end of year	71	77	108	108	83	101	96	130	22	21	

3) Operate Efficiently:

There are many tools, which an investor can use to measure operating efficiency. However, I believe that the following three tools would provide any investor with simple easy to apply parameter, which would help her get the right conclusion in almost all the cases:

a) Inventory Turnover Ratio:

Inventory turnover ratio (ITR) measures the efficiency with which a company uses its inventory (raw material, work in progress and finished goods) to convert it into final sales. It is measured by the formula:

Inventory turnover ratio = Sales / Average inventory at start and end of the year

Many investors use the cost of goods sold (COGS) instead of sales in the numerator for calculating ITR. The financial analysis provides the investor with the flexibility to customize the ratio as per her preference. Therefore, an investor may use either sales or COGS for ITR analysis, however, she should maintain consistency while calculating & interpreting the ratio.

A higher ratio indicates that a company is able to rotate its inventory faster and its capital is not stuck in inventory.

Ideally, Inventory turnover ratio should be stable or increase with improving performance. Declining Inventory turnover ratio should raise the flags and an investor should delve deeper to understand its cause. If the investor is not satisfied with the outcome then she should avoid investment in such company and look for other opportunities.

The above-mentioned case of Honda SIEL Power Products Limited also represents a case of declining inventory turnover.

Copyright © Dr Vijay Malik. All Rights Reserved.

b) Days of Receivables Outstanding:

Days of receivables outstanding or Receivables Days broadly reflects the average number of days in which customers of any company pay their dues to the company. Receivables Days are calculated as:

Receivable Days = (Average account receivables at start and end of the year / Sales) * 365

Ideally, the Receivables Days should be stable or declining. If it were increasing, then it would amount that the company is not able to realize its dues from customers in time. This would amount to the company using more of bank funding (working capital funding) to meet its day-to-day cash requirements. This would lead to higher interest expense and lower profitability.

The above-mentioned case of Honda SIEL Power Products Limited also represents a case of increasing Receivables Days.

c) Asset Turnover Ratio:

Asset turnover ratio represents the efficiency with which a company utilizes its assets to produces goods for sales. Different kinds of asset turnover ratios are in vogue for assessing the efficiency of capital deployment by a company.

Most common of these ratios are Total Asset Turnover Ratio and Fixed Asset Turnover Ratio. I prefer using Fixed Asset Turnover Ratio as it indicates the usage pattern of operative productive assets like plants and machinery and excludes assets held in form of investments in third parties, cash etc.

Fixed Asset Turnover Ratio is calculated as:

Fixed Assets Turnover Ratio = Sales / Net fixed assets at the end of the year

Many investors use the average of net fixed assets at the start and end of the year for arriving at Fixed Assets Turnover Ratio, which is also right. An investor should do fine if she uses any of these formulas and uses it consistently to compare results over the years.

The financial analysis allows sufficient leeway to investors to experiment with different ratios with tweaking the existing ratios or creating altogether new ones if an investor believes that it might give a new insight while analyzing a company.

Fixed Assets Turnover Ratio indicates how efficiently a company is using its assets. A Fixed Assets Turnover Ratio of two indicates that every incremental investment of ₹ 1 in its plants and machinery would increase its sales by ₹ 2. A higher Fixed Assets Turnover Ratio is always preferable and indicates the good use of shareholders' funds.

Ideally, Fixed Assets Turnover Ratio should be stable or increase with improving performance. Declining Fixed Assets Turnover Ratio should raise the flags and an investor should delve deeper to understand its cause. If the investor is not satisfied with the outcome then she should avoid investment in such a company and look for other opportunities.

Copyright © Dr Vijay Malik. All Rights Reserved.

An investor must read the case of Amtek India Limited discussed in this chapter. Amtek India Limited presents a typical case of very low asset turnover in a highly capital-intensive business. Amtek India Limited is losing because of very low asset turnover, as the business consumes far more cash than it produces. This has led to the company increasing relying on debt to meet its cash requirements and as a result, its debt has increased whopping 33 times in last 10 years.

(INR Crores/10 Millions)											
Narration	Jun-05	Jun-06	Jun-07	Jun-08	Jun-09	Jun-10	Jun-11	Jun-12	Sep-13	Sep-14	Total 10 Years
Sales	**347**	**477**	**750**	**1,228**	**799**	**1,029**	**1,437**	**1,875**	**2,298**	**2,991**	
Operating Profit	**84**	**126**	**202**	**508**	**194**	**288**	**403**	**552**	**699**	**928**	
Operating Profit Margin (OPM%)	**24%**	**26%**	**27%**	**41%**	**24%**	**28%**	**28%**	**29%**	**30%**	**31%**	
Profit before tax (PBT)	58	93	166	425	81	109	163	239	301	361	
Tax%	30%	28%	29%	18%	31%	30%	30%	29%	30%	31%	
Net profit after tax (PAT)	**41**	**67**	**117**	**347**	**54**	**76**	**114**	**156**	**210**	**248**	**1,430**
Net Profit Margin (NPM%)	**12%**	**14%**	**16%**	**28%**	**7%**	**7%**	**8%**	**8%**	**9%**	**8%**	

Asset Turnover (High is better)	**1.8**	**1.6**	**1.2**	**1.2**	**0.7**	**0.5**	**0.5**	**0.7**	**0.5**	**0.5**
Receivables days (Low is better)							**71**	**72**	**66**	**65**
Inventory Turnover (High is better)							4	4	4	4
Net Fixed Assets	198	300	617	1020	1180	2264	2626	2642	4689	5501
Total Debt	**156**	**624**	**519**	**660**	**703**	**2,015**	**1,888**	**2,808**	**4,165**	**5,186**
Total Equity	**175**	**235**	**808**	**1,422**	**1,474**	**1,616**	**1,870**	**2,017**	**2,232**	**2,481**
Debt to Equity ratio (D/E)	**0.9**	**2.7**	**0.6**	**0.5**	**0.5**	**1.2**	**1.0**	**1.4**	**1.9**	**2.1**

	Jun-05	Jun-06	Jun-07	Jun-08	Jun-09	Jun-10	Jun-11	Jun-12	Sep-13	Sep-14	Total 10 Yrs
Cash from Operating Activity (CFO)	**40**	**(8)**	**67**	**141**	**(3)**	**168**	**199**	**247**	**1,054**	**663**	**2,569**
Cash from Investing Activity (CFI)	(59)	(297)	(295)	(438)	(252)	(1,040)	(210)	(863)	(1,917)	(1,774)	**(7,146)**
Cash from Financing Activity (CFF)	10	465	328	371	10	1,288	(90)	773	897	662	**4,715**
Net Cash Flow	**(8)**	**160**	**100**	**73**	**(245)**	**417**	**(101)**	**156**	**35**	**(450)**	**137**
Cash & Eq. at the end of year	4	164	265	338	92	509	408	565	600	150	

Total Retained Earnings (RE) in 10 Yrs (A)	**1,397**
Total increase in Mcap in 10 yrs (B)	**951**
Value created per INR of RE (B/A)	**0.68**

4) Convert Profits into Free Cash:

Converting profits into free cash is very important for any company as it is the cash, which is going to add value to the shareholders. It has been proved multiple times that companies go bankrupt not when they do not have assets, but when they run out of cash.

An investor should compare cumulative profit after tax (PAT) of last 10 years with the cumulative cash flow from operations (CFO) for the same period to assess whether the company is able to convert its profits into free cash.

CFO is derived from PAT after adjusting PAT for non-operating expenses like interest, depreciation and working capital changes.

If a company manages its working capital well, then ideally, its CFO should be higher than PAT because of the impact from adding back interest and depreciation. Therefore, when we notice that over 10 years CFO of a company is less than the cumulative PAT it has declared, then it should raise flags. It would indicate that the money is being stuck in working capital.

Copyright © Dr Vijay Malik. All Rights Reserved.

Money is most commonly stuck in working capital in the form of unrealized receivables from customers, which is indicated by increasing receivables days or in the form of increasing inventory levels, which is indicated by decreasing inventory turnover ratio.

If the profits are stuck in working capital and not available as free cash, it would reduce the cash available for running day-to-day operations like payment to vendors, salaries to employees, interest & principal payments on bank loans and capital expenditure for new plants. In such a scenario, the company would have to rely on other sources of cash like equity or debt to fund its cash requirements. This would lead to either equity dilution, thereby reducing stake of existing shareholders or increasing debt levels, which would reduce profitability by higher interest costs and increase the risk of bankruptcy in case of tough economic scenarios.

Therefore, conversion of profits into cash is necessary for any company to survive over long periods. If an investor finds that a company is not able to do so, then she should study it in depth and in absence of any satisfactory explanation, she should avoid investing in such a company and look for other opportunities.

The above-mentioned case of Honda SIEL Power Products Limited also represents a case of a company, which is not able to convert its profits into free cash.

5) Using Free Cash to Fund Future Growth:

An investor should always keep an eye on sources of funds that a company uses for its expansion plans or acquisitions. Ideally, a company should use the cash produced from its operations to invest in itself and produce further returns for its shareholders.

If an investor notices that the company is increasingly relying on debt to fund its growth, then it should serve as a cautionary sign. The spiralling debt might be due to non-conversion of profits into cash, which can be identified by the tools discussed above or due to over ambitious management, which is expanding faster than company's resources permit. Both the scenarios are not good for shareholders.

Therefore, increasing debt levels should always signal a warning to investors irrespective of the industry in which the company operates. Investors should focus on finding low or nil debt companies as debt free companies cannot go bankrupt.

The above-mentioned case of Amtek India Limited also represents a case of a company, which has been increasingly relying on debt to fund its cash requirements and has seen its debt levels spiralling.

Conclusion

The premise of growth with sustained profitability, improving operating efficiency, conversion of profits into cash and then using this cash for future growth, remains the same for all businesses.

There can be many other aspects of accessing business performance; however, I believe that if an investor tracks the performance of any company on these five aspects discussed above, then she would be able to gauge the business performance of almost all the companies. She can separate out the good performers from poor ones and make better-informed investment decisions.

Copyright © Dr Vijay Malik. All Rights Reserved.

Different investors believe that companies in one industry would have different levels of ratios (say profitability or D/E ratio) than companies in other industries and an investor should give a little leeway while comparing two companies of different sectors. However, if an investor analyses the business performance of one company over the past, then the trend of change in its ratios, when compared with previous years, would indicate, whether the company is showing improved business performance or not.

For example, an infra company might have higher debt than a Pharma company. However, if the debt level were increasing year on year without associated increase in sales and net worth, then it would indicate poor business performance for both infra and Pharma companies.

Therefore, I believe that if an investor makes a checklist of testing the past performance of all the companies presenting themselves as potential investment opportunities, on the parameters discussed in the chapter, then she would be able to segregate good performing companies from poor ones and make good investment decisions.

Let us summarize the parameters to provide a ready checklist:

1. Sales Growth: consistent sales growth (CAGR) year on year, without occasional spikes.
2. Stable or Improving Profitability:
    - Operating Profit Margins (OPM) and
    - Net Profitability Margins (NPM)
3. Stable or Improving Operating Efficiency:
    - Inventory Turnover Ratio,
    - Days of Receivables Outstanding (Receivables Days) and
    - Fixed Asset Turnover Ratio
4. Conversion of Profits into Cash: Cumulative CFO should be higher than Cumulative PAT
5. Using Free Cash to fund Future Growth: No spiralling debt levels.

Copyright © Dr Vijay Malik. All Rights Reserved.

24) How to Monitor Stocks in Your Portfolio

Until now, we have learned about selecting good stocks to buy for the portfolio. We have learned that an investor must do a thorough due diligence about the business & industry analysis and management analysis of the company before she invests her money. She should refuse to invest in any company where she finds red flags during her analysis.

However, buying good stocks is not sufficient in itself for generating long-term wealth from stock markets. Monitoring the stocks in the portfolio is equally important. Once an investment is made, it is advised that the investor should keep on periodically checking whether the company still fits into her standards of operational & managerial performance. Buy & hold strategy with a blind faith is not advisable for investors in stock markets.

In most of the countries, laws contain easily exploitable loopholes, regulations are not strictly enforceable and corporate governance standards are not high. We keep on hearing about instances of corporate frauds like Enron (USA) and Satyam Computers (India) etc., frequently. Such instances serve as a grim reminder that managerial greed succeeding at the cost of shareholders is a real possibility in corporate world & stock markets.

A long-term investor should focus on monitoring fundamental parameters of business, operations & managerial performance of the companies in her portfolio. She should not consider continuous tracking of market prices of stocks and calculating gains at the end of every day as monitoring of her portfolio. In fact, many renowned investors have advised against continuous follow-up of stock prices.

Warren Buffett believes that he would be very happy is the stock market is completely shut for two years after he has bought shares of a company. Continuous tracking of stock prices has the potential of inducing emotional reactions in investors. It might lead the investor to deviate from her long-term investment strategy and start frequent trading or timing the market, which are some of the 5 most common mistakes done by stock market investors.

An investor should follow a well laid out process to monitor each of the stocks in her portfolio. She should focus on tracking below mentioned parameters about her stocks:

- Important news about the companies & their industries
- Financial results of the companies
- Shareholding changes including pledge of promoter's shares
- Corporate announcements about insider trading and other related matters
- Annual report of the company
- Credit rating of the company

These parameters change at different frequencies and therefore, an investor can have her stocks' monitoring exercise clearly laid out as Ongoing Monitoring, Quarterly Monitoring and Annual Monitoring:

Copyright © Dr Vijay Malik. All Rights Reserved.

Ongoing Monitoring

It includes tracking information about updates, which change without any predetermined time schedule. It contains following news and corporate announcements about the companies and their industries:

1. Following News about the Companies & Their Industries:

An investor should follow the news related to the companies & their industries in her portfolio. This would keep her updated with developments like any policy & regulatory changes, new investments or exits by players, changes in raw material and finished products etc. about her companies.

Google Alerts is a very good tool for this purpose. It is particularly effective for tracking companies, which are relatively unpopular and not covered by mainstream media. Most of the small & mid cap companies will fall under this category.

I advise that every investor should set Google alerts for all the companies in her portfolio. She can set the desired frequency updates as real time/once a day or week.

2. Corporate Announcements:

Every company is required to inform the stock exchange about any important event, which can influence its share price. Such events include buying or selling of shares by its promoters, commissioning of new manufacturing capacity, any merger or acquisition proposals, appointment or resignation of any senior management personnel/director etc. Such announcements are available at the website of the stock exchange.

An investor should read various corporate announcements made by the company as these would keep him aware about latest developments within and related to the company. Many of these announcements would help her make additional buying or selling decisions in shares of the company.

Quarterly Monitoring

It consists of studying information released by companies to its shareholders and public every quarter. It includes financial results and shareholding patterns with pledge details of promoters' stake.

1. Result Updates:

Most of the stock exchanges require listed companies to declare their financial performance at least once a quarter. Almost all companies follow March, June, September and December quarters for this purpose. Companies declare their quarterly and year-till-date financial results within 45 days from the end of the quarter. Such results are available on the websites of companies as well as stock exchanges.

An investor should study all the quarterly results declared by her companies. However, she should not be overly concerned about the subdued performance in one or two quarters. She should try to see the company performance in light of the general economic scenario. However, if a company is continuously declaring poor financial results, then investor should analyse whether she has missed something during her diligence before buying the stock. In case she finds out any vital information that changes her views about the company then she should consider exiting the stock.

Copyright © Dr Vijay Malik. All Rights Reserved.

2. Changes in Shareholding Pattern:

All the companies are required to declare their shareholding pattern & details of the pledge of promoter's shares once in a quarter. Most companies follow a similar pattern of declaring it in March, June, September and December quarters. These details are updated on the websites of companies and stock exchanges.

The investor should study the shareholding pattern every quarter and compare it with the pattern of previous quarters. This analysis will tell her whether promoters or other major shareholders are increasing or decreasing their stake in the company. The investor should focus mainly on the changes in the promoter's shareholding and can ignore the changes for other shareholders.

Promoters increasing stake in their company is a very healthy sign as they are the people with most intimate knowledge about the prospects of a company. Hence, it is said that if promoters are buying stocks of a company, then investors should buy as well.

On the contrary, an investor should be concerned if promoters are consistently reducing their stake in the company. She should analyse and try to find further information about it as it amounts to decreasing skin in the game of the largest interested party. It can be that the promoters might have sold their stake to raise funds for meeting any personal exigency. However, the investor should keep on investigating until she is convinced that promoters are still serious about the future of the company.

Other major investors like institutional investors (e.g. FIIs & DIIs) are temporary investors who come and go as per availability of funds with them. They do not have a significant impact on business performance of the company until they increase their stake to strategic levels (>25% in India). Once they acquire the stake of >25%, they are able to influence the business decisions of the company. If a strategic investor is present in any company, then the investor should follow the change in its shareholding as well.

3. Pledge of Promoters' Stake:

Companies declare the details of the pledge of promoters' shareholding every quarter along with the shareholding pattern. Any amount of pledge should be seen with caution, as it is one of the first signs of stress in the financial health of the promoters & possibly the company also. If the promoter is not able to repay her loan, then lenders holding the pledge will sell the shares in the market. It would affect the share price very negatively and will reduce promoter's shareholding in the company as well. Therefore, it is advised to stay away from companies where promoters have pledged their shares with financial institutions.

Annual Monitoring

It includes studying information about the companies, which is updated once a year. It includes reading the annual report and credit rating reports for the companies.

1. Annual Report:

The annual report is the most important document published by every company at the end of every financial year. The company communicates its performance in the past year, strategy for future, expansion plans etc.

Copyright © Dr Vijay Malik. All Rights Reserved.

to its shareholders through an annual report. An investor can ignore reading the annual report of the companies in her portfolio, only at her own peril.

Reading annual report is the most important part of investment analysis. Therefore, I have written a separate chapter for understanding annual report of a company.

2. Credit Rating:

Most of the companies, which have raised debt from markets or financial institutions, are required to get their debt facilities rated by any of the credit rating agencies accredited by regulators. Some of the prominent credit rating agencies active in India are CRISIL (part of S&P), ICRA (part of Moody's), CARE and India Ratings (part of Fitch). These agencies review the financial position of the companies at least once a year to update the credit ratings issued by them. The agencies publish the ratings on their websites along with a summary document containing brief details about the comforting and constraining factors about the company. An investor can download the summary document from their websites.

Such ratings are a useful source of tracking financial health of a company for investors. Any improvement in credit rating is a positive sign and similarly, any downgrade of credit rating is a negative sign, which should be analysed in detail by the investor.

Nowadays, there are many financial portals, which accumulate information about the companies from various sources and present it to readers in one place. In India, financial media houses like Moneycontrol, Economic Times etc. provide all the information about the companies like a declaration of results, shareholding patterns, corporate announcements, and credit rating information etc. on their websites. It is, therefore, advised that the investor should update her portfolio at any of these websites so that she can access most of the information required for monitoring of stocks in her portfolio at one place.

Therefore, we can see that for monitoring stocks in her portfolio, an investor should do:

1. **Ongoing Monitoring**: Track the news about the company & its industry by Google Alerts and read corporate announcements
2. **Quarterly Monitoring**: Study the financial results and shareholding pattern with pledge details of promoters' stake and
3. **Annual Monitoring**: Study the annual reports and credit rating reports of the companies.

There are many additional methods, which investors use to monitor their investments like attending annual general meetings (AGM), participate in analyst conference calls, visit company premises to see facilities, visit trade shows to see new product launches etc. An investor can put the amount of time & effort available to her for monitoring her portfolio. However, I believe that the above-mentioned process of monitoring stocks, if followed diligently, should suffice for a common investor.

It is pertinent to highlight again that a long-term investor should track the business, operational and managerial parameters for monitoring stocks in her portfolio. Tracking share price changes daily would do more harm than good to her.

Copyright © Dr Vijay Malik. All Rights Reserved.

25) Understanding & Interpreting Quarterly Results Filings of Companies

One of the key requisites of being listed on stock exchanges is that the listed companies are required to disclose their performance on a periodic basis. This is true for publically listed companies across the world. Different countries stipulate different disclosure requirements on the companies listed on their respective stock exchanges. However, the common requirement in all the markets is to disclose information about critical developments on an ongoing basis and financial performance on a regular basis.

Most of the markets, including India, stipulate disclosure of financial performance at least once every quarter. Therefore, companies listed on Indian stock exchanges publish their financial performance at least four times in each financial year (April – March) within a prescribed timeline from the end of the stipulated period (end of the quarter):

- April to June: within 45 days from end of June quarter
- July to September: within 45 days from end of September quarter
- October to December: within 45 days from end of December quarter
- January to March: within 60 days from the end of March quarter

If due to any reason, a company is not able to disclose its results within the above-mentioned timelines, then it is a red flag. The investor should be warned that the company is facing some issue and she should not ignore such delay in disclosure of results as being trivial in nature. Most of the times, delays in filing of quarterly financial performance are linked with ongoing frauds and corporate governance issues within the companies.

The example of Ricoh India Limited is pertinent here, which published its results for September 2015 quarter on May 18, 2016. The company has initiated proceedings against its senior management for the possibility of perpetrating fraud.

The current chapter focuses on understanding the key information contained in the quarterly results published by companies and their interpretations. The chapter is aimed at helping the reader to develop a framework in getting the critical information from quarterly filings within a short amount of time.

SEBI has stipulated the minimum level of information, which a company must disclose in its quarterly results. However, the companies are free to disclose any information over and above the minimum required.

Quarterly results of most of the companies in India, contain the following sections and information:

- Independent auditor's review report for the disclosed financials
- Profit and loss statement
- Statement of promoters' shareholding and pledging levels
- Balance sheet, mainly in September quarter (half year) and March quarter (full year)
- Statement of investor complaints

Copyright © Dr Vijay Malik. All Rights Reserved.

- Notes disclosing key outcomes of the board meeting, the status of projects under execution, dividend declaration and other critical developments about the company.

Analysis of quarterly results is a part of regular monitoring exercise of companies in one's portfolio. Therefore, it becomes one of the key events that shareholders track to update themselves about company's affairs.

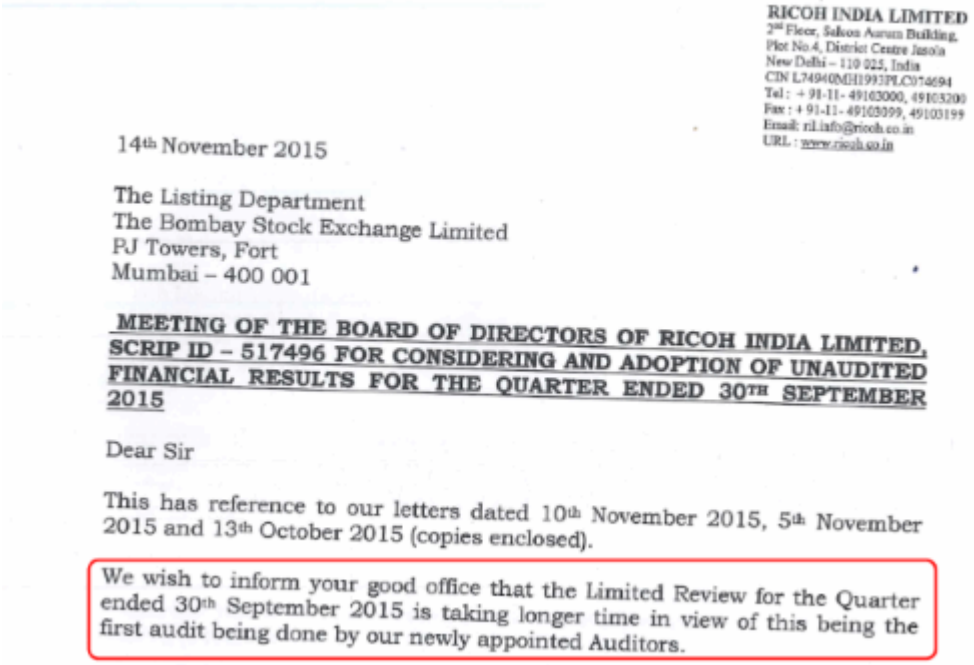
Let's understand in detail the key information disclosed in the quarterly result reports and their relevance & interpretation for a fundamental stock investor.

A) The timing of Disclosure of Quarterly Results:

While assessing quarterly results, one of the key parameters that every investor should track is the timing of disclosure of results:

1) If a company is not able to publish its quarterly results within the stipulated timelines (45 or 60 days, as applicable), then it is a serious issue and the investor should definitely be worried.

In the case of Ricoh India Limited, the company intimated the stock exchanges on November 14, 2015, the last date for disclosure of results for September 2015 quarter, that it would not be able to publish results within the deadlines. Later on, the company disclosed that it is investigating the possibility of a fraud by the senior management of the company.



RICOH INDIA LIMITED
2nd Floor, Saksoa Aarum Building,
Plot No.4, District Centre Jasola
New Delhi – 110 025, India
CIN L74940MH1993PLC074694
Tel : + 91-11- 49103000, 49103200
Fax : + 91-11- 49103099, 49103199
Email: ril.info@ricoh.co.in
URL : www.ricoh.co.in

14th November 2015

The Listing Department
The Bombay Stock Exchange Limited
PJ Towers, Fort
Mumbai – 400 001

MEETING OF THE BOARD OF DIRECTORS OF RICOH INDIA LIMITED, SCRIP ID – 517496 FOR CONSIDERING AND ADOPTION OF UNAUDITED FINANCIAL RESULTS FOR THE QUARTER ENDED 30TH SEPTEMBER 2015

Dear Sir

This has reference to our letters dated 10th November 2015, 5th November 2015 and 13th October 2015 (copies enclosed).

We wish to inform your good office that the Limited Review for the Quarter ended 30th September 2015 is taking longer time in view of this being the first audit being done by our newly appointed Auditors.

2) On similar lines, if a company that used to publish results promptly within a few days from the end of the quarter, delays its results, even then an investor should try to find out the reasons for such delay.

Copyright © Dr Vijay Malik. All Rights Reserved.

Many times, such delay is associated with the change in management of the company, which is a frequent event for public sector undertakings (PSUs). In most of such cases, the new management takes the time to clean up the books of the activities of the previous management so that it may start with a clean slate.

Other reasons for the delay in declaration of results might include that the promoter/senior management/directors are not available due to certain engagements. However, the investor should analyse each case of delay in filing of the results and try to find out the possible reasons leading to the delay.

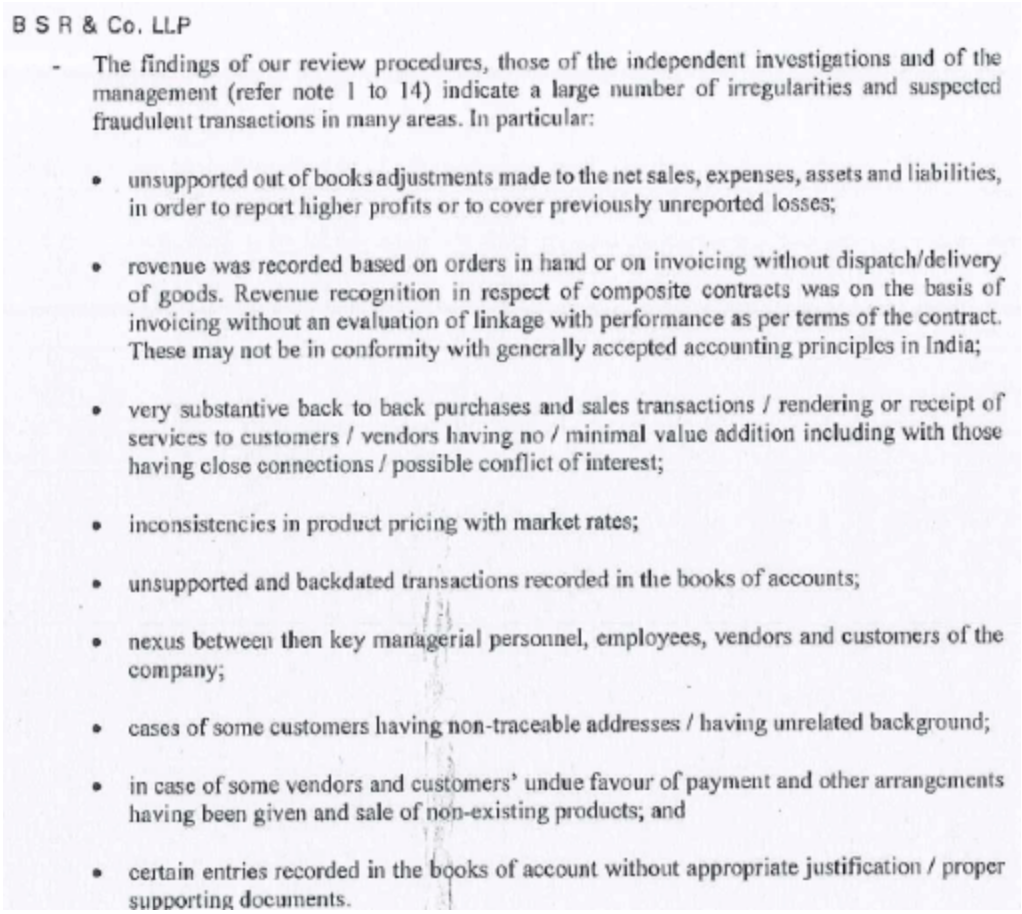
B) Independent Auditor's Review of the Results:

Auditor's report is a very important section of the quarterly results that contains the opinion of a competent third party on the financial performance disclosed by the company. However, it is the section of quarterly results that routinely gets ignored. One of the key reason for such ignorance is that in most of the well-run companies, the auditor's report is uneventful and a standard attachment to results, containing mundane legally conscious language.

However, auditor's report is an all important part of the results that has many times exposed significant misdeeds and frauds perpetrated by the management. The role of the independent auditor is paramount in the principal-agency relationship of shareholders and management.

We mentioned earlier that Ricoh India Limited delayed the filing of its quarterly results for September 2015. Finally, the company published these results on May 18, 2016. The auditor's report, which formed part of the results release, contained eye-opening comments on the status of financial dealings of the company.

Copyright © Dr Vijay Malik. All Rights Reserved.



B S R & Co. LLP

- The findings of our review procedures, those of the independent investigations and of the management (refer note 1 to 14) indicate a large number of irregularities and suspected fraudulent transactions in many areas. In particular:

  - unsupported out of books adjustments made to the net sales, expenses, assets and liabilities, in order to report higher profits or to cover previously unreported losses;
  - revenue was recorded based on orders in hand or on invoicing without dispatch/delivery of goods. Revenue recognition in respect of composite contracts was on the basis of invoicing without an evaluation of linkage with performance as per terms of the contract. These may not be in conformity with generally accepted accounting principles in India;
  - very substantive back to back purchases and sales transactions / rendering or receipt of services to customers / vendors having no / minimal value addition including with those having close connections / possible conflict of interest;
  - inconsistencies in product pricing with market rates;
  - unsupported and backdated transactions recorded in the books of accounts;
  - nexus between then key managerial personnel, employees, vendors and customers of the company;
  - cases of some customers having non-traceable addresses / having unrelated background;
  - in case of some vendors and customers' undue favour of payment and other arrangements having been given and sale of non-existing products; and
  - certain entries recorded in the books of account without appropriate justification / proper supporting documents.

Therefore, it becomes paramount that investors should always read the auditor's report in detail, whenever they read the financial results of any company.

C) Profit and Loss Statement:

Profit & loss statement (P&L) is the permanent feature of all the quarterly results and many times investors limit their reading of quarterly results to the P&L only. However, it is advised that investors should pay equal attention to all the sections of the quarterly results to effectively monitor their stock holdings.

The P&L statement in the quarterly results contains:

- the financial performance for the 3 months ending in the current quarter (e.g. March 2016 quarter),
- the performance of preceding 3 months (December 2015 quarter),
- the performance of respective quarter in the previous financial year (March 2015 quarter),
- year to date (YTD) performance of the current year (6M-FY2016, 9M-FY2016 or FY2016 as the case may be),
- YTD performance of previous year (6M-FY2015, 9M-FY2015 or FY2015 as the case may be) and
- the performance of the previous full financial year (FY2015 in this case).

Copyright © Dr Vijay Malik. All Rights Reserved.

In the case of companies having subsidiaries, joint ventures etc. the performance at both standalone as well as consolidated level are disclosed. Let's see the P&L disclosed by Ambika Cotton Mills Limited in its March 2016 quarterly results:

Ambika Cotton Mills Limited

Reg Office : 15, Valluvar Street, Sivanandha Colony, Coimbatore - 641012, Tamil Nadu, India

STATEMENT OF AUDITED FINANCIAL RESULTS FOR THE QUARTER AND YEAR ENDED 31.03.2016

CIN : L17115TZ1988PLC002269

Part -I (Rs. In Lakhs)

PARTICULARS	Quarter Ended			Year Ended	
	31.03.2016 (Audited)	31.12.2015 (Unaudited)	31.03.2015 (Audited)	31.03.2016 (Audited)	31.03.2015 (Audited)
1. Income from Operations					
(a) Net Sales/Income from Operations (net of excise duty)	11835	12217	11946	48336	48374
(b) Other operating income	203	212	226	895	1154
Total Income from Operations (Net)	12038	12429	12172	49231	49528
2. Expenses					
(a) Cost of Materials Consumed	7441	7645	7137	30598	29416
(b) Purchase of Stock in trade	0	0	0	0	0
(c) Changes in inventories of finished goods, work-in-progress and stock-in-trade	55	-8	523	-454	1091
(d) Employee benefit expense	598	647	622	2511	2434
(e) Power & Fuel	701	795	412	3269	2535
(e) Depreciation and amortisation expense	761	745	752	2992	2933
(f) Other Expenses	1061	1051	1114	4074	4167
Total Expenses	10617	10875	10560	42990	42576
3. Profit / (Loss) from Operations before other income, finance costs and exceptional items (1-2)	1421	1554	1612	6241	6952
4. Other Income	154	7	3	177	55
5. Profit / (Loss) from ordinary activities before finance costs and exceptional items (3+4)	1575	1561	1615	6418	7007
6. Finance Costs	148	107	126	522	631
7. Profit / (Loss) from ordinary activities after finance costs but before exceptional items (5-6)	1427	1454	1489	5896	6376
8. Exceptional Items	0	0	0	0	0
9. Profit / (Loss) from ordinary activities before tax	1427	1454	1489	5896	6376
10. Tax Expenses	374	323	65	1450	1258
i. MAT	304	311	315	1258	1336
ii. MAT Credit (-) / Reversed (+)	409	12	-505	551	-59
Income Tax relating to previous year	0	0	0	0	17
Deferred Tax	-339	0	255	-359	-36
11. Net Profit/(Loss) from ordinary activities after tax (9-10)	1053	1131	1424	4446	5118
12. Extraordinary items (net of tax expenses)	0	0	0	0	0
13. Net Profit / (Loss) for the period (11-12)	1053	1131	1424	4446	5118
14. Paid-up Equity Share Capital (Face value of Rs.10/- each)	587.5	587.5	587.5	587.5	587.5
15. Reserves excluding Revaluation Reseve as per balance Sheet of previous accounting year				32917	29533
16. i. Earnings Per Share (of Rs. 10 each/-) (not annualised) Basic and Diluted (Rs.)	17.92	19.25	24.24	75.68	87.11
ii. Cash EPS	30.88	31.93	37.04	126.60	137.04

**Disclosure: I own shares of Ambika Cotton Mills in my portfolio.*

There are different set of analysis inputs that an investor can get from the P&L statement contained in the quarterly results. These analysis points usually include:

Year to date (YTD) performance:

It compares the YTD performance of the company until the reported quarter (6 months, 9 months or full year as the case may be) with the performance in the same period in the previous financial year.

Copyright © Dr Vijay Malik. All Rights Reserved.

The investor can assess the performance of the company on parameters like:

- **Sales growth**: compare sales income to assess growth or decline in sales income
- **Profitability margins**: compare the profitability margins/proportion of expenses as a ratio of sales income:
    - operating profit margin (OPM),
    - net profit margin (NPM),
    - the cost of material consumed as a ratio of sales,
    - power & fuel as a ratio of sales
    - employee expenses
    - finance costs etc.

All these parameters highlight the improvement or deterioration of the financial performance of the company during the periods under comparison. The investor should especially focus on the item, which shows sudden high increase or decrease over the comparative periods.

Quarterly performance:

1) Year on year (YoY) performance:

It compares the performance of the company during the reported quarter (March 2016) with the performance in the respective quarter in the previous financial year (March 2015). The key parameters of performance evaluation are the same as has been discussed above.

The YoY performance rules out the impact of seasonality in the business of the company. It provides an opportunity to understand the current performance of the company with the performance in the last year under similar seasonal parameters.

2) Quarter on Quarter (QoQ) performance:

It compares the performance of the company during the reported quarter (March 2016) with the performance in the preceding quarter (December 2015). The key evaluation parameters remain the same as per the above discussion.

I advise the investors to focus more on the year to date (YTD) performance and not get a lot worried about the quarterly performances.

Even in quarterly performance evaluation, it is advised that investors should give more weight to YoY performance than QoQ performance. As mentioned above YoY performance is assumed to rule out the impact of seasonality in the business performance evaluation.

QoQ performance evaluation is of least importance among the three scenarios discussed above (YTD, YoY and QoQ).

I believe that changing the views about a company after each quarterly results, is to fundamental investing what intra-day trading is to technical investing:

Copyright © Dr Vijay Malik. All Rights Reserved.



It is all but natural that the performance of humans, as well as companies, never stays the same over time and we suffer from periods of exuberance and distress. It is difficult to repeat exactly the same performance for humans and companies in two attempts (only machines/robots seem to be capable of doing it). In this light, we expect the company's performance to fluctuate from one period to another and it should be accepted as a norm.

We should be worried if the company keeps on improving/maintaining its performance like a clockwork performance. Because such performance is usually associated with managed financials where the company adjusts/cooks its books to show desired financial performance.

D) Segmental Results:

The quarterly results also contain a section on the financial performance of different segments of the companies and provide their performance data in the form of:

- Segmental revenue
- Intra-company/group dealings of different segments
- Segmental net profits
- Segmental capital employed, which can be used to assess the return on capital employed for a particular segment.

As discussed above in the quarterly P&L analysis section, while doing segmental analysis as well, it is advised that an investor should focus on the year to date (YTD) performance the most, next on the year on year (YoY) performance and least on the quarter on quarter (QoQ) performance.

E) Balance Sheet (B/S):

Most of the companies listed on stock exchanges in India disclose their summary balance sheet in their September (half yearly) and March (full year) quarterly results. The summary balance sheet contains only a snapshot of assets and liabilities at the date of the end of the quarter without providing detailed notes/schedules, which are included in the annual report.

Even though the balance sheet is only a summary, nevertheless, it provides great insights into the status of the company's financial position at the reporting date. An investor can get a rough estimate of the change

Copyright © Dr Vijay Malik. All Rights Reserved.

in leverage, the progress of projects under execution, movement of cash & funds etc. from the summary balance sheet.

I advise investors to mandatorily conduct the funds flow analysis whenever they analyse the balance sheet.

Funds Flow Assessment:

Movement of funds in the company's balance sheet can be assessed by doing a comparative assessment of different sections of the balance sheet. An investor should compare the values of every section at the reporting date of the current year and the previous year and calculate the change in their values.

1) Equities and Liabilities:

In the liabilities section, any increase in an item means that the company has received funds (inflow), which need to be paid to external parties like:

- shareholders (equity and reserves),
- lenders (long term debt, short term debt etc.),
- vendors (trade payables),
- customers (advances from customers usually part of other current liabilities)
- employees (leaves, gratuity etc. as part of short-term provisions)

Similarly, a decrease in any item in the liability section means that the funds have gone out (outflow) from the company to third parties to satisfy the existing liability.

2) Assets:

In the assets section, any increase in items means that the company has spent funds (outflow) to purchase assets, which would generate cash/funds inflow in future like:

- Fixed assets (purchase of plant and machinery)
- Long term loans & advances/Non-current investments (investments in long-term financial products, JVs, subsidiaries etc.)
- Current Investments (investments in short-term financial products)
- Inventory (raw material)
- Trade receivables (payment due from customers)
- Cash & equivalents (bank balance)
- Short term loans & advances (loans to related parties, vendors etc.)

Similarly, a decrease in any item in the assets section means that the funds have come into the company (inflow) from third parties by way of sale of assets or collection of dues from third parties.

This contrasting interpretation of directional change (increase/decrease) in items in liabilities and assets sections and their impact on funds statement (inflow/outflow) becomes confusing for many investors. Therefore, it is essential that the reader spends extra care while interpreting the funds flow analysis.

Copyright © Dr Vijay Malik. All Rights Reserved.

To understand further, let's do the fund-flow analysis on the summary balance sheet of Ambika Cotton Mills Limited, which it disclosed with March 31, 2016, results:

To simplify the matter, all the items depicting funds inflow have been shown in "Green" and all the items leading to funds outflow are shown as "Red"

Green represents funds inflow to the company
Red represents funds outflow to the company

Ambika Cotton Mills Limited

Reg Office : 15, Valluvar Street, Sivanandha Colony, Coimbatore - 641012, Tamil Nadu, India

STATEMENT OF ASSETS AND LIABILITIES AS AT 31st MARCH 2016

(Rs. In Lakhs)

Particulars	As at 31.03.2016	As at 31.03.2015	
A. EQUITY AND LIABILITIES			
1.Shareholders' Funds			
a) Share Capital	587	587	
b) Reserves and Surplus	32917	29533	+ 33.8 Crores
Sub- total - Shareholder's Funds	33504	30120	
2. Non-Current Liabilities			
a) Long-term borrowings	0	375	- 3.7 Crores
b) Deferred tax liabilities (Net)	3723	4083	- 3.6 Crores
Sub-total -Non- Current Liabilities	3723	4458	
3. Current Liabilities			
a) Short- term borrowings	1971	4585	- 26 Crores
b) Trade payables	1879	2264	- 4 Crores
c) Other current liabilities	1287	2569	- 13 Crores
d) Short-term provisions	42	990	- 9.5 Crores
Sub-total - Current Liabilities	5179	10408	
TOTAL EQUITY AND LIABILITIES	42406	44986	
B. ASSETS			
1. Non-Current Assets			
a) i. Fixed assets	25514	26997	- 14.8 Crores
b) Long-term loans and advances	412	1101	- 7 Crores
Sub-total - Non-Current Assets	25926	28098	
2. Current Assets			
a) Current investments	10	8	
b) Inventories	12417	14453	- 20 Crores
c) Trade receivables	1850	604	+ 12.5 Crores
d) Cash and cash equivalents	478	285	+ 2 Crores
e) Short-term loans and advances	1724	1538	+ 2 crores
f) Other current assets	1	0	
Sub-total - Current Assets	16480	16888	
TOTAL ASSETS	42406	44986	

The fund flow analysis depicts that Ambika Cotton Mills Limited, has received funds of about ₹75.6 crores from:

- reserves (net profits – dividends paid): ₹34.8 crores
- inventory (used in creating goods for sales): ₹20 crores
- fixed assets (depreciation – non cash expense in P&L): ₹14.8 crores
- long term loans & advances (recovered money back, sold long financial products): ₹7 crores

Copyright © Dr Vijay Malik. All Rights Reserved.

The analysis also indicates that these funds have been used by the company in the period under analysis (March 2015 to March 2016) in the following manner:

- payment of long-term debt: ₹3.7 crores
- payment of short-term debt: ₹26 crores
- payment of other current liabilities (primarily current maturity of long-term debt and customer advances that are recognized as sales and therefore removed from balance sheet liabilities: see the section below): ₹13 crores
- payment of trade payables to the vendors: ₹4 crores
- providing credit to customers (trade receivables): ₹12.5 crores
- deposits in banks (cash and equivalents): ₹2 crores
- given as short-term loans and advances: ₹2 crores

Other current liabilities section of the FY2015 annual report of Ambika Cotton Mills Limited, showing the current maturity of long-term debt and other items in the composition of other current liabilities section:

Note 8
Other Current Liabilities

a.	Current maturities of long-term debt	130326940	307021000
b.	Interest accrued but not due on borrowings	437847	568902
c.	Unpaid dividends	1493456	1441517
d.	Other Payables		
	(i) Statutory remittances	6277442	12501611
	(ii) Payables on Purchase of Fixed Assets	3150868	0
	(ii)Advances from Customers	18052896	17426209
	(iv)Liability for Expenses	97186659	79815813
		256926108	**418775052**

The fund flow analysis for Ambika Cotton Mills Limited indicates that during FY2016, the primary sources of funds for Ambika Cotton Mills have been profits (reserves) and liquidation of inventory, which it has used to repay debt (short term, long term and current maturity of long-term debt) and providing credit to customers.

This pattern of funds flow indicates normal operations of a healthy profitable company where the management is using the funds generated from the company into company operations.

Fund flow analysis has the potential of highlighting and early stage identification of cases where management uses funds generated from the company (profits/reserves and debt) for its own benefits in form of loans and advances to group companies/promoter entities.

The case of Gujarat Automotive Gears Limited (GAGL) is a pertinent example of funds diversion by the promoter/management, in which the majority shareholder/promoter/management took out the profits of GAGL and made it take debt, which GAGL did not need for its operations and used these funds to give loans to themselves. Promoters of GAGL (HIM Teknoforge Limited) in turn benefited at the cost of GAGL shareholders.

Copyright © Dr Vijay Malik. All Rights Reserved.

The analysis would also indicate:

- whether the debt position of the company is improving or deteriorating by observing increasing or decreasing debt levels
- whether the receivables position of the company is changing for better or worse by noticing increase or decrease in trade receivables when compared with sales performance
- Status of project progress:
- In case capital work in progress (CWIP) is increasing, it would mean that the work on project under implementation is progressing
- In case CWIP has decreased and net fixed assets (NFA) has increased, it would mean that most probably the under construction project has been completed and has been transferred from CWIP to NFA

Thus an investor can get multiple useful information points from the cursory overview of summary balance sheet disclosed with quarterly results.

F) Notes to the Quarterly Results:

Quarterly results published by the companies usually contain a short section of notes, which contains a few bullet points indicating:

- the key outcomes of the board meeting
- declaration of dividend, if any
- status of progress of projects under implementation
- other critical developments related to the company
- other disclosures

These notes are a critical piece of communication from the company to its shareholders and serve as a direct source of assessment of critical issues affecting the company and shareholders.

1. **These results were reviewed by the Audit Committee and taken on record by the Board of Directors at their meeting held on 28th May, 2016.**
2. **The Company has declared and paid interim Dividend of Rs.15/- (150%) per equity share of Rs.10 each for the FY 2015-16.**
3. **Foreign Currency Fluctuation loss amounted to Rs.71 Lakhs (Previous year Rs.128 lakhs),which is included under other expenditure.**
4. **The CSR expenditure of Rs.117 Lakhs (Previous year Rs.91 Lakhs) is included under other expenditure.**
5. **The Company has invested Rs.1844 Lakhs upto 31.03.2016 towards upgradation of tecnology of its manufacturing operations and so far during the current year has further invested Rs.526 Lakhs. This total investment of Rs.2370 Lakhs was fully met out of internal accruals.**
6. **The Company has proposed to add Knitting facility at a cost of Rs.800 Lakhs, to be fully met out of internal accruals, the facility is expected to be operational from October 2016 onwards.**
7. **Trade receivables include export and deemed export receivables Rs.1047 Lakhs (Previous year Rs.223 Lakhs) which are covered under irrevocable L/c's.**
8. **The figures for the quarter ended 31.03.2016 are the balancing figures between audited figures in respect of the full financial year and the published year to date figures upto the third quarter of the Current Financial year.**
9. **Figures for the previous periods have been regrouped / reclassified wherever necessary.**

Copyright © Dr Vijay Malik. All Rights Reserved.

An investor should also read the notes in the quarterly results filed by Ricoh India Limited for September 2015 quarter disclosed on May 18, 2016, which can be downloaded from here. These notes are an eye opener for every investor.

G) Promoters' Shareholding and Pledging Details:

This section contains critical information about changing promoters' shareholding and the level of the pledge that they have created if any:

- The increase in promoters' shareholding is seen as a positive indicator that shows faith of promoters in the company and vice versa.
- The increase in the pledge of shareholding by promoters is seen as a negative indicator as it indicates the deteriorating financial position of the promoters. It also indicates that the promoters are reducing their interest in the company in an indirect manner by monetizing their shareholding by taking loans against it.
- The decrease in pledge along with a decrease in promoter shareholding is the worst sign as it indicates that the promoter is not able to repay the debt raised against the shares and the lenders have invoked the pledge. It means that the lenders have sold the shares and used the money to settle their debt.
- Decrease in pledge with stable or increasing shareholding is seen as a positive sign, as it indicates improving liquidity position of the promoters and their interest in the business/company.

Part -II SELECT INFORMATION FOR THE QUARTER ENDED 31.03.2016					
A. PARTICULARS OF SHAREHOLDING					
1. Public Shareholding					
Number of Shares	3017900	3017900	3017900	3017900	3017900
Percentage of Shareholding	51.37	51.37	51.37	51.37	51.37
2. Promoters and Promoter Group Shareholding					
a) Pledged/Encumbered	Nil	Nil	Nil	Nil	Nil
b) Non- Encumbered					
Number of Shares	2857100	2857100	2857100	2857100	2857100
Percentage of Shares (as a % of the total shareholding of promoter and promoter group)	48.63	48.63	48.63	48.63	48.63
Percentage of shares (as a % of the total share capital of the company)	48.63	48.63	48.63	48.63	48.63

However, this segment of the quarterly results disclosure is a duplication of information, which the companies have already declared as part of shareholding pattern disclosures. Shareholding pattern disclosures are to be done by companies within 21 days from the end of the quarter whereas the quarterly results are to be disclosed within 45-60 days after the end of the quarter.

Therefore, if an investor has been following the company closely and has already analysed the shareholding pattern filing previously, then she may ignore this section. Otherwise, she may get critical information about promoters' liquidity position and their interest in the company.

With this, we have come to an end to the current chapter, which focuses on the importance of analysing quarterly results disclosures of a company. To summarize, an investor should focus on the following key aspects while studying the quarterly results:

Copyright © Dr Vijay Malik. All Rights Reserved.

1. Timing of results disclosure: delay in results disclosure should not be taken lightly
2. Independent auditor's review report: should be read for all the key comments
3. Profit & loss account: focus more on the year to date (YTD) performance, next on the year on year (YoY) performance and least on the quarter on quarter (QoQ) performance
4. Balance sheet: mandatorily do the funds flow analysis
5. Shareholding pattern: analyse the change in promoters' shareholding and pledge levels
6. Notes to the results: read all the points in the notes carefully to understand developments related to key aspects of company's developments.

Copyright © Dr Vijay Malik. All Rights Reserved.

26) How Many Stocks Should You Own In Your Portfolio?

One of the common questions that every stock investor faces is "How many stocks she should own in her portfolio?" How many stocks are too few and how many stocks become too many? Too few stocks expose the investor to high risk that under-performance by a single stock would significantly bring down the value of the entire portfolio. Too many stocks would spread the portfolio very thin and stellar performance by any stock would have only minimal impact on the overall portfolio.

Many investors follow different approaches for it. Some investors believe in linking the number of stocks to the size of the portfolio. Others link it to the number of investment opportunities available. Still, others link it to the age of the investor. There is no consensus on any way of determining the ideal number of stocks in a portfolio.

This chapter aims to help the investor through this riddle and arrive at the ideal number of stocks in her portfolio.

It is well known that increasing the number of stocks in the portfolio increases the diversification, which effectively reduces the risk in the portfolio. Diversification means that different stocks of the portfolio respond to different factors and all of the stocks do not go down in value at the same time; thereby reducing the probability of severe losses during bear phases. However, there are certain established rules of diversification, which act as guidelines to solve the puzzle of an ideal number of stocks in the portfolio:

Guidelines to Decide Ideal Number of Stocks in the Portfolio:

1) The minimum number of stocks in the portfolio: Two (2)

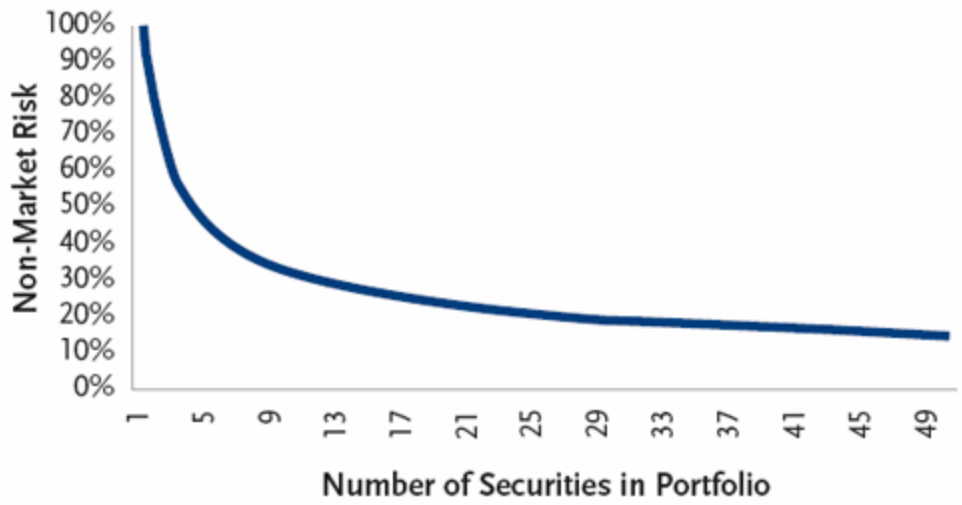
Two stocks from different industries are the minimum number of stocks that any investor should have in her portfolio, to get any diversification benefit to reduce risk.

It is believed that more the number of stocks in the portfolio, the higher is the diversification benefit or lower is the risk. However, the rules of diversification limit further benefit after reaching a certain number of stocks in the portfolio, which becomes the maximum number of stocks in the portfolio.

2) The maximum number of stocks in the portfolio: Thirty (30)

Different researchers have proved that the additional diversification benefit, which increases with the addition of a new stock in the portfolio, becomes minimal after 20-30 stocks.

Copyright © Dr Vijay Malik. All Rights Reserved.



Source: "Risk, Market Sensitivity and Diversification," Financial Analysts Journal, January/February 1972, pp. 74-79

The above graph from Financial Analysts Journal indicates that if an investor adds more stocks in the portfolio beyond 30 stocks, it would not reduce any further risk in the portfolio. On the contrary, it would make the portfolio unnecessarily large and the good performance of any one stock would not be able to produce a meaningful impact on the total portfolio performance. Therefore, increasing the number of stocks beyond 30 might prove counterproductive for the investor.

It is, therefore, recommended that an investor should keep the number of stocks in her portfolio within these two boundaries of 2 and 30.

However, another very important factor limits the number of stocks an investor should have in her portfolio:

3) Effort & time spent in monitoring:

Every stock in the portfolio requires regular monitoring by the investor. It is a mix of continuous monitoring, quarterly monitoring and annual monitoring, as detailed in the chapter on monitoring the stocks in the portfolio.

Reading the chapter on monitoring would help an investor develop her monitoring framework and estimate the amount of effort it would take to monitor each stock in her portfolio. Monitoring every stock would entail detailed reading of at least four quarterly statements and one annual report every year, in addition to regular reading to news and updates about the company (e.g. Google alerts).

The investor should have only as many stocks that she can monitor effectively given the time & effort, which she can spare for her portfolio. Inability to monitor and staying updated about her stocks regularly might present her with surprise developments related to her portfolio stocks and increase the risk.

Copyright © Dr Vijay Malik. All Rights Reserved.

4) Have the minimum possible number of stocks:

The above guidelines suggest that an investor should try to own as few stocks between 2 and 30, as possible. Having a minimum possible number of stocks, if monitored effectively, would provide a healthy mix of diversification benefit without spreading the portfolio too thin and without putting a huge demand on investor's time.

The legendary investor, Warren Buffett also believes in having a minimum number of stocks in the portfolio. He advised an investor to have concentrated holdings in his 1978 letter to Berkshire Hathaway shareholders:

> "Our policy is to concentrate holdings. We try to avoid buying a little of this or that when we are only lukewarm about the business or its price. When we are convinced as to attractiveness, we believe in buying worthwhile amounts."

Additionally, during times of crisis/recessions, diversification seems to have failed to provide any real benefit. Investors would remember that during the market decline of 2008, almost all the stocks irrespective of the industry they belonged to, fell in tandem. This hard lesson was learnt earlier in 1998, during Russia, Brazil and East Asia Crisis, when a prominent hedge fund, Long Term Capital Management, witnessed its more than 6,500 investments making losses simultaneously. The fund had to be bailed out by others.

Therefore, the attempt of an investor should be to own the minimum possible number of stocks, as per her convenience, comfort and availability of spare time.

I suggest the investor diversify the portfolio as much that she should not lose her peace of mind by being overly concerned about it. If owning 100 stocks makes her feel comfortable, then she should have it. However, this chapter is aimed at conveying the message that the diversification benefit of 30 or 100 stocks is almost the same. On the contrary, a larger number of stocks would hurt portfolio performance, as any good performing stock would be able to have only a small impact on the overall portfolio returns.

Steps for building a portfolio with ideal number of stocks

An investor should take following steps to build the personalized portfolio ideal for an investor:

Step 1: Always, first look for opportunities in the existing stocks in the portfolio.

It is assumed that the investor has bought her existing stocks after doing detailed research and has monitored the performance of these companies over the years. Therefore, she knows these stocks more than other stocks in the market. If any of the stocks in the portfolio provides good investment opportunity, then the investor should prefer investing in it rather than searching for a new stock every time she has surplus money.

However, if an investor realizes that she has bought her stocks based on recommendations of others and has not done her own research, then she should scrutinize her portfolio stocks on the steps mentioned in the chapters in this book to decide whether her portfolio stocks pass the test of being investment worthy.

Copyright © Dr Vijay Malik. All Rights Reserved.

Step 2: Sell those stocks of the portfolio, which do not pass the test:

An investor should sell the stocks, which are showing deteriorating operating performance for at least two consecutive years. Selling these stocks would purge the portfolio of undesired stocks and lead to a neat & clean portfolio with fundamentally good stocks.

Step 3: Add any new stock only when not able to find any investable stock in the existing portfolio:

When the investor realizes that all the stocks in her portfolio are fundamentally sound and have crossed the threshold of putting additional money, then she should start the search of finding a new stock to be added to her portfolio. She should always keep in mind that addition of every new stock is going to add to the time & effort required to monitor the portfolio effectively. Therefore, she should always try to keep the number of stocks in the portfolio to the minimum possible.

The ideal number of stocks in the portfolio would vary from one investor to another. We can see that the major factors, which would determine the number of stocks, are:

1. The number of stocks should be between 2 to 30. Portfolios having any number of stocks more than 30, do not offer any additional benefit in terms of risk reduction than the portfolio with 30 stocks.
2. The number of stocks would depend on the time & effort the investor can spend on effectively monitoring the stocks in the portfolio. A full-time investor can afford to have more stocks in her portfolio than the investor having another full-time day job.
3. An experienced investor can afford to have more stocks in her portfolio as she can monitor her stocks effectively by spending less time than a new investor. It is assumed that a new investor would need more time to understand the quarterly & annual reports and thus might not effectively monitor a large portfolio until she gains the required expertise.

Once the new investor feels comfortable with her monitoring framework, then she can enlarge her portfolio without diluting the monitoring quality.

Number of stocks in the portfolio of a new investor

The argument above might go against the common perception that new investors should have a large portfolio, as they might err while selecting portfolio stocks and a large portfolio would minimize the impacts of their errors. Followers of this argument believe that a large portfolio would have a greater chance of hitting a jackpot. However, I do not recommend that a new investor should have a large portfolio of stocks.

A new investor should spend more & more time honing her skills of stock selection and monitoring. Therefore, she should focus on a few stocks at a time. If she has more surplus money, then she should invest it in equity mutual funds temporarily, which would shield her portfolio from her stock selection mistakes in the initial phase. Once she believes that she has learned the art of stock selection & monitoring, and then she can shift her savings from mutual funds to her carefully selected stocks.

Therefore, new investors should try to keep their portfolio size small so that they can focus more on the learning aspect of stock investing and learn the higher levels of this skill.

Copyright © Dr Vijay Malik. All Rights Reserved.

Conclusion

Therefore, we can see that it is good for any investor to have the minimum number of stocks between 2 to 30 in her portfolio. The number of stocks in the portfolio is a fine balance between the peace of mind from a sudden decrease in portfolio value due to any stock doing poor and the time & effort needed to monitor the portfolio effectively.

Therefore, the ideal number of stocks in the portfolio is an outcome of the investor's risk appetite, her investing expertise and the time availability with her.

Copyright © Dr Vijay Malik. All Rights Reserved.

27) Trading Diary of a Value Investor

Recently, I read a post about "How Not to Invest" on Stocktwits.com. The post showed a chart highlighting the mistakes, which an investor can make if she does not have the discipline and a plan of action



The chart shows an investor getting attracted towards a stock whose price is rising (1). She buys the stock once she is convinced that price rise is continuing (4). However, apparently, she has not done the fundamental analysis of the stock. The bear market hits the stock and its price starts falling. The investor is caught unaware holding the stock bought near the top. She is happy initially and increases her position in the stock (6). However, she panics once she realizes that the price is not rebounding and sells at a huge loss (12). Nevertheless, by the time she sells, the market bottoms out and the price starts to rise again (15-17). As the investor is once bitten twice shy, she does not buy when the stock price is low but soon realizes that she has missed the bus (19).

The chart depicts the story of an investor who has not invested time in learning stocks analysis. She follows the crowd and takes buy/sell decisions based on emotions of fear and greed. However, if she had spent some time learning fundamental stocks analysis, then she would have avoided the detrimental "Buy High and Sell Low" cycle in which many individual investors get stuck.

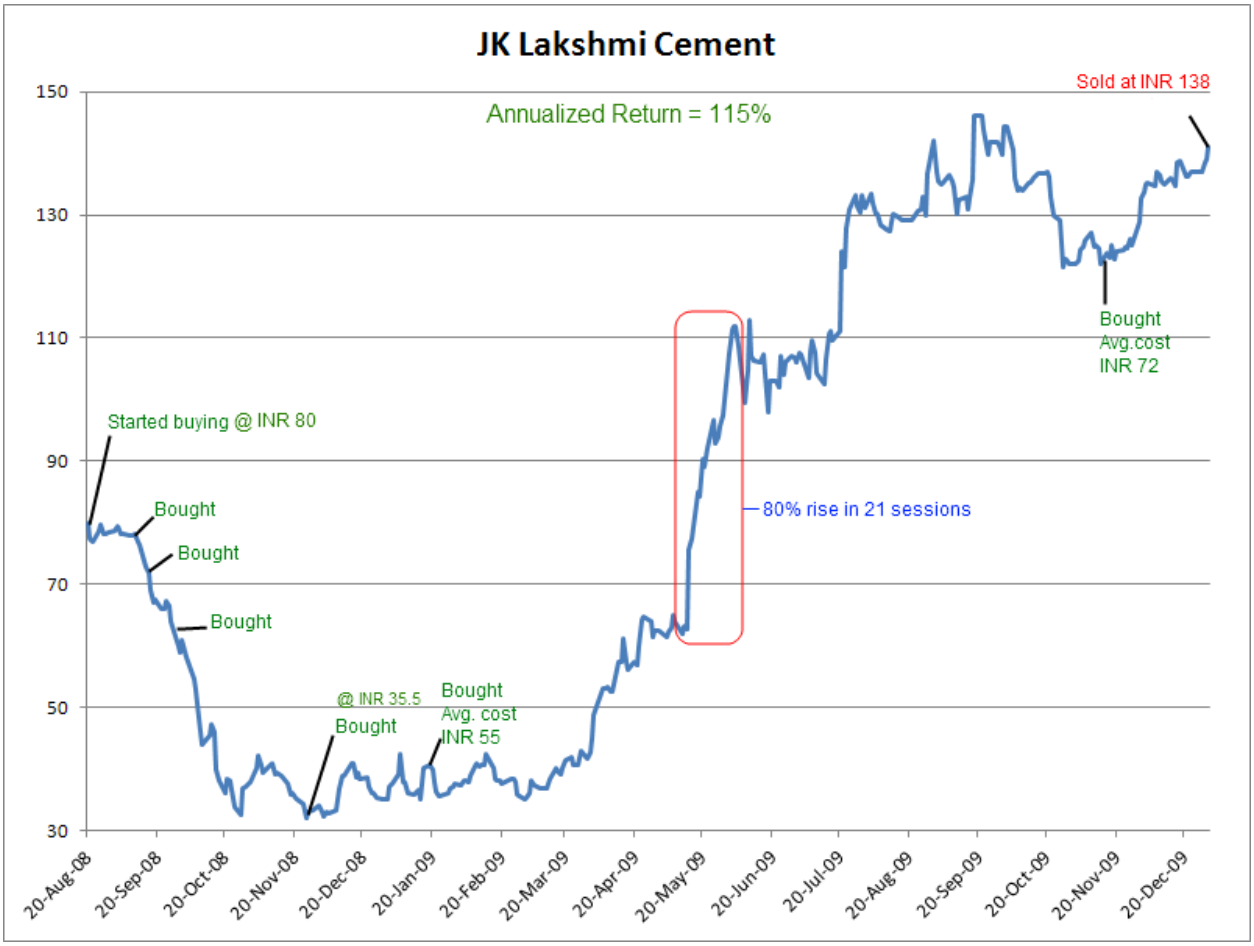
An investor should read books of renowned investors and develop a stock picking approach suitable to her. She should make her stock picking criteria and do valuation analysis before buying a stock. Once she develops the habit of analyzing each stock in detail before she invests her hard-earned money, she would

Copyright © Dr Vijay Malik. All Rights Reserved.

be confident about her decision of buying any stock. The hard work and time invested in the analysis would help her maintain a stable view towards her stocks. She would not fall prey to emotions of fear & greed and would be able to think like a business owner and focus on long-term wealth creation.

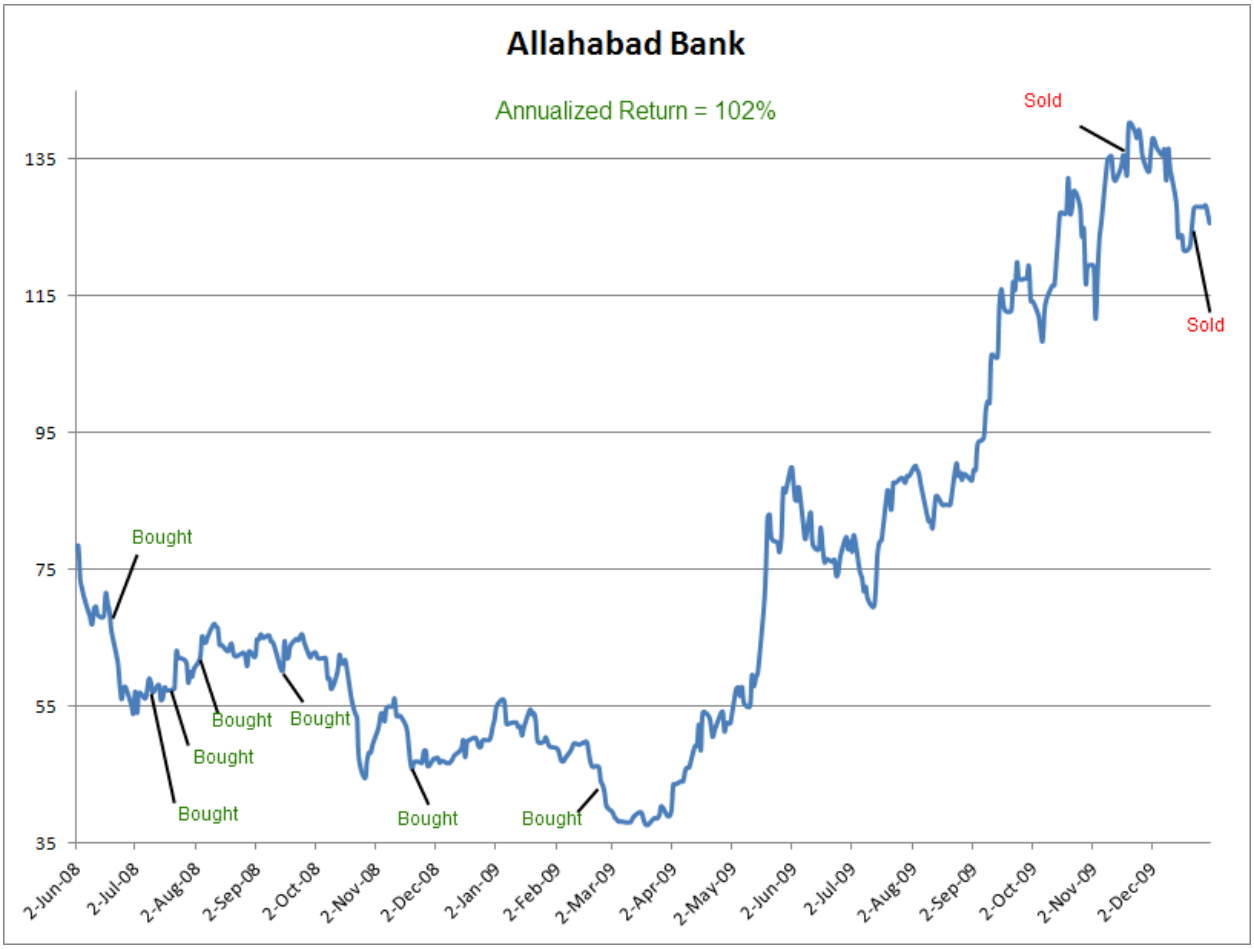
In the past, I had been trying to chase market trends by following technical analysis. I tried to buy and sell stocks with each price rise and fall. However, I realized that it was a futile attempt, as it was not generating expected profits for me. It made me read more about different investing styles. While reading The Intelligent Investor by Benjamin Graham, I learned about fundamental analysis and I started the following value investing. Since that day, my investing habits have changed altogether and my trading charts turned exactly opposite to the chart shown above.

For example, I bought JK Lakshmi Cement Ltd. (JK Lakshmi) in August 2008 at ₹ 80 and saw its share price decline to ₹32 at the peak of the global crisis. However, Benjamin Graham in The Intelligent Investor had taught me that stock declines are temporary and good stocks always recover. I did not panic and kept my emotions in control. I was convinced about the good fundamentals of JK Lakshmi and used the low prices to increase my investment in JK Lakshmi. I was rewarded handsomely (annualized return of 115%) when markets recovered later, as they have always done after each recession in the past.



Copyright © Dr Vijay Malik. All Rights Reserved.

Similarly, I bought Allahabad Bank in June 2008 at ₹70 and witnessed its price declining to ₹37 post-Lehman crisis. I held on to my nerves and bought more to take benefit of low prices. Benjamin Graham had taught me that an investor should buy stocks like groceries. Thus, an investor should buy more when stocks are on sale like in bear markets. I followed Graham's advice diligently and benefited from it when prices started rising from March 2009. I could get an annualized return of 102% from my investments in Allahabad Bank.

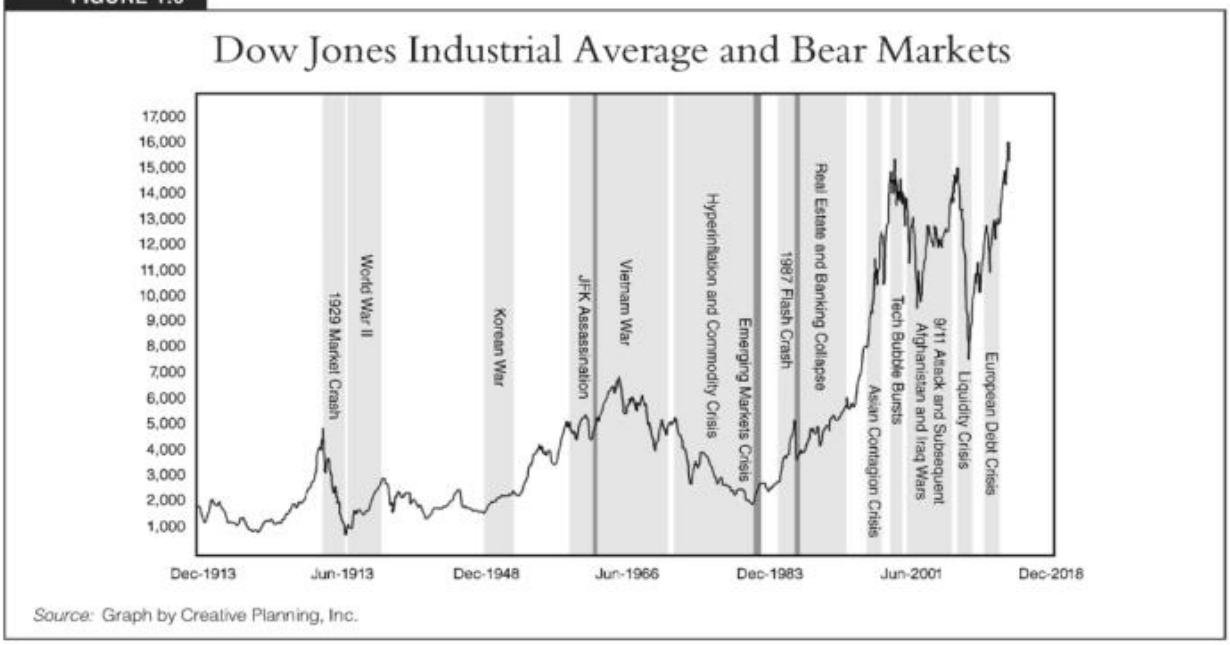


I had to sell JK Lakshmi and Allahabad Bank in Nov-Dec 2009, as I needed money for some purpose.

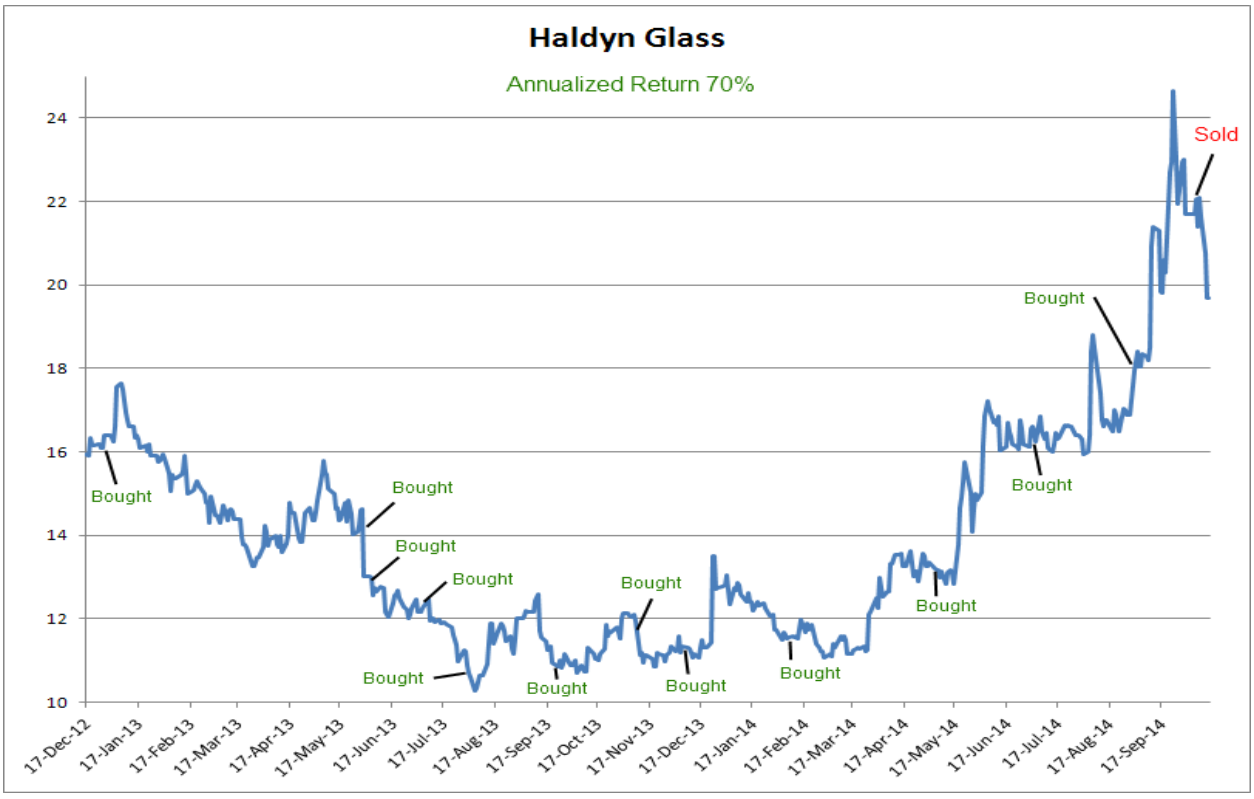
A reader might think that it was due to pure luck that the market revived in March 2009 and I could make profits from JK Lakshmi and Allahabad Bank. However, the following chart from the book "The 5 Mistakes Every Investor Makes" shows that recessions always lead to recovery.

Copyright © Dr Vijay Malik. All Rights Reserved.

FIGURE 1.6



The assurance of recovery from recessions helped me again in 2012-2014 for my investments in Haldyn Glass Ltd (Haldyn). I started investing in Haldyn in December 2012 at ₹16.5. However, the stock price plunged by about 40% to ₹10.3 in July 2013. I used this God sent opportunity to invest heavily in Haldyn. I could get good profits when markets recovered in April 2014. My investments in Haldyn Glass provided me annualized return of 70%.

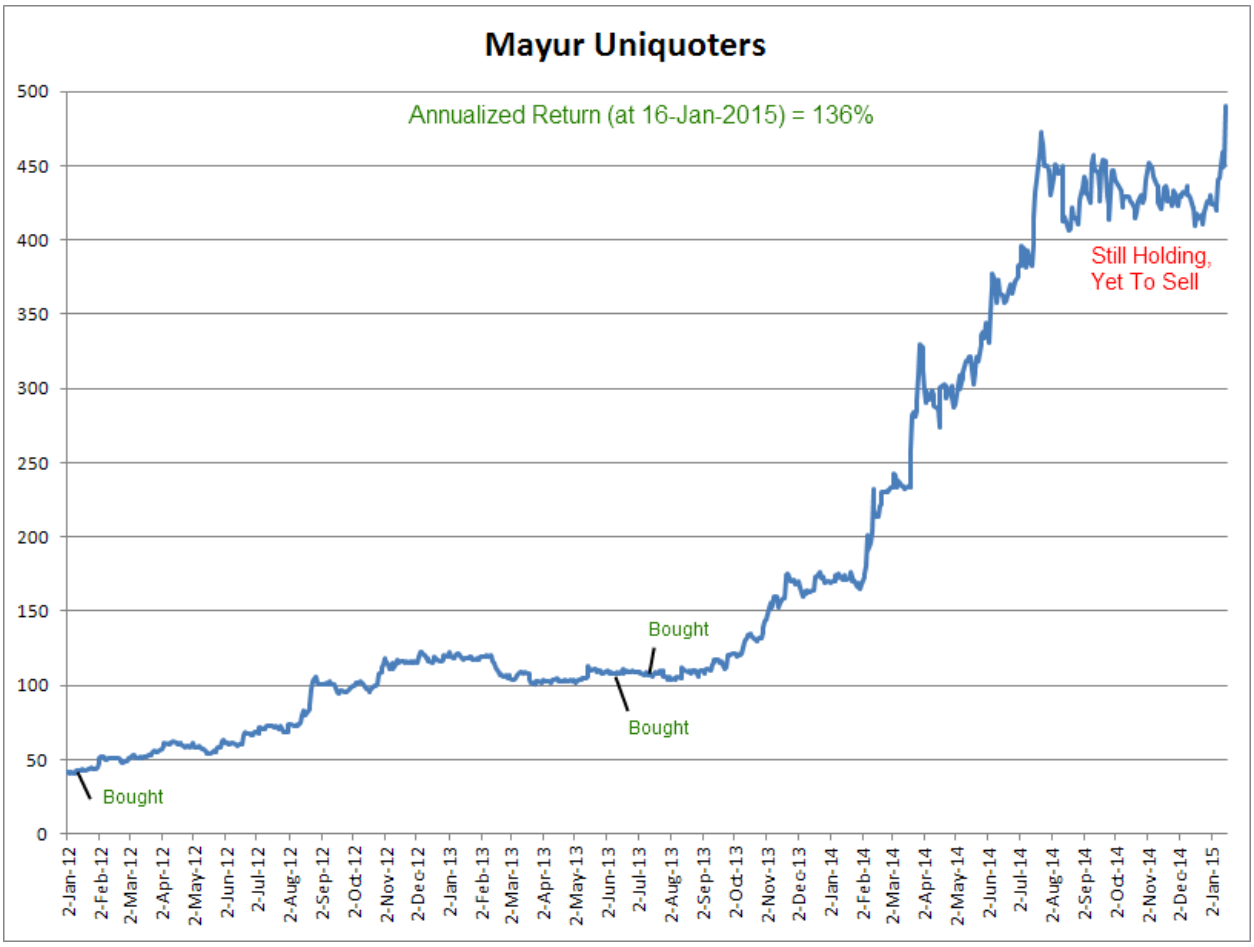


Copyright © Dr Vijay Malik. All Rights Reserved.

I decided to sell Haldyn after Petroleum and Natural Gas Regulatory Board (PNGRB) decided to cut the supply of natural gas to many companies including Haldyn Glass Ltd. Haldyn cut its production capacity by 20% after the Petroleum ministry did not provide any respite. I sold Haldyn as the regulatory decision has altered its business dynamics for worse.

A reader might wonder: does the V or U shape is the only chart pattern, which the trading diary of a value investor reflects. The answer is No! JK Lakshmi, Allahabad Bank and Haldyn Glass are some of the stocks where the stock price fell after I made the investment. It does not happen for all the stocks. Let us see the case of investment in Mayur Uniquoters Ltd (Mayur).

I invested in Mayur Uniquoters Ltd in January 2012 at ₹41 (split & bonus adjusted). The stock was a very attractive buy at that price. Thereafter, it caught the eye of the market very soon. Many brokerage houses started researching it and published reports recommending it to their clients. Private equity funds and mutual funds invested in the company and its price kept on going up. I still hold Mayur in my portfolio despite significant gains, as its business prospects are still very attractive.



If we compare the first chart published by Stocktwits with the charts of JK Lakshmi, Allahabad Bank, Haldyn Glass & Mayur Uniquoters, then we can learn about quite a few critical habits which fundamental value investing teaches an investor:

Copyright © Dr Vijay Malik. All Rights Reserved.

- An investor should conduct fundamental stock analysis before investing in any stock
- Once the investor buys a stock after due diligence, she should think of long-term association with the company and not panic if its stock price falls. We can see that JK Lakshmi fell by 60%, Allahabad Bank by 50% and Haldyn Glass by 40% before their share prices recovered. After investing in a company, the investor should ignore market fluctuations and instead focus on the business performance of the companies to monitor her portfolio.
- The investor should use the buying opportunity presented by recessions to increase her investments in good stocks.
- All recessions always lead to recovery.
- The investor should not sell a good company even if its stock price remains stagnant for considerable time e.g. share price of Mayur Uniquoters remained within the range of 100-120 for almost a year (Sept 2012 - Sept 2013). Mayur's price increased to more than 400% in next 10 months to ₹470 in July 2014.
- The market always goes up in spurts, which can never be predicted. E.g. JK Lakshmi (May-June 2009), Allahabad Bank (May 2009 and Sept 2009) and Haldyn Glass (May 2014 and Sept 2014). Therefore, we should buy and hold good stocks and not try to get in & out of at every price rise or fall. We may not be able to get the opportunity to enter again once we sell, as the market might run away from us.
- The investor should trade as less as possible. It saves on brokerage costs and gives peace of mind.

I believe that if an investor tries to develop the above-mentioned habits taught by Benjamin Graham, then she can get out of the "Buy High & Sell Low" cycle and generate significant wealth in the long term.

Copyright © Dr Vijay Malik. All Rights Reserved.

28) When to Sell a Stock?

For making wealth in stock markets, knowing when to sell a stock is equally important as knowing when to buy a stock. The investor should not end up selling those stocks early, which go on to make millions for their shareholders. At the same time, the investor should not keep on holding a stock even when it shows the signs of deteriorating business situation. Therefore, deciding when to sell a stock becomes a trickier decision than buying it.

Until now, we have covered the steps to identify fundamentally good stocks for buying in the portfolio, in detail in this book. The current chapter aims to help the investor in taking the sell decision about a stock.

I believe that an investor should invest in stocks with a long-term perspective. The targeted time horizon should not be in months or years but in decades. Legendary investor, Warren Buffett also advised the same to investors in his 2014 letter:

> "Since I know of no way to reliably predict market movements, I recommend that you purchase Berkshire shares only if you expect to hold them for at least five years. Those who seek short-term profits should look elsewhere."
>
> "For the great majority of investors, however, who can – and should – invest with a multi-decade horizon, quotational declines are unimportant."

Holding a stock for decades is essential; however, the investor needs to make sure that she is holding only good stocks for these decades. Therefore, monitoring the stocks in the portfolio and taking the sell decision at the appropriate time becomes essential. Otherwise, the investor would find her limited capital stuck in suboptimal businesses, which exposes her to opportunity cost. Opportunity cost means that instead of keeping money in poorly performing companies; she could have invested her money in stocks of good performing companies and earned higher returns.

While interacting with many investors, I have come across many common approaches, which different investors follow to decide about selling a stock in their portfolio. Many of these approaches are based on the profit criteria.

- Sell when a stock doubles or goes up X% from the buying price
- Whenever a stock investment turns into profit, keep a trailing stop-loss so that an investor does not forgo the profits already accrued.
- Whenever a stock investment turns into profits, then sell stocks equal to the initial investment. It will ensure that remaining stocks are at zero cost to the investor and she can hold them despite steep fall in stock prices in future.

These approaches lead the investor to think about booking profits the moment the stock price rises above her buying price. These approaches invariably lead to one outcome: the investor gets out of her profitable stock investments early and fails to capitalize on the true wealth building opportunities in stock markets. Therefore, the investor should avoid these approaches of taking 'sell decision' based on profit criteria.

Copyright © Dr Vijay Malik. All Rights Reserved.

We know that stock investments have the potential of increasing multiple of times in value, also known as Multibaggers. Many investors have seen their stocks turn five-ten-or even hundred-baggers. However, many other investors end up selling their stock investments early and miss out on the wealth creation. These investors do not want to miss the unrealized profits, however small such profits are.

It highlights the need for the essential qualities of stock market investors: **patience and emotional control**.

An investor should always remember that for any stock to be a hundred-bagger, it would pass through stages of two-bagger, ten-bagger and fifty-bagger. If an investor is not able to control her emotions and hold on to stocks on this journey, she would always end up getting suboptimal returns in stock markets.

This brings us to the cardinal rule of investing in stock markets: **Never sell your good stocks.**

However, at the same time, the investor should avoid being stuck in laggards. Therefore, the investor should actively monitor her portfolio.

She should identify the signs of weakness in portfolio companies and update her views on the stocks accordingly. This would help her in the decision about selling the stocks.

When to Sell a Stock

I believe that the sell decision should never be based on the stock price, let it be the current market price of the stock or the buying price of the investor. The sell decision should always be dissociated from its price and seen in the light of business characteristics of underlying companies. I believe that the following criteria are a good guide for taking the sell decision:

1) Deteriorating Operating Performance of the Company:

An investor should monitor the operating performance of the company at the annual interval. The investor should take note of signs of business weakness like:

a) Declining sales revenue year on year:

An investor should analyse the portfolio companies whose sales witness decline year on year. At least two consecutive years of declining sales are essential before the investor makes any conclusive decision about sales decline. The investor should not become worried looking at changing trends in the quarterly sales performance.

b) Declining profitability levels year on year:

An investor should monitor both operating and net profit margins. She should become cautious if the profitability margins are decreasing year on year.

Copyright © Dr Vijay Malik. All Rights Reserved.

c) Declining operating efficiency parameters year on year:

Declining fixed asset turnover ratio, declining inventory turnover ratio and increasing receivables days: it indicates that the management is not able to use assets of the company efficiently and that profits are being stuck in working capital.

d) Continuously increasing debt/leverage year on year to fund business operations.

These are the signs of developing weaknesses in the business model of the company. If after analysis, the investor concludes that the business advantage of the company has deteriorated, then she should sell it without thinking about existing profit/loss made on the investment.

However, it is essential that investor should notice deteriorating trend of annual values in these parameters for at least two consecutive years before getting worried about them. It is advised that investor should not become worried by fluctuating quarterly performances.

In any business, short-term variations in performance are bound to happen and if the investor does not ignore them, then she might end up selling some great investment at the most inopportune time. Such times of temporary suboptimal performance are the best times to increase investments in stocks.

2) Government starts interfering with Pricing Policy and Profitability:

A business should be able to earn the maximum return on its assets, which it can while facing the competitive pressures. An investor should be wary of investing in companies where the government decides the pricing of products or puts a cap on the profitability of the companies. However, if the investor finds that any company in her portfolio, which was earlier not exposed to such government regulation, has now come under such rules, then she should consider selling the stocks of this company.

Gujarat State Petronet Limited and Indraprastha Gas Limited faced such a situation in 2012, when the regulator, Petroleum and Natural Gas Regulatory Board, restricted their profitability.

Most of the times regulated profitability environment leads to suboptimal returns for investors. Therefore, she should sell such stocks irrespective of her investment being in profit or loss.

3) Change in Business Dynamics whose impact does not sound temporary:

An investor should keep on updating herself about the developments affecting her portfolio stocks. In case she comes across any adverse development, which can affect her companies, then she should analyse whether the resultant impact would be temporary. If she concludes that the impact of such adverse development would be long lasting and the company would not be able to recover, then she should sell her investments in such company. Such sell decisions should not be based on current market price or existing profit/loss on her investment.

A small cap glass manufacturer Haldyn Glass Limited faced such a situation in Sept-Oct 2014 when Petroleum and Natural Gas Regulatory Board (PNGRB) decided to cut the supply of natural gas to many companies in Gujarat including Haldyn Glass Limited.

Copyright © Dr Vijay Malik. All Rights Reserved.

The lobby fighting against the gas cut, South Gujarat Small Gas Consumers Association, does not bear very high influence. It could not affect the decision of gas supply cut. It resulted in plant shutdowns by most of the affected players. Haldyn had to cut its production capacity by 20%.

4) The portfolio contains too many stocks and effective monitoring of these stocks has become difficult:

As mentioned above, it is essential that an investor monitor stocks in her portfolio for related development. However, the monitoring exercise containing of ongoing monitoring, quarterly monitoring and annual monitoring might become time-consuming, if an investor has too many stocks in her portfolio. Therefore, if an investor notices that it is becoming cumbersome for her to effectively monitor all the stocks in her portfolio, then she should identify and sell weak stocks from her portfolio. Such selling should be done without considering current price or unrealized profits/losses in the weak stocks.

This would ensure that the investor has a manageable portfolio of good stocks, which would have a higher probability of creating wealth over the long term.

5) A stock is a very small portion of the portfolio:

Many times, the investor invests in a company, whose stock price starts rising fast and soon enough, its price crosses the levels where the investor does not feel comfortable putting additional money in it.

Such instances lead to situations where the company has been performing very well and its stock price has multiplied many times. However, because of no additional investment, soon, the stock becomes a very small portion of the overall portfolio. In such situations, even huge returns in this stock would have only modest impact on the overall portfolio. However, the presence of this stock in portfolio adds to the monitoring burden on the investor.

I believe that in such scenarios, the investor should pray that the stock price of this company falls to attractive levels so that she can put additional investments in it to make it a reasonable portion of her portfolio. Otherwise, the investor should consider selling this stock, as the cost-benefit ratio of the efforts put to monitor a small investment might not justify the return that might accrue from it.

This concludes the current chapter in which we discussed the various factors, which should help the investor take ‘sell decision’ about her stocks.

Selling decision is as important as buying good stocks. It is crucial as selling a good stock early would lead to the investor missing the wealth creation despite investing in good opportunities. Moreover, holding on to poor companies would lead to capital losses as well as the opportunity cost of not investing in other good companies.

In this chapter, we learned that the sell decision should not be based on the gains or losses, which the investor has made from the stock. Sell decision should instead be based on the parameters like operating performance, changing regulatory & business environment and portfolio composition.

Copyright © Dr Vijay Malik. All Rights Reserved.

Factors affecting the sell decision are very abstract and subjective. It is very likely that the investor would find that the stock sold by her have risen in price after she sold them. However, the investor should note that short-term stock movements are not always related to stock fundamentals. It is pertinent to quote Warren Buffett here, from his 2014 letter to Berkshire Hathaway shareholders:

> "For those investors who plan to sell within a year or two after their purchase, I can offer no assurances, whatever the entry price. Movements of the general stock market during such abbreviated periods will likely be far more important in determining your results than the concomitant change in the intrinsic value of your Berkshire shares. As Ben Graham said many decades ago: "In the short-term, the market is a voting machine; in the long-run, it acts as a weighing machine." Occasionally, the voting decisions of investors – amateurs and professionals alike – border on lunacy"

It is therefore suggested that the investor should ignore short-term price movements and keep on taking her investment decisions based on fundamentals.

Copyright © Dr Vijay Malik. All Rights Reserved.

29) 3 Guidelines for Selecting Stocks Ideal for Retail Equity Investors

Equity markets are one of the key avenues for investors to create wealth for themselves. However, despite the significant return generating potential of equity markets in India, the participation of retail investors in direct equity markets remains very low.

Many times, the factors assigned to low participation of retail investors in equity markets focus on the characteristics of markets like share price volatility, poor corporate governance, stock price manipulations, corporate frauds etc. These issues make it essential that a retail investor spend sufficient time while making her equity investment decisions.

It is advised that an investor should select any stock for investment only after doing her own assessment, which is sufficient to provide her with the conviction about her investment decision. Investor's own research & conclusions independent of general market opinion & sentiment are key essential for an investor to overcome the above-mentioned issues.

However, retail investors, which many times have a full-time day job to meet their financial needs, face peculiar problems while conducting stock research and monitoring of the stocks in their portfolio. Let's see what are the key issued faced by retail investors everywhere and what are the guidelines by which retail investors can overcome their limitations.

Key Issues Faced By Retail Investors:

A) The day-time job takes most of the time:

Most of the retail investors have jobs, which consume most of the time of the day available to them. With increasing time of commutation to the office, especially in large cities, a retail investor finds that her almost entire day (7 AM to 9 PM) is consumed in daily office rituals.

B) No time to monitor/track companies during weekdays:

During weekdays, retail investors hardly get time to effectively monitor companies in their portfolio. Retail investors are not able to spare time to study the quarterly results/annual reports/company filings during working weekdays whereas these activities are essential for monitoring of the performance of the companies in the investor's portfolio.

Most of the time, during the working weekdays, a retail investor is only able to track the price movement of her portfolio due to wide penetration of smartphone apps and mobile internet availability. However, only tracking of share prices is not sufficient for effective monitoring of portfolio performance.

C) On the Weekends:

The only time when a retail investor has some time at her disposal when she can analyse companies, read their annual reports, quarterly results filings, exchange disclosures etc. is on weekends. However, it is the

Copyright © Dr Vijay Malik. All Rights Reserved.

same time, which she and her family expect to spend with each other after 5-6 days of the exhausting working week.

The weekend is the only time available to the retail investor & her family for recreational, entertainment & bonding activities. Therefore, the retail investor finds it difficult to devote time to her equity investments on the weekends as well.

Therefore, it would be evident to the retail investor that the key issue faced by her is a lack of time. All her equity investing strategies should be centred on this key parameter so that she is able to devote sufficient time to her family, equity portfolio as well as other commitments.

However, it should not be assumed that a retail investor is at a disadvantage to full time/institutional investors. There are quite a few aspects, in which a retail investor despite her time consuming day-time job, is at an advantage when compared to the full time and institutional investors. Let's see:

Advantages of Retail Investors:

A) No dependence on equity portfolio/markets for day to day living expenses:

A retail investor does not have to depend upon her earnings from equity portfolio to meet her day to day expenses like rent, EMI, children school fee, kitchen expenses etc. Her salary from the day time job is most of the times sufficient for these expenses. She does not need to get under stress if a company in her portfolio does not declare a dividend in any quarter. Whereas a full-time investor might face a cash shortfall in meeting her household expenses, if her portfolio earnings are not as per expectations.

B) Gets investible funds at every month-end

A retail investor, if she manages her household expenses well, is able to save some surplus funds at the end of every month from her salary. This surplus or savings provide her regular source of funds, which she can invest in her equity portfolio. The fact that these funds are not dependent upon the performance of equity markets, empowers the retail investor to have the discipline of investing regularly irrespective of market performance. She can easily invest this additional money in new opportunities, without unnecessary churning in her equity portfolio.

A full-time investor, whose only source of income is from equity markets, does not enjoy this benefit of a regular source of funds every month for deployment in her equity portfolio. A full-time investor might have to churn her portfolio i.e. sell existing stocks to generate funds, in case she finds an attractive opportunity in the equity markets. This portfolio churning might or might not prove to be a successful decision every time.

C) Can take long-term investment views:

A retail investor does not have to prove her portfolio performance to anyone. She is not being judged by markets/third parties based on the performance of her equity portfolio. As a result, a retail investor can afford to stay calm and behave in a peaceful manner irrespective of equity market results. She can easily focus her aim at the long-term performance of the companies in her portfolio as she is not being questioned about her portfolio on a regular basis.

Copyright © Dr Vijay Malik. All Rights Reserved.

An institutional investor does not enjoy such freedom. The fund management team is continuously under scrutiny for the performance of the funds that are under their management. Most of the institutional investors, mutual funds (MF), private equity (PE) funds etc. have to disclose their performance to their investors regularly (daily for MFs, quarterly for PE etc.). The fund manager is continuously under pressure to showcase good performance whenever she sends out the periodic performance report to the investors. Even otherwise, large investors of the funds keep on calling/enquiring the fund managers about the performance of their money.

Such continuous monitoring of performance, many times, leads to short-term defensive investment approach by fund managers, which is focused on avoiding tough questions from investors.

D) Can benefit from bear phases/lower stock prices by buying more:

As mentioned above, a retail investor is not answerable to anyone for her investment decisions. She can take her portfolio decisions without the need of such decisions looking justifiable to others. This ability gives an immense power to the retail investor to benefit from bear markets when she can add on to her favourite stocks, which are available at cheap prices. She can keep on buying stocks despite a continuous decline in stock prices.

An institutional investor does not have this unrestricted freedom. As mentioned above, all her decisions have to be approved by a board of trustees and have to be justified to large investors. In such a situation, institutional fund managers, most of the times avoid buying stocks when prices are falling as the fund manager might have to face tough questions on the underperformance of the fund if the stock price of her newly bought companies does not recover soon enough.

E) Hold back buying when stock prices are high:

A retail investor does not have an obligation to invest her surplus funds in the equity markets as and when she get the salary. The retail investor can hold back the buying decision and sit on cash until she believes that the stock prices are available at attractive levels.

Many institutional investors like mutual funds, do not have such freedom. Mutual funds have to invest a certain portion of their funds in equities, which is determined by their fund guidelines/prospectus. E.g. if a mutual fund has the mandate of investing 90-100% of its funds in equities, then it has to keep at least 90% of funds invested in equities all the time irrespective of valuation levels of stocks in the markets.

Such mandated guidelines create hard times for mutual fund managers, who face fund movements at precisely the wrong times. Most of the mutual funds see higher investment by investors in bull markets when stock prices are rising. As a result, to maintain the minimum equity investment proportion, the mutual fund manager has to invest the fresh funds in stocks despite high valuations.

On the contrary, many a times investors withdraw their funds from mutual funds in bear markets. The fund manager to meet the fund requirement of redemptions has to sell the stocks when the stock prices are falling.

As a result, the mutual fund managers end up buying stocks in rising markets and selling stocks in falling markets. This is buying high and selling low, which is against the key principle of equity investment, which says that investors should buy low and sell high.

Copyright © Dr Vijay Malik. All Rights Reserved.

A retail investor is spared this forced buy high and sell low situation faced by mutual funds, as she does not have any obligation to invest funds available to her as she does not have a mandated equity allocation to be followed all the time irrespective of market valuation levels.

Until now, we could observe that a retail investor enjoys a lot of advantages over institutional investors when it comes to equity investing. The only issue which puts her on the back foot is the paucity of time at her disposal to analyse & monitor stocks.

Therefore, if a retail investor is able to find a solution to the problem of lack of time, then she has all the abilities to perform well in equity markets and even match/outperform her institutional peers.

We believe that with careful planning, a retail investor can solve her problem of shortage of time to devote to her equity investments. If she takes care of some key guidelines while creating her portfolio, then she would be able to manage her equity investments within the time at her disposal and also devote sufficient time to her family and other commitments.

Let's see the key guidelines that a retail investor should follow while investing in stock markets and while creating her portfolio:

Key Guidelines for Retail Investors:

Always invest in companies that won't require intense/close tracking

A retail investor should try to invest in companies and create a portfolio, which does not require much tracking/monitoring. She can achieve this objective by following two key principles:

A) Only choose stocks with a high margin of safety (MoS):

A retail investor should invest only in those companies, which enjoy a high margin of safety.

The previous article on the margin of safety: **"3 Simple Ways to Assess "Margin of Safety": The Cornerstone of Stock Investing"** explain in detail that the companies and their stocks have two sources of the margin of safety (MoS):

1) The margin of safety built in the purchase price of the investor:

It is determined by the earnings yield of the stock. The higher the earnings yield than the ongoing treasury/G-Sec yield, the higher the margin of safety.

2) The margin of safety built in the business model of the company:

- **Self-Sustainable Growth Rate (SSGR):** Higher the SSGR than its achieved sales growth rate, higher the margin of safety. Read more about SSGR in the following article: Self Sustainable Growth Rate: a measure of Inherent Growth Potential of a Company
- **Free Cash Flow (FCF):** Higher the proportion of cash flow from operations (CFO) available as free cash flow (FCF) post meeting all the capital expenditure requirements, higher is the margin of safety.

Copyright © Dr Vijay Malik. All Rights Reserved.

An investor would notice that the companies which have a higher margin of safety in their business model have a higher ability to successfully face tough economic times. This is because, in the case of economic downturn, these company can safely:

- reduce its profitability (i.e. give discounts) to generate higher demand
- reduce dividends to conserve funds to make additional investments and
- invest in fixed assets to improve its plant & machinery/technology (leading to lower NFAT) and
- are still able to maintain their current sales growth rate.

Therefore, if an investor focuses on investing in companies, which have a good margin of safety built in their business model, then she need not worry a lot about such companies, even if the economy faces a downturn as these companies can withstand downturns successfully and the investor would not face any negative surprises.

It is also essential that the investor purchases these companies at a reasonable price to equity (P/E) ratio levels, which ensure that her investments enjoy a reasonable margin of safety in the purchase price as well. The investor can follow the guidelines in the following article to determine the investable P/E ratio of the stocks:

B) Invest in as low number of stocks as possible:

Every new stock in the investor's portfolio mandates her to follow certain key events to monitor the stock & company effectively. In a year, every new stock would require the investor to read:

- 4 quarterly results
- 4 shareholding pattern disclosures with pledge details
- 1 annual report
- 1 credit rating report
- Regular stock exchange filings and
- Monitoring the internet for news related to the company (Google Alert)

An investor would notice that a portfolio would 25 stocks would require the investor to read every year 100 quarterly results, 100 shareholding disclosures, 25 annual reports, 25 credit rating reports, about 250 stock exchange filings (assuming 10 exchange filings by each company in a year) and about 5,000 news items (Google alerts) related to these 25 companies.

Therefore, the time & effort required in the regular & effective monitoring of each stock should lead the investor to have only that many stocks in her portfolio, which she easily monitor. It is advised that an investor should have as low the number of stocks in her portfolio as possible. This would ensure that she spends a minimum amount of time monitoring her stock portfolio. In any case, the number of stocks should be such that she can sleep peacefully without worrying about high exposure to any individual company.

C) Choose stocks only after very high due diligence:

An investor should choose her stocks only after doing sufficient due diligence. This is to ensure that she has analysed the stocks from all the relevant perspectives of financial, business, management and valuation perspectives so that there is no weakness in the company that might have missed her analysis.

Copyright © Dr Vijay Malik. All Rights Reserved.

Once an investor has done sufficient analysis while initially buying the stock, then she might rest assured that the company would not give a lot of negative surprises to her during the regular monitoring. This would, in turn, reduce the time & effort needed from the investor in monitoring the stocks in her portfolio.

Until now, we have noticed that a retail investor is well placed to match & outperform her institutional counterparts because she does not have to face the continuous scrutiny of portfolio performance. She can take a long-term view, can benefit from bear markets and can deploy additional money every month into attractive opportunities irrespective of market conditions.

The only constraint that the retail investor faces is the scarcity of time at her disposal to effectively analyse and monitor her stocks because, after a hectic day job, she has to meet other commitments on her time related to family, recreation, entertainment etc.

We also noticed that a retail investor can counter the constraint of the lack of time by being very selective about her stocks. She should invest in very few companies, which enjoy a high margin of safety in business and purchase price and select these companies after sufficient due diligence in terms of financial, business, management and valuation analysis.

By being very diligent in her stock selection, the retail investor would ensure that her portfolio companies do not put a lot of time requirement on her for regular monitoring and at the same time do not present her with negative surprises with their business performance.

Over time, we have noticed that there are certain type of companies and certain key guidelines, which if a retail investor follows diligently, then she would have higher probability of finding ideal stocks for her portfolio, which would be fundamentally sound as well as would not put a lot of pressure on her time for continuous monitoring/tracking.

Ideal Stocks for a Retail Investor:

An investor should focus on investing in stocks of companies which are:

1. growing at a respectable pace,
2. have sustained profitability,
3. are generating free cash flows,
4. are conservatively financed [very low debt to equity (D/E) ratio: preferably debt-free] and
5. are run by competent & shareholder-friendly management

Investing in stocks of the companies, which meet all the above criteria would ensure that the investor would invest only in the companies that have:

- a competitive advantage depicted by sales growth with sustained/improving profitability
- The presence of free cash flows would ensure that:
    - the sales/profits are genuine and the company is not doing aggressive sales recognition, fictitious sales recognition without cash collection as well as
    - ensure that the company does not have a capital intensive business model because the company is able to meet its capex requirements from its cash flow from operations
- Debt free status/low D/E ratio would ensure that:
    - the company has fundamentally sound capital structure

Copyright © Dr Vijay Malik. All Rights Reserved.

    - low/nil bankruptcy risk
    - low/no incentive to management/promoter to cook its books by doing accounting juggleries
    - low probability of the company facing liquidity constraints.
- Management assessment is the most important factor as management/promoter is the person standing between the fruits of the business and the retail shareholder. If the management does not have interests of minority retail shareholders in its mind, then, unfortunately, the retail shareholder would not be able to benefit from the good business performance of the companies in which she has invested.

Therefore, we believe that if a retail shareholder focuses on being highly selective in her equity investments and invests in very few companies meeting the criteria of high margin of safety in their business and invests in them at an attractive price, then she has a very high probability of managing her time requirements between daytime job, family and equity investments as well as she has high probability of matching/outperforming her institutional peers.

It is essential that the retail investor puts in sufficient due diligence before investing in any company and that she keeps the number of stocks in her portfolio to the minimum without losing her peaceful sleep.

It is also essential that she should invest only in companies, which meet the key parameters of sales growth with sustained/improving profitability, which are generating free cash flows, which are conservatively financed (preferably debt free) and are run by a competent & shareholder friendly management.

Once an investor has invested in such stocks, then she would be happy when the price of her stocks goes up as she would enjoy the feeling of building up wealth. Moreover, if the prices of her stocks go down, then also she would be happy as she can buy more of such fundamentally good stocks.

If a retail investor is able to keep in view these guidelines while creating her equity portfolio, then we believe that she would be able to generate significant amount of wealth from equity markets without putting a lot of strain on her personal and professional life and with minimal risk of facing negative surprises in her stocks thereby ensuring the safety of her hard earned money.

Effectively, if the retail investor follows these guidelines, then she can sleep peacefully at night despite investing a significant amount of her money in stocks.

Copyright © Dr Vijay Malik. All Rights Reserved.

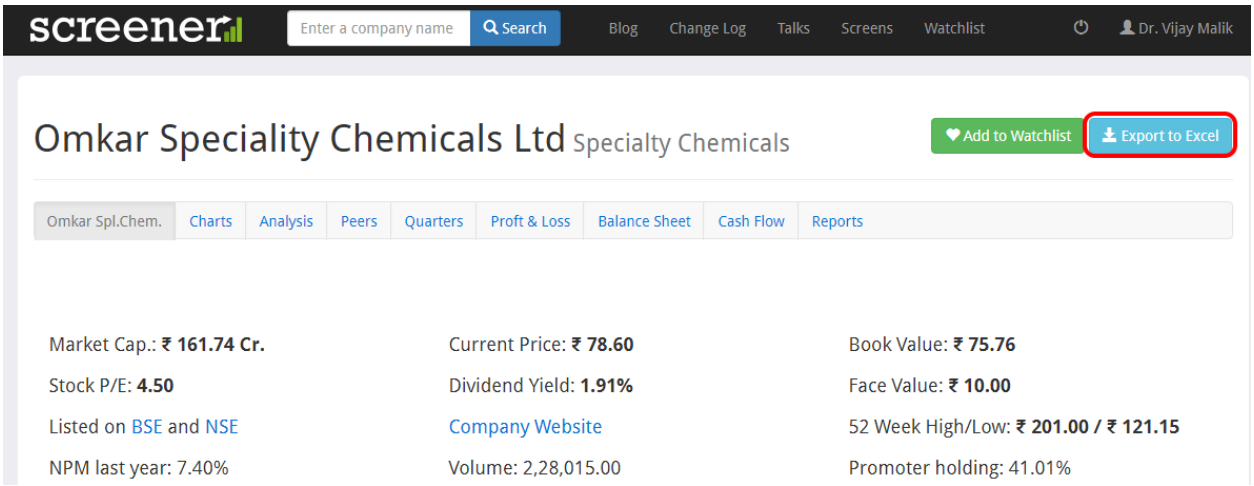
30) How to Use Screener.in "Export to Excel" Tool

Screener.in is one of the best resources available to equity investors in Indian markets. It is a website, which provides investors with key information about companies listed on Indian stock exchanges (BSE and NSE).

We have been using screener.in as an integral part of our stock analysis and investments for the last many years and have been continuously impressed by the tools offered by it that cut down the hard work of an investor. Some of these features, which are very useful for equity investors are:

- Filtering of stocks based on multiple objective financial parameters. Investors can share these parameters in the form of "Saved Screens".
- Company information page, which collates the critical information about a company on one single page including balance sheet, profit & loss, cash flow, quarterly results, corporate announcements, links to annual reports, credit rating reports, past stock price movement etc. A scroll down on the company page provides an investor with most of the critical information, which is needed to make a provisional opinion about any company.
- Email alerts to investors for new stocks meeting their "Saved Screens"
- Email alerts to investors on updates about companies in their watchlist.

All these features are good and have proved very beneficial to investors. However, there is one additional feature of screener.in, which we have found unique to screener.in. This feature is "Export to Excel".



"Export to Excel" feature of screener.in lets an investor download an Excel file containing the financial data of a company on the investor's computer. The investor can use this excel file with the data to do a further in-depth analysis of the company.

The most important part of the "Export to Excel" feature is that it allows the investor to customize the Excel file as per her preferences. The investor can create her own ratios in the excel file. She can arrange the data as per her preferred layout in the excel file and when she uploads her customized excel file in her account at screener.in, then whenever she downloads the "Export to Excel" sheet for any company, she gets the data

Copyright © Dr Vijay Malik. All Rights Reserved.

of the company in her customized format with all her own ratios auto-calculated and presented to her in her preferred layout.

The ability to get the financial data of any company in our customized format with our key ratios and parameters auto-calculated has proved very useful to us in our stock analysis. "Export to Excel" feature of screener.in allows us to analyse our preferred financial ratios of any company at the click of a mouse, which makes it very easy for us to make a preliminary view about any company within a short amount of time. Sometimes within a few minutes.

We have been using the "Export to Excel" feature for the last many years and it has become an essential part of our stock analysis. It has helped us immensely while doing an analysis of different stocks and while providing our inputs to the stock analysis shared by the readers of our website. Investors may read the "Analysis" articles at our website on the following link: **Stocks' Analysis articles**

Over time, more and more investors have started using the "Export to Excel" feature of screener.in and as a result, we have been getting a lot of queries about it at the "**Ask Your Queries**" section of our website. These queries have been ranging from:

- Why is there a difference between the data provided by the screener and the company's annual report?
- How does screener calculate/group the annual report data in the "Export to Excel" tool?
- What is the source of the data that screener.in provides to its users?
- How to customize the "Export to Excel" file?
- How to upload the customized file in one's account at screener.in

We have been replying to such queries based on our understanding of screener.in, which we have gained by using the website for multiple years and based on our learning by listening to the founders of screener.in (**Ayush Mittal** and **Pratyush Mittal**) in June 2016 at the Moneylife event in Mumbai.

In June 2016, Moneylife arranged a session, "How to Effectively Use screener.in" by Ayush and Pratyush at BSE, Mumbai in which Ayush and Pratyush explained the features of screener.in in great detail. This session was recorded by Moneylife and has been made available as a premium feature on their private YouTube channel.

The recorded session can be accessed at the following link, which would require the viewers to pay to view it:

https://advisor.moneylife.in/icvideos/

(Disclaimer: we do not receive any referral fee from Moneylife or Screener.in to recommend the above video link to the session by Ayush and Pratyush. For any further information about the video, investors may contact Moneylife directly)

As mentioned earlier that we have been replying to investors' queries related to the "Export to Excel" feature on the "Ask Your Queries" section of our website. However, in light of repeated queries from different investors, we have decided to write this article, which addresses key aspects of "Export to Excel" feature of screener.in.

Copyright © Dr Vijay Malik. All Rights Reserved.

The current article contains explanations about:

- The financial data provided by screener.in in its "Export to Excel" file and its reconciliation with the annual report of companies
- Steps to customize the "Export to Excel" template by investors
- Steps to upload the customized Excel file on screener.in so that in future whenever any investor downloads the "Export to Excel" file of any company, then it would have the data in the customized preferred format of the investor.

Financial Data

The "Export to Excel" file of screener.in contains a "Data Sheet", which contains the financial data of the company, which in turn is used to calculate all the ratios and do in-depth analysis. As informed by Ayush and Pratyush in the Moneylife session, screener.in sources its data from **capitaline.com**, which is a renowned source of financial data in India.

The data sheet contains the data of the balance sheet, profit & loss, quarterly results, cash flow statement etc. about the company.

We have taken the example of a company Omkar Speciality Chemicals Limited (FY2016: standalone financials) to illustrate the reconciliation of the data provided by screener.in in its "Export to Excel" file and data presented in the annual report.

Read: **Analysis: Omkar Speciality Chemicals Limited**

Let's now understand the data about any company, which is provided by screener.in.

Balance Sheet:

This is the section, where investors get most of the queries as screener.in groups the annual report items differently while presenting the data to investors. Let's understand the data in the balance sheet section of the "Data Sheet" of the "Export to Excel" file taking the example of FY2016 data of Omkar Speciality Chemicals Limited:

Balance Sheet Screener.in "Data Sheet"

BALANCE SHEET										
Report Date	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Mar-16
Equity Share Capital	0.26	0.26	0.26	11.53	19.63	19.63	19.63	19.63	20.58	20.58
Reserves	5.48	8.06	11.19	4.35	72.61	86.21	103.59	114.74	142.37	160.87
Borrowings	11.07	14.06	26.08	26.76	45.35	78.01	118.24	154	175.51	185.76
Other Liabilities	4.68	5.45	12.85	18.6	34.91	32.81	41.09	53.48	50.13	79.52
Total	21.49	27.83	50.38	61.24	172.5	216.66	282.55	341.85	388.59	446.73
Net Block	1.36	2.19	14.91	15.6	20.56	36.29	44.46	42.72	68.3	77.9
Capital Work in Progress	0.92	4.51		0.58	17.59	30.65	40.19	68.52	107.35	112.67
Investments					1.39	2.12	10.86	13.8	13.8	13.91
Other Assets	19.21	21.13	35.47	45.06	132.96	147.6	187.04	216.81	199.14	242.25
Total	21.49	27.83	50.38	61.24	172.5	216.66	282.55	341.85	388.59	446.73
Receivables	5	7.92	14.97	16.57	27.21	38.49	61.47	85.15	68.1	102.26
Inventory	8.25	7.92	15.24	19.48	30.08	52.66	63.56	62.97	54.66	61.78
Cash & Bank	0.4	0.34	0.21	0.42	41.21	31.4	21.57	18.11	12.23	6.63

Copyright © Dr Vijay Malik. All Rights Reserved.

Balance Sheet (Annual Report FY2016)

BALANCE SHEET AS AT MARCH 31, 2016

(₹ in Lakhs)

Particulars	Note No.	As at March 31, 2016	As at March 31, 2015
EQUITY AND LIABILITIES			
Shareholders' Funds			
Share Capital	1	**2,057.80**	2,057.80
Reserves and surplus	2	**16,086.56**	14,236.68
		18,144.36	16,294.48
Non-Current Liabilities			
Long-Term borrowings	3	**7,922.74**	4,180.29
Deferred Tax liabilities(Net)	4	**804.16**	223.60
Long - Term provisions	5	**242.21**	136.43
		8,969.11	4,540.32
Current Liabilities			
Short-Term borrowings	3	**9,548.96**	12,069.30
Trade Payables	6	**5,051.95**	3,543.52
Other Current Liabilities	7	**1,589.37**	1,489.33
Short-Term Provisions	8	**1,369.63**	922.42
		17,559.91	18,024.57
TOTAL		**44,673.38**	38,859.37
ASSETS			
Non-Current Assets			
Fixed Assets			
Tangible Assets	9	**7,774.63**	6,813.21
Intangible Assets	9	**15.18**	16.85
Capital Work-in-Progress	9	**11,267.49**	10,735.00
Non-Current Investments	10	**1,391.46**	1,379.89
Long-term Loans and Advances	11	**2,653.31**	5,386.04
		23,102.07	24,330.99
Current Assets			
Inventories	12	**6,177.66**	5,465.60
Trade Receivables	13	**10,226.32**	6,810.13
Cash and Cash Equivalents	14	**663.40**	1,222.84
Short-term Loans and Advances	15	**4,414.12**	704.33
Other Current Assets	16	**89.81**	325.48
		21,571.31	14,528.38
TOTAL		**44,673.38**	38,859.37
Significant Accounting Policies & Notes on Financial Statements	1 to 29		

- **Equity Share Capital**: It represents the paid-up share capital taken directly from the balance sheet (₹20.58 cr.).
- **Reserves**: It represents the Reserves & Surplus taken directly from the balance sheet (₹160.87 cr.).
- **Borrowings**: It represents the entire debt outstanding for the company on March 31, 2016 (₹185.76 cr.). It comprises the following components:
    - **Long-Term Borrowings**: ₹79.23 cr taken directly from the balance sheet.
    - **Short-Term Borrowings**: ₹95.49 cr. taken directly from the balance sheet.
    - **Current Liabilities of long-term borrowings**: ₹11.04 cr. taken from the notes to the financial statements. This data is included as part of "Other Current Liabilities" of ₹15.89 cr. under "Current Liabilities" in the summary balance sheet. In the annual report of Omkar Speciality Chemicals Limited, "Current Liabilities of long-term borrowings" can be found in Note No. 7 on page 89 of the FY2016 annual report.

Copyright © Dr Vijay Malik. All Rights Reserved.

NOTE NO. 7 – OTHER CURRENT LIABILITIES		
Current maturities of Long-Term Debt (Refer Note 3)	**1,104.69**	1,301.50
Interest accrued but not due on borrowings	**40.40**	44.27
Advances received from customers	**67.36**	-
Unclaimed dividend	**1.15**	0.76
Creditors for capital goods	**206.71**	-
Payables to Subsidiary (Desh Chemicals Private Limited)	**-**	63.43
Statutory liabilities	**81.30**	25.45
Other Payables	**87.76**	53.92
TOTAL	**1,589.37**	1,489.33

  - Sum of these three items: 79.23 + 95.49 + 11.04 = ₹185.76 cr. Investors might find a small difference for various companies, which might be due to rounding off.
- **Other Liabilities**: It represents the sum of the rest of the liabilities (₹79.52 cr.) like:
  - **Deferred Tax Liabilities**: ₹8.04 cr. taken directly from the balance sheet
  - **Long-Term provisions**: ₹2.42 cr. taken directly from the balance sheet
  - **Trade Payables**: ₹50.52 cr. taken directly from the balance sheet
  - **Other Current Liabilities** net of "Current Maturity of Long-Term Debt": ₹15.89 - ₹11.04 = ₹4.85 cr. is considered in this section.
  - **Short-Term Provisions**: ₹13.69 cr. taken directly from the balance sheet
  - Sum of these items: 8.04 + 2.42 + 50.52 + 4.85 + 13.69 = ₹79.52 cr. Investors might find a small difference for various companies, which might be due to rounding off.
- **Net Block**: It represents the sum of Tangible Assets (₹ 77.75 cr) and Intangible Assets (0.15 cr.) taken directly from the balance sheet. The total netblock in the "Data Sheet" is ₹77.90 cr, which is the sum of the tangible and intangible assets.
- **Capital Work in Progress**: It represents the paid-up Capital Work in Progress taken directly from the balance sheet (₹112.67 cr.).
- **Investments**: It is the sum of both the Current Investments and the Non-Current Investments presented on the balance sheet. The Current Investments are shown under "Current Assets" in the balance sheet whereas the Non-Current Investments are shown under "Non-Current Assets" on the balance sheet.
  - In the case of Omkar Speciality Chemicals Limited, there are no current investments, therefore, the "Investments" (₹13.91 cr.) in the "Data Sheet" of "Export to Excel" file is equal to the Non-Current Investments in the balance sheet (₹13.91 cr.)
- **Other Assets**: It represents (₹242.25 cr.) the sum of rest of the assets:
  - **Long-term Loans and Advances**: ₹26.53 cr. taken directly from the balance sheet
  - **Inventories**: ₹61.78 cr. taken directly from the balance sheet
  - **Trade Receivables**: ₹102.26 cr. taken directly from the balance sheet
  - **Cash and Cash Equivalents**: ₹6.63 cr. taken directly from the balance sheet
  - **Short-term Loans and Advances**: ₹44.14 cr. taken directly from the balance sheet
  - **Other Current Assets**: ₹0.89 cr. taken directly from the balance sheet
  - Sum of these items: 26.53 + 61.78 + 102.26 + 6.63 + 44.14 + 0.89 = ₹242.23 cr. The difference of ₹0.02 cr. in this sum and the figure in the "Data Sheet" of ₹242.25 cr. is due rounding off.

Copyright © Dr Vijay Malik. All Rights Reserved.

It is important to note that certain additional items, if present in the balance sheet, are usually shown by screener.in as part of "Other Liabilities" or "Other Assets" depending upon their nature (Liability/Assets). E.g. "Money Received Against Share Warrants" is shown as a part of "Other Liabilities" in the "Data Sheet" in the "Export to Excel" file.

Profit and Loss:

Let us now study the reconciliation of the profit and loss data of the company provided by screener.in in the "Data Sheet" of "Export to Excel" and the annual report:

Profit & Loss Statement Screener.in "Data Sheet"

PROFIT & LOSS										
Report Date	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Mar-16
Sales	37.04	41.46	51.01	68.35	106.76	166.95	201.53	209.62	193.31	300.02
Raw Material Cost	27.62	30.14	33.35	51.22	81.58	125.91	154.45	144.34	127.54	240.52
Change in Inventory		1.59	-0.39	5.33	6.98	11.57	18.09	-2.83	-6.74	12.93
Power and Fuel				**0.44**	**0.45**	**0.95**	**1.03**	**1.2**	**1.4**	**1.45**
Other Mfr. Exp	**2.62**	**3.28**	**3.81**	**3.3**	**4.87**	**7.15**	**11.44**	**10.58**	**8.9**	**4.74**
Employee Cost	1.37	2.53	2.79	2.09	3.21	6.38	7.04	9.88	10.18	11.02
Selling and admin	**0.93**	**1.04**	**1.71**	**3.45**	**1.78**	**4.48**	**7.87**	**5.91**	**5.83**	**4.08**
Other Expenses		**0.01**		**0.37**	**0.49**	**0.45**	**1.58**	**2.05**	**3.77**	**5.87**
Other Income	0.28	0.25	0.02	0.27	0.53	3.7	5.79	5.75	4.91	8.89
Depreciation	0.15	0.26	0.51	1.85	1.91	5.62	5.68	6.1	1.97	4.28
Interest	1.57	2.1	3.6	3.74	5.27	8.1	7.43	11.75	11.43	16.52
Profit before tax	3.06	3.94	4.87	7.49	14.71	23.18	29.01	20.73	20.45	33.37
Tax	1.12	1.36	1.74	2.31	4.57	6.73	8.21	6.13	2.51	11.16
Net profit	1.94	2.58	3.13	5.18	10.14	16.45	20.8	14.6	17.93	22.21
Dividend Amount				0.58	1.96	2.45	2.94	2.94	3.09	3.09

Profit & Loss Statement Annual Report FY2016

A formal Statement of Profit and Loss for the year ended March 31, 2016, with comparative figures for March 31, 2015, values in Lakhs. It breaks down Income (Revenue from Operations, Total Revenue), Expenditure (Cost of Materials, Employee Benefits, Finance Costs), Profit Before Tax, Tax Expenses, and Earnings per Equity Share.

Copyright © Dr Vijay Malik. All Rights Reserved.

STATEMENT OF PROFIT & LOSS FOR THE YEAR ENDED MARCH 31, 2016

(₹ in Lakhs)

Particulars	Note no.	For Year ended March 31, 2016	For Year ended March 31, 2015
INCOME			
Revenue from Operation	17	**30,002.06**	19,331.31
Other Income	18	**889.17**	491.02
Total Revenue		**30,891.23**	19,822.33
EXPENDITURE			
Cost of Material Consumed	19	**16,709.23**	10,364.19
Purchase of stock in trade		**7,342.41**	2,389.33
Changes in inventories of Finished Goods, Work in progress and Stock in Trade	20	**(1,293.14)**	674.25
Employee Benefits Expense	21	**1,102.20**	1,018.33
Finance Costs	22	**1,651.87**	1,142.80
Depreciation and Amortization expense	9	**428.34**	197.36
Other Expenses	23	**1,613.88**	1,991.13
Total Expenditure		**27,554.79**	17,777.39
Profit before Exceptional Items & Extraordinary Items and Tax		**3,336.44**	2,044.94
Profit Before Tax		**3,336.44**	2,044.94
Tax Expenses			
Previous year adjustments		**50.02**	(60.56)
Current Tax		**699.33**	427.35
Deferred Tax		**580.55**	105.34
Mat Credit Entitlement		**(214.85)**	(220.65)
Profit for the period		**2,221.39**	1,793.46
Earnings per Equity Share (in ₹)			
Basic		**10.79**	8.89
Diluted		**10.79**	8.89
Face Value of Equity Shares (in ₹)		**10**	10
Significant Accounting Policies & Notes on Financial Statements	1 to 29		

- **Sales**: It represents only the "Revenue from Operation" of ₹300.02 cr. taken directly from the P&L statement.
- **Raw Material Cost**: It represents the sum of Cost of Material Consumed (₹167.09 cr) and Purchase of stock in trade (₹73.42 cr.) taken directly from the P&L statement.
    - Sum of these two items: 167.09 + 73.42 = ₹240.51 cr. Investors might find a small difference for various companies, which might be due to rounding off. In the case of Omkar Speciality Chemicals Limited, the difference is ₹0.01 cr.
- **Change in Inventory**: ₹12.93 cr. taken directly from the P&L statement: "Changes in Inventories of Finished Goods, Work in progress and Stock in Trade".
    - It is to be noted that if the inventories have increased during the period, then this figure would be negative and if the inventories have decreased during the period, then this figure would be positive.
    - A negative figure (increase in inventory) indicates that some material was purchased whose cost is included in the Raw Material Cost, but this material is yet to be sold as finished

Copyright © Dr Vijay Malik. All Rights Reserved.

goods because this material is still lying in inventory. That's why this cost is not the cost for this period and thus deducted from the expenses of this period.

- A positive figure (reduction in inventory) indicates that some amount of finished goods sold in this period were created from the raw material purchased in previous periods. Therefore, the raw material cost of the current period does not include the cost of these goods whereas the sales of this period include the revenue from these sales. That's why the cost is added to the expense of this period.

- **Power and Fuel, Other Mfr. Exp, Selling and admin, Other Expenses**: together constitute the "Other Expenses" item of the P&L statement. The breakup of "Other Expenses" is present in the notes to financial statements in the annual report.

NOTE NO. 23 – OTHER EXPENSES

Other Manufacturing Expenses		
Factory Electricity charge	127.94	122.97
Water Charges	17.01	16.75
Packing & Testing Charges	0.42	4.31
Laboratory Expenses	254.92	167.23
Consumable Stores	79.87	146.10
Processing Charges	281.06	514.68
Repairs & Maintenance- Building	6.23	8.15
Repairs & Maintenance - Machinery	35.41	92.06
Freight Inward	36.61	105.56
Sundry Factory Expenses	12.16	3.72
Sub Total (A)	851.63	1,181.53
Administrative, Selling and Distribution Expenses		
Sales Promotion Expenses	29.49	33.40
Commission on Sales	49.31	61.15
Conveyance & Travelling Expenses	9.06	49.90
Freight & Transportation - Sales	112.57	152.68
Misc. Expenses	53.19	79.07
Postage, Telephone/ Telegram/ Internet Charges	36.02	49.10
Repairs & Maintenance- Others	21.79	15.83
Insurance	42.54	19.80
Printing & Stationery	9.27	14.37
Professional Charges	100.66	151.89
Rates & Taxes	11.81	41.89
Bad Debts W/off	52.93	-
Forex Loss	175.67	81.63
Payments to Auditors	7.70	8.89
CSR Expenses	50.25	50.00
Sub Total (B)	762.25	809.60
TOTAL (A+B)	1,613.88	1,991.13

- Sum of these four items in the "Data Sheet": 1.45 + 4.74 + 4.08 + 5.87 = ₹16.14 cr. is equal to the "Other Expenses" figure in the P&L statement. Any small difference might be due to rounding off.
- Many times, there are 10-30 items, which come under "Other Expenses" in the annual report and it becomes difficult for investors to segregate, which of these items are grouped by screener under "Other Mfr. Exp" or under "Other Expenses" or under "Selling and admin" etc. E.g. in the case of Omkar Speciality Chemicals Limited, the Power and Fuel

Copyright © Dr Vijay Malik. All Rights Reserved.

costs of ₹1.45 cr. seem to include both the "Factory Electricity charge" of ₹1.28 cr. and "Water Charges" of ₹0.17 cr.
    - Therefore, an investor would need to put some extra effort into the analysis in case the "Other Expenses" item is a large number.
- **Employee Cost**: ₹12.93 cr. taken directly from the P&L statement
- **Other Income**: ₹8.89 cr. taken directly from the P&L statement. For some companies, it might be shown as non-operating income in the P&L statement.
- **Depreciation**: ₹4.28 cr. taken directly from the P&L statement.
- **Interest**: ₹16.52 cr. taken directly from the P&L statement.
- **Profit before tax**: ₹33.37cr. taken directly from the P&L statement.
- **Tax**: It represents the sum total of all the tax-related entries in the P&L statement including all credits, debits and previous year adjustments. E.g. for Omkar Speciality Chemical Limited, the tax for FY2016 (₹11.16 cr.) represents the sum of:
    - Previous year adjustments of ₹0.50 cr.
    - **Current Tax** of ₹6.99 cr.
    - **Deferred Tax** of ₹5.81 cr.
    - **MAT Credit Entitlement** of negative ₹2.14 cr. This effectively adds to the profit of the company for the period.
    - Total of all these entries: 0.50 + 6.99 + 5.81 – 2.14 = ₹11.16 cr. is equal to the "Tax" in "Data Sheet" in screener.in. Investors might find a small difference for various companies, which might be due to rounding off.
- **Net profit**: ₹22.21 cr. taken directly from the P&L statement.
- **Dividend Amount**: It represents the entire dividend paid/declared/proposed for the financial year **without considering the dividend distribution tax**. We may get to know about this figure from the Reserves & Surplus section of the annual report. E.g. for Omkar Speciality Chemical Limited, the dividend amount (₹3.09 cr.) in the "Data Sheet" of screener.in has been taken from the reserves & surplus section of the annual report on page 88:

NOTE NO. 2 – RESERVES & SURPLUS

(₹ in Lakhs)

Particulars	As at March 31, 2016	As at March 31, 2015
Security Premium Account		
Opening Balance	**7,370.69**	6,040.69
Add: Additions During the year	**-**	1,330.00
Closing Balance	**7,370.69**	7,370.69
General Reserve		
Opening Balance	**830.40**	680.40
Add: Transfer from Profit and Loss Account	**-**	150.00
Closing Balance	**830.40**	830.40
Profit & Loss Account		
Balance as per last Balance Sheet	**6,035.61**	4,753.28
Add : Profit for the Year	**2,221.39**	1,793.46
	8,257.00	6,546.74
Less : Appropriations		
Proposed Dividend on Equity Shares (₹ 1.50 per share) (Previous Year Rs 1.50 per share)	**308.67**	308.67
Tax on Dividend	**62.84**	52.46
Transferred to General Reserve	**-**	150.00
Closing Balance	**7,885.47**	6,035.61
TOTAL	**16,086.56**	14,236.68

Copyright © Dr Vijay Malik. All Rights Reserved.

Cash Flow:

- The data for three key constituents of the cash flow statement i.e. **Cash from Operating Activity (CFO), Cash from Investing Activity (CFI)** and **Cash from Financing Activity (CFF)** are taken directly from the cash flow statement in the annual report
- **Net Cash Flow** is the sum of CFO, CFI and CFF for the financial year.
- Sometimes, investors may find small differences in the data, which might be due to rounding off.

Cash Flow Statement Screener.in "Data Sheet"

CASH FLOW:										
Report Date	Mar-07	Mar-08	Mar-09	Mar-10	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Mar-16
Cash from Operating Activity	0.07	3.73	0.16	6.28	4.05	-0.11	0.12	24.14	52.85	-14.08
Cash from Investing Activity	-1.56	-4.68	-8.71	-3.01	-45.08	-31.99	-45.78	-42.92	-76.06	16.4
Cash from Financing Activity	1.84	0.89	8.42	-3.06	81.82	22.29	35.83	15.32	17.33	-7.91
Net Cash Flow	0.35	-0.06	-0.13	0.21	40.79	-9.81	-9.83	-3.46	-5.88	-5.59

Cash Flow Statement Annual Report FY2016

CASH FLOW STATEMENT FOR THE YEAR ENDED MARCH 31, 2016

(₹ in Lakhs)

Particulars	For Year ended March 31, 2016	For Year ended March 31, 2015
A. **CASH FLOW FROM OPERATING ACTIVITIES :**		
Net Profit Before Tax	3,336.44	2,044.94
Adjustments for :		
Depreciation	428.34	197.36
Finance expenses	1,651.87	1,142.80
Provision for Gratuity	32.85	18.83
Provision for CSR Expenses	50.25	50.00
Interest, dividend income	(829.70)	(442.50)
Increase/Diminution in value of investment	0.03	-
Unrealized Foreign Exchange gain/ loss	13.69	19.54
Operating Profit before working capital changes	4,683.78	3,030.97
Adjustments for :		
Trade and Other Receivables	(3,416.18)	1,704.79
Short- term Loans and Advances	(3,709.79)	(14.69)
Other Current Assets	235.67	417.74
Inventories	(712.06)	831.71
Trade and Other Payables	1,751.44	(572.50)
	(5,850.92)	2,367.05
Taxes Paid	(241.15)	(112.66)
Cash Generated from Operations	(1,408.29)	5,285.36
B. **CASH FLOW FROM INVESTING ACTIVITIES :**		
Purchase of Fixed Assets(refer note 9)	(1,920.57)	(6,638.71)
Purchase of Investments	11.57	(0.01)
Long -term Loans and Advances	2,732.73	(1,390.47)
Interest received	829.70	442.50
Net Cash used in Investing Activities	1,653.43	(7,586.69)
C. **CASH FLOW FROM FINANCING ACTIVITIES :**		
Proceeds from Short term Borrowings	(2,520.34)	968.76
Proceeds from Long term Borrowings	3,742.45	1,182.25
Issue of Equity share (Convertible warrants)	-	1,068.75
Interest paid	(1,651.87)	(1,142.80)
Dividend paid (including Dividend Distribution Tax)	(361.13)	(344.46)
Net Cash from Financing Activities	(790.89)	1,732.50
Net Increase/(Decrease) in Cash and Cash equivalents (A+B+C)	(545.75)	(568.83)
Cash and Cash equivalents at the beginning of the year	1,222.84	1,811.21
Exchange difference on translation of foreign currency cash and cash equivalents	(13.69)	(19.54)
Cash and Cash equivalents at the end of the year	663.40	1,222.84

Copyright © Dr Vijay Malik. All Rights Reserved.

Quarterly Results:

Quarterly Results Screener.in "Data Sheet"

Quarters										
Report Date	Dec-14	Mar-15	Jun-15	Sep-15	Dec-15	Mar-16	Jun-16	Sep-16	Dec-16	Mar-17
Sales	59.11	37.02	65.15	80.84	72.22	89.85	73.09	83.93	82.04	91.56
Expenses	49.65	30.65	56.42	70.48	64.85	71.03	60.76	69.7	70.1	135.84
Other Income	1.18	1.33	1.72	2.32	3.1	1.75	2.18	2.63	2.91	-5.47
Depreciation	0.59	0.25	0.92	0.92	0.91	1.53	2.03	2.39	2.84	0.99
Interest	3.23	3.54	2.65	3.55	3.31	7.01	4.66	5.24	4.39	5.14
Profit before tax	6.82	3.91	6.87	8.21	6.25	12.03	7.82	9.23	7.61	-55.89
Tax	2.12	-1.23	2.29	2.07	1.61	5.18	2.26	2	1.67	-11.59
Net profit	4.7	5.15	4.58	6.14	4.64	6.85	5.56	7.22	5.95	-44.29
Operating Profit	9.46	6.37	8.73	10.36	7.37	18.82	12.33	14.23	11.94	-44.28

Quarterly Results March 2017, Company Filings to Stock Exchange

OMKAR SPECIALITY CHEMICALS LIMITED

STATEMENT OF AUDITED FINANCIAL RESULTS FOR THE QUARTER AND YEAR ENDED MARCH 31, 2017

PART I

(Rupees in Lakhs)

Sr.No		Particulars	Quarter Ended			Year ended	
			31-Mar-2017 (Audit)	31-Dec-2016 (Unaudit)	31-Mar-2016 (Audit)	31-Mar-2017 (Audit)	31-Mar-2016 (Audit)
1	a	Revenue From Operations	9155.533656	8203.8	8984.68	34,501.67	31,906.27
	b	Other Income	(547.12)	290.71	175.35	224.81	875.48
		Total Income (a+b)	8608.413656	8494.51	9160.03	34,726.47	32,781.75
2		**EXPENSES**					
	a	Cost of materials consumed	5,008.79	4,200.04	5817.36	19,652.32	16,709.23
	b	Purchases of Stock-in-Trade	-	-	-	-	7,342.41
	c	Changes in inventories of finished goods,Stock-in -Trade and work-in-progress and stock -In - Trade	1,275.49	1,510.39	-33.17	3,987.57	(1,293.14)
	d	Employee benefits expense	211.11	244.39	242.57	983.11	1,102.20
	e	Finance costs	514.06	439.28	700.9	1,943.09	1,651.87
	f	Depreciation and amortization expense	98.65	283.95	152.83	824.45	428.34
	g	Other expenses	767.53	1,055.07	1075.99	4,137.35	3,504.40
		Total expenses	7,875.63	7,733.12	7,956.48	31,527.89	29,445.31
3		Profit/(loss) before exceptional items and tax (1-2)	732.78	761.39	1,203.55	3,198.58	3,336.44
4		Exceptional Items	6,321.38	-	-	6,321.38	-
5		Profit/(loss) before tax (3-4)	(5,588.60)	761.39	1,203.55	(3,122.80)	3,336.44
6		**Tax expense:**					
	a	Current tax	(536.68)	182.83	219.31	9.96	699.33
	b	Earlier Year tax	(675.39)	-	(164.84)	(675.40)	(164.83)
	c	MAT credit Entitlement	(113.90)	0	0	(9.96)	-
	d	Deferred tax	166.78	-16.46	463.71	109.42	580.55
7		Profit (Loss) for the period from continuing operations (5-6)	(4,429.41)	595.02	685.37	(2,556.82)	2,221.39
8		Extraordinary Items (Net of Taxe Expenses)	-	-	-	-	-
9		Profit/(loss) for the period (7-8)	(4,429.41)	595.02	685.37	(2,556.82)	2,221.39

- **Sales**: it represents the revenue from operations from the quarterly results filing of the company. E.g. for Omkar Speciality Chemical Limited, the sales of ₹91.56 cr. in the March 2017 quarter represents the revenue from operations from the March 2017 results of the company.
- **Expenses**: it represents all the expenses from the quarterly results filing except finance cost and depreciation. "Expenses" in the "Data Sheet" of screener.in includes the exceptional items if any disclosed by the companies in their results. E.g. for Omkar Speciality Chemical Limited, the "Expenses" in the data sheet of the amount of ₹135.84 cr. is the sum of:
    - Cost of material consumed: ₹50.09 cr.
    - Purchase of stock in trade: Nil
    - Changes in Inventories of Finished Goods, Stock in Trade, Work in progress and Stock in Trade: ₹12.75 cr.
    - Employee benefits expense: ₹2.11 cr.

Copyright © Dr Vijay Malik. All Rights Reserved.

    - Other expenses: ₹7.68 cr.
    - Exceptional Items: ₹63.21 cr.
    - Total of all these entries: 50.09 + 12.75 + 2.11 + 7.68 + 63.21 = ₹135.84 cr. is equal to the "Expenses" in "Data Sheet" in screener.in. Investors might find a small difference for various companies, which might be due to rounding off
- **Other Income**: (₹5.47 cr.) taken directly from the quarterly Statement. For some companies, it might be shown as non-operating income in the quarterly statement.
- **Depreciation** and **Interest**: are directly taken from the "Depreciation and Amortization Expense" of ₹0.99 cr. and "Finance Costs" of ₹5.14 cr. in the quarterly statement.
- **Profit before tax**: Loss of ₹55.89cr. taken directly from the quarterly statement.
- **Tax**: It represents the sum total of all the tax-related entries in the quarterly statement including all credits, debits and previous year adjustments. E.g. for Omkar Speciality Chemical Limited, the tax for the March 2017 quarter (positive change of ₹11.59 cr.) represents the sum of:
    - **Current Tax** of negative ₹5.37 cr. This effectively adds to the profit of the company for the period.
    - **Previous year adjustments** of negative ₹6.75 cr. This also effectively adds to the profit of the company for the period.
    - **MAT Credit Entitlement** of ₹1.14 cr. This also effectively adds to the profit of the company for the period.
    - **Deferred Tax** of ₹1.67 cr.
    - Total of all these entries: -5.37 – 6.75 – 1.14 + 1.67 = - ₹11.59 cr. is equal to the "Tax" in "Data Sheet" in screener.in. The negative tax effectively adds to the profit of the company for the period.
    - Investors might find a small difference for various companies, which might be due to rounding off.
- **Net profit**: Loss of ₹44.29cr. taken directly from the quarterly statement.
- **Operating Profit**: represents sales – expenses (as calculated in the description above). E.g. for Omkar Speciality Chemical Limited, the operating profit for March 2017 quarter (loss of ₹44.28 cr.) represents the impact of:
    - Sales of ₹91.56 cr. less Expenses of ₹135.84 cr. = Loss of ₹44.28 cr.

With this, we have come to the end of the current section of this article, which elaborated the reconciliation of the data presented by screener.in with the annual report and quarterly filings of the companies. Now we would elaborate on the steps to customize the default "Export to Excel" template sheet provided by screener.in.

Customizing the Default "Export to Excel" Sheet

Customizing the "Export to Excel" template and uploading it on screener.in in the account of an investor is the feature, which differentiates screener.in from all the other data sources that we have come across.

We have used premium data sources like CMIE Prowess, Capitaline during educational and professional assignments in the past as part of the subscription of MBA college and the employer. These premium sources as well as other free sources like Moneycontrol etc. provide the functionality of data export to excel. However, the exporting features of these websites are primitive, which provide the data present on the

Copyright © Dr Vijay Malik. All Rights Reserved.

screen to the investor in an Excel or CSV file on which the investor then needs to separately apply the formulas etc. to do the analysis, which is very time-consuming.

Screener.in is better than the above-mentioned sources in terms that it allows investors to customize the Excel template and upload it on the website. The next time any investor downloads the data of any company from the screener.in website, the downloaded file has the data of the company along with all the formulas put in by the investor auto-calculated, which saves a lot of time for the investor in doing in-depth data analysis.

Steps to customize:

Once the investor downloads the data of any company by clicking the “Export to Excel” button from the screener.in website, then she gets the data of the company in the default Excel template of screener.in.

The default Excel template contains the following six sheets:

- Profit & Loss
- Quarters
- Balance Sheet
- Cash flows
- Customization and
- Data Sheet

The “Data Sheet” contains the base financial data of the company, which has been described in detail in the above section of this article. It is not advised to make any change to this sheet otherwise all the data calculations might become erroneous.

"Customization” sheet contains the steps to upload the customized sheet on the screener website in an investor’s account. We will discuss these steps in details later in this article.

Rest of the sheets: Profit & Loss, Quarters, Balance Sheet and Cash Flows contain the default ratios along with formulas etc. provided by the screener.in team for the investors.

An investor may change all the sheets except the Data Sheet in any manner she wishes. She may delete all these sheets, change formulas of all the ratios, put in her own ratios, create entirely new sheets and create her own preferred ratios and formulas in the new sheets by creating direct linkages for these new formulas from the base data in the “Data Sheet”. The investor may do any amount of changes to the excel sheet until she does not tinker with the Data Sheet.

Given below is the screenshot of the “Profit & Loss” sheet of the default “Export to Excel” template provided by screener.in

Copyright © Dr Vijay Malik. All Rights Reserved.

OMKAR SPECIALITY CHEMICALS LTD												SCREENER.IN	
Narration	**Mar-07**	**Mar-08**	**Mar-09**	**Mar-10**	**Mar-11**	**Mar-12**	**Mar-13**	**Mar-14**	**Mar-15**	**Mar-16**	**Trailing**	**Best Case**	**Worst Case**
Sales	**37.04**	**41.46**	**51.01**	**68.35**	**106.76**	**166.95**	**201.53**	**209.62**	**193.31**	**300.02**	**330.62**	**465.64**	**346.91**
Expenses	32.54	35.41	42.05	55.54	85.40	133.75	165.32	176.79	164.36	254.75	336.40	394.73	346.91
Operating Profit	**4.50**	**6.05**	**8.96**	**12.81**	**21.36**	**33.20**	**36.21**	**32.83**	**28.95**	**45.27**	**-5.78**	**70.91**	-
Other Income	0.28	0.25	0.02	0.27	0.53	3.70	5.79	5.75	4.91	8.89	2.25	-	-
Depreciation	0.15	0.26	0.51	1.85	1.91	5.62	5.68	6.10	1.97	4.28	8.25	8.25	8.25
Interest	1.57	2.10	3.60	3.74	5.27	8.10	7.43	11.75	11.43	16.52	19.43	19.43	19.43
Profit before tax	3.06	3.94	4.87	7.49	14.71	23.18	29.01	20.73	20.45	33.37	-31.23	43.23	-27.68
Tax	1.12	1.36	1.74	2.31	4.57	6.73	8.21	6.13	2.51	11.16	-5.66	0%	0%
Net profit	**1.94**	**2.58**	**3.13**	**5.18**	**10.14**	**16.45**	**20.80**	**14.60**	**17.93**	**22.21**	**-25.56**	**43.23**	**-27.68**
EPS	13.97	18.58	22.54	4.49	5.17	8.38	10.60	7.44	8.71	10.79	-12.42	21.01	-13.45
Price to earning					5.38	3.69	4.80	8.44	8.18	7.83	-	8.15	-
Price	-	-	-	-	**27.79**	**30.95**	**50.88**	**62.76**	**71.26**	**84.55**	**78.60**	171.21	-
RATIOS:													
Dividend Payout	0.00%	0.00%	0.00%	11.20%	19.33%	14.89%	14.13%	20.14%	17.23%	13.91%			
OPM	12.15%	14.59%	17.57%	18.74%	20.01%	19.89%	17.97%	15.66%	14.98%	15.09%	0.00%		

	TRENDS:	10 YEARS	7 YEARS	5 YEARS	3 YEARS	RECENT	BEST	WORST
	Sales Growth	26.17%	28.80%	22.96%	14.18%	55.20%	**55.20%**	**14.18%**
	OPM	16.72%	16.90%	16.47%	15.23%	0.00%	**15.23%**	**0.00%**
	Price to Earning	6.39	6.39	6.59	8.15	-	**8.15**	-

Given below are the changes that we have done to the "Export to Excel" template to customize it as per our preferences by creating a new sheet: "**Dr Vijay Malik Analysis**"

Copyright © Dr Vijay Malik. All Rights Reserved.

(₹ Crores/10 Millions)			LA OPALA RG LTD							Jun-20	<< Latest available quarterly results						
Narration	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Last 4 Quarters	Total 10 Yr	TRENDS:	10Yr	7Yr	5Yr	3Yr	TTM
Sales	96	114	153	176	222	248	235	259	278	270	222		Sales Grth	12%	8%	4%	5%	-18%
Operating Profit	21	27	44	50	66	86	89	109	112	105	77		OPM	35%	37%	39%	40%	35%
Operating Profit Margin (OPM%)	**22%**	**24%**	**29%**	**28%**	**30%**	**35%**	**38%**	**42%**	**40%**	**39%**	**35%**		PAT Grth	28%	20%	15%	11%	-28%
Other Income	0	0	(2)	1	1	1	11	11	17	17	14	57	BV Grth	32%	33%	24%	8%	
Interest	4	4	4	3	1	1	1	1	1	1	1	20	13	Interest Outgo				
Depreciation	5	5	6	7	10	9	12	14	16	16	15	100	PE History	7	25	56	43	37
Profit before tax (PBT)	13	18	32	41	56	78	86	105	113	105	75		CMP	204				
Tax%	30%	31%	30%	27%	25%	25%	28%	30%	34%	19%	19%		P/E	37.3				
Net profit after tax (PAT)	**9**	**13**	**23**	**30**	**42**	**59**	**62**	**73**	**74**	**84**	**61**	**469**	P/B	4.2				
Net Profit Margin (NPM%)	10%	11%	15%	17%	19%	24%	26%	28%	27%	31%	27%		P/E*P/B	155.0				
Cash from Operating Activity (CFO)	16	14	31	39	47	61	72	80	51	73	CFO	484	Div Yield	0.6%				
Capex {(NFA+WIP) change+Dep}		**5**	**20**	**18**	**5**	**47**	**13**	**36**	**9**	**40**	Capex	192	M. Cap	2,268				
FCF		10	11	22	41	14	59	45	41	34	FCF	292	389	Total Retained Earnings (RE) in 10 Yrs (A)				
Total Debt (D)	29	25	30	14	8	6	0	4	1	5	FCFE.1 (FCF-Int exp)	272	2,206	Total increase in Mcap in 10 yrs (B)				
Share Capital	10.6	10.6	10.6	10.6	11.1	11.1	11.1	22.2	22.2	22.2	FCFE.2 (FCFE.1 + OI)	329	5.67	Value created per INR of RE (B/A)				
Dividend Paid (Div) Without DDT	2	2	4	5	7	10	11	12	13	13	Total Div 10 Yrs	80	46%	Mcap CAGR 10Y				
Net Cash Generation (FCF+OI+Debt-Int-Div)		(0)	7	(1)	28	3	51	46	42	41	Inc. in Debt 10Y	-24						
Cash + Investments (CI +NCI)	1	1	8	9	91	96	306	364	360	344	Surplus funds	226	0	Closing share price on March 31, 10 years back				
Self-Sustainable Growth Rate (SSGR)				**21%**	**28%**	**36%**	**40%**	**42%**	**37%**	**40%**	FCF/CFO	60%						
											Change in 10 Yrs							
Trade Receivables	17	16	19	21	23	26	33	41	48	44	(27)							
Inventory	23	26	31	28	29	40	34	32	48	55	(32)							
PBT/Avg. NFA (<10%,>25%)		37%	58%	60%	81%	91%	80%	88%	89%	86%								
ROE on Avg Equity (<7%,>25%)		25%	35%	35%	29%	28%	19%	16%	14%	16%								
ROCE (EBIT on Avg CE/TA) (<10%,>35%)		23%	31%	32%	30%	31%	22%	20%	19%	17%								
Incremental ROE 3Yr Rolling				55%	54%	46%	30%	24%	10%	13%								
Net Fixed Asset Turnover (High is better)		2.32	2.71	2.57	3.21	2.88	2.19	2.18	2.21	2.22								
Receivables days (Low is better)		53	42	42	37	36	45	52	58	62								
Inventory Turnover (High is better)		4.7	5.4	6.0	7.7	7.1	6.3	7.9	7.0	5.2								
Months of RM held as Inv. (Low is better)		15.3	13.1	14.3	12.7	8.6	15.1	13.7	13.0	18.3								
Working capital cycle days (Rec + Inv Days)		131	110	103	84	87	103	98	111	132								
Net Fixed Assets (NFA)	50	49	64	73	65	107	108	131	121	122								
Capital Work in Progress (CWIP)	1	2	1	2	6	1	1	0	2	25								
Dividend Paid (Div) Without DDT	2	2	4	5	7	10	11	12	13	13		80	Div Grth	27%	20%	13%	6%	
Dividend Payout (Div/PAT)	17%	17%	16%	18%	17%	17%	18%	17%	18%	16%								
Retained Earnings (RE=PAT-Div)	8	10	19	25	35	49	51	61	61	71								
Price to earning	7	9	15	25	50	56	48	43	33	19			Avg. PE	30.5	39.3	39.9	31.8	37.3
Market Capitalization	**62**	**112**	**335**	**754**	**2,102**	**3,309**	**2,987**	**3,183**	**2,408**	**1,638**	**2,268**							
Cash + Investments (CI +NCI)	1	1	8	9	91	96	306	364	360	344	344							
Total Debt (D)	**29**	**25**	**30**	**14**	**8**	**6**	**0**	**4**	**1**	**5**			Debt	-17%	-22%	-7%	247%	510%
Total Equity (E)	46	56	74	98	185	232	435	504	529	545			Book Val	32%	33%	24%	8%	3%
Debt to Equity ratio (D/E)	**0.6**	**0.5**	**0.4**	**0.1**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**								
Cost of funds	**12.0%**																	
Interest Outgo		3	3	3	1	1	0	0	0	0		13						
Interest Coverage (OP/Int. Out)		8.3	13.3	19.0	49.9	103.3	238.3	457.0	394.0	275.6								
	Mar-11	Mar-12	Mar-13	Mar-14	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20		Total 10 Yr						
Cash from Operating Activity (CFO)	**16**	**14**	**31**	**39**	**47**	**61**	**72**	**80**	**51**	**73**		**484**						
Cash from Investing Activity (CFI)	(2)	(5)	(29)	(8)	(97)	(49)	(52)	(69)	(32)	(45)		**(388)**						
Cash from Financing Activity (CFF)	(14)	(10)	(2)	(23)	42	(11)	(19)	(10)	(18)	(29)		**(95)**						
Net Cash Flow (CFO+CFI+CFF)	(1)	(0)	0	8	(9)	0	1	1	0	(1)		**1**						
Cash & Eq. at the end of year	1	0	1	9	0	1	2	3	4	4								
Retained Earnings (RE) in 10 Yrs (A)	389																	
Increase in Mcap in 10 yrs (B)	2,206																	
Value created per INR of RE (B/A)	**5.67**																	
Costs as % of Sales																		
Raw Material	18%	14%	14%	16%	13%	16%	16%	12%	8%	10%								
Power & Fuel	17%	17%	16%	14%	11%	11%	12%	13%	16%	15%								
Employee Costs	14%	15%	14%	14%	13%	15%	16%	16%	18%	19%								
Selling & Admin Costs	15%	16%	16%	18%	21%	19%	5%	6%	7%	6%								
Other Manufacturing Expenses	12%	13%	11%	9%	12%	3%	9%	9%	9%	9%								
Other Expenses	2%	1%	1%	1%	1%	1%	4%	2%	2%	2%								
											Source: Screener.in							

(For large resolution image of this sheet: **Click Here**)

Further Reading: **Stock Analysis Excel Template (Screener.in): Premium Service**

The above-customized template helps us to do a very quick assessment of any company on the checklist of parameters that we use for stock analysis. This is because this customized template provides us with our preferred ratios etc. in one snapshot like a dashboard, which makes decision making very quick and easy.

Readers would be aware that we use a checklist of parameters, which contains factors from Financial Analysis, Business Analysis, Valuation Analysis, Management Analysis and Margin of Safety calculations.

Copyright © Dr Vijay Malik. All Rights Reserved.

The customized template screenshot shared above allows us to analyse the following parameters out of the checklist in a single view:

Financial Analysis:

- Sales growth
- Profitability
- Tax payout
- Interest coverage
- Debt to Equity ratio
- Cash flow
- Cumulative PAT vs. CFO

Valuation Analysis:

- P/E ratio
- P/B ratio
- Dividend Yield (DY)

Business Analysis:

- Conversion of sales growth into profits
- Conversion of profits into cash
- Creation of value for shareholders from the profits retained: Increase in Mcap in last 10 yrs. > Retained profits in last 10 yrs.

Management Analysis:

- Consistent increase in dividend payments

Margin of Safety:

- Self-Sustainable Growth Rate (SSGR): SSGR > Achieved Sales Growth Rate
- Free Cash Flow (FCF): FCF/CFO >> 0

Operating Efficiency Parameters:

- Net Fixed Asset Turnover Ratio (NFAT)
- Receivables Days
- Inventory Turnover Ratio

The ability to see the above multiple parameters in one snapshot for any company for which we download the “Export to Excel” file, allows us to have a quick opinion about any company that we wish to analyse. It saves a lot of time for the investors as she can easily determine, which companies have the requisite strength that is worth spending more time on them.

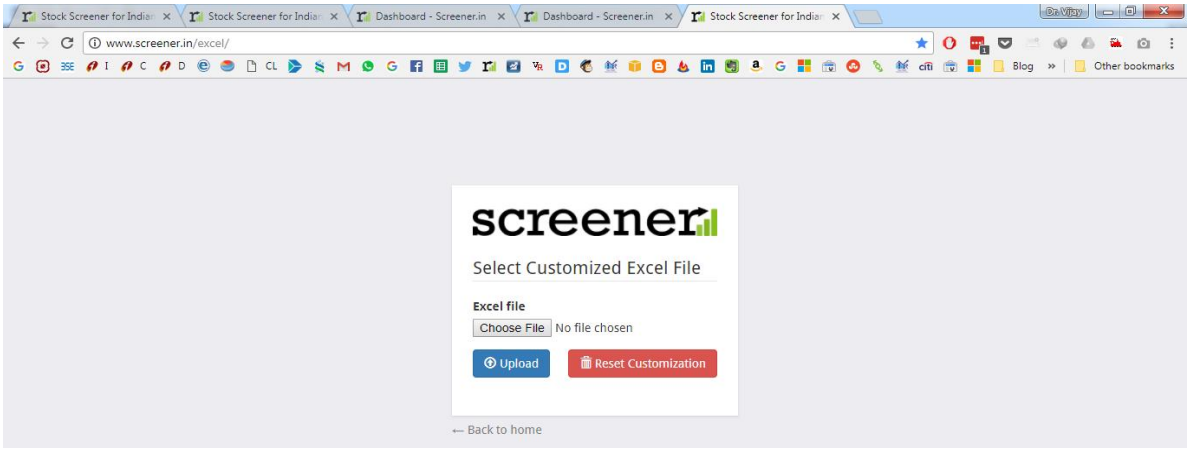
Copyright © Dr Vijay Malik. All Rights Reserved.

We believe that to fully benefit from the great resources available to the investors today, it is essential that investors should use screener.in to the fullest and therefore must customize their own "Export to Excel" templates as per their preference and upload it to their accounts at the screener.in website.

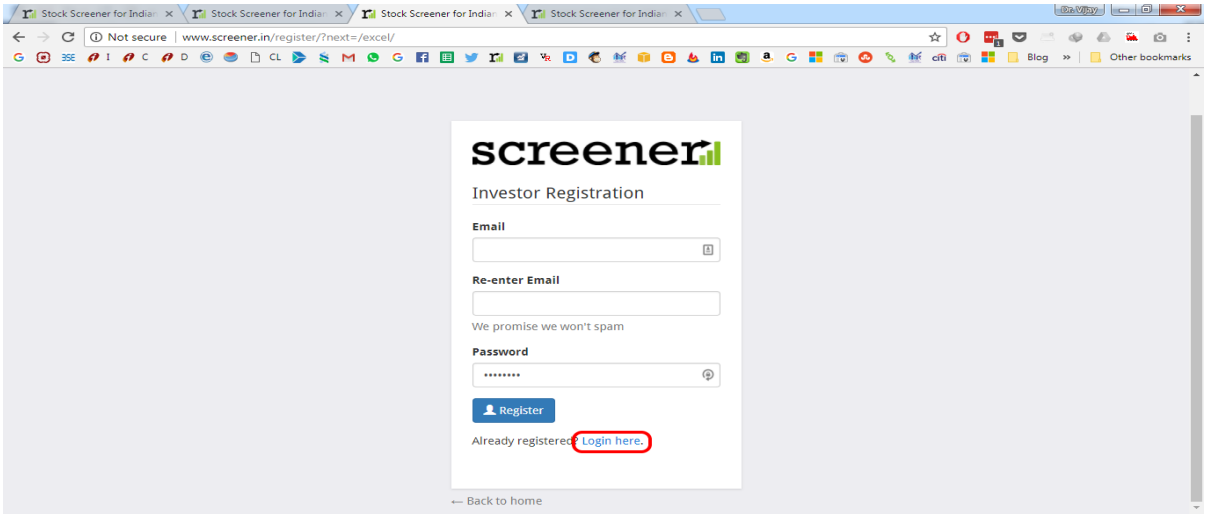
Uploading the Customized "Export to Excel" Sheet on Screener.in Website

The "Customization" sheet of the default "Export to Excel" template file provided by screener.in contains the steps to upload the customized Excel file on the screener.in website. We have described these steps along with the relevant screenshots below for the ease of understanding:

- Once the investors have customized the excel file as per their preference, then they should rename it for further reference. The excel file that we have used for illustration below is our customized excel template, which is named: "Dr Vijay Malik Screener Excel Template Version 3"
- Once the investor has saved her customized excel file with the desired name, then she should visit the following link in the web-browser: https://www.screener.in/excel/. She would reach the following screen:



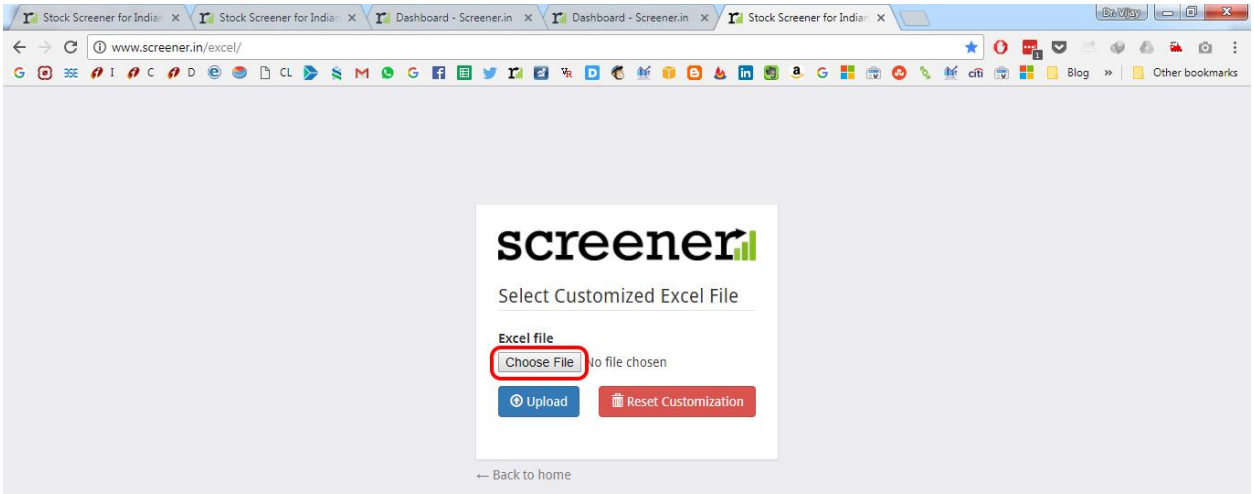
- It is required that the investor is logged in the screener.in website before she visits the above link. Otherwise, the browser will direct her to the login/registration page like below:



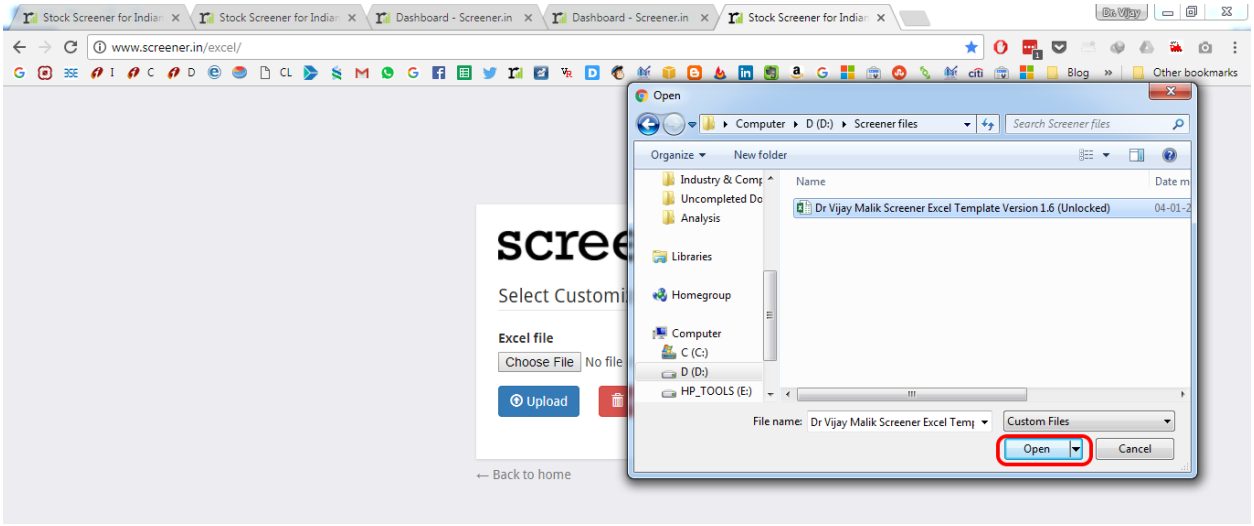
Copyright © Dr Vijay Malik. All Rights Reserved.

- If the investor is directed to the above page to register and she does not have an account on screener.in website, then she should create her new account by providing her details on the above page and clicking "**Register**"
- However, if she already has an account on screener.in, then she should click on the button "**Login here**". In the next page, the investor would be asked to provide her email and password to log in and after successfully logging in, the website will take her to the Dashboard/home page of screener.in
- Now the investor would have to again visit the page: **http://www.screener.in/excel/** to upload the customized Excel. To avoid this duplication, it is advised that the investors should visit the page: **http://www.screener.in/excel/** after they have already logged in the screener.in the website.

- Once the investor is at the Excel upload page, then she should click the button: "**Choose File**"

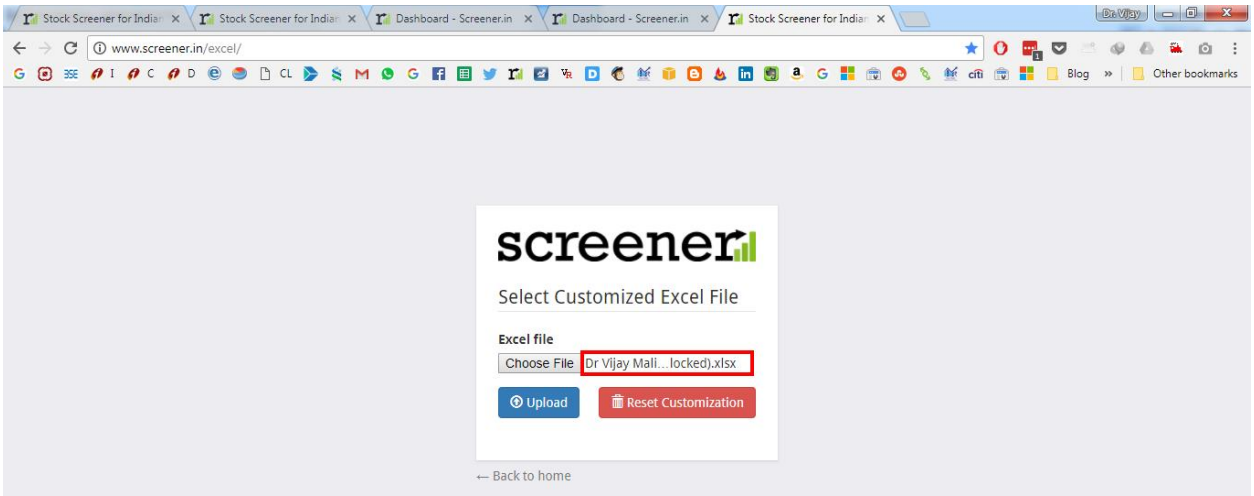


- Upon clicking on the button "Choose File", a new pop-up window will open. In the newly opened window, the investor should browse to the folder where she had saved her customized excel sheet and select it:

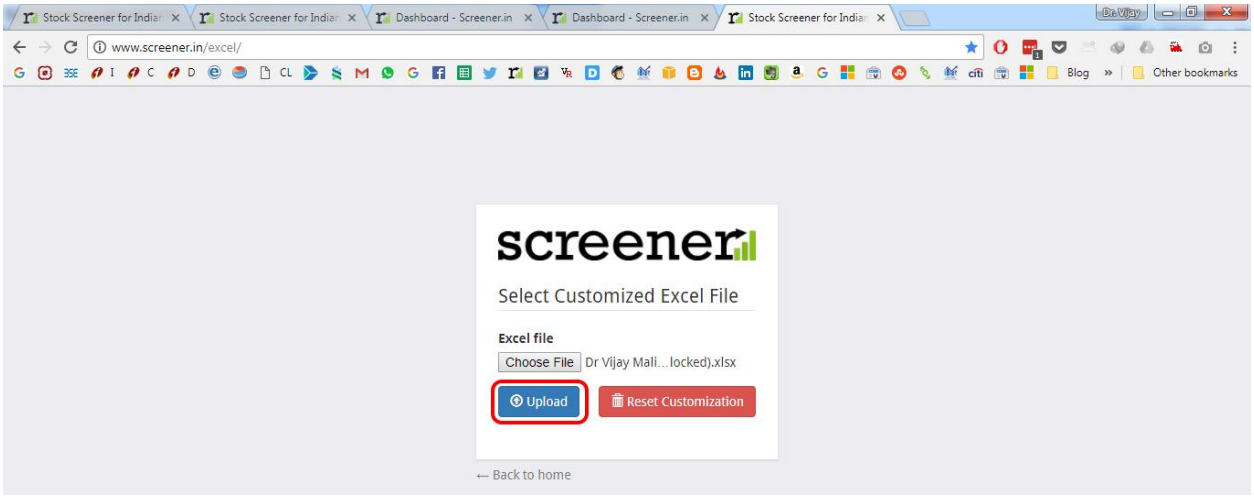


Copyright © Dr Vijay Malik. All Rights Reserved.

- Upon selecting the customized Excel file of the investor, in our case the file "Dr Vijay Malik Screener Excel Template Version 1.6 (Unlocked)", the investor should click on the button "**Open**" in this pop-up window.
- Upon clicking the button "**Open**", the pop-up window will close and the investor would see that on the web page, there is a summary of the name of her customized excel file near the "**Choose File**" button.



- The presence of the file name summary indicates that the correct file has been selected by the investor for the upload.
- Now, click on the button "**Upload**" on the webpage.



- Clicking on the "**Upload**" button will upload the excel file customized by the investor in her account on the screener.in website and take her to the homepage/dashboard of the screener.in website.

Copyright © Dr Vijay Malik. All Rights Reserved.

From now on whenever the investor downloads the data of any company from screener.in by clicking the button "Export to Excel", then she would get the data in the format prepared by her in her customized Excel file containing all her custom ratios and formulas, formatting and the layout as selected by her.

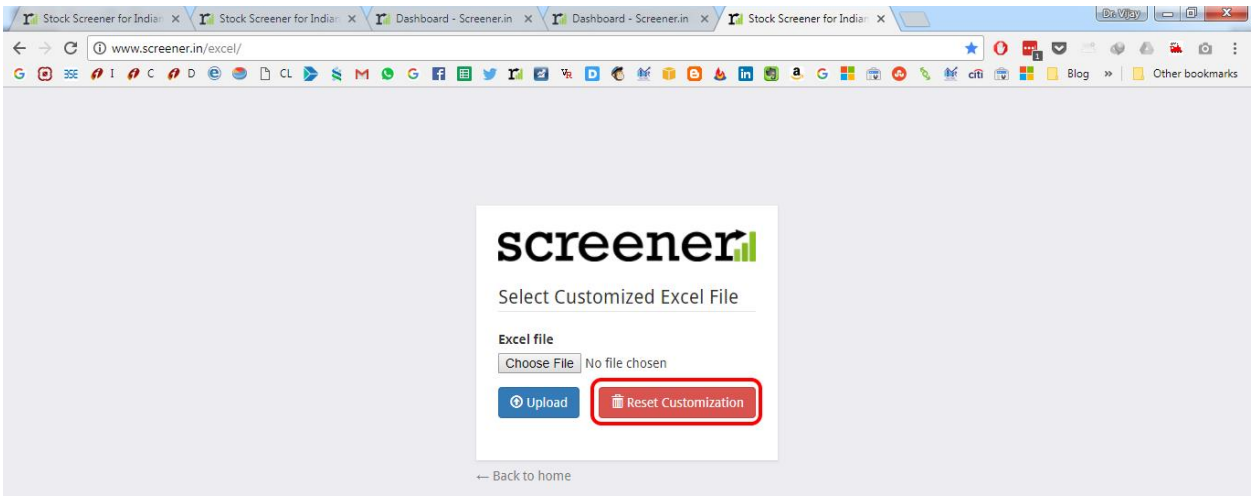
This concludes all the steps, which are to be taken by an investor while uploading her customized excel file on the screener.in website.

Updating/Changing the already uploaded customized sheet:

- In future, if the investor wishes to make more changes to the excel file, then she can simply do all the changes in the Excel file without making any changes to the "Data Sheet' and save it.
- She should then repeat the above steps to upload the new excel file in her account on the screener.in.
- Uploading the new file will overwrite the existing template and henceforth, screener.in will provide her with the data in her new Excel file format upon clicking the "Export to Excel" button for any company.

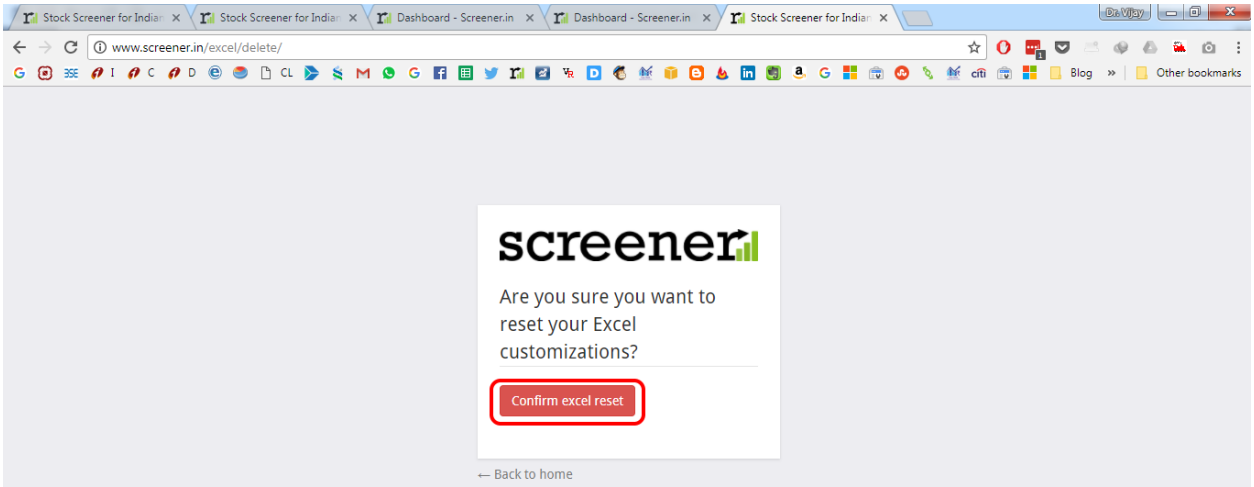
Removing the customizations:

- However, in future, if the investor wants to delete her customized excel file and go back to the original default excel template of screener, then she again would need to visit the following link: http://www.screener.in/excel/ and click on the button "**Reset Customization**"



- Upon clicking the button "Reset Customization", the web page will ask "Are you sure you want to reset your Excel customizations?"

Copyright © Dr Vijay Malik. All Rights Reserved.



- If the customer is sure about deleting her customized excel file, then she should click on the button "**Confirm Excel Reset**" on the web page.
- Clicking the "**Confirm Excel Reset**" button will delete the customized Excel file from the investor's account and reset the excel file to the default Excel template file of screener described above.
- From now onwards, whenever the investor downloads the data of any company from screener.in by clicking the button "Export to Excel", then she would get the data in the default Excel format of screener.in.

There is no limit on the number of times an investor can upload her customized excel file or change it or delete it by resetting the customization. Therefore, an investor may do as many changes and iterations as she wants until she gets her preferred excel sheet prepared, which would help her a lot in her stock analysis.

With this, we have come to an end of this article, which focussed on the key feature of the screener.in "Export to Excel", the reconciliation of the financial data in the "Data Sheet" with the annual report, quarterly results file etc. and the steps to customize the Excel file and upload the customized Excel file in the investor's account on screener.in.

Copyright © Dr Vijay Malik. All Rights Reserved.

31) Premium Services

At www.drvijaymalik.com, we provide the following premium services to our readers:

1. **Dr Vijay Malik's Recommended Stocks**
2. **Peaceful Investing - Workshop Videos**
3. **Stock Analysis Excel Template (compatible with Screener.in)**
4. **E-Books: Business Analysis Guides: Vol. 1, 2 and 3**
5. **"Peaceful Investing" Workshops**

The premium services may be availed by readers at the following dedicated section of our website:

https://premium.drvijaymalik.com/

Brief details of each of the premium services are provided below:

Copyright © Dr Vijay Malik. All Rights Reserved.

1) Dr Vijay Malik's Recommended Stocks

Subscribers will get access to a list of stocks with buy/hold/sell recommendations. We have selected these stocks after doing an in-depth fundamental analysis covering financial, business, valuation and management analysis.

Over time, we have received multiple feedback and questions from investors, such as::

- Can we tell them our reasons for buying or selling any stock?
- Can we inform them which stocks are in the buying range?

"Recommended Stocks" answers such questions as these stocks have buy/hold/sell recommendations and a crisp investment rationale, which will be updated whenever we change our views about any stock.

Make Payment and Subscribe

What a subscriber will get in this service:

- A curated list of fundamentally strong companies that, in our assessment, have the potential to create long-term wealth for shareholders. Each recommendation is accompanied by a clear and concise investment rationale explaining the basis of our view.
- Each stock is categorised as:
    - **Buy:** where we believe that the stock presents a favourable risk-reward opportunity at the current price, with a reasonable margin of safety for long-term investors.
    - **Hold:** where we believe that the stock price has risen above comfortable valuation levels. Existing investors may continue to hold the stock; however, fresh buying at current levels may not provide an adequate margin of safety. Therefore, new investors may consider waiting for better valuation levels before investing.
    - **Sell:** where we believe that the investment thesis has weakened, primarily due to deterioration in business fundamentals and/or loss of confidence. Investors may consider exiting the stock. In rare cases, this view may also arise due to excessive valuation.
    - **Under Review:** where a significant development has occurred, and we are reassessing the investment thesis. During this period, investors may avoid taking fresh positions until further clarity emerges.
- A monthly email providing commentary on the market environment from a long-term investing perspective, especially where developments may influence our overall views.
    - To help subscribers understand the nature, tone, and format of such communication, an illustrative past letter is shared for reference. Please note that the content, length, and depth of monthly emails may vary depending on market developments and whether any change in views is warranted. You may read one such illustrative letter here: Our Investing Philosophy, Interest Rates and Inflation (July 2022)
    - Subscribers will have access to all previous monthly letters, providing historical context to our thinking.

Copyright © Dr Vijay Malik. All Rights Reserved.

- Continuous monitoring of all stocks covered under the service. Whenever our views on any stock change materially, whether positively or negatively, we will update the recommendation and communicate the change to all subscribers simultaneously.
- Until any such change is communicated, the most recent published recommendation and rationale represent our current view at prevailing market prices.

What this service is designed not to provide:

The following aspects are intentionally structured to ensure clarity, fairness, consistency, and equal access to information for all subscribers:

- The service does not provide lengthy or voluminous research reports. The short investment rationale and subsequent updates published on the "Recommended Stocks" page constitute the complete research output for this service.
- No target prices or return expectations are provided. Our investment approach is based on a very long-term horizon, spanning decades and multiple business and market cycles, rather than short-term price movements or near-term performance. Fundamentally strong businesses, when held patiently, have the potential to create meaningful wealth for shareholders.
- Regular quarterly, annual or event-based updates are not issued unless a development leads to a change in our fundamental view. Many such events may not materially affect long-term business quality. This approach ensures updates are meaningful and avoids unnecessary repetition.
- Recommendations are updated based on our internal monitoring and research process. While subscribers are welcome to highlight developments they believe may be relevant, any resulting update, if warranted, will be released simultaneously to all subscribers. This ensures equal access to information.
- This is a **one-to-many** research service, where all updates are communicated simultaneously and uniformly to all subscribers.
    - To maintain fairness and avoid selective disclosure, we do not engage in one-to-one discussions or personalised correspondence on individual stock recommendations because individual responses could inadvertently provide preferential information.
    - To ensure fairness and equal access, all updates and clarifications, when necessary, are communicated to all subscribers simultaneously.
- No advice on portfolio allocation, position sizing, minimum investment, or suitability assessment. These decisions are personal and are the responsibility of the subscriber and may be taken with the assistance of any registered investment adviser, if desired.

Make Payment and Subscribe

Instructions to subscribers:

- Access to this premium service is strictly for the subscriber's personal use only and must not be shared with others. It is a subscription service. Access to "Recommended Stocks" will expire after the subscription period is over unless a renewal is done.

Copyright © Dr Vijay Malik. All Rights Reserved.

- Investments in the securities market are subject to market risks. Read all the related documents carefully before investing.

Know Your Customer (KYC)

You will need to upload your PAN card for KYC compliance as required by the Securities and Exchange Board of India (SEBI) and the Government of India.

We'll use your PAN card to download your KYC details from the Central KYC Registry (CKYC)/KYC Registering Agencies (KRAs), and we will have to share this information with regulators if they ask for it.

Frequently Asked Questions

Q: How many stocks are currently on the "Recommended Stocks" list?

As of May 19, 2026, 10 stocks are on the list; the number and recommendations may change over time. The latest information about the number of stocks and recommendations is available only to subscribers.

Q: Do you advise any minimum capital for investment in "Recommended Stocks"?

We do not provide guidance on minimum investment amounts. Each investor should decide based on their own financial circumstances.

Q: How often do you add new stocks or remove existing stocks from the recommended stocks list?

Adding new stocks: We follow a very stringent stock-selection process. Only when a stock clears our parameters then we add it to the recommended list. My experience shows that I usually add one new stock in a year. This is the pattern for the last many years. However, it may or may not stay the same in the future.

Nevertheless, as the stock prices are very volatile, buying opportunities keep arising within the existing stocks in the recommended stocks' list. Existing stocks keep moving from hold to buy recommendation and vice versa.

We will monitor the stocks continuously and update the recommendation whenever our views about the stocks change.

Selling existing stocks: We follow a very long-term investment horizon, which extends into decades. Therefore, we keep very strict stock selection criteria. As a result, for most of the stocks we select, we do not need to sell them, and the stocks will continue to be in the recommended stocks until they remain fundamentally good. Only when a stock loses our confidence then we remove it from the list. Our experience indicates that we may remove a stock every 2-3 years; however, it may or may not stay the same in the future.

Q: Do you prefer any sector or market capitalisation segment etc., while making stock recommendations?

The "Recommended Stocks" list is a mix of large, mid and small-cap stocks, as per the SEBI-directed classification of market capitalisation of stocks published by AMFI (click here). We do not intentionally focus on any particular market cap segment.

We prefer to find stocks that show growth opportunities with good profit margins while maintaining a strong balance sheet. In this process, we do not differentiate stocks based on any market cap. Whenever we

Copyright © Dr Vijay Malik. All Rights Reserved.

find any good stock meeting our stringent selection process, we add it to the recommended list, irrespective of its market cap.

We follow a bottom-up approach to stock selection. Therefore, we do not prefer any sector when we make a stock selection.

Q. How much return do you expect to make from "Recommended Stocks" in future? Do you provide a target price for stocks?

We do not keep any return expectations or a target price. This is due to the following reasons:

1. When good stocks rise on recognition by the markets, then there is no limit to the extent they may rise.
2. At the same time, stocks have the habit of not responding even to good business performance for years altogether.
3. On the contrary, stock prices are volatile and frequently decline as well; for example, during the Coronavirus-related meltdown (Feb-March 2020), global financial meltdown (Jan 2008 – March 2009) etc., when a decline in stock markets took away returns of many of the preceding years. Therefore, an investor must understand that stock market investments are risky and that any return on investment is not certain.

So, we choose to invest in stocks, which we feel are fundamentally good and stay invested in them without any return expectations.

Q. Does this service display historical returns or performance metrics?

Under SEBI regulations, public disclosure of past performance is allowed only if verified by a SEBI-recognised Past Risk and Return Verification Agency (PaRRVA). Based on an evaluation of the currently prescribed PaRRVA methodology and its suitability with our long-term, fundamentals-driven research approach, we do not display historical performance metrics publicly, as doing so could present performance information in a manner that may be incomplete or open to misinterpretation in the context of long-term investing.

Subscribers are encouraged to evaluate the service based on:

- Investment philosophy and stock selection framework
- Risk awareness and governance focus
- Suitability with their own long-term investing approach



Copyright © Dr Vijay Malik. All Rights Reserved.

2) Peaceful Investing - Workshop Videos

Learn how to analyse stocks, which stocks to buy, what price to pay, when to sell, how many stocks to buy, how to monitor stocks etc. Beneficial for both beginner and seasoned investors.

It explains financial concepts in a very simple manner especially for investors from a non-finance background.

Make Payment and Subscribe

You can watch a FREE Sample Video (16 min) of the workshop where we have discussed the basics of the balance sheet, along with fund flow analysis, here:

Peaceful Investing - Workshop Videos

What Customers Say About Peaceful Investing – Workshop Videos:



Copyright © Dr Vijay Malik. All Rights Reserved.



Premium Section: "Workshop Videos"

Subscription to this service provides access to the premium page: "Workshop Videos", which contains the videos of the full-day workshop, having a total duration of about 9h:30m.

These videos are divided into the following subsections for easy access and revision:

1. The Foundation:
    - A) Introduction to Peaceful Investing (24m:31s)
    - B) Demonstration of Screener.in website and its Export to Excel Feature (28m:56s)
    - C) Using Credit Rating Reports for Stock Analysis (38m:11s)
2. Financial Analysis:
    - A) Analysis of Profit & Loss Statement (1h:12m:37s)
    - B) Analysis of Balance Sheet (27m:14s)
    - C) Analysis of Cash Flow Statement (27m:24s)
    - D) Combining Different Financial Statements (22m:40s)
3. Business & Industry Analysis (21m:55s)
4. Valuation Analysis (20m:17s)
5. Margin of Safety Assessment: Deciding what price to pay for a stock (1h:08m:03s)
6. Management Analysis (1h:15m:07s)
7. Portfolio Management: (How to monitor the stocks, How many stocks to own, When to sell, Stocks which are ideal for Part-Time investors) (51m:54s)
8. Q&A (1h:24m:38s)

About the "Peaceful Investing" Workshop

The workshop covers a detailed elaboration of our fundamental stock analysis approach: "Peaceful Investing", using live examples of companies to illustrate different investing concepts and parameters. It has detailed discussions on all the aspects of a stock investor's journey, like:

- How to shortlist stocks for analysis out of more than 5,000 listed stocks
- How to conduct a detailed analysis of stocks across key parameters like financial, business, valuation and management assessment to find fundamentally sound stocks
- How to read key financial statements like profit & loss, balance sheet, cash flow statements and notes in the annual report

Copyright © Dr Vijay Malik. All Rights Reserved.

- Once a fundamentally strong stock is found, how to decide what is an appropriate price to pay for it
- Once an investor has bought stock in her portfolio, what steps to follow and which resources to use to properly monitor the stock
- How many stocks to own in the portfolio, and how much money to allocate to stocks in the portfolio
- How to decide about taking a sell decision about a stock

The workshop covers a detailed analysis of various sources of information available to investors, like annual reports, quarterly results, credit rating reports, and online financial resources like Screener.

Our stock analysis & selection approach has evolved over our stock investing journey of more than 10 years, while we had a full-time job at hand. We have faced all the major challenges that are faced by retail/part-time investors. Therefore, the "Peaceful Investing" approach focuses on addressing those hurdles, acknowledging the primary challenge being the scarcity of time available to the investors.

The "Peaceful Investing" workshop makes investors confident about stock decisions to ensure that our faith would not be shaken by day-to-day market price fluctuations, and we would be able to reap the true benefits of stock markets over a long-term investment horizon.

The workshop helps an investor learn an in-depth analysis of stocks that would help her form her own opinion about the strengths & weaknesses of any stock. The participants would be able to use the stock analysis with their preferred stock selection approach, like value investing or growth investing.

The workshop covers the basics of investing and simultaneously focuses on key concepts needed for stock analysis, both for a beginner and a seasoned stock investor. We believe that a person does not need to have an educational background in finance to be a good stock investor, and the workshop is designed keeping this in mind.

Points to Note:

- The subscription allows you to watch the workshop videos online during the subscription period. You can watch them as many times as you want.
- Access to the videos will stop automatically once the subscription ends, unless you renew.
- You can send your queries by email to **vijay.malik@drvijaymalik.com**. There are no charges for this.
- No CD or DVD will be sent.
- Videos cannot be downloaded.
- Workshop presentations (slides) are not shared.

Cancellation Policy:

- Once this premium service is availed, then there is no provision for any refund of the fee or the cancellation of the service during the period of subscription.

Frequently Asked Questions

Q. Is the content in the classroom workshop and videos the same?

Yes. The videos are recordings of the actual classroom workshop.

Copyright © Dr Vijay Malik. All Rights Reserved.

Q. How are videos different from attending the workshop in person?

Videos give you full workshop learning with the flexibility to watch anytime and revise multiple times.

In-person workshops additionally offer:

- Face-to-face query resolution
- Interaction with other investors
- Sharing of experiences

Q. What should I do after watching these videos?

After watching the videos, start analysing stocks on your own. You can refer to our in-depth company analyses on this page for guidance and to compare your approach: Company Analysis

Q. Will I get access to future workshops or videos?

No. This subscription includes only the recorded 9 hr 30 min "Peaceful Investing" workshop. Any future workshops or video lectures will be separate paid services.

Q. Do past or future workshop participants get free access to these videos?

No. Classroom workshops and video access are separate services. Participants need to subscribe to the videos separately if they want access.

Q. Are e-books included in this service?

No. E-books are separate and need to be purchased separately (click here).

Q. I bought the videos earlier. Can I get a discount on the Excel Template?

No. The packaged discount is available only for new combined purchases.

Q. I bought the Excel Template earlier. Can I get a discount on these videos?

No. There are no discounts based on past purchases.

Make Payment and Subscribe

Copyright © Dr Vijay Malik. All Rights Reserved.

3) Stock Analysis Excel Template (compatible with Screener.in)

This Excel template provides a dashboard of our preferred financial ratios, which gives a complete overview of the financial position of a company. It helps in making an opinion about stocks quickly and in identifying good stocks using the data provided by Screener.in.

This Excel is a result of my knowledge and experience of more than 15 years in stock markets. I have analysed thousands of companies and identified key ratios, which are included in this Excel template.

Make Payment and Download

Key benefits:

Finding a good stock from 6,000+ stocks listed in the stock market is like finding a needle in a haystack. An investor needs to analyse a large amount of financial data to select a good stock. This Excel helps the investor in the following manner:

- **Financial Overview:** It presents key financial data of the company for the last 10 years in an easy-to-interpret format. In a single view, an investor can easily identify if the company's performance is improving or deteriorating over the years.
- **Colour-coding:** The cells showing an improvement in a parameter over the previous year are highlighted "**Green**", whereas the cells showing deterioration are highlighted "**Red**". These visual cues help a lot in analysing the changes in the performance of the company.
- **Comprehensive Analysis:** The Excel template covers all the important parameters of the Profit & Loss Statement, Balance Sheet, Cash Flow Statement, and other key ratios.
- **Explanations of all the ratios** are provided as pop-up comments in the first column. Therefore, an investor can quickly know how she should interpret any ratio or parameter.
- **Self-Sustainable Growth Rate (SSGR):** It contains SSGR, a ratio developed by us that identifies if a company can support its growth rate from its profits.
- **Strong focus on cash flow performance:** Critical parameters of PAT, CFO, capital expenditure (Capex), free cash flow (FCF), and increase in debt over the last 10 years are provided together in one section. A look at this section helps an investor understand the cash flow performance of the company over the last 10 years. She gets to know:
    - Whether the company has collected its profits in cash or there are red flags like inflated sales.
    - Whether the company is making any surplus cash from its operations or is continuously consuming cash.
    - Whether the company is making investments/acquisitions from its own money or is relying on debt for expansion. Debt-funded growth puts a company at risk of bankruptcy. An investor gets to know all these aspects of a company's financial position by a single look at this section.

Copyright © Dr Vijay Malik. All Rights Reserved.

(₹ Crores/10 Millions)	BERGER PAINTS INDIA LTD									Jun-23	<< Latest ava
Narration	Mar-14	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Last 4 Quarters	Total 10 Yrs
Net profit after tax (PAT)	249	265	371	474	461	494	658	720	833	859	960	5,383
Net Profit Margin (NPM%)	7%	6%	9%	10%	9%	8%	10%	11%	10%	8%	9%	
Cash from Operating Activity (CFO)	310	414	595	395	422	611	725	796	567	976	CFO	5,809
Capex {(NFA+WIP) change+Dep}		127	82	292	290	570	533	268	868	914	Capex	3,943
FCF		287	513	102	132	40	192	528	-301	62	FCF	1,865
Total Debt (D)									14	1,189	FCFE.1 (FCF-Int exp)	1,412
Share Capital									.1	97.1	FCFE.2 (FCFE.1 + OI)	1,976
Dividend Paid (Div) Without DDT									01	311	Total Div 10 Yrs	1,904
Net Cash Generation (FCF+OI+Debt-In									05	-125	Inc. in Debt 10Y	565
Cash + Investments (CI +NCI)									47	428	Surplus funds	637
Self-Sustainable Growth Rate (SSGR)				16%	17%	15%	13%	13%	14%	13%	FCF/CFO	32%

Represents the CFO for the financial year as reported by the company in its cash flow statements.

The conditional formatting highlights the years where CFO is greater than PAT as **"Green"** and years where CFO is less than PAT as **"Red"**

Higher the CFO the better. Always compare CFO with PAT to see if the funds are getting stuck or released from working capital

- **Fund Flow Analysis:** A quick way to see from where funds are coming into the company (profits, debt etc.) and where funds are deployed (capex, working capital, loans to others, investments). Quickly identify if the promoter is siphoning off funds.
    - Let us take an example of a company, Cigniti Technologies Ltd. The snapshot below of its fund flow analysis from the Stock Analysis Excel Template shows that over FY2015-FY2023, it had a total fund inflow of ₹661 cr and out of it, a significant amount of money (₹135 cr) has moved out of the company in Other Assets. The maximum outflow (₹161 cr) happened in FY2016. (**Purple**-coloured cells indicate fund inflows and **orange**-coloured cells indicate outflows).

(₹ Crores/10 Millions)	CIGNITI TECHNOLOGIES LTD									
FUND FLOW ANALYSIS	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	FY15 - FY23
Liabilities										
Equity + Reserves	157	91	(400)	48	144	117	105	87	130	477
Debt	17	84	17	(12)	(58)	48	(76)	34	(24)	30
Trade Payables + Other Liabilities	25	77	(24)	(25)	(17)	8	23	44	43	154
Assets										
Fixed Assets	(48)	(80)	142	2	(7)	(33)	9	(20)	(22)	(57)
Trade Receivables	(71)	(41)	72	(11)	(9)	(41)	7	(69)	(28)	**(191)**
Inventory	-	-	-	-	-	-	-	-	-	-
Cash + Investments	(28)	30	(12)	(2)	(43)	(74)	(72)	(27)	(48)	(278)
Other Assets	(52)	(161)	206	1	(10)	(24)	5	(50)	(49)	(135)
Total Inflow	199	282	437	51	144	172	148	166	173	661
Total Outflow	(199)	(282)	(437)	(51)	(144)	(172)	(148)	(166)	(173)	(661)

- After zeroing in on FY2016, when an investor reads the annual report of the company for FY2016, she notices that Cigniti Technologies Ltd has given "Loans & Advances to related parties" of about ₹116 cr. (page 106 of FY2016 annual report).

12. LONG TERM LOANS AND ADVANCES (₹)

Particulars	As on March 31, 2016	As on March 31, 2015
Security Deposit	3,81,70,337	3,20,23,814
Loans & Advances to related parties	1,16,65,84,557	-
Advances Recoverable in Cash or in kind	8,26,43,226	12,81,08,759
	1,28,73,98,120	**16,01,32,573**

Now, an investor can do her deeper due diligence around these loans and advances to related parties, and if needed, she may approach the company for more information/clarifications.

You may observe that, on using this Stock Analysis Excel Template, an investor needs to just look at the financial data presented to her in the form of a dashboard and form an opinion. There is no requirement to

Copyright © Dr Vijay Malik. All Rights Reserved.

manually add any data from annual reports. The analysis, which previously took many hours, can now be done in a few minutes using this Excel template.

Illustration: How this Excel helps in quickly identifying good companies

Let us see how an investor can differentiate a good company from a poor one at a single glance when she uses this Excel template at the Screener website (Export to Excel feature).

See the example of Inox Wind Ltd. In the snapshot below, at one glance, even without scrolling down the Excel template, an investor can see that

- The company has been continuously making losses for the last 6 years (FY2018 onwards). Overall, it had lost ₹766 cr in the last 10 years.
- It made operating losses in 5 out of the last 10 years and operating cash flow losses (negative CFO) in 6 out of the last 10 years.
- It lost more than ₹700 cr in cash flow from operations (CFO) over the last 10 years. However, it still spent more than ₹2,100 cr in capital expenditure in the last 10 years.
- You will appreciate that if the company has not made any profits or cash flow from operations, then all the money for capital expenditure will come from either debt or equity dilution. The same is visible for Inox Wind Ltd. Its debt increased by ₹1,859 cr over the last 10 years. It also raised more capital from its shareholders in FY2015 (IPO) and FY2023 (preferential allotment). (As per the annual reports, a total of more than ₹1,400 cr equity capital was raised in these years).
- Therefore, if an investor is interested in investing in companies with strong fundamentals and cash flow strength, then she may ignore this company with just a single glance at the Excel template without spending any more time on the company.

(₹ Crores/10 Millions)				INOX WIND LTD							Jun-23	<< Latest ava
Narration	Mar-14	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Last 4 Quarters	Total 10 Yrs
Sales	1,567	2,709	4,445	3,405	465	1,436	760	711	625	737	875	
Operating Profit	176	425	734	542	-83	149	-116	-191	-300	-261	-197	
Operating Profit Margin (OPM%)	**11%**	**16%**	**17%**	**16%**	**0%**	**10%**	**0%**	**0%**	**0%**	**0%**	**0%**	
Other Income	9	47	48	84	26	23	11	76	19	19	16	**361**
Interest	46	62	98	155	171	169	244	255	283	341	328	**1,824**
Depreciation	12	20	35	44	52	66	80	88	89	106	109	**592**
Profit before tax (PBT)	128	389	649	427	-280	-62	-430	-459	-653	-689	-619	
Tax%	-4%	24%	29%	29%	33%	36%	35%	33%	26%	3%	2%	
Net profit after tax (PAT)	**132**	**296**	**461**	**303**	**-188**	**-40**	**-280**	**-306**	**-480**	**-667**	**-602**	**-766**
Net Profit Margin (NPM%)	8%	11%	10%	9%	-40%	-3%	-37%	-43%	-77%	-90%	-69%	
Cash from Operating Activity (CFO)	-76	-106	-163	114	269	147	733	-112	-475	-1,100	**CFO**	**-768**
Capex {(NFA+WIP) change+Dep}		**73**	**353**	**352**	**179**	**101**	**303**	**249**	**159**	**356**	**Capex**	**2,123**
FCF		-179	-516	-238	90	46	430	-360	-633	-1,456	**FCF**	**-2,892**
Total Debt (D)	**557**	**874**	**1,457**	**1,674**	**1,062**	**1,305**	**1,121**	**1,566**	**1,719**	**2,416**	**FCFE.1 (FCF-Int exp)**	**-4,715**
Share Capital	200.0	221.9	221.9	221.9	221.9	221.9	221.9	221.9	221.9	326.0	**FCFE.2 (FCFE.1 + OI)**	**-4,354**
Dividend Paid (Div) Without DDT	-	-	-	-	-	-	-	-	-	-	**Total Div 10 Yrs**	-
Net Cash Generation (FCF+OI+Debt-Int-Div)		123	17	-92	-668	145	13	-94	-745	-1,081	**Inc. in Debt 10Y**	**1,859**
Cash + Investments (CI +NCI)	49	710	557	691	127	226	255	275	255	**271**	**Surplus funds**	**-2,495**

Therefore, an investor can save her precious time by ignoring such companies and instead spending it only on those companies that provide some signs of fundamental strength in the initial overview by using the Excel template.

The availability of the above critical data about any company with a single click from the Screener website saves many hours, which otherwise might have been wasted in analysing stocks that we might have had to reject at a later stage due to poor fundamentals.

Copyright © Dr Vijay Malik. All Rights Reserved.

An investor may see the following example of another company, PI Industries Ltd, which shows signs of fundamental strength in the initial snapshot of the Excel template. From the snapshot containing its consolidated financials, an investor notices that

- Its sales never declined, and its profits increased in 9 out of the last 10 years. Over the last 10 years, its sales have increased by more than 4 times, and its profits have increased by more than 6 times.
- It had a cash flow from operations (CFO) of ₹5,272 cr over the last 10 years, which is higher than its net profit after tax (PAT) of ₹5,251 cr for the last 10 years, indicating that it has converted all of its profits into cash. It shows that the company has kept its working capital under control.
- You will see that the CFO is more than its capital expenditure of ₹3,262 in the last 10 years. Therefore, it had a surplus of more than ₹2,500 cr.
- It used this surplus to pay dividends exceeding ₹600 cr, repaid its debt and kept the balance as cash and investments. In FY2023, it had cash + investments of more than ₹3,000 cr.
- It has a Self-Sustainable Growth Rate (SSGR) exceeding 25%, which is more than the sales growth of 17% achieved in the last 10 years. It indicates that if the company decides, then it can easily meet its sales growth aspirations from its profits.

(₹ Crores/10 Millions)				P I INDUSTRIES LTD							Jun-23	<< Latest ava
Narration	Mar-14	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Last 4 Quarters	Total 10 Yrs
Sales	1,596	1,940	2,096	2,277	2,277	2,841	3,367	4,577	5,300	6,492	6,859	
Operating Profit	295	382	435	555	496	580	720	1,018	1,146	1,544	1,658	
Operating Profit Margin (OPM%)	**19%**	**20%**	**21%**	**24%**	**22%**	**20%**	**21%**	**22%**	**22%**	**24%**	**24%**	
Other Income	11	35	34	36	60	58	50	129	105	166	186	**684**
Interest	14	12	12	9	7	7	19	34	16	39	28	**169**
Depreciation	32	50	54	73	83	93	137	175	202	227	240	**1,124**
Profit before tax (PBT)	261	355	403	510	466	538	614	939	1,033	1,444	1,576	
Tax%	28%	31%	23%	10%	21%	24%	26%	21%	18%	15%	14%	
Net profit after tax (PAT)	**188**	**246**	**312**	**459**	**368**	**410**	**457**	**738**	**844**	**1,230**	**1,350**	**5,251**
Net Profit Margin (NPM%)	12%	13%	15%	20%	16%	14%	14%	16%	16%	19%	20%	
Cash from Operating Activity (CFO)	219	184	367	339	319	391	698	725	529	1,501	**CFO**	**5,272**
Capex {(NFA+WIP) change+Dep}		**147**	**334**	**150**	**148**	**374**	**896**	**472**	**343**	**397**	**Capex**	**3,262**
FCF		38	33	189	171	17	-198	253	186	1,104	**FCF**	**2,011**
Total Debt (D)	**122**	**115**	**151**	**120**	**83**	**49**	**519**	**373**	**316**	**47**	**FCFE.1 (FCF-Int exp)**	**1,841**
Share Capital	13.6	13.7	13.7	13.8	13.8	13.8	13.8	15.2	15.2	15.2	**FCFE.2 (FCFE.1 + OI)**	**2,525**
Dividend Paid (Div) Without DDT	27	34	43	55	55	55	55	76	91	152	**Total Div 10 Yrs**	**644**
Net Cash Generation (FCF+OI+Debt-Int-Div)		19	49	130	132	-21	247	126	127	809	**Inc. in Debt 10Y**	**-76**
Cash + Investments (CI +NCI)	44	35	56	216	291	218	285	2,348	2,310	**3,259**	**Surplus funds**	**1,806**
Self-Sustainable Growth Rate (SSGR)				**34%**	**31%**	**28%**	**23%**	**23%**	**23%**	**28%**	**FCF/CFO**	**38%**

In light of the above good business signs on the initial assessment, an investor can decide to spend her precious time on further analysis of PI Industries Ltd.

This Excel template provides enough information to decide which company one should spend more time on and which company one should reject at first glance. This decision to pursue further or reject a company at an early stage is the most critical step to appropriately allocate the limited time available to the investors.

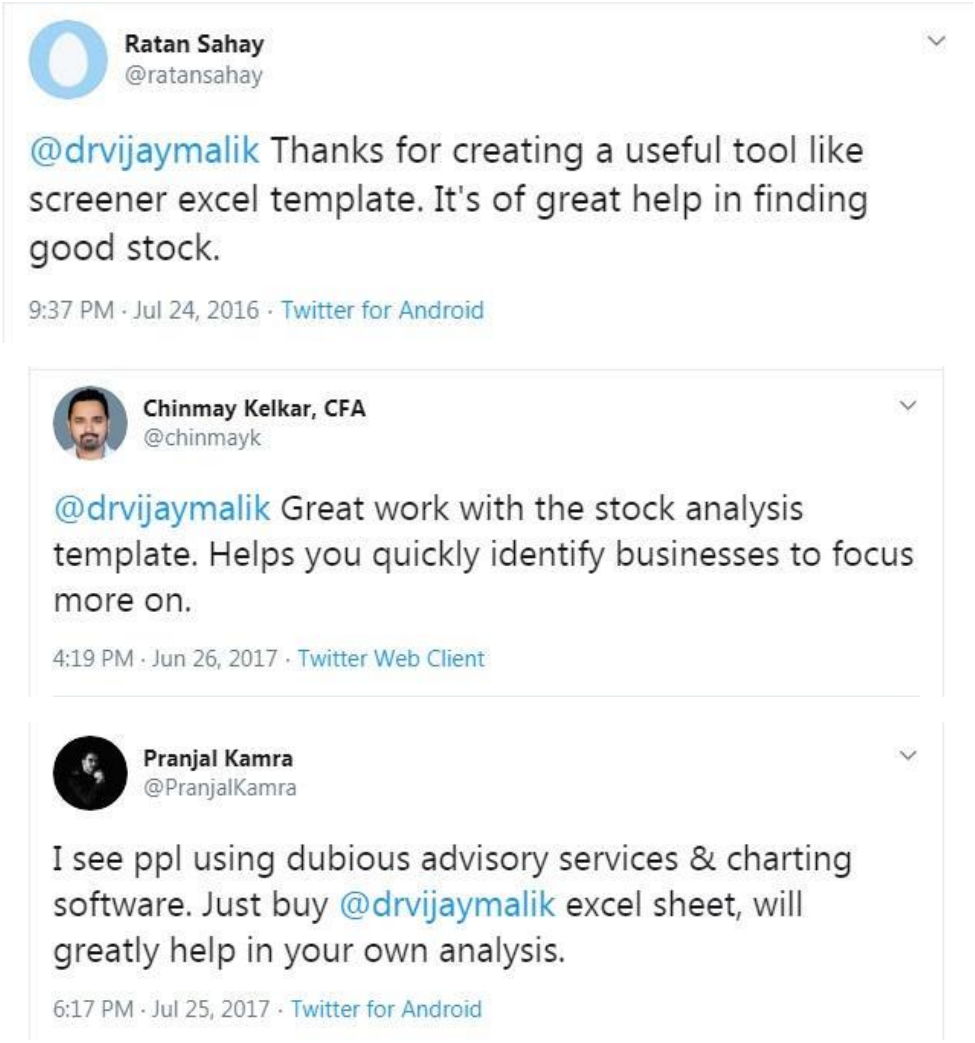
This Excel template allows investors an opportunity to spend their time only on those companies that show a promise of fundamental strength on the initial overview.

Customers' Feedback about the Stock Analysis Excel Template

"This is a great tool for getting down to the heart of a company's financials. When I was doing my MBA at NYU, I had a valuation professor who encouraged everyone in the class of 60 to make their own customised sheet similar to what you've made. I was a fan of Buffett; so, I remember keeping some of his metrics in view and creating a sheet! Of course, yours is head and shoulders above anything else I've seen – kudos!"

Copyright © Dr Vijay Malik. All Rights Reserved.

– Uday (via email)



Full view of the Excel dashboard:

This Excel template presents 80+ key parameters in a dashboard format, covering profitability, capital structure, valuation, margin of safety, cash flow, creation of wealth, sources of funds and their utilisation, growth rates, return ratios, working capital and operating efficiency etc.

Detailed explanations and interpretations of all the ratios and parameters are provided on this page.

View high-resolution screenshot of the analysis sheet: Click Here

Copyright © Dr Vijay Malik. All Rights Reserved.

(₹ Crores/10 Millions)				P I INDUSTRIES LTD						Dec-23	<< Latest available quarterly results						
Narration	**Mar-14**	**Mar-15**	**Mar-16**	**Mar-17**	**Mar-18**	**Mar-19**	**Mar-20**	**Mar-21**	**Mar-22**	**Mar-23**	**Last 4 Quarters**	**Total 10 Yrs**	**TRENDS:**	**10Yr**	**7Yr**	**5Yr**	**3Yr**	**TTM**
Sales	1,596	1,940	2,096	2,277	2,277	2,841	3,367	4,577	5,300	6,492	7,490		**Sales Grth**	17%	18%	23%	24%	15%
Operating Profit	295	382	435	555	496	580	720	1,018	1,146	1,544	1,916		**OPM**	22%	22%	22%	23%	26%
Operating Profit Margin (OPM%)	**19%**	**20%**	**21%**	**24%**	**22%**	**20%**	**21%**	**22%**	**22%**	**24%**	**26%**		**PAT Grth**	23%	22%	27%	39%	30%
Other Income	11	35	34	36	60	58	50	129	105	166	209	**684**	**BV Grth**	30%	30%	30%	40%	18%
Interest	14	12	12	9	7	7	19	34	16	39	22	**169**	217	**Interest Outgo**				
Depreciation	32	50	54	73	83	93	137	175	202	227	286	**1,124**	**PE History**	20	25	35	46	36
Profit before tax (PBT)	261	355	403	510	466	538	614	939	1,033	1,444	1,816		CMP	3,797				
Tax%	28%	31%	23%	10%	21%	24%	26%	21%	18%	15%	12%		**P/E**	**36.2**				
Net profit after tax (PAT)	**188**	**246**	**312**	**459**	**368**	**410**	**457**	**738**	**844**	**1,230**	**1,593**	**5,251**	P/B	8.0				
Net Profit Margin (NPM%)	12%	13%	15%	20%	16%	14%	14%	16%	16%	19%	21%		P/E*P/B	289.5				
Cash from Operating Activity (CFO)	219	184	367	339	319	391	698	725	529	1,501	**CFO**	**5,272**	Div Yield	0.3%				
Capex {(NFA+WIP) change+Dep}		**147**	**334**	**150**	**148**	**374**	**896**	**472**	**343**	**397**	**Capex**	**3,262**	M. Cap	57,607				
FCF		38	33	189	171	17	-198	253	186	1,104	**FCF**	**2,011**	4,607	Total Retained Earnings (RE) in 10 Yrs (A)				
Total Debt (D)	**122**	**115**	**151**	**120**	**83**	**49**	**519**	**373**	**316**	**47**	**FCFE.1 (FCF-Int exp)**	**1,841**	53,819	Total increase in Mcap in 10 yrs (B)				
Share Capital	13.6	13.7	13.7	13.8	13.8	13.8	13.8	15.2	15.2	15.2	**FCFE.2 (FCFE.1 + OI)**	**2,525**	**11.68**	**Value created per INR of RE (B/A)**				
Dividend Paid (Div) Without DDT	27	34	43	55	55	55	55	76	91	152	**Total Div 10 Yrs**	**644**	31%	**Mcap CAGR 10Y**				
Net Cash Generation (FCF+OI+Debt-Int-Div)		19	49	130	132	-21	247	126	127	809	**Inc. in Debt 10Y**	**-76**						
Cash + Investments (CI +NCI)	44	35	56	216	291	218	285	2,348	2,310	**3,259**	**Surplus funds**	**1,806**	0	**Closing share price on March 31, 10 years back**				
Self-Sustainable Growth Rate (SSGR)				**34%**	**31%**	**28%**	**23%**	**23%**	**23%**	**28%**	**FCF/CFO**	**38%**						

FUND FLOW ANALYSIS	**Mar-15**	**Mar-16**	**Mar-17**	**Mar-18**	**Mar-19**	**Mar-20**	**Mar-21**	**Mar-22**	**Mar-23**	**FY15 - FY23**
Liabilities										
Equity + Reserves	202	274	456	298	361	334	2,723	778	1,078	6,504
Debt	(8)	37	(31)	(37)	(34)	469	(146)	(57)	(270)	(76)
Trade Payables + Other Liabilities	121	4	(72)	64	202	267	200	68	(120)	734
Assets										
Fixed Assets	(97)	(280)	(77)	(65)	(281)	(760)	(298)	(141)	(171)	(2,169)
Trade Receivables	(126)	(15)	(26)	(103)	(135)	15	(57)	(165)	97	**(515)**
Inventory	(59)	(17)	(37)	(20)	(84)	(263)	(254)	(371)	26	**(1,079)**
Cash + Investments	10	(22)	(160)	(75)	73	(67)	(2,063)	38	(949)	(3,214)
Other Assets	(43)	18	(53)	(61)	(102)	4	(105)	(151)	309	(185)
Total Inflow	332	333	456	362	636	1,089	2,923	884	1,509	7,238
Total Outflow	(332)	(333)	(456)	(362)	(636)	(1,089)	(2,923)	(884)	(1,509)	(7,238)

Color Coding

means Fund Inflow

means Fund Outflow

										Change in 10 Yrs							
Trade Receivables	257	383	398	424	527	662	647	704	869	772	**-515**							
Inventory	319	378	395	432	452	536	799	1,053	1,423	1,398	**-1,079**							
PBT/Avg. NFA (<10%,>25%)		67%	57%	56%	48%	49%	40%	47%	45%	57%								
ROE on Avg Equity (<7%,>25%)		31%	30%	33%	21%	19%	19%	19%	15%	18%								
ROCE (EBIT on Avg CE/TA) (<10%,>35%)		25%	23%	24%	19%	19%	17%	17%	14%	18%								
Incremental ROE 3Yr Rolling				42%	14%	10%	0%	35%	31%	43%								
Net Fixed Asset Turnover (High is better)		3.7	3.0	2.5	2.3	2.6	2.2	2.3	2.3	2.6								
Receivables days (Low is better)		60	68	66	76	76	71	54	54	46								
Inventory Turnover (High is better)		5.6	5.4	5.5	5.2	5.8	5.0	4.9	4.3	4.6								
Months of RM held as Inv. (Low is better)		4	4	4	5	4	4	4	5	5								
Working capital cycle days (Rec + Inv Days)		126	135	132	147	140	143	128	139	125								
Net Fixed Assets (NFA)	527	533	874	945	998	1,186	1,858	2,138	2,453	2,606								
Capital Work in Progress (CWIP)	42	133	71	77	90	183	271	288	115	132								
Dividend Paid (Div) Without DDT	27	34	43	55	55	55	55	76	91	152		644	**Div Grth**	21%	20%	22%	40%	67%
Dividend Payout (Div/PAT)	14%	14%	14%	12%	15%	13%	12%	10%	11%	12%								
Retained Earnings (RE=PAT-Div)	161	212	269	404	312	355	401	662	753	1,078								
Price to earning	20	34	25	25	33	35	35	46	51	37			**Avg. PE**	34.2	37.6	40.9	44.8	8.0
Market Capitalization	**3,788**	**8,281**	**7,793**	**11,533**	**12,207**	**14,241**	**16,158**	**34,256**	**42,774**	**45,968**	**57,607**							
Cash + Investments (CI +NCI)	44	35	56	216	291	218	285	2,348	2,310	3,259	3,259							
Total Debt (D)	122	115	151	120	83	49	519	373	316	47			**Debt**	-10%	-16%	-11%	-55%	-85%
Total Equity (E)	695	896	1,171	1,627	1,925	2,285	2,619	5,342	6,120	7,199			**Book Val**	30%	30%	30%	40%	18%
Debt to Equity ratio (D/E)	0.2	0.1	0.1	0.1	0.0	0.0	0.2	0.1	0.1	0.0								
Cost of funds	**12.0%**																	
Interest Outgo		14	16	16	12	8	34	53	41	22		217						
Interest Coverage (OP/Int. Out)		26.9	27.2	34.1	40.6	72.9	21.1	19.0	27.7	70.9								

	Mar-14	**Mar-15**	**Mar-16**	**Mar-17**	**Mar-18**	**Mar-19**	**Mar-20**	**Mar-21**	**Mar-22**	**Mar-23**	**Total 10 Yrs**
Cash from Operating Activity (CFO)	219	184	367	339	319	391	698	725	529	1,501	5,272
Cash from Investing Activity (CFI)	-50	-146	-303	-235	-181	-322	-985	-2,430	-110	-496	-5,259
Cash from Financing Activity (CFF)	-145	-53	-48	-53	-106	-125	350	1,690	-177	-483	850
Net Cash Flow (CFO+CFI+CFF)	24	-15	16	50	33	-56	63	-15	241	522	863
Retained Earnings (RE) in 10 Yrs (A)	4,607										
Increase in Mcap in 10 yrs (B)	53,819										
Value created per INR of RE (B/A)	**11.68**										
Costs as % of Sales											
Raw Material	58%	57%	55%	51%	51%	55%	55%	56%	55%	55%	
Power & Fuel	5%	4%	3%	3%	3%	3%	3%	3%	3%	3%	
Employee Costs	7%	7%	9%	10%	11%	9%	10%	9%	9%	8%	
Selling & Admin Costs	17%	15%	7%	7%	8%	7%	6%	5%	6%	6%	
Other Manufacturing Expenses	5%	4%	1%	2%	2%	2%	2%	2%	2%	2%	
Other Expenses	-10%	-7%	4%	3%	3%	3%	2%	3%	3%	3%	

Source: Screener.in

How to use this Excel template with Screener

- No premium subscription to Screener required. It works with the free account.
- Upload the Excel template once to your Screener account. After that, you can analyse any company by clicking “Export to Excel” on its page.
- To upload, go to: https://www.screener.in/excel/ Click “Reset Customization” and then upload the template.

Copyright © Dr Vijay Malik. All Rights Reserved.

- You can customise the formulas if needed. If anything goes wrong, reset Screener and upload the template again.
- For detailed steps with screenshots, refer to the guide: How to Use Screener.in "Export to Excel" Tool
- On mobile, you can open the file using the Google Sheets app.

Key instructions to the buyers

1. This purchase includes the current version only. Future versions, if any, need to be purchased separately.
2. This template depends on Screener data. If their format changes, the template may stop working. In such cases, a revised version may be released, which will need to be purchased separately.
3. This Excel sheet is for personal use only. Sharing or redistribution is not allowed.

Frequently Asked Questions (FAQs)

Q. Do I need the premium version of Screener to use this Excel template?

Ans. No. It works with the free Screener account.

Q. Can this Excel be used for international stocks?

Ans. No. It works only for companies available on Screener (Indian stocks).

Q. Will I get free updates or discounts if I bought an earlier version?

Ans. No. Each version is a separate purchase, as it includes new improvements.



Copyright © Dr Vijay Malik. All Rights Reserved.

4) e-Books: Business Analysis Guides: Vol. 1, 2 and 3

Learn how to analyse companies across 30 major industries using practical, real-world frameworks used by a SEBI-registered research analyst.

These e-books cover:

- **Vol. 1:** Pharmaceuticals, Hospitals, Diagnostic Labs, Chemicals, Pesticides, Fertilisers, IT Services, Auto Ancillary, Paper, and Textile.
- **Vol. 2:** FMCG, Hotels, Cement, Construction, Steel, Nonferrous Metals, Solar Power, Wind Power, Thermal Power and Sugar sectors.
- **Vol. 3**: Organised Retail, Real Estate, Mining, Tyre Manufacturing, Gems & Jewellery Retail, Cut & Polished Diamonds, Stock Broking, Trading, Tea and Films & Cinemas sectors.

Make Payment and Download

What this e-book will teach you:

After reading these e-books, you will understand:

- What drives the business of each industry
- How to identify strong vs weak companies
- Key risks, red flags, and regulatory threats
- What factors impact profitability and long-term sustainability
- How industry structure affects returns on capital

This will help you make better long-term investment decisions while analysing companies in these sectors.

What you will learn in each industry:

Volume 1:

Pharmaceutical

Understand pricing pressure, regulatory risks, and continuous R&D needs. Learn how the drug lifecycle, generics entry, and approvals impact profitability. Assess risks from branded generics, compliance issues, and high dependence on regulated markets for long-term returns.

Hospitals

Learn how capacity utilisation, operating leverage, and doctor quality drive profitability. Understand pricing power, the impact of insurance penetration, and regulatory risks. Assess how scale, specialisation, and consultant management create long-term competitive advantages.

Diagnostic Labs

Understand intense price competition due to non-differentiated services. Learn how large labs create advantages via scale, technology, and supply chain. Assess risks from pricing pressure, regulation, and high dependence on real estate and network expansion.

Copyright © Dr Vijay Malik. All Rights Reserved.

Chemical

Differentiate between commodity and specialty chemicals. Learn how pricing power, cyclicity, and cost efficiency impact returns. Understand the importance of R&D, environmental compliance, and risks from global competition and regulatory changes.

Agrochemicals (Pesticide)

Learn how seasonality, working capital needs, and price competition impact profitability. Understand the role of R&D, patents, and generics. Assess risks from weather, regulatory changes, spurious products, and shifting trends like organic farming.

Fertilizer

Understand the heavy regulatory control and subsidy dependence of the industry. Learn why companies have low pricing power and compete on efficiency. Assess risks from subsidy delays, raw material costs, and frequent policy changes.

Information Technology (IT) Services

Learn how client concentration, employee costs, and pricing pressure impact margins. Understand the importance of scale, execution, and moving up the value chain. Assess risks from global demand cycles, attrition, and technological disruptions.

Auto Ancillary

Understand cyclical demand and low pricing power due to dependence on OEMs. Learn how scale, technology upgrades, and client relationships impact survival. Assess risks from margin pressure, working capital intensity, and shifts in automobile technology.

Paper

Learn how cyclicity, lack of pricing power, and cost competitiveness drive profitability. Understand the importance of scale, integration, and capacity utilisation. Assess risks from environmental regulations, raw material shortages, and industry-wide boom-bust cycles.

Textile

Understand the commodity nature of most segments and the resulting pricing pressure. Learn how integration, scale, and premium products improve margins. Assess risks from raw material volatility, cyclicity, and capital-intensive operations.

Make Payment and Download

Volume 2:

FMCG Industry

Understand why FMCG offers stable demand but limited pricing power. Learn how brands, distribution, and scale create advantages, while intense competition and regulatory risks remain key challenges. Focus on cash flow strength, working capital efficiency, and the sustainability of margins in a fragmented market.

Copyright © Dr Vijay Malik. All Rights Reserved.

Hotels Industry

Learn why hotels are highly cyclical, capital-intensive, and risky despite strong brands. Understand seasonality, cash flow mismatches, and the importance of conservative leverage. Focus on promoter strength, capital allocation, and survival ability during downturns rather than just growth during good times.

Cement Industry

Analyse a commodity business driven by cost efficiency and scale. Learn why the lowest-cost producer wins, and how cyclicity and capacity expansions impact profitability. Understand risks from potential price corrections if cartel-like behaviour weakens and assess the long-term sustainability of margins.

Construction Industry

Understand a highly competitive, low-entry-barrier business with cyclical demand. Learn why accounting profits can mislead and why cash flow analysis is critical. Focus on order book quality, working capital, execution risks, and external factors like regulatory and socio-political challenges.

Steel Industry

Study a globally competitive, cyclical commodity business with no pricing power. Learn the importance of cost leadership, integration, and scale. Understand risks from imports, forex, and regulatory actions, and why only financially strong players survive prolonged downturns.

Nonferrous Metals Industry

Understand a pure commodity business where prices are externally determined. Learn why cost efficiency, integration, and scale matter most. Focus on cyclicity, forex exposure, and regulatory risks, while assessing whether companies can maintain margins despite being price takers.

Solar Power Industry

Learn the realities behind a seemingly stable business model. Understand PPAs, counterparty risks, falling tariffs, and payment delays. Focus on leverage, cash flow mismatches, and regulatory risks that can significantly impact returns despite high operating margins.

Wind Power Industry

Understand the impact of seasonality, land challenges, and leverage on returns. Learn how PPAs reduce risk but do not eliminate issues like payment delays and repricing. Focus on cash flow stability, diversification, and regulatory risks affecting long-term viability.

Thermal Power Industry

Study a heavily regulated, capital-intensive sector with limited return potential. Understand how government policies, tariffs, and fuel sourcing impact profitability. Focus on cost efficiency, plant utilisation, and risks from changing policies and rising competition from renewables.

Sugar Industry

Understand one of the most regulated and cyclical industries. Learn why companies lack control over key variables like raw material and pricing. Focus on efficiency, scale, and integration into ethanol and power, while assessing risks from cyclicality and government intervention.

Copyright © Dr Vijay Malik. All Rights Reserved.

Make Payment and Download

Volume 3:

Organised Retail

Understand how different retail segments behave like separate industries, why margins remain low due to competition, and how scale, private labels, and inventory efficiency drive profitability. Covers store-level analysis, working capital, regulatory risks, and the importance of diversification across formats, geographies, and channels.

Real Estate

Covers cyclical demand-supply mismatches, high capital intensity, and funding risks. Explains why pricing power remains weak despite brand strength. Highlights regulatory challenges, project-level risks, and cash flow issues. Focus on diversification, balance sheet strength, and sector-specific ratios to assess execution and financial health.

Mining

Explains the lack of pricing power due to global commodity pricing and the importance of being a low-cost producer. Covers long gestation, cyclicity, and regulatory risks. Highlights the advantages of scale, diversification, and integrated operations. Focus on cost structure, reserve quality, and sustainability of production.

Tyre Manufacturing

Focuses on commodity nature, low pricing power, and dependence on OEMs and replacement demand. Covers raw material volatility, capital intensity, and cyclicity. Highlights the importance of brand, diversification, and cost control. Includes regulatory risks and the impact of anti-competitive practices on long-term profitability.

Gems & Jewellery Retail

Explains low margins due to competition and dependence on gold prices and forex. Covers seasonality, rural demand drivers, and regulatory risks. Highlights working capital intensity, inventory challenges, and benefits of scale, branding, and integration in improving profitability and stability.

Cut & Polished Diamonds

Highlights weak bargaining position between powerful suppliers and customers. Covers low margins, high working capital needs, and liquidity risks. Explains governance concerns, funding challenges, and cyclicity. Focus on diversification, scale advantages, and risk from global trade policies.

Stock Broking

Covers highly cyclical and volatile earnings linked to market activity. Explains intense price competition and pressure on brokerage income. Highlights the importance of cost control, technology investment, and risk management. Focus on diversification, capital requirements, and limitations of reported financials in assessing true risk.

Copyright © Dr Vijay Malik. All Rights Reserved.

Trading Companies

Explains low pricing power and thin margins due to limited value addition. Focuses on working capital risks, inventory losses, and receivable defaults. Covers high regulatory dependence and "stroke of a pen" risk. Highlights the importance of scale, diversification, and tight control on capital efficiency.

Tea Producers

Covers agro-climatic risks, production volatility, and high fixed labour costs impacting margins. Explains the role of the government. in both support and interference. Highlights the benefits of scale and geographic diversification. Focus on productivity, cost control, and quality premium in realisations.

Film & Cinema

Explains unpredictability of box office performance and high earnings volatility. Covers capital intensity, fragmentation, and regulatory risks. Highlights the advantages of scale, diversification across content and regions, and strong brands. Focus on debt levels, occupancy rates, and the ability to manage failures.

Important Notes:

- These e-books are for personal use only. Sharing or copying is not permitted.
- The e-books are in PDF format and requires a standard PDF reader.

Copyright © Dr Vijay Malik. All Rights Reserved.

5) "Peaceful Investing" Workshops

Full-day workshops on how to analyse stocks, what price to pay, how to monitor, and when to sell. Suitable for both beginners and experienced investors, including those from non-finance backgrounds.

The "Peaceful Investing" workshop focuses on building practical stock analysis skills so that investors can develop conviction in their decisions, remain calm during market fluctuations, and independently assess businesses with a long-term perspective.

The workshop is based on more than 15 years of investing experience and uses:

- Practical frameworks
- Real company examples

Who is this workshop for

- Beginners who want to learn stock analysis from scratch
- Experienced investors looking to strengthen their decision-making process

You do not need any formal education in finance to benefit from this workshop.

What you will learn

- How to analyse financials, business, valuation, and management of companies
- How to read and interpret financial statements (P&L, balance sheet, cash flow)
- How to decide a reasonable buying price with a margin of safety
- How to evaluate when to exit an investment
- How to monitor companies after investing
- How to think about portfolio construction and position sizing
- How to shortlist stocks from 6,000+ listed companies
- How to use annual reports, credit ratings, and tools like Screener
- How to use AI tools to improve efficiency in stock analysis

The focus remains on fundamental, long-term investing. Technical analysis, short-term trading, and derivatives are not covered.

Watch a free sample session (16 minutes)

To understand the teaching methodology, you may watch a sample session where basic balance sheet concepts and fund flow analysis are discussed, as well as register for upcoming workshops on this page.

Moreover, you pre-register/express interest for a workshop in your city by providing your details on the following page:

Pre-Register & Express Interest for a Stock Investing Workshop in Your City

Copyright © Dr Vijay Malik. All Rights Reserved.

What past participants say



Logistics

- Time: 8:30 AM to 5:00 PM
- Includes: Lunch (Veg / Non-veg / Jain) and two tea breaks
- Drinking water, writing pad, and pencil provided
- Seats are limited to ensure a focused and interactive session
- Registrations are accepted on a first-come, first-served basis

Cancellation policy

Registrations are non-cancellable.

However, the ticket is transferable. If you are unable to attend, you may transfer your seat to another person. Please inform in advance via email at vijay.malik@drvijaymalik.com.

Copyright © Dr Vijay Malik. All Rights Reserved.